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THE CODE OF CIVIL PROCEDURE, 1908

MODULE 01 // PART A · TOPIC 2 Cases #01–#05

Jurisdiction of Civil Courts, Res Sub Judice, Res Judicata & Order II Rule 2

Sections 9, 10 & 11 CPC · Order II Rules 1–2 · Commercial Courts Act, 2015

Jurisdiction of Courts — Section 9 CPC

The general plenary jurisdiction of civil courts; suits of a civil nature; express and implied bars; who decides and how

Core Principle — Section 9
The civil courts of India possess a **general (plenary) jurisdiction** to try **all suits of a civil nature**, unless their cognizance is **expressly or impliedly barred**. The section is enacted in **affirmative, mandatory** terms ("the Courts *shall* … have jurisdiction") and is **presumed in favour of** the civil court: exclusion of jurisdiction is never readily inferred (Secretary of State v. Mask & Co., AIR 1940 PC 105).

1.1 What "jurisdiction" means

The word "jurisdiction" has **not been defined in the Code**. It is derived from the Latin *juris* + *dicto* — **"I speak by the law."** Stated simply, it is the **power or authority of a court of law to hear and determine a cause or matter** — the authority to entertain, deal with and decide a suit, action, petition or other proceeding presented in a formal way for its decision.

In *Official Trustee v. Sachindra Nath*, AIR 1969 SC 823, the Supreme Court held that before a court can be said to have jurisdiction it must (i) have jurisdiction **to try the suit** brought, and (ii) have the **authority to pass the orders sought**. It is not enough that it has *some* jurisdiction over the subject-matter; its jurisdiction must include the power to hear and decide the **particular controversy** between the parties. The limits of this authority are fixed by the statute, charter or commission under which the court is constituted.

Two things jurisdiction is NOT

1. Not conferred by consent. Consent can neither confer nor oust jurisdiction. A decree passed by a court without inherent jurisdiction is **nullity (coram non judice)**, assailable even in execution or collateral proceedings, at any stage, even *suo motu* (*Kiran Singh v. Chaman Paswan*, AIR 1954 SC 340; *A.R. Antulay v. R.S. Nayak*, (1988) 2 SCC 602). Only the legislature can create or enlarge jurisdiction.

2. Not lost by deciding wrongly. "A court has jurisdiction to decide wrong as well as right" (Lord Hobhouse, in *Malkarjun v. Narhari*, (1900) 27 IA 216 (PC)). An erroneous exercise of existing jurisdiction is curable in appeal/revision — not a nullity (*Ittyavira Mathai Mathai v. Varkey Varkey*, AIR 1964 SC 907 — even decreeing a time-barred suit is an error, not a want of jurisdiction).

Where two or more courts *do* have concurrent jurisdiction, parties may by agreement choose one **exclusive forum among the competent ones** (*Hakam Singh v. Gammon (India) Ltd.*, AIR 1971 SC 740) — that is selection, not creation, of jurisdiction.

1.2 The section itself, with its two Explanations

Section 9 — Courts to try all civil suits unless barred

The Courts shall (subject to the provisions herein contained) have jurisdiction to try all suits of a civil nature **excepting suits of which their cognizance is either expressly or impliedly barred**.

Explanation I. A suit in which the right to property or to an office is contested is a suit of a **civil nature**, notwithstanding that such right may depend entirely on the decision of questions as to **religious rites or ceremonies**.

Explanation II. It is immaterial whether or not any fees are attached to the office referred to in Explanation I, or whether or not such office is attached to a particular place.

Anatomy of s. 9 — four building blocks

- **"The Courts shall"** — mandatory, not enabling. No court can refuse to entertain a suit merely because the claim is small or doubtful; jurisdiction is a matter of law, not of discretion.
- **"all suits of a civil nature"** — the word "civil" is contrasted with "criminal"; "nature" stretches the section further — even suits not strictly "civil proceedings" but bearing the characteristics of affecting civil rights are covered (*Most Rev. P.M.A. Metropolitan v. Moran Mar Marthoma*, AIR 1995 SC 2001).
- **"excepting suits … expressly or impliedly barred"** — the **only** limits: a statutory bar in terms, or one necessarily implied. "A suit for its maintainability requires no authority of law; it is enough that no statute bars it" (*Abdul Waheed Khan v. Bhawani*, AIR 1966 SC 1718; *Ganga Bai v. Vijay Kumar*, AIR 1974 SC 1126).
- **Explanations I–II** — the test is the **right to property or to an office**, not the incidental question. A suit about a mahant's right of worship is civil even if it turns on whether particular religious rites were correctly performed.

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1.3 Express and implied bars — when the civil court's door is shut

Expressly barred

A suit is expressly barred when barred **by an enactment for the time being in force** (*Mohd. Mahmood v. Tikam Das*, AIR 1966 SC 2010). The Code itself creates bars: **s. 11** (res judicata), **s. 10** (stay of trial of later suit), **s. 47** (questions relating to execution), **s. 95**, **O. II r. 2**, **O. IX r. 9**, **O. XXII r. 11**. External statutes may likewise bar — e.g. s. 170, Representation of the People Act, 1951: "No civil court shall have jurisdiction to question the legality of any action taken … in connection with an election." Matters assigned to exclusive fora — Revenue Courts, Industrial, Election, Rent, Co-operative, Income-tax Tribunals, MACT — and domestic tribunals (Bar Council, Medical Council, University, Club) are excluded on the same footing.

Impliedly barred

Implied bar arises when a statute creates a **special obligation and a special remedy**: where an Act creates an obligation and enforces its performance in a specified manner, "that performance cannot be enforced in any other manner." Two recognised grounds: **(i) general principles of law** — e.g. acts of State, actions against judges for acts done in their judicial capacity; **(ii) public policy** — a court will not countenance matters "injurious to and against the public weal" (*Babu Ganesh Dutt v. Mungoo Ram*) — suits to recover costs of a criminal prosecution, or upon a contract hit by s. 23 Contract Act, or to try political questions. E.g. *State of Gujarat v. Babuji Mulaji*, AIR 2007 Guj 27 — the Essential Commodities Act's complete appeal/revision scheme bars a suit for injunction restraining interference with a kerosene licence.

The governing presumptions — quote these

(1) Presumption in favour of jurisdiction. "Every presumption should be made in favour of the jurisdiction of a civil court … exclusion should not be readily inferred unless the statute contains an express provision to that effect or leads to a necessary and inevitable implication of that nature" (*Dhulabhai v. State of M.P.*, AIR 1969 SC 78).

(2) Strict construction of ouster. Ouster clauses are strictly construed; if there is doubt, the court leans to the interpretation that **maintains** jurisdiction (*Mask & Co.*, AIR 1940 PC 105; *M.P. Electricity Board v. Vijay Timber Co.*, (1997) 1 SCC 68).

(3) Substance over form. A plaintiff cannot, by clever drafting, invest jurisdiction the court does not possess — "one must have regard to the substance of the matter and not the form" (*Bank of Baroda v. Mod Bhai*, AIR 1985 SC 545).

Who decides the question of jurisdiction? The court itself, at the **commencement** of the inquiry: every court is "not only entitled but bound" to determine whether the matter before it falls within its jurisdiction (*Bhatia Co-op. Housing Society v. D.C. Patel*, AIR 1953 SC 16). The plaintiff chooses his forum at his peril: if the facts alleged do not make the suit cognizable by that class of court, the suit is dismissed; if only territorial or pecuniary limits are missed, the plaint is **returned** for presentation to the proper court (*Ananti v. Chhannu*, AIR 1930 All 193 (FB), approved in *Topandas v. Gorakhram*, AIR 1964 SC 1348).

Dhulabhai's seven principles (AIR 1969 SC 78) — when is the civil court barred?

#	Principle (Hidayatullah, C.J.)
1	Where the statute gives **finality** to the orders of special tribunals, the civil court is excluded **if there is an adequate remedy** to do what the civil court would normally do — but not where the Act's provisions were not complied with, or the tribunal did not act in conformity with the fundamental principles of judicial procedure.
2	Where there is an **express bar**, examination of the adequacy of the statutory remedy is relevant but not decisive. Where there is no express bar, the inquiry into the scheme and remedies of the Act becomes necessary and may be decisive — is a special right/liability created, with all questions assigned to the tribunal, with remedies normally associated with civil courts?
3	A challenge to the provisions of the Act as **ultra vires** cannot be brought before tribunals constituted under that Act (nor on revision/reference from them).
4	Where a provision is **already declared unconstitutional**, or its constitutionality is to be challenged, a suit lies; certiorari may include a direction for refund if the claim is within limitation.
5	Where the Act contains **no machinery for refund** of tax collected in excess of constitutional limits or illegally collected, a suit lies.
6	Questions of the **correctness of assessment** (apart from constitutionality) are for the authorities; a civil suit does not lie if the orders are declared final or there is an express prohibition.
7	**Exclusion of jurisdiction is not to be readily inferred** unless the above conditions apply.

Bridge to the prescribed case: *Gundaji Satwaji Shinde v. Ram Chandra Bhikaji Joshi*, AIR 1979 SC 653 (Case 1) is the DU material's vehicle for this entire doctrine — an **express statutory ouster** (ss. 70, 85, 85-A, Bombay Tenancy Act) of the civil court's power to decide even an issue arising *incidentally* in a properly constituted suit, coupled with a **statutory duty to refer** that issue to the Mamlatdar. Read the case after finishing this section.

Res Sub Judice — Stay of Suit — Section 10 CPC

One litigation at a time: staying the trial of a later suit that mirrors a pending earlier suit

Core Principle — Section 10
No court shall **proceed with the trial** of a suit in which the matter in issue is also **directly and substantially in issue** in a **previously instituted suit** between the same parties (or parties under whom they claim, litigating under the same title), where the earlier suit is pending in the same or another competent Indian court, a court beyond India established or continued by the Central Government, or the Supreme Court. **The bar is to trial — never to institution.**

2.1 The section and its scheme

Section 10 — Stay of suit (with the Explanation)

No Court shall proceed with the trial of any suit in which the matter in issue is also directly and substantially in issue in a previously instituted suit between the same parties, or between parties under whom they or any of them claim litigating under the same title where such suit is pending in the same or any other Court in India having jurisdiction to grant the relief claimed, or in any Court beyond the limits of India established or continued by the Central Government and having like jurisdiction, or before the Supreme Court.

Explanation. The pendency of a suit in a foreign Court does not preclude the Courts in India from trying a suit founded on the same cause of action.

Object

To prevent courts of concurrent jurisdiction from **simultaneously trying two parallel suits** and producing **inconsistent findings** on the same matter; to confine the plaintiff "to one litigation," protecting defendants from multiplicity and vexation. The policy of the section gives advance effect to the rule of res judicata — **the test of s. 10 is whether the decision in the previously instituted suit would operate as res judicata in the subsequent suit** (*S.P.A. Annamalay Chetty v. B.A. Thornhill*, AIR 1931 PC 263).

The provisions of s. 10 are **mandatory** — no discretion is left with the court once the conditions are satisfied (*Manohar Lal v. Seth Hiralal*, AIR 1962 SC 527). But the section does not stop the court from **deciding the later suit on a pure point of law** without entering the triable issues (*Pukhraj D. Jain v. Gopalakrishna*, (2004) 7 SCC 251).

Six Essential Conditions

1. There must be **two suits** — one previously instituted and the other subsequently instituted.
2. The matter in issue in the subsequent suit must be **directly and substantially in issue** in the previous suit (matters collaterally or incidentally in issue do not count).
3. Both suits must be between the **same parties** or their representatives.
4. The previously instituted suit must be **pending** — in the same court, or in any other court in India, or a court beyond India established/continued by the Central Government, or before the Supreme Court.
5. The court in which the previous suit is pending must have **jurisdiction to grant the relief** claimed in the subsequent suit.
6. The parties must be **litigating under the same title** in both suits.

Note the Explanation: a suit pending in a **foreign court** does not stay an Indian suit on the same cause of action — Indian courts retain their jurisdiction; foreign proceedings enjoy no parity under s. 10.

2.2 What the bar does and does not touch

Question	Answer	Authority
Does s. 10 bar the **institution** of the later suit?	**No** — only the **trial**; the later suit is stayed, never dismissed	Section itself
Can the later court pass **interlocutory orders**?	**Yes** — consolidation, receiver, injunction, attachment before judgment are outside "trial"	*Indian Bank*, AIR 1998 SC 1952
Is the bar waivable?	**Yes** — a rule of procedure; parties may consent to trial and then cannot question validity	*Gangaprasad v. Banaspati*, AIR 1937 Nag 132
Decree passed in contravention — nullity?	**No** — not void; cannot be disregarded in execution	*Pukhraj D. Jain*, (2004) 7 SCC 251
Appeal / revision against stay order?	No appeal (neither decree nor appealable order); **revision lies**	*Ram Chandra Pillai v. Nirmala*, AIR 1923 Mad 88
Stay power over the *other* court?	Power to stay a suit does not carry power to stay proceedings of another court	Section 10 text (*in personam* stay)
Where s. 10 does not strictly apply?	Court may still stay / consolidate under **inherent power, s. 151**, in the interest of justice	*P.V. Shetty v. B.S. Giridhar*, (1982) 3 SCC 403

The prescribed case: *Indian Bank v. Maharashtra State Co-operative Marketing Federation Ltd.*, AIR 1998 SC 1952 (Case 2) decides the one modern question this section leaves open — does the stay bar bite on a **summary suit under Order XXXVII**? The Supreme Court held: the word "trial" in s. 10 must be read **in the context of** the summary procedure; in a summary suit the trial begins only **after leave to defend is granted**, so the court may lawfully proceed up to and including judgment on the summons for judgment. The Division Bench of Bombay High Court, which had read "trial" as the entire proceedings, was reversed.

Res Judicata — Section 11 CPC

The rule of conclusiveness of judgments: a matter once finally decided between the parties is never tried again — actually, constructively, in suits, writs, arbitrations and executions

Core Principle — Section 11
No court shall try any suit or issue in which the matter directly and substantially in issue has been directly and substantially in issue in a former suit between the same parties (or parties under whom they claim, litigating under the same title), **in a court competent to try the subsequent suit**, and has been **heard and finally decided** by that court. The doctrine rests on public policy: *interest reipublicae ut sit finis litium* — there must be an end to litigation.

3.1 The section and its eight Explanations

Section 11 — Res judicata (main provision)

> No Court shall try any suit or issue in which the matter directly and substantially in issue has been directly and substantially in issue in a former suit between the same parties, or between parties under whom they or any of them claim, litigating under the same title, in a Court competent to try such subsequent suit or the suit in which such issue has been subsequently raised, and has been heard and finally decided by such Court.

Explanation	Deeming rule
Expl. I	**"Former suit"** = a suit decided *prior* to the suit in question, **whether or not instituted prior thereto** — a later-instituted but earlier-decided suit can be the "former suit."
Expl. II	Competence of the former court is determined **irrespective of any right of appeal** from its decision.
Expl. III	The matter must in the former suit have been **alleged by one party and either denied or admitted, expressly or impliedly, by the other** — the "actually in issue" rule.
Expl. IV	Any matter which **might and ought to have been made a ground of defence or attack** in the former suit is **deemed to have been a matter directly and substantially in issue** in such suit — **constructive res judicata**.
Expl. V	Any relief claimed in the plaint and **not expressly granted by the decree is deemed to have been refused**.
Expl. VI	Where persons litigate **bona fide** in respect of a **public right or a private right claimed in common** for themselves and others, all persons interested are deemed to claim **under** those litigants.
Expl. VII	Section 11 applies to **proceedings for execution of a decree**; "suit / issue / former suit" read as "execution proceeding / question arising therein / former execution proceeding" (inserted by the 1976 Amendment).
Expl. VIII	An issue heard and finally decided by a **court of limited jurisdiction, competent to decide that issue**, operates as res judicata in a later suit even though that court could **not try the later suit** (also inserted 1976).

The doctrine behind the section

Three maxims (write them in every answer)

1. *Nemo debet bis vexari pro una et eadem causa* — no man should be vexed twice for the same cause (private justice).

2. *Interest reipublicae ut sit finis litium* — it is in the interest of the State that there be an end to litigation (public policy).

3. *Res judicata pro veritate accipitur* — a judicial decision must be accepted as correct.

History: known to Hindu law as *Purva Nyaya* (the rule of the former judgment), recognised in Roman law ("one suit and one decision is enough for any single dispute" — *exceptio rei judicatae*), and received into English law — classically stated by Sir William de Grey in the **Duchess of Kingston's case**: a judgment of a court of concurrent jurisdiction, directly upon the point, is a bar, or as evidence conclusive, between the same parties upon the same matter directly in question in another court. The doctrine is founded on **justice, equity and good conscience**, and is a rule of **universal law pervading every well-regulated system of jurisprudence**.

The classic exposition — Das Gupta, J., in *Satyadhyan Ghosal v. Deorajin Debi*, AIR 1960 SC 941:

Quote bank

"The principle of res judicata is based on the need of giving a **finality to judicial decisions**. What it says is that once a *res* is judicata, it shall not be adjudged again. Primarily it applies as between past litigation and future litigation. … neither party will be allowed in a future suit or proceeding between the same parties to canvass the matter again."

Public policy — Chandrachud, J., in *Lal Chand v. Radha Krishan*, AIR 1977 SC 789: the principle "is conceived in larger public interest which requires that all litigation must, sooner than later, come to an end"; a party who has once succeeded on an issue should not be harassed by multiplicity of proceedings involving the determination of the same issue.

Rule of law — *Daryao v. State of U.P.*, AIR 1961 SC 1457 (Constitution Bench, Gajendragadkar, J.): "the binding character of judgments pronounced by courts of competent jurisdiction is itself an essential part of the rule of law." A writ petition under Art. 226 dismissed on merits bars a fresh petition under Art. 32 for the same relief.

3.2 Conditions of application (the DU checklist)

1. Two suits — a **former suit** and a subsequent suit or issue (**Expl. I**: former = earlier *decided*, not earlier instituted).
2. The court deciding the former suit must be **competent to try the subsequent suit** or the suit in which the issue is raised (**Expl. II & VIII** — Expl. VIII relaxes this for issues decided by courts of limited jurisdiction competent to decide *that issue*).
3. The **matter directly and substantially in issue** in both suits must be the same — **actually** (**Expl. III**) or **constructively** (**Expl. IV**); the bar extends to execution proceedings (**Expl. VII**).
4. The matter must have been **heard and finally decided** in the former suit (**Expl. V**: relief claimed but not granted is deemed refused).
5. **Same parties**, or parties under whom they or any of them claim (**Expl. VI**: representative litigation binds all interested).
6. The parties must have **litigated under the same title** in the former suit.

A matter **collaterally or incidentally in issue** in the former suit does not bar: e.g. an ex parte eviction decree's finding of ownership does not bar a later title suit by the sub-tenant, because title was not directly and substantially in issue there. Findings on *all* points on which the decision rests — even alternative ones — are each res judicata (*Vithal Yeshwant v. Shikandarkhan*, AIR 1963 SC 385).

Matter in issue — the classification that decides everything

"Matter in issue" = the **rights litigated between the parties** — the facts on which the right is claimed and the law applicable to its determination (*Mathura Prasad v. Dossibai Jeejeebhoy*, AIR 1971 SC 2355). It may be an issue of fact, law, or mixed law and fact. "Directly" means without intervention — in contradistinction to "collaterally or incidentally"; a fact is directly in issue if the judgment cannot stand without deciding it. "Substantially" = in effect though not in express terms — of real importance for the decision, determined from the **pleadings, issues and judgment** of the former suit.

Constructive res judicata (Expl. IV) — Somervell, L.J., in *Greenhalgh v. Mallard*: res judicata "covers issues or facts which are so clearly part of the subject-matter of the litigation and so clearly could have been raised that it would be an **abuse of the process of the court** to allow a new proceeding to be started in respect of them." The Supreme Court in *Workmen v. Board of Trustees, Cochin Port Trust*, AIR 1978 SC 1283: a matter which might and ought to have been made a ground of defence or attack but was not, is **deemed constructively in issue and taken as decided**. And in *Forward Construction Co. v. Prabhat Mandal*, AIR 1986 SC 391: "might" conveys the **possibility**, "ought" the **propriety**, of joining all grounds — an alternative basis omitted in the first suit cannot sustain the second.

Constructive res judicata applies to writ petitions — the Daryao line

From reluctance to full application (the line of authority decided in Nawab Hussain)

`Daryao (1961)`
AIR 1961 SC 1457 — writ under Art. 226 dismissed on merits bars a fresh Art. 32 petition: general res judicata applies to writs (rule-of-law foundation).

`Amalgamated Coalfields (1964)`
AIR 1964 SC 1013 — earlier attack on coal-tax notices failed on some grounds, additional ground disallowed; later petition for *later years* on *entirely distinct* grounds: held, constructive res judicata is a "special and artificial form" and should not **generally** be applied to Art. 32/226 petitions.

`Devilal Modi (1965)`
AIR 1965 SC 1150 — Gajendragadkar, J., settles the law: constructive res judicata **does** apply to writ proceedings, for otherwise "a party can file as many writ petitions as he likes and take one or two points every time … opposed to considerations of public policy" and destructive of finality.

`Gulabchand (1965)`
AIR 1965 SC 1153 — Raghubar Dayal, J. (majority): s. 11 is **not exhaustive**; a decision of the High Court on merits after contest in a writ petition operates as res judicata in a later regular suit between the same parties; the nature of the former proceeding is immaterial.

`Nawab Hussain (1977)`
AIR 1977 SC 1680 (Case 4) — Shinghal, J., fuses the strands: the plea not taken in the writ petition but available there is **barred by constructive res judicata** in the later suit; the "left open" observation in Gulabchand was misunderstood by the High Court, since Devilal Modi had already settled the point.

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Section 11 is NOT exhaustive

Section 11 in terms applies to **suits**; but the general doctrine travels beyond — to **execution proceedings** (now directly by Expl. VII; earlier by the general principle — *Mohanlal Goenka v. Benoy Krishna*, AIR 1953 SC 65), **writ petitions** (*Daryao*; *Gulabchand*; *Nawab Hussain*), **arbitration**, **taxation**, **industrial adjudication**, **administrative orders**, **interim orders** and even **criminal proceedings**. "Section 11 … is not exhaustive and the principle which motivates that section can be extended to cases which do not fall strictly within the letter of the law" (*Lal Chand*, AIR 1977 SC 789). Conversely, where the legislature has **excluded** the doctrine (e.g. Explanation VII's pre-1976 regime, or special statutory exceptions), the section alone speaks: in *L. Janakirama Iyer v. P.M. Nilakanta Iyer*, AIR 1962 SC 135, it was conceded that in terms s. 11 could not apply to a representative suit, and the general doctrine could not be invoked either — s. 11 being the only channel of the plea *in suits*.

Res judicata between co-defendants / co-plaintiffs

Section 11 speaks of parties "under whom they claim" — the doctrine also runs **between co-defendants** and **between co-plaintiffs**, where three conditions are satisfied (*Union of India v. S. Narasimhulu Naidu* (2021 SC); classically *Iftikhar Ahmed*, AIR 1974 SC 749 (Case 3)):

1. There was a **conflict of interest** between the co-defendants / co-plaintiffs inter se;
2. It was **necessary to decide that conflict** in order to give the relief the plaintiff claimed; and
3. The court **actually decided** the question.

The bar operates even where the earlier plaintiff's suit was **dismissed** (*Munni Bibi v. Tirloki Nath*, AIR 1931 PC 114), and even against a party who did not contest, **provided it is clearly proved that he had, or must be deemed to have had, notice that the relevant question was in issue and would be decided** (Lord Simonds, *Chandu Lal v. Khalilur Rahman*, AIR 1950 PC 17). It does **not** apply to **proforma defendants**. The *Sheoparsan Singh* caution governs the whole field: the rule should be applied by reference to **matter of substance within the limits allowed by law**, not technical considerations of form (AIR 1916 PC 78).

Order II, Rules 1 & 2 — The Suit Must Carry the Whole Claim

Frame of suit; the prohibition of splitting causes of action, claims and reliefs; O. II r. 2 vs s. 11; and the rule's extension to writ petitions

Core Principle — Order II, Rule 2
Every suit must include **the whole of the claim** which the plaintiff is entitled to make in respect of the cause of action; a part may be relinquished only to bring the suit within a court's jurisdiction; but whatever is **omitted or intentionally relinquished** is lost forever — and of several reliefs available on the **same cause of action**, any relief omitted (except with the leave of the court) can never be sued for afterwards.

4.1 The two rules in the DU syllabus

Order II, Rule 1 — Frame of suit

Every suit shall **as far as practicable** be framed so as to afford ground for **final decision upon the subjects in dispute** and to **prevent further litigation** concerning them.

Order II, Rule 2 — Suit to include the whole claim

(1) Every suit shall include the whole of the claim which the plaintiff is entitled to make in respect of the cause of action; but a plaintiff may relinquish any portion of his claim in order to bring the suit within the jurisdiction of any Court.
(2) Relinquishment of part of claim. Where a plaintiff omits to sue in respect of, or intentionally relinquishes, any portion of his claim, he shall not afterwards sue in respect of the portion so omitted or relinquished.
(3) Omission to sue for one of several reliefs. A person entitled to more than one relief in respect of the same cause of action may sue for all or any of such reliefs; but if he omits, **except with the leave of the Court**, to sue for all such reliefs, he shall not afterwards sue for any relief so omitted.

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Object — the Privy Council's words

In *Naba Kumar v. Radhashyam*, AIR 1931 PC 229, the Privy Council described the rule as aimed at "**the vice of splitting a cause of action** … the object of this salutary rule is doubtless to prevent multiplicity of suits." The Supreme Court echoed the "**cardinal principle that the defendant should not be vexed twice for the same cause**" (*Deva Ram v. Ishwar Chand*, (1995) 6 SCC 733). The provision counteracts two evils: **splitting up of claims** and **splitting up of remedies** (*Mohd. Khalil v. Mahbub Ali*, AIR 1949 PC 78; *Kewal Singh v. Lajwanti*, (1980) 1 SCC 290).

Rule 1 is the policy statement — "as far as practicable" makes it directory, a guide to framing suits so that one suit ends one dispute (*Shankarlal v. Gangabisen*, AIR 1972 Bom 326). **Rule 2** is the sanction — penal and divestive in effect.

Three conditions before r. 2 bars a second suit (Gurbux Singh v. Bhooralal, AIR 1964 SC 1810)

1. The second suit must be in respect of the **same cause of action** as the previous suit;
2. In respect of that cause of action the plaintiff was **entitled to more than one relief** (or to a larger claim); and
3. Being so entitled, the plaintiff **omitted — without the leave of the court** — to sue for the relief/portion now claimed.

The three interrogatives (Kewal Singh; State of Maharashtra v. National Construction Co., (1996) 1 SCC 735)

- Is the cause of action in the two suits **identical**?
- Could the relief now claimed have been granted in the earlier suit **on the pleadings made there**?
- Did the plaintiff **omit** to claim it in that suit?

Same cause of action — the governing tests. The cause of action must not be merely similar; it must be the **same**. "The rough test, although not a conclusive one, … is to see whether **the same evidence will sustain both the suits**" (*Mohd. Khalil*, PC). Standard principle: the rule "does not require that when several causes of action arise from one transaction, the plaintiff should sue for all of them in one suit. What the rule lays down is that where there is one entire cause of action, the plaintiff cannot split the cause of action into parts so as to bring separate suits in respect of those parts." A suit for specific performance **bars** a later suit for damages for the same breach; but its **dismissal** does not bar a suit for return of the consideration; an ejectment suit on the lease is no bar to a later suit on title.

> **Strict construction, early objection.** The bar is "penal in nature and divestive in effect" and must be construed **strictly** — not lightly upheld (*Gurbux Singh*). The plea should be raised at the **earliest opportunity** and in any event at or before the settlement of issues (*Rikabdas v. Deepak Jewellers*, (1999) 6 SCC 40), and it must be **established by the defendant** by placing the earlier plaint on record — courts will not take it up *suo motu*.

4.2 Exceptions — when the later suit survives

Exception	Illustration / authority
Different cause of action	Later suit founded on a distinct cause — no bar, even if both arise from one transaction (*Payana Reena Saminathan v. Pana Lana Palaniappa*, (1913–14) 41 IA 142 (PC): the rule secures exhaustion of relief on *one* cause, not joinder of different causes).
Right/relief did not exist at the first suit	Relief that accrued only after the earlier suit cannot be claimed there — later suit not barred (*State of M.P. v. State of Maharashtra*, (1977) 2 SCC 288).
Relief could not have been claimed in the first suit	Pleading-wise unavailable in the earlier frame — no bar (*Sidramappa v. Rajashetty*, AIR 1970 SC 1059).
Leave of the court (express or implied)	Omission with permission saves the later suit; leave may be inferred from circumstances and can be sought at any stage.
Relinquishment to found jurisdiction — r. 2(1)	Plaintiff may carve his claim down to the court's pecuniary ceiling — what he drops is, however, still lost for a fresh suit.
Continuing/periodical causes (with care)	Rent of a different period, fresh breaches, later instalments may found fresh suits where the cause of action is not entire and the earlier suit did not cover them.

> **Classic illustrations:** (1) A lets a house to B at ₹1,200 a year; rent of 1905–1907 is due; A sues in 1908 for 1906 alone — he cannot afterwards sue for 1905 or 1907. (2) A lends ₹2,200, sues for ₹2,000 to catch court X's jurisdiction — the balance ₹200 is gone. (3) A sues B for ₹200 and takes set-off of ₹200 out of ₹1,200 due to him, omitting to counter-claim the balance — the ₹1,000 is lost. (4) A suit for possession on tenancy dismissed because B is mortgagee-in-possession — a later suit for redemption is **not** barred (different relief on a different footing).

Order II Rule 2 vs Section 11 — the comparison table

Point	Order II, Rule 2	Section 11 (res judicata)
When it operates	At the **institution** of the first suit — no prior decision needed	Only after a matter has been **heard and finally decided** in a former suit
Whom it binds	The **plaintiff** only	**Both** plaintiff and defendant
What it demands	Claim **all reliefs** flowing from one cause of action	Litigate honestly all **grounds of attack and defence** on matters in issue
Nature	Penal, divestive — strictly construed; plea at the earliest	Public policy rule of conclusiveness — liberally applied; substance over form (*Sheoparsan Singh*)
Focus	**Cause of action + reliefs**	**Matter directly & substantially in issue**

Bridge to the prescribed case: *C.A. Balakrishnan v. Commissioner, Corporation of Madras*, AIR 2003 Mad 170 (Case 5) takes O. II r. 2 across the Rubicon into **writ jurisdiction**: a petitioner who has already instituted a civil suit for mandatory injunction (restoration of possession) cannot maintain a writ petition seeking the **very same relief** on the same cause — "if a second suit is barred, a writ petition would equally be barred; public policy underlying Order II, Rule 2 CPC is attracted with equal vigour."

Introduction to the Commercial Courts Act, 2015

A specialist, time-bound channel carved out of the general civil jurisdiction — commercial disputes of specified value tried by dedicated courts and divisions

Core Principle — the Act of 2015
The **Commercial Courts, Commercial Division and Commercial Appellate Division of High Courts Act, 2015** (Act 4 of 2016, deemed commenced 23 October 2015) constitutes specialist fora — **Commercial Courts** at district level, **Commercial Divisions** in High Courts with ordinary original civil jurisdiction, and **Commercial Appellate Divisions** — to try "commercial disputes" of a **"specified value"** (₹1 crore as enacted; **₹3 lakh** since the 2018 Amendment) under a **time-bound, amended CPC procedure**, with **mandatory pre-institution mediation** where no urgent interim relief is sought.

5.1 Genesis and objects

Why the Act came. Commercial disputes in India were trapped in the ordinary civil track — decades of pendency, repeated adjournments, no cost consequences. The **Ordinance of 23 October 2015** (promulgated to improve India's ease-of-doing-business rankings and support the "Make in India" initiative) created the new regime; Parliament replaced it with the Act (assented 31 December 2015; **Act 4 of 2016**; s. 1(3) deems commencement from 23 October 2015). The Act extends to the whole of India (as enacted, except Jammu & Kashmir).

Objects: (i) **speed** — fixed timelines at every stage, argument-closure and judgment deadlines; (ii) **specialisation** — judges experienced in commercial disputes; (iii) **case management** — court-controlled calendars instead of party-driven adjournments; (iv) **costs discipline** — a rewritten s. 35 CPC making the unsuccessful party pay; (v) **decongestion** of the ordinary civil courts; (vi) promoting **settlement culture** via pre-institution mediation.

The 2018 Amendment (Commercial Courts (Amendment) Act, 2018) — (a) slashed the specified value from **₹1 crore to ₹3 lakh** (s. 2(1)(i)); (b) permitted **Commercial Courts at District Judge level even in territories where the High Court has ordinary original civil jurisdiction**, with a notified pecuniary ceiling (proviso to s. 3(1); new s. 3(1A)); (c) introduced **Chapter IIIA — s. 12A pre-institution mediation**; (d) inserted **summary judgment (Order XIIIA CPC)** and other tightening amendments.

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5.2 Specified value, mediation, appeals — the operative machinery

"Specified value" — s. 2(1)(i) + s. 12

The value of the subject-matter determined under s. 12, **not less than ₹3 lakh** (2018 Amendment; originally ₹1 crore) or such higher notified value. s. 12 fixes the computation: **money claims** — principal plus interest up to filing; **movable/immovable property** — market value at filing; **intangible rights** — the plaintiff's estimated market value; **counterclaims** — the counterclaim's value at its date. A plaint below the floor falls to the ordinary civil court. No appeal or revision lies from an order *finding* jurisdiction (s. 12(3)).

Pre-institution mediation — s. 12A (2018)

A plaintiff who does not seek **urgent interim relief** must first invoke pre-institution mediation before the authorities constituted under the **Legal Services Authorities Act, 1987** (procedure under the Commercial Courts (PIMS) Rules, 2018). The process runs **three months, extendable by two**. A settlement has the status and effect of an **arbitral award on agreed terms under s. 30(4)** of the Arbitration and Conciliation Act, 1996 — i.e. it is executable as a decree.

Appeals — ss. 13–14

Appeal from a Commercial Court/Division decree lies to the **Commercial Appellate Division within 60 days** (s. 13(1A)); only orders enumerated in Order XLIII CPC and appeals under s. 37 Arbitration Act are appealable interlocutorily; the Letters Patent Appeal is excluded; **no civil revision** lies against interlocutory orders, including on jurisdiction (s. 8) — such objections travel only with the appeal against the decree. The Appellate Division must endeavour to **dispose of appeals within six months** (s. 14). Pending cases stand transferred (s. 15).

The re-engineered CPC — s. 16 + Schedule

Stage	Amended rule
Pleadings	Forms per High Court rules (O. VI r. 3A); verification by **affidavit / Statement of Truth** (r. 15A) — unverified pleadings may be struck out; interest particulars in plaint (O. VII r. 2A); specific denials required (O. VIII r. 3A)
Written statement	O. V r. 1 / O. VIII r. 1 — 30 days, extendable on payment of costs but **never beyond 120 days** from service; thereafter the right is **forfeited**
Documents	O. XI substituted — **full disclosure** of all documents (even adverse) with plaint/WS on oath; later documents only by leave for "reasonable cause"; continuing duty of disclosure
Summary judgment	**Order XIIIA** (2018) — judgment without trial where the claim/defence has no real prospect of success
Case management	O. XV omitted; **O. XV-A** — first Case Management Hearing within 4 weeks of admission/denial affidavits; arguments to close within **6 months**; day-to-day evidence; sanctions up to foreclosure of rights, dismissal or judgment
Evidence	Affidavits of evidence filed at directions of the CMH (O. XVIII r. 4(1A)–(1C)); written arguments (r. 2(3A)–(3F)); court may redact argumentative affidavits (O. XIX)
Judgment	O. XX r. 1 — pronounced within **90 days of the conclusion of arguments**, copies to parties by e-mail or otherwise
Costs	s. 35 CPC substituted — costs in the court's discretion; general rule: **unsuccessful party pays**; conduct, partial success, frivolous claims and refused reasonable settlement offers reflected in costs (s. 35A(2) omitted)

s. 16(3): where High Court rules or State amendments conflict with the CPC as amended by this Act, **the Act's version prevails**; s. 21 gives the Act **overriding effect**.

Prescribed Landmark Case Laws — Detailed Analysis

CASES #01–#05

CASE #01 **Gundaji Satwaji Shinde v. Ram Chandra Bhikaji Joshi**

AIR 1979 SC 653 · (1979) 2 SCC 459 · (1979) 2 SCR 586 · Supreme Court of India · D.A. Desai, J. · Appeal by certificate from the Bombay High Court · DU LL.B. Prescribed Case

FACTS

- By a **sale agreement dated 15 December 1965** (supplemented on 26 April 1966), the respondent **Ram Chandra Bhikaji Joshi** agreed to sell to the appellant **Gundaji Satwaji Shinde** land admeasuring **45 acres 5 gunthas of Survey No. 2, Mouje Dongaon, Taluka North Sholapur**, for **₹42,000** — ₹5,000 earnest money and a further ₹5,000 paid on extension of time.
- The appellant sued for **specific performance** (Special Civil Suit No. 39 of 1966). Defence: the land was agricultural land within the **Bombay Tenancy and Agricultural Lands Act, 1948**, and **s. 63 of that Act barred its purchase by a non-agriculturist**.
- The plaintiff relied on **Ext. 78 — a certificate of the Mamlatdar** certifying that he was an **agricultural labourer** — and contended that whether a person is an "agriculturist" for the Tenancy Act is for the **Mamlatdar to decide exclusively**, the civil court having no jurisdiction over the question.
- **Trial court and Bombay High Court** (First Appeal 117 of 1968): Ext. 78 invalid; the issue whether the plaintiff was an agriculturist was merely an **incidental issue** arising in a properly constituted suit for specific performance which the civil court itself could decide; suit **dismissed**. The plaintiff obtained a certificate of fitness and appealed to the Supreme Court.

ISSUES

1. Whether, in a suit for specific performance of a contract for sale of agricultural land — a suit otherwise within the civil court's jurisdiction — the question whether the **plaintiff is an agriculturist** within the Tenancy Act could be decided by the civil court as an "incidental issue".
2. Whether the civil court was under an **obligation to refer** that issue to the Mamlatdar under **ss. 70, 85 and 85-A** of the Bombay Tenancy and Agricultural Lands Act, 1948.

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DECISION — THE SUPREME COURT'S REASONING

- **Starting principle** (para 8): exclusion of civil jurisdiction is not readily inferred — it must be **express or clearly implied** (*Secretary of State v. Mask & Co.*, AIR 1940 PC 105). But here the ouster is **express**: s. 85 in terms withdraws from civil courts the questions assigned by the Tenancy Act to its authorities, and s. 70(a) assigns to the Mamlatdar the question "whether a person is an agriculturist."
- **Section 85-A's design** (paras 9-10): the section "comprehends civil suits which civil courts are competent to decide but takes note of the situation where upon a contest an issue may arise therein which would be required to be settled, decided or dealt with by the competent authority under the Tenancy Act" — the civil court is obliged "not to arrogate jurisdiction to itself … treating it as a subsidiary or incidental issue" but to **refer it**. Calling an issue "principal or subsidiary, substantial or incidental" is a **camouflage**: "by such camouflage … Civil Court cannot arrogate to itself jurisdiction which is statutorily ousted."
- **The illustration** (para 10): a suit on title for possession against an alleged trespasser is properly before the civil court; but if the defendant contends he is a **tenant of agricultural land**, s. 70(a)(ii) with ss. 85/85-A precludes the civil court from deciding that issue — each issue must still be determined to mould the final relief, so nomenclature is unhelpful.
- **The precedential line** (paras 11-17-A): *Trimbak Sopana Girme*, AIR 1953 Bom 241 (Chagla C.J.) — status of protected tenant is for the revenue forum; *Dhondi Tukaram Mali*, AIR 1954 Bom 100 — approved, and the legislature implemented it by enacting s. 85-A; *Bhimji Shanker Kulkarni v. Dundappa Vithappa*, AIR 1966 SC 166 — "S. 85-A proceeds upon the assumption that though the Civil Court has otherwise jurisdiction to try a suit, it will have no jurisdiction to try an issue arising in the suit, if the issue is required to be settled, decided or dealt with by the Mamlatdar"; *Ishverlal Thakorelal v. Motibhai Nagjibhai*, AIR 1966 SC 459 — District Judge erred in dismissing the suit instead of referring; *Jambu Rao Satappa v. Neminath Appayya*, AIR 1968 SC 1358 — distinguished (there the invalidity under s. 84-C arises only *after* acquisition pursuant to a decree; s. 63's disqualification is "**at the threshold**", so the reference is inevitable); *Musamiya Imam Haider Bax Razvi*, AIR 1969 SC 439 — distinguished (past tenancy was not within s. 70(b); the Tribunal's s. 68 jurisdiction was not argued); *Noor Mohd. Khan v. Fakirappa*, AIR 1978 SC 1217 — in pari materia provisions of the Mysore Land Reforms Act: reference "inevitable", "no discretion left in the Civil Court".
- **Held** (paras 18-19): "Both on principle and on authority there is no escape from the conclusion that where in a suit properly constituted and cognizable by the Civil Court upon a contest an issue arises which is required to be settled, decided or dealt with by a competent authority under the Tenancy Act, the jurisdiction of the Civil Court … is not only ousted but the Civil Court is under a **statutory obligation to refer** the issue to the competent authority … and upon the reference being answered back, to dispose of the suit in accordance with the decision." Whether the plaintiff is an agriculturist is **within the exclusive jurisdiction of the Mamlatdar**; the trial court and the High Court "were in error in clutching at a jurisdiction which did not vest in them" — **appeal allowed on this ground**.

PRINCIPLE

What Gundaji settles — five sentences

(1) The civil court's plenary jurisdiction (s. 9 CPC) survives undiminished **unless expressly or by necessary implication ousted** — but an ouster may attach to a **single issue** even while the suit as a whole remains cognizable.
(2) Where a special statute creates a **competent exclusive authority** for a category of questions, the civil court cannot decide such a question even as an "incidental" issue — labels (principal/subsidiary) are a camouflage.
(3) A statutory **duty to stay and refer** (s. 85-A) displaces the ordinary rule that the court trying the suit tries all issues in it.
(4) The authority's decision is **binding** (s. 85(2)); the suit is then disposed of in the light of that decision.
(5) A threshold statutory disqualification (s. 63) must be resolved **before** specific performance can be decreed — unlike post-acquisition invalidity (s. 84-C), which the authority may pursue after.

CASE #02

Indian Bank v. Maharashtra State Co-operative Marketing Federation Ltd.

AIR 1998 SC 1952 · (1998) 5 SCC 69 · Supreme Court of India · G.T. Nanavati, J. · Appeals by special leave from a Division Bench of the Bombay High Court · DU LL.B. Prescribed Case

FACTS

- On 5 June 1989 the respondent **Federation** applied to the appellant **Indian Bank** to open an **irrevocable letter of credit for ₹3,78,90,000** in favour of **M/s Shankar Rice Mills**; the Bank opened the LC on 6 June 1989. Documents tendered under it were to be forwarded to the Federation for acceptance, the Bank then paying the Mills on the Federation's behalf.
- On **6 February 1992** the Bank filed **Summary Suit No. 500 of 1992** in the Bombay High Court under **Order XXXVII CPC** for recovery of **₹4,96,58,160** said to have become due under the LC, and took out **summons for judgment** (No. 278 of 1992).
- The Federation appeared and moved for **stay of the summary suit under s. 10**, contending it had earlier instituted **Suit No. 400 of 1992** against the Bank for recovery of **₹3,70,52,217.88** on the same subject-matter — a previously instituted suit, making the summary suit the "subsequent suit" to be stayed.
- **Single Judge**: the concept of "trial" in s. 10 applies only to a regular/ordinary suit, not to a summary suit; proceedings not stayed; leave to defend granted conditionally on deposit of **₹4 crores**; the Federation's defence was held to have no merit.
- **Division Bench** (Appeals 953 & 954 of 1994): the word "trial" in s. 10 is **not used in a narrow sense** — it means the **entire proceedings after the defendant enters appearance**; s. 10 therefore applies to summary suits; the Bank's suit being the **subsequently instituted** suit, both appeals allowed, the summary suit **stayed** till disposal of the prior suit. The Bank appealed to the Supreme Court.

ISSUE

Whether the bar against proceeding with the trial of a **subsequently instituted suit** contained in **s. 10 CPC** applies to a **summary suit filed under Order XXXVII CPC**.

ARGUMENTS FOR INDIAN BANK (APPELLANT)

- The Single Judge was right: if s. 10 is applied to summary suits, the **very object of Order XXXVII** — quick relief on liquidated demands — would be frustrated.
- The expression "trial of any suit" should be construed with reference to the special procedure of Order XXXVII, in which the "trial" stage arises only after leave to defend is granted.

ARGUMENTS FOR THE FEDERATION (RESPONDENT)

- "Trial" is of the widest import — in its widest sense it embraces **all proceedings from institution to final determination by judgment and decree**; the summary suit was instituted later and must await the earlier suit.
- Preventing courts of concurrent jurisdiction from simultaneously trying two parallel litigations requires staying the entire summary proceeding.

DECISION — NANAVATI, J.

- **"Trial" — its colour depends on context** (para 7): in legal parlance "trial" means a judicial examination and determination of issues by a competent tribunal — in its widest sense, all proceedings from institution to final judgment and decree. But "whether the widest meaning should be given … must necessarily depend upon the **nature and object of the provision and the context in which it is used**."
- **Object of s. 10** (para 8): to prevent courts of concurrent jurisdiction from **simultaneously trying two parallel suits** and to avoid **inconsistent findings**. The provision is a **rule of procedure**; it does not affect jurisdiction over the later suit, does not bar its institution, and does not prevent **interlocutory orders** — consolidation, receiver, injunction, attachment before judgment. So "trial" in s. 10 is **not used in its widest sense**.
- **Harmonious construction** (para 9): s. 10 is a general provision; Order XXXVII applies to a certain class of suits and provides **quick relief**; both must be read so that **neither's object is frustrated**. Under the scheme of Order XXXVII, the defendant must enter appearance within 10 days and apply for leave; if he does not, or leave is refused, or he breaks its conditions, the plaintiff is **entitled to judgment forthwith** — "the stage of determination of the matter in issue will arise in a summary suit **only after the defendant obtains leave**. The trial would really begin only after leave is granted."
- **Held** (paras 10–12): the wider interpretation of "trial" is not called for. In a summary suit, "trial" in s. 10 **begins after leave to defend is granted**; the court may therefore proceed up to the stage of **hearing the summons for judgment and passing judgment** for the plaintiff where (a) the defendant has not applied for leave, or his application is refused, or (b) he fails to comply with the conditions of leave. The Division Bench was in error; its reliance on *Harish Chandra v. Triloki Singh*, AIR 1957 SC 444, was misplaced — that was a **Representation of the People Act** case, an interpretation not transferable to s. 10–in–Order–XXXVII context. **Appeals allowed; Single Judge's order restored.**

PRINCIPLE

What Indian Bank settles

(1) s. 10 is a mandatory rule of **procedure**: it bars **trial**, never institution, and never interlocutory orders.
(2) The word "trial" takes its meaning from the **nature, object and context** of the provision — a contextual, not a dictionary-wide, construction.
(3) In a summary suit under Order XXXVII, the "trial" for s. 10 purposes **begins only upon grant of leave to defend** — so the earlier-suit pendency does not stop the summons for judgment or judgment itself where leave is refused/unclaimed/conditional-broken.
(4) General provisions (s. 10) and special provisions (Order XXXVII) must be **harmoniously** construed so neither is rendered infructuous.

CASE #03

Iftikhar Ahmed v. Syed Meharban Ali

AIR 1974 SC 749 · Supreme Court of India · K.K. Mathew, J. · Appeal by special leave from the Allahabad High Court · DU LL.B. Prescribed Case

FACTS — THREE GENERATIONS OF ONE PROPERTY DISPUTE

- Properties originally belonging to **Buniyad Ali**. In **consolidation proceedings** under the **U.P. Consolidation of Holdings Act, 1953**, a title dispute arose between **Ishtiaq Ahmed** (father of the appellants) on one side and **Meharban Ali and Kaniz Fatima** on the other: they claimed to be **co-bhumidars** with Ishtiaq Ahmed, who contended he was **exclusive owner** — Buniyad Ali's assets devolved on his son Aftab Ali, and after Aftab Ali's death (1910) and his widow's (1925), the other heirs relinquished their rights; he also claimed title by **adverse possession**.
- As the dispute concerned title, the Consolidation Officer referred it through the Civil Judge, Meerut to an **arbitrator appointed under the Act** (Mr. K.C. Govil).
- **First award**: the arbitrator held Meharban Ali and Kaniz Fatima had **no title** — relying principally on an **Allahabad High Court judgment** (in Suit No. 600 of 1934, second appeal) which, he thought, operated as **res judicata** on title between the parties.
- **II Civil Judge, Meerut**: that judgment did **not** operate as res judicata; the award was vitiated by an **error of law apparent on its face**; set aside and **remitted** for fresh decision (s. 16, Arbitration Act).
- **Second award** (Mr. B.P. Gupta): on oral and documentary evidence the parties were **co-bhumidars** except as to 9 bighas 3 biswas; shares determined; the High Court judgment again treated as a piece of evidence, not res judicata.
- **II Civil Judge confirmed** the second award; on appeal the **District Judge, Meerut** reversed — the award suffered from an error of law apparent on the face of the record because the arbitrator ignored the High Court judgment which **did** operate as res judicata on title; remitted again.

- The **Allahabad High Court** (revision) restored the decree confirming the second award, holding the 1934-line judgment was **not** res judicata. Ishtiaq Ahmed's legal representatives (he died pending appeal) came to the Supreme Court by special leave.

ISSUES

1. Whether the Allahabad High Court judgment in Suit No. 600 of 1934 operated as **res judicata** between Ishtiaq Ahmed on the one hand and Meharban Ali / Kaniz Fatima on the other, in respect of title — though they had stood as **co-plaintiffs** in that suit, the conflict having been fought through the **defendant**, Ishari Prasad.
2. Whether the second award, proceeding on the contrary view, was vitiated by an **error of law apparent on its face** (s. 30, Arbitration Act, 1940).

THE JUDGMENT THE QUESTION TURNED ON

Suit No. 600 of 1934: Meharban Ali, Kaniz Fatima and Ishtiaq Ahmed sued **Ishari Prasad** (mortgagee under a mortgage deed of 5 November 1925 by Matlub-un-nissa) for a declaration that the mortgage and the decree Ishari Prasad had obtained in O.S. 128 of 1929 did **not affect their shares**. Ishari Prasad's defence was in substance that **Matlub-un-nissa alone owned the properties** — the mother of Ishtiaq Ahmed — because Kaniz Fatima's and Meharban Ali's mother had **relinquished her share**. The suit was dismissed on that footing; appeals failed; the High Court confirmed in second appeal. **The effect** (as the Supreme Court read it): Kaniz Fatima and Meharban Ali failed to establish title; the properties belonged exclusively to the mortgagor, mother of Ishtiaq Ahmed.

DECISION — MATHEW, J.

- **Res judicata between co-defendants / co-plaintiffs — three conditions** (settled by a long line of decisions): "(1) there was a **conflict of interest** between co-defendants; (2) that it was **necessary to decide the conflict** in order to give the relief which the plaintiff claimed in the suit and (3) that the Court **actually decided the question**." There is "no reason why a previous decision should not operate as res judicata between co-plaintiffs if all these conditions are *mutatis mutandis* satisfied."
- **Applied to the 1934 suit**: by the written statement Ishari Prasad **denied the title** of Kaniz Fatima and Meharban Ali and set up exclusive title in Matlub-un-nissa — "There was, therefore, an **actual conflict of interest** between Ishtiaq Ahmed on the one hand and Kaniz Fatima and Meharban Ali on the other, and it was **necessary to decide the conflict** in order to give relief to the defendant … and the Court **decided** that the properties belonged exclusively to the mortgagor." The effect: they "failed to establish their contention that they had title" — they could not be allowed to agitate the same question again.
- **The Privy Council's qualification** — *Chandu Lal v. Khalilur Rahman*, AIR 1950 PC 17 (Lord Simonds): the doctrine may apply even against a party who did not contest the earlier suit, but "if such a party is to be bound … it must be **proved clearly that he had or must be deemed to have had notice** that the relevant question was in issue and would have to be decided." And *Sheoparsan Singh v. Ramnandan Prasad*, AIR 1916 PC 78: the rule's application "should be influenced by no technical considerations of form, but by **matter of substance** within the limits allowed by law." The *raison d'être*: finality for decisions reached between interested parties after genuine contest — one who "deliberately chose a position" cannot "blow hot now when they were blowing cold before" (*Ram Bhaj v. Ahmed Said Akhtar Khan*, AIR 1938 Lah 571).
- **Error apparent on the face of the award**: "If the judgment of the High Court operated in law as res judicata, it would be an **error of law apparent on the face of the award** if it were to say that the judgment would not operate as res judicata." An award setting forth an erroneous proposition of law is liable to be set aside under **s. 30 of the Arbitration Act**; and the Arbitration Act applies to arbitrators under the Consolidation Act (*Charan Singh v. Babulal*, AIR 1967 SC 57).
- **Remittal no bar** (para 44): the first remittance (s. 16) could not be challenged by Ishtiaq Ahmed (no appeal lay under s. 39), so his legal representatives were not precluded from challenging that order's basis in this appeal.
- **Held**: High Court set aside; "We restore the **award dated March 30, 1959, passed by Mr. K.C. Govil, the first arbitrator**" — it would be "an empty formality" to remit again.

PRINCIPLE

What Iftikhar Ahmed settles

(1) Res judicata operates **inter se** between co-defendants and co-plaintiffs where there was a real conflict of interest between them, the conflict had to be — and was — decided to mould relief in the suit.
(2) A party bound need not have personally contested, if clearly proved that it had, or must be deemed to have had, **notice** that the question was in issue (*Chandu Lal*).
(3) Substance over form (*Sheoparsan Singh*) — the doctrine is applied to the **matter in substance**, not the labels of the pleadings.
(4) An award proceeding on an erroneous view of res judicata is **vitiated by an error of law apparent on its face** and falls under s. 30, Arbitration Act, 1940.

CASE #04 **State of U.P. v. Nawab Hussain**

AIR 1977 SC 1680 · (1977) 2 SCC 806 · (1977) 3 SCR 428 · Supreme Court of India · Shinghal, J. · Appeal by special leave against the Allahabad High Court · DU LL.B. Prescribed Case

FACTS

- Respondent **Nawab Hussain**, a **confirmed Sub-Inspector of Police** in Uttar Pradesh, faced an anonymous complaint investigated by Inspector Suraj Singh (report to the SP, 25 February 1954); two cases under the **Prevention of Corruption Act** and the Penal Code were registered; he was **dismissed from service by the Deputy Inspector-General of Police on 20 December 1954**; his departmental appeal was rejected on 17 April 1956.
- **Writ petition** (Art. 226, Allahabad High Court): dismissal should be quashed because he was **not afforded a reasonable opportunity** to meet the allegations and the action was **mala fide**. **Dismissed on 30 October 1959.**
- **Suit** (7 January 1960, Civil Judge, Etah): he challenged the dismissal afresh — on the altogether different ground that he had been **appointed by the Inspector-General of Police**, so the DIG was **not competent to dismiss** him under **Art. 311(1)** of the Constitution.

- The State pleaded **res judicata** — "all the matters in issue … had been raised or ought to have been raised both in the writ petition and special appeal."
- **Trial court** (21 July 1960): suit dismissed (DIG deemed the appointing authority) — but held it was **not** barred by res judicata. **District Judge** (15 February 1963): affirmed. **High Court** (second appeal, 27 March 1968): allowed — suit decreed; not barred by constructive res judicata, and the DIG was incompetent to dismiss. The State appealed by special leave.

ISSUES

1. Whether the plea of **incompetence of the dismissing authority** (Art. 311(1)) — available but not raised in the earlier writ petition — was barred in the subsequent suit by **constructive res judicata**.
2. Whether, and how far, the principles of (constructive) res judicata apply to **writ petitions** and from writ proceedings to **regular suits**.

DECISION — THE DOCTRINAL MARCH (PARAS 3-8)

- **The doctrine** (para 3): estoppel per rem judicatam is a **rule of evidence** — "the broader rule of evidence which prohibits the reassertion of a cause of action" (*Marginson v. Blackburn Borough Council*). Its two tap-roots: (i) **public policy** — finality and conclusiveness of judicial decisions in the general interest of the community; (ii) **private interest** — protection from multiplication of litigation. A cause of action that has merged in a judgment "must lose its identity and vitality"; it cannot survive or spawn a second action on the same facts.
- **Constructive res judicata** (para 4): where the same facts give two or more causes of action, a litigant may not dole them out over successive suits — *Greenhalgh v. Mallard* (Somervell, L.J.): res judicata "covers issues or facts which are so clearly part of the subject-matter of the litigation and so clearly could have been raised that it would be an **abuse of the process of the court** to allow a new proceeding to be started in respect of them." An "aspect or amplification of the general principle," well designed for "subduing a cantankerous litigant."
- **Section 11 and writs** (para 5): s. 11 "relates to suits and former suits, and has, in terms, no direct application to a petition for the issue of a high prerogative writ" — but the **general principles** have long been applied to renewed writ applications (*ex parte Thompson*, Lord Denman, C.J. — no "same application repeated from time to time"), and to certiorari, quo warranto and prohibition in England, and in India.
- **The line of authority** (paras 6-7): *L. Janakirama Iyer* (AIR 1962 SC 135) was a different case (s. 11 in terms inapplicable to a representative suit; general doctrine could not fill the gap **in suits**). In *Amalgamated Coalfields* (AIR 1964 SC 1013) this Court had hesitated to apply the "special and artificial" constructive form to Arts. 32/226 petitions; but in *Devilal Modi* (AIR 1965 SC 1150) Gajendragadkar, J. **settled** the law: "if the doctrine of constructive res judicata is not applied to writ proceedings, it would be open to the party to take one proceeding after another and urge new grounds every time; and that plainly is inconsistent with considerations of public policy." In *Gulabchand Chhotalal Parikh* (AIR 1965 SC 1153) the majority (Raghubar Dayal, J.) held s. 11 **not exhaustive**: "any previous decision on a matter in controversy, decided after full contest or after affording fair opportunity … by a Court competent to decide it, will operate as res judicata in a subsequent regular suit. … **The nature of the former proceeding is immaterial**." The **clarificatory observation** in *Gulabchand* — that constructive res judicata was "not considered" there — was **misunderstood** by the High Court as leaving the question open; after *Devilal Modi* nothing was left open.
- **Applied** (para 8): it was not in controversy that the Art. 311(1) plea was **not raised** in the writ petition, that it was an **important plea within the respondent's knowledge**, and that it "**could well have been taken**" there. He contented himself with the other pleas (no reasonable opportunity; mala fides). "It was therefore **not permissible** for him to challenge his dismissal, in the subsequent suit, on the other ground … That was clearly barred by the principle of **constructive res judicata**, and the High Court erred in taking a contrary view."
- **Held** (para 9): **appeal allowed**; High Court's judgment dated 27 March 1968 set aside; the sub-inspector's suit **dismissed**; parties to bear their own costs.

PRINCIPLE

What Nawab Hussain settles

(1) A plea which **might and ought to have been raised** in an earlier proceeding is as dead as one actually decided — constructive res judicata is an "aspect or amplification" of the general principle, not a technicality.
(2) The doctrine applies to **writ proceedings** (*Devilal Modi*) and from writ proceedings to **regular suits** (*Gulabchand*: the nature of the former proceeding is immaterial; s. 11 is not exhaustive).
(3) Public policy and finality of judgments are "important constituents of the rule of law" — they yield to no plea that fundamental rights deserve a second bite where the point was available and forgone.
(4) The same logic bars pleas "taken but not pressed" at the earlier hearing.

CASE #05 **C.A. Balakrishnan v. Commissioner, Corporation of Madras**

AIR 2003 Mad 170 · High Court of Madras · A. Kulasekaran, J. · Writ petition for mandamus · DU LL.B. Prescribed Case

FACTS

- The petitioner ran the **"Udipi Canteen"** (1,839 sq. ft., R.S. 1269 PT) in the **Ripon Building compound, Madras**, catering to Corporation employees for about 16 years — claiming succession to a lease from his father, who had succeeded the original lessee **Seetharama Uduppa**. Rent, revised by Corporation Special Officer's Resolution 4945/93 (16 December 1993) from ₹200 to **₹766.25** a month, was paid (arrears of ₹36,780 paid in two instalments); receipts issued in his name; a District Revenue Officer's **No Objection Certificate** (for the police licence) was obtained; the Labour Officer permitted up to 20 workers.
- **25 May 1995, 12:30 p.m. (peak lunch hours)**: the Corporation's Junior Engineer, allegedly without notice or warning, ordered workers and customers out, and **locked and sealed the canteen** — eatables and materials worth over ₹26,000 inside. Lawyer's notice followed on 27 May 1995.

by Ankur R. Upadhyay

- The High Court being on **vacation**, the petitioner filed **O.S. No. 3743 of 1995** before the City Civil Court for **mandatory injunction and restoration of possession**, with three interlocutory applications: I.A. 8055/95 (remove lock; restore possession; restore electricity), I.A. 8056/95 (Advocate Commissioner for inventory), I.A. 8054/95 (injunction against interference). **All were dismissed on 10 July 1995** — only the movables were ordered to be delivered. No appeal was filed against those orders. The suit was later **decreed ex parte** in his favour.
- **1 August 1995**: the petitioner filed the present **writ petition under Art. 226** for mandamus to **restore possession** of the premises and for exemplary costs/damages at ₹500 per day from 25 May 1995 — without withdrawing the suit. The Corporation raised a **preliminary objection** to maintainability.

ARGUMENTS FOR C.A. BALAKRISHNAN (PETITIONER) — A. SADANAND, COUNSEL

- Resorting to a suit during the court vacation cannot disentitle him from the writ jurisdiction — he sought enforcement of a **guaranteed right** and protection from **arbitrary State action**.
- He was a **statutory tenant** under the Tamil Nadu Lease and Rent Control Act; the sealing was a "**commando action**" violating fundamental rights.
- Having granted the NOC, the Corporation was **estopped** from dispossessing without notice; s. 374 of the Madras City Municipal Corporation Act prescribes **four modes of service, one after another**, none followed; no inspection preceded the action; s. 107(B) of the TN Public Health Act, 1939 requires notice before cancelling a licence.
- Two distinct rights were taken away — **lessee's right** and **licensee's right** — both statutorily guaranteed.

ARGUMENTS FOR THE CORPORATION — P. BAGYALAKSHMI, COUNSEL

- Having invoked the **jurisdiction of the competent civil court** and obtained (adverse) orders on interim applications, the petitioner cannot seek the **same relief** by writ — the petition is not maintainable.
- He was an **unauthorised occupant**, neither licensee nor lessee: the licence stood in **Seetharama Uduppa**'s name (granted till 1996 under s. 357); the canteen was inspected on 15 May 1995 by the Assistant Health Officer and Zonal Officer and found defective — no white-wash, no residual chlorine in drinking water, defective drainage/overflow of sewage, no food-handlers' certificates, no sterilisation, unhygienic condition.
- A s. 379(A) notice was issued to the licensee **Uduppa**; the petitioner refused it, so it was served by affixture; the premises were sealed on **26 May 1995** and the 1995–96 licence revoked; Uduppa never challenged the revocation.
- Rent demands by subordinate officials were unauthorised; the Commissioner issued no NOC — the DRO was incompetent to issue one and it did not bind the Corporation.

ISSUE

Whether, the petitioner having already instituted a civil suit (O.S. 3743/1995) seeking **restoration of possession of the same premises**, a subsequent **writ petition** claiming the **same relief** on the same cause is maintainable — i.e., whether **Order II Rule 2 CPC** applies to writ petitions. (If the objection succeeded, the other issues need not be decided.)

DECISION — KULASEKARAN, J.

- Admitted facts: the suit for mandatory injunction for restoration of possession "is also the **subject matter of the writ petition**"; the three interlocutory applications were dismissed (10 July 1995); no appeal was filed; the writ petition followed on 1 August 1995; the suit was **not withdrawn**; and the suit was later decreed ex parte.
- **The principle**: "The principle underlying Order II, Rule 2 being based upon **public policy**. A person who files a suit seeking certain relief in respect of a cause of action … is precluded from instituting another suit for seeking other reliefs in respect of same cause of action under Order II, Rule 2, CPC." The rule requires the whole claim and all reliefs to travel in one suit: relinquishment of part is impermissible and omission of one of several reliefs prohibited.
- **Extension to writs** — following *Devilal Modi v. Sales Tax Officer, Ratlam*, AIR 1965 SC 1150 (at 1153): "Consideration of **public policy and the principle of the finality of judgments** are important constituents of the rule of law … if constructive res judicata is not applied to such proceedings a party can file as many writ petitions as he likes and take one or two points every time … harassment and hardship to the opponent"; and the Andhra Pradesh High Court, Division Bench, in *K. Madhadeva Sastry v. Director, Post Graduate Centre, Anantapur*, AIR 1982 AP 176 (paras 11 and 13): "A person who files a suit seeking certain relief in respect of a cause of action and who is precluded from instituting another suit for seeking other reliefs with respect to the same cause of action, cannot be allowed to invoke the **writ jurisdiction** of this Court for obtaining the very same reliefs. Indeed, if a **suit is barred, a writ petition would equally be barred**, public policy underlying Order II, Rule 2, CPC is attracted with equal vigour in this situation as well."
- **Held**: "The present writ petition is hit by **Order II, Rule 2, CPC**. For the reasons mentioned supra, the above writ petition is **dismissed**." (The merits — licence, notice, statutory tenancy — were left untouched.)

PRINCIPLE

What C.A. Balakrishnan settles

(1) Order II Rule 2 embodies a rule of **public policy**: one cause of action must be exhausted in one proceeding — claim all, lose the rest.
(2) If a second **suit** would be barred by O. II r. 2, a subsequent **writ petition** for the very same relief is **equally barred** — the public policy of the rule operates "with equal vigour" in writ jurisdiction.
(3) Election of forum is not an addition of fora: once the civil suit is chosen (and its interlocutory orders allowed to stand), the same cause cannot be re-run under Art. 226.
(4) (Doctrinal coda) the writ court will not permit what the CPC forbids — finality, not forum-shopping.

PYQ ARCHIVE // CH.01 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 Q. 1 / 2019 · CPC & Limitation — IIIrd Term (10 marks) What is meant by 'Res Judicata'? What is the public policy behind this principle? Whether the provisions contained in the Code of Civil Procedure are exhaustive? Whether the principle of Res Judicata applies to execution proceedings? When does res judicata apply between co-defendants? Answer under separate sub-headings with the help of case laws.

► Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 Q. 5(e) / 2019 · Short note (4 of 6 attempted) Write a short note: Res sub judice (Section 10, Code of Civil Procedure, 1908).

Q.3 Q. 7(b) / 2018 · CPC & Limitation — IIIrd Term (10 marks) "No Court shall proceed with the trial …" — Which provision of the Civil Procedure Code begins with these words? What conditions does it lay down, and under which important doctrine of universal application does it fall? Explain with case laws.

Q.4 Q. 2(b) / 2018 · Q. 1(c) / 2017 · DU LL.B. Semester Exam Explain the doctrine of Res Judicata. What do you understand by Res Judicata between co-defendants? Explain with case laws. // Short note: Res Judicata amongst co-defendants.

MODULE 02 // PART A · TOPIC 6 Cases #06–#08

Appeals from Decrees & Orders, Second Appeal & Additional Evidence

Sections 96, 100, 104–106 & 107 CPC · Order XLI Rule 27 · Order XLIII

The Appeal — Meaning, Essentials and the Right of Appeal

No definition in the Code — the Privy Council supplies it; the right is statutory, vested, and governed by the law at the date the suit was instituted

What is an appeal?

Nagendra Nath Datta v. Suresh Chandra, AIR 1932 PC 165

"There is no definition of appeal in the Code of Civil Procedure, but their Lordships have no doubt that **any application by a party to an appellate court, asking to set aside or reverse a decision of a subordinate court, is an appeal** within the ordinary acceptation of the term." An appeal is the **removal of a cause from an inferior court to a superior court for the purpose of testing the soundness of the decision** of the inferior court — "a complaint made to the higher court that the decree passed by the lower court is unsound and wrong."

Attorney-General v. Sillem (1864) 10 HLC 704 (per Lord Westbury, LC)

Appeal is "a right of entering a superior court and invoking its aid and interposition to **redress an error of the court below**" — quoted and applied by the Supreme Court in *Dayawati v. Inderjit*, AIR 1966 SC 1423.

Three essentials of every appeal (Louis Blom)

(1) a **decision** (of a court or authority); (2) a **person aggrieved** — often, though not necessarily, a party to the original proceeding; (3) a **reviewing body** ready and willing to entertain the appeal.

The right of appeal — five settled propositions

- **Creature of statute:** appeal is **not a natural or inherent right**. There is no right of appeal unless it is given **clearly and in express terms** by a statute — *Ganga Bai v. Vijay Kumar*, (1974) 2 SCC 393; *Rami Manprasad v. Gopichand*, (1973) 4 SCC 89. A statute that omits to provide an appeal cannot be declared ultra vires merely on that ground (*Kartar Singh v. State of Punjab*, (1994) 3 SCC 569).
- **Substantive, not procedural:** the right of appeal is a **vested right** which accrues to the litigant on the date the *lis* commences and is governed by the law **prevailing at the date of institution of the suit**, not the law at the date of judgment or of filing the appeal — *Garikapati Veeraya v. N. Subbiah Chaudhry*, AIR 1957 SC 540; *Bhau Ram v. Baij Nath*, AIR 1961 SC 1327. It can be taken away only by a later enactment, expressly or by necessary implication.
- **Conditions attach:** because the right is statutory, the legislature may impose conditions for its exercise, so long as they are not onerous (*Anant Mills v. State of Gujarat*, (1975) 2 SCC 175, per Khanna J.). Sections 100(3)–(4) — state the question, formulate it — are exactly such conditions.
- **A continuation of the suit:** an appeal is treated as a **continuation of the suit**, not a new proceeding — hence the rules of the First Schedule (e.g., withdrawal of appeals) mirror the trial rules.
- **Who may appeal?** Any **person aggrieved** by the decree — including a proforma defendant, a guardian ad litem, a trustee, and even a non-party whose interests are directly and prejudicially affected. A stranger with no interest cannot appeal. A person aggrieved by a *finding* in the judgment may file **cross-objections** under O.XLI r. 22 even where the decree was passed in his favour.

Exam pointer: when a problem asks "can X appeal?", walk down this ladder: Is there a decree or an appealable order? → Which statute grants the appeal? → Is X a person aggrieved? → Is the appeal within time (Limitation Act ss. 5–6, O.XLI r.3)?

Every decree appealable unless the Code itself withdraws the appeal — the four carve-outs in s. 96, the preliminary-decree trap in s. 97, and the rule of tolerance in s. 99

Section 96 — Appeal from original decree (as amended by Act 104 of 1976, w.e.f. 1-2-1977; bare Act text)

(1) Save where otherwise expressly provided in the body of this Code or by any other law for the time being in force, **an appeal shall lie from every decree passed by any Court exercising original jurisdiction to the Court authorized to hear appeals from the decisions of such Court**.
(2) An appeal may lie from an original decree passed *ex parte*.
(3) No appeal shall lie from a decree passed by the Court with the consent of parties.
(4) No appeal shall lie, **except on a question of law**, from a decree in any suit of the nature cognisable by Courts of Small Causes, when the

amount or value of the subject-matter of the original suit does not exceed **ten thousand rupees** (raised from ₹3,000 by Act 46 of 1999, w.e.f. 1-7-2002).

The four carve-outs inside s. 96

Carve-out	Rule	Why (policy)
"Save as otherwise provided" — s. 96(1)	Other provisions of the Code or other statutes may exclude or channel the appeal (e.g., s. 100A, s. 102, Letters Patent, Rent Control Acts, Commercial Courts Act)	An appeal exists only where and as statute grants it
Ex parte decree — s. 96(2)	Appeal *may* lie (discretion of the court, O.XLI r. 19 conditions)	Party against whom it was passed never had his day; but O.IX r. 13 setting-aside is normally the proper remedy
Consent decree — s. 96(3)	**Absolute bar** — no appeal lies from a decree passed by consent of parties	One cannot complain of a decree he himself bargained for (though the *consent* may be attacked by other proceedings)
Small Causes bar — s. 96(4)	Suits cognisable by Courts of Small Causes up to ₹10,000: appeal only **on a question of law**	Cheap, swift finality for small money disputes

Doctrine of merger — the other side of the appeal: when the appellate court decides, there cannot be, at one and the same time, more than one **operative decree** governing the same subject-matter — the decree of the trial court **merges** in the decree of the appellate court. But the doctrine "is not one of rigid and universal application" and depends on the nature of the appellate or revisional order and the scope of the statutory jurisdiction (*State of Madras v. Madhuri Mills*, AIR 1967 SC 681; *CIT v. Amritlal Bhogilal*, AIR 1958 SC 868) — see *Shankar Ramchandra v. Krishnaji Dattatreya*, (1969) 2 SCC 74. This is a favourite DU short-note (Q.6(a)/2017).

Appeals from Orders — Sections 104–106 and Order XLIII

Every decree carries an appeal; only a closed list of orders does — and errors in the rest travel as grounds of objection inside the decree-appeal

Section 104 — Orders from which appeal lies (bare Act text; cls. (a)–(f) omitted by Act 10 of 1940)

(1) An appeal shall lie from the following orders, and save as otherwise expressly provided in the body of this Code or by any law for the time being in force, **from no other orders**: — **(ff)** an order under s. 35A (compensatory costs); **(ffa)** an order under s. 91 or s. 92 refusing leave to institute a representative suit; **(g)** an order under s. 95 (compensation for arrest/attachment without sufficient cause); **(h)** an order under any provision of this Code imposing a fine or directing arrest or detention in civil prison (except in execution of a decree); **(i)** any order made under rules from which an appeal is expressly allowed by rules — *Provided* that no appeal shall lie against an order under cl. (ff) save on the ground that no order, or an order for payment of a less amount, ought to have been made.
(2) No appeal shall lie from any order passed in appeal under this section (no second appeal from an order-appeal).
O.XLIII r. 1 exhaustively lists the rule-orders appealable under s. 104(i) — the live clauses include: (a) O.VII r.10 *return of plaint*; (c) O.IX r.9 *refusal to set aside dismissal*; (d) O.IX r.13 *refusal to set aside ex parte decree*; (f) O.XI r.21 *consequences of failure to discover*; (i) O.XXI r.34; (j) O.XXI rr.72/92 *setting aside / refusing to set aside a sale*; (ja) O.XXI r.106(1); (k) O.XXII r.9; (l) O.XXII r.10; (n) O.XV r.5; (na) O.XXXIII rr.5/7 *indigent person*; (p) O.XXXV *interpleader*; (q) O.XXVIII *payment into court*; (r) O.XXXIX rr.1, 2, 2A, 4, 10 *interim orders*; (s) O.XL rr.1, 4; (t) O.XLI rr.19/21 *refusal to re-admit or re-hear an appeal*; (u) O.XLI rr.23/23A *remand*; (w) O.XLVII r.4 *order granting review*.

Decree vs order — the appealability divide

The settled principle is stated crisply: "Generally the decrees are appealable in the first appeal unless expressly prohibited, but every order is not appealable — only those orders specifically enumerated in Section 104 and Order XLIII, Rule 1, are appealable."

- **Why the difference?** A decree conclusively determines the rights of the parties; an order is every other formal expression of the court's decision (s. 2(2), (14)). If every interlocutory order were appealable, litigation would never end.
- **Test for an appealable order:** is it *named* in s. 104 or O.XLIII r. 1 (or a special statute)? If not, no appeal lies — and the court cannot enlarge the list by analogy. The list is **exhaustive**, not illustrative.
- **s. 105(1) — the safety valve:** where a **decree is appealed from**, any error, defect or irregularity in any order **affecting the decision of the case** may be set forth as a ground of objection in the memorandum of appeal. The non-appealable order thus gets reviewed as part of the decree-appeal, not separately.
- **s. 105(2):** a party who could appeal from an **order of remand** but does not, is precluded from disputing its correctness later.
- **s. 106 — forum:** an appeal from an order lies to the court to which an appeal would lie from the decree in that suit; where the order was made by a court (not a High Court) in appellate jurisdiction, the appeal lies to the High Court.
- **s. 104(2) — no second appeal** from an order decided in appeal under s. 104 — the mirror of s. 100A for orders.

The Second Appeal — Section 100 and the Substantial Question of Law

From three loose grounds to one strict gateway: the 1976 amendment, the Law Commission's rationale, Chunilal's test — and the discipline Koppi Setty enforces

Section 100 — Second appeal (substituted by Act 104 of 1976, s. 37, w.e.f. 1-2-1977 — bare Act text)

(1) Save as otherwise expressly provided in the body of this Code or by any other law for the time being in force, **an appeal shall lie to the High Court from every decree passed in appeal by any Court subordinate to the High Court, if the High Court is satisfied that the case involves a substantial question of law**.
(2) An appeal may lie under this section from an appellate decree passed *ex parte*.
(3) In an appeal under this section, **the memorandum of appeal shall precisely state the substantial question of law** involved in the appeal.
(4) Where the High Court is satisfied that a substantial question of law is involved in any case, **it shall formulate that question**.

(5) The appeal shall be heard on the question so formulated and the respondent shall, at the hearing of the appeal, be allowed to argue that the case does not involve such question: *Provided* that nothing in this sub-section shall be deemed to take away or abridge the power of the Court to hear, for reasons to be recorded, the appeal on **any other substantial question of law, not formulated by it**, if it is satisfied that the case involves such question. **s. 100A** (subs. by Act 22 of 2002): where an appeal from an original or appellate decree or order is heard and decided by a **Single Judge of a High Court, no further appeal** (no Letters Patent Appeal) shall lie from that judgment.
s. 101: no second appeal except on the ground mentioned in s. 100.
s. 102: no second appeal where the subject-matter of the suit is **recovery of money not exceeding ₹25,000**.
s. 103: in any second appeal, the High Court may, if the evidence on record is sufficient, determine any issue of fact (a) not determined by the lower appellate court or both courts below, or (b) wrongly determined by reason of a decision on a question of law as referred to in s. 100.

Before and after 1976 — why the section was rewritten

The old s. 100 (pre-1976)

A second appeal lay on any of three grounds: (a) the decision being **contrary to law or usage having the force of law**; (b) failure to determine some **material issue of law or usage**; (c) a **substantial error or defect in procedure** which may possibly have produced error in the decision on the merits. High Courts interpreted these liberally — "mixed questions of fact and law", "legal inference from facts proved", "the case has not been properly approached" — producing, in the Law Commission's words, "a practical goodbye to the basic principle that on questions of fact decisions of courts of first instance would be final subject to one appeal."

The Fifty-fourth Report & the Shah Committee

The **Law Commission (54th Report)** recommended confining the second appeal to cases where the question of law involved was **substantial** — but **not** limited to questions of "general importance": if the law is clearly laid down by the High Court and a subordinate court's decision violates it, the High Court's power to correct it must remain intact. The **Shah Committee** on High Court arrears pressed for "stricter and better scrutiny of second appeals". The result: the substituted s. 100 — "drastically changed and considerably curtailed".

The six consequences of the amendment

(i) HC must be satisfied the case **involves** a substantial question of law; (ii) the memorandum must **precisely state** it; (iii) the HC must **formulate** it at admission; (iv) the appeal is heard **only on that question**; (v) at the hearing, the respondent may argue the case does **not** involve it; (vi) the HC may still hear another SQL **for reasons recorded** (proviso to s. 100(5); O.XLII r. 2).

What the amended section forbids

- The second appeal must not become a **"third trial on facts"** or **"one more dice in the gamble"** — the avowed object of the amendment (and of *Koppi Setty*, c2).
- **"Involves" implies a considerable element of necessity** — the question must arise in the case and be necessary to decide it; that a party *raised* the question is not enough (*SBI v. S.N. Goyal*, (2008) 8 SCC 92; *Pankaj Bhargava v. Mohinder Nath*, (1991) 1 SCC 556; *Santosh Hazari v. Purushottam Tiwari*, (2001) 3 SCC 179).
- **Formulation is a condition precedent** — sine qua non for exercising the power; it is "not a mere formality, but is meant to be adhered to" (*Singaram v. Ramanathan*, 2021; *Dnyanoba v. Maroti*, (1999) 2 SCC 471: SQLs must be framed at admission and the appeal heard only on them).
- **No interference with pure questions of fact** — the HC's jurisdiction under s. 100 "does not confer any jurisdiction to interfere with pure questions of fact" (*Roop Singh v. Ram Singh*, (2000) 3 SCC 708, para 7 — quoted in Q.3/2019).
- **Concurrent findings** of the courts below are not to be disturbed on second appeal — disturbing them *without* formulating an SQL invites the Supreme Court to set the HC aside and remit (*Koppi Setty*).
- **s. 100A kills the LPA** in second appeals — a Single Judge's decision in a second appeal admits of no further appeal: it would amount to a "third appeal".

"Substantial question of law" — the anatomy of the test

The phrase is undefined, but the Supreme Court has built a layered test, and DU has examined every layer. The full judgement anatomy is in Chunilal V. Mehta (c1); the map is here:

Layer 1 — Raghunath Prasad, AIR 1927 PC 110

Substantial means **"substantial as between the parties"** — a question of general importance is neither necessary nor sufficient. If the decision does not turn on it, it is not substantial as between the parties.

Layer 2 — Dinkarrao v. Rattansey, AIR 1949 Nag 300 (Bose CJ)

A question of law is substantial as between the parties **"if the decision turns one way or another on the particular view taken of the law."** Note: *Chunilal* found this **too wide** standing alone — "so defined, it would cover every question of law" — but the decision-turns idea survives inside the larger test. Q.4(a)/2018 asks you to take exactly this position.

Layer 3 — Madras FB, R. Subba Rao, AIR 1951 Mad 969

The question must be **"fairly arguable"** — open, not free from difficulty, capable of a difference of opinion. Approved by the Supreme Court.

The Chunilal composite test (AIR 1962 SC 1314, para 6)

A question of law is **substantial** if — **(A)** it is of **general public importance**, **OR** it **directly and substantially affects the rights of the parties**; **AND** (B) it is either **open** (not finally settled by the SC / Privy Council / Federal Court) or **not free from difficulty** or **calls for discussion of alternative views**. **NOT substantial:** question settled by the highest court; well-settled principles merely to be *applied* (misapplication is not enough); or a palpably absurd plea.

Not a SQL — checklist

concurrent findings of fact · a first-appellate finding of fact · two views possible on evidence · new case / new plea in second appeal · omnibus or general grounds · inference drawn on record evidence · question concluded by SC/PC/FC · finding attacked as merely "erroneous" (not perverse).

Is a SQL — checklist

conflict of judicial opinion · finding recorded **without any evidence** · legal effect / inference from proved or admitted facts · disregard of relevant/admissible or admission of irrelevant/inadmissible evidence · misconstruction of documents · interpretation of material documents · admissibility of evidence · onus placed on the wrong party · disposal of appeal while an O.XLI r. 27 application was pending.

Powers of the Appellate Court — Section 107 and Order XLI

Four powers, one duty: as far as possible, draw the final curtain on the litigation — the appellate court is not a spectator but a court of the case

Section 107 — Powers of Appellate Court (bare Act text)

(1) Subject to such conditions and limitations as may be prescribed, an Appellate Court shall have power —
(a) to determine a case finally;
(b) to remand a case;
(c) to frame issues and refer them for trial;
(d) to take additional evidence or to require such evidence to be taken.
(2) Subject as aforesaid, the Appellate Court shall have **the same powers and shall perform as nearly as may be the same duties** as are conferred and imposed by this Code on Courts of original jurisdiction in respect of suits instituted therein.
s. 108: the provisions of Part VII relating to appeals from original decrees apply, so far as may be, to appeals from appellate decrees and to orders under this Code or special/local laws (unless a different procedure is provided).

The four powers mapped to their rules — and the residual r. 33

Power	Rule of O.XLI	When it operates	Leading authority / note
(a) Determine finally	r. 24	Where the evidence on record is sufficient, the appellate court may finally determine the case even on a ground different from the trial court's	Policy: no fragmentary decisions — remand only in rare cases; draw "the final curtain on the litigation"
(b) Remand	rr. 23 & 23A	r. 23: lower court decided on a preliminary point (pleadings/admissibility) without trial of other issues, decree reversed → remand for trial of the other issues. r. 23A (1976): where the trial court decided the whole suit but the appellate court finds issues remain, remand with recorded reasons	Remand = send back; remand orders are appealable (O.XLIII r.1(u)); s. 105(2) bars re-litigating a remand order not appealed
(c) Frame issues & refer	r. 25	Where the trial court omitted to frame or try an issue, or its finding is insufficient, and the appellate court needs more material — frame the issue, refer it, decide the appeal after the answer	Intermediate between deciding and remanding — only the chosen issue goes down
(d) Additional evidence	rr. 27–29	Strictly within the gateways of r. 27(1)(a), (aa), (b) — see §6	*Gill & Co.* (c3); *Lala Pancham* (5-Judge SC)
Residual power	r. 33	The court of appeal may make any order and pass any decree which ought to have been made or passed, or remand for a new trial — power not defeated because the appeal lies from only part of the decree	Enables complete justice between the parties in one round

s. 107(2) — parity with the trial court: the appellate court has the same powers and duties as a court of original jurisdiction — it may, for instance, decide the whole case, take accounts, or grant any relief the trial court could have granted. That is why an appeal is "a

continuation of the suit", and why the appellate court in *Chunilal* (c1) could itself quantify the liquidated damages and dismiss the appeal with a money decree already embedded.

Additional Evidence at the Appellate Stage — Order XLI, Rule 27

The general rule is exclusion; the Code carves three narrow gateways; the discretion is the court's, not the party's — and the reasons must be recorded

Order XLI, Rules 27–29 (bare Act text; cl. (aa) inserted by Act 104 of 1976, w.e.f. 1-2-1977)

r. 27(1). The parties to an appeal shall **not be entitled** to produce additional evidence, whether oral or documentary, in the Appellate Court. But if —
(a) the Court from whose decree the appeal is preferred **has refused to admit evidence which ought to have been admitted**; or
(aa) the party seeking to produce additional evidence **establishes that, notwithstanding the exercise of due diligence, such evidence was not within his knowledge or could not, after the exercise of due diligence, be produced** by him at the time when the decree appealed against was passed; or
(b) the Appellate Court **requires any document to be produced or any witness to be examined to enable it to pronounce judgment, or for any other substantial cause**,
the Appellate Court may allow such evidence or document to be produced, or witness to be examined.
r. 27(2). Wherever additional evidence is allowed, **the Court shall record the reason for its admission**.
r. 28 (mode). The Appellate Court may either take such evidence itself, or direct the trial court (or any other subordinate court) to take it and send it up.
r. 29 (points). The Appellate Court shall **specify the points to which the evidence is to be confined** and record them on its proceedings.

The doctrine in five propositions

- **General rule — appeal runs on the record:** the appellate court decides on the evidence led before the trial court (*Soonda Ram v. Rameshwarlal*, (1975) 3 SCC 698); s. 107(1)(d) is the *exception*, operating only through the gateways of r. 27 (*K. Venkataramiah v. A. Seetharama Reddy*, AIR 1963 SC 1526).
- **"Additional" ≠ "better":** the term does not mean evidence *over and above* what the party led below; a party who led **no** evidence below is not disqualified — the question is only whether a gateway is satisfied (*Jaipur Development Authority v. Kailashwati Devi*, (1997) 7 SCC 297).
- **Shivajirao Nilangekar Patil v. Dr. Mahesh Madhav Gosavi**, (1987) 1 SCC 227 — the three principles: (1) the applicant must establish that **with his best efforts** the evidence could not have been adduced at the first instance; (2) the opposite party must have an **opportunity to rebut** it; (3) the evidence must be **relevant for determination of the issue**.
- **Clause (b) is for the court, not the party:** it is only where the Appellate Court "*requires*" it — "it must be the Court that requires it" — that additional evidence comes in; the clause is **not intended to allow a litigant who has failed below to patch up the weak parts of his case and fill up omissions** (*Parsotim Thakur v. Lal Mohar Thakur*, AIR 1931 PC 143). The evidence must be needed **to enable the court to pronounce judgment — never to enable it to pronounce the judgment a particular way** (*Municipal Corpn. of Greater Bombay v. Lala Pancham*, AIR 1965 SC 1008, Constitution-strength 5-Judge Bench).
- **"Any other substantial cause":** includes removing obscurities to make the judgment "more satisfactory" (*K. Venkataramiah*) — but the cause must be *substantial*, and the discretion must be exercised on sound judicial principles, in the interests of justice, **with reasons recorded** (r. 27(2)).

How the gateways behave in practice

Gateway	Applicant must show	Classic refusal
r. 27(1)(a) — improper refusal below	Evidence was actually tendered, the trial court refused it, and the refusal was unjustified	Evidence rejected below for *late production* — appellate court will not disturb that discretion (*Pramod Kumari v. Om Prakash*, (1980) 1 SCC 412; *Roop Chand*, (1989) 2 SCC 383)
r. 27(1)(aa) — due diligence	Not within knowledge, or could not be produced despite due diligence, at the time of the decree	Documents were in the party's **own possession**; or the source was known but never summoned — *Gill & Co.* (c3); India Today cuttings obtainable earlier — *Shivajirao Patil*
r. 27(1)(b) — court's requirement	Nothing — the **court** must require it to pronounce judgment, or a substantial cause must exist	Application made to patch a weak case or fill an omission after an adverse finding — *Parsotim Thakur*; self-serving correspondence — *Gill & Co.*

Exam trap — the "I realised its importance late" plea

Gill & Co. rejects precisely this: "no justification for permitting additional evidence admittedly in the possession of the appellants on the flimsy ground that they did not realise its importance till an adverse finding was given." The lateness of the insight is a reason **against** admission, not for it.

Prescribed Landmark Case Laws — Detailed Analysis

CASES #06–#08

CASE #06 **Chunilal V. Mehta & Sons Ltd. v. The Century Spinning & Manufacturing Co. Ltd.**

AIR 1962 SC 1314 · 1962 Supp (3) SCR 549 · Supreme Court of India · J.C. Shah & V. Mudholkar JJ. (Mudholkar J. for the Court) · Appeal by special leave against refusal of an Art. 133(1)(a) certificate by the Bombay High Court · DU LL.B. Prescribed Case· Also the anchor case for DU PYQs Q.3/2019 & Q.4(a)/2018

FACTS

- By a **managing agency agreement dated 15 June 1933**, the appellant firm **Chunilal V. Mehta & Sons** became managing agents of the respondent mill company, **Century Spinning & Manufacturing Co.**, for **21 years** (the company was incorporated in March 1933).
- **cl. 10:** remuneration — **Rs. 6,000 per month**, plus a top-up so that the total did not fall short of **10% of the gross profits** each year. **cl. 12:** the remuneration **accrued from day to day**. **cl. 14:** if the company determined the agreement without the agents' default, the

company would pay, **by way of liquidated damages, "a sum equal to the aggregate amount of the monthly salary of not less than Rs. 6,000"** payable for the unexpired term.

- On **23 April 1951** the company terminated the agency. The termination's **wrongfulness was admitted** — the only question was **quantum**: the agents claimed **Rs. 2,34,000** under cl. 14 (Rs. 6,000 × 39 months unexpired), and in the alternative damages beyond it.
- The trial court and the **Bombay High Court** decreed Rs. 2,34,000 with interest but **refused a certificate of fitness under Art. 133(1)(a)** of the Constitution (the question — construction of cl. 14 — was, it thought, not a substantial question of law of general importance). The agents appealed to the Supreme Court by special leave, on quantum and on the certificate.

15-6-1933
Managing agency for 21 years
Agreement executed — cl. 10 (Rs. 6,000/month + 10% profits top-up), cl. 12 (accrual day-to-day), cl. 14 (liquidated damages for unexpired term).

23-4-1951
Termination — default admitted
Company determines the agency; 39 months of the term unexpired; only quantum in dispute: Rs. 2,34,000 vs. a larger claim.

Trial & Bombay HC
Rs. 2,34,000 decreed; certificate refused
Courts below read cl. 14 as a genuine liquidated-damages clause (s. 74, Contract Act) and excluded unascertained s. 73 damages; HC denies Art. 133(1)(a) fitness certificate.

1962
Supreme Court — dual holding
(1) The question *was* substantial — construction of the document of title on which the parties' rights depend; (2) on merits, decree affirmed: fixed Rs. 6,000 basis; appeal dismissed with costs.

ISSUES

1. Whether the construction of **cl. 14** of the managing agency agreement — on which the agents' claim to Rs. 2,34,000 (and the company's liability capped at it) turned — was a **substantial question of law of general importance** so as to attract Art. 133(1)(a) (the Court chose to re-state the law of "substantial question of law" generally, for the benefit of the High Courts).
2. On merits: whether "the aggregate amount of the monthly salary of **not less than** Rs. 6,000" in cl. 14 meant the fixed Rs. 6,000 (yielding Rs. 2,34,000), or imported the 10%-of-profits top-up of cl. 10; and whether the clause was exhaustive or the agents could claim damages beyond it.

ARGUMENTS OF THE PARTIES

- The phrase **"not less than Rs. 6,000"** shows the parties contemplated the salary *could be more* — i.e., it incorporated the cl. 10 top-up to 10% of gross profits, so liquidated damages should be computed on the higher, profits-linked salary.
- cl. 14 was **not exhaustive**: being a stipulation "in addition to" and not "in lieu of" damages, it did not exclude the general measure of damages under **s. 73, Contract Act**; the agents could prove and recover more for the unexpired term.
- In any event, the question of its construction was of general importance and the High Court erred in refusing the certificate.

- cl. 14 was a **genuine liquidated-damages clause** — a fair pre-estimate of the loss of the agency for the residue of the term — and under **s. 74, Contract Act**, where the contract itself specifies a sum payable on breach, that sum (and no more) is recoverable, without proof of actual loss.
- "Not less than" merely **emphasised the irreducible minimum** — the fixed Rs. 6,000 — and cl. 12's **day-to-day accrual** could fit only a sum certain: profits are known only at the year's end, so the parties cannot have intended the damages to fluctuate with profits.
- The decree of the courts below should stand.

DECISION

- **Holding 1 — the law of substantial questions of law restated** (Mudholkar J., para 6): "The proper test for determining whether a question of law raised in the case is substantial would, in our opinion, be whether it is of general public importance or whether it directly and substantially affects the rights of the parties and, if so, whether it is either an open question in the sense that it is not finally settled by this Court or by the Privy Council or by the Federal Court or is not free from difficulty or calls for discussion of alternative views. If the question is settled by the highest court or the general principles to be applied in determining the question are well-settled and there is a mere question of applying those principles or that the plea raised is palpably absurd, the question would not be a substantial question of law."
- The Court surveyed the earlier tests: **Raghunath Prasad v. Commr. of Pratapgarh**, AIR 1927 PC 110 (substantial "as between the parties", not general importance); **Dinkarrao v. Rattansey**, AIR 1949 Nag 300 (Bose CJ — substantial if the decision turns one way or the other on the view of law) — found **too wide** ("so defined, it would cover every question of law"); and the **Madras Full Bench in R. Subba Rao v. B. Sundara Raghavan**, AIR 1951 Mad 969 (fairly arguable / room for difference of opinion) — **approved**.
- Construction of a **document of title which is the foundation of the parties' rights** necessarily raises a question of law; applied here, the construction of cl. 14 of the 1933 agreement — with a stake of over Rs. 26 lakh — **was substantial**; the Bombay High Court's refusal of the Art. 133(1)(a) certificate was erroneous (though the Supreme Court was entertaining the matter by special leave, the discussion was written to guide High Courts and future benches).
- **Holding 2 — merits:** Palkhivala's construction rejected. "Not less than" only emphasises the **irreducibility** of the Rs. 6,000; the day-to-day accrual under cl. 12 presupposes a **sum certain** (the 10% top-up is knowable only at year-end); and cl. 14 being a liquidated-damages clause, **s. 74 of the Contract Act excludes** any claim to unascertained damages under s. 73. **Rs. 2,34,000 with interest — affirmed; appeal dismissed with costs.**

PRINCIPLE

The Chunilal composite test for a substantial question of law: substantial = (general public importance) OR (directly & substantially affects the parties' rights) AND (open / not free from difficulty / calls for discussion of alternative views). Not substantial: settled law; well-settled principles merely applied (misapplication is not enough); palpably absurd pleas. A question of law can be substantial *as between the parties* without being of general importance — the decision-turns (*Dinkarrao*) and fairly-arguable (*Madras FB*) formulations are absorbed, not rejected wholesale. **Second string for contract answers:** a true liquidated-damages clause (s. 74) excludes proof of further s. 73 damages; and the construction of a foundational document is itself a question of law.

Why this case is prescribed here: the certificate jurisdiction (Art. 133(1)(a)) and the second appeal (s. 100 CPC) share the very same phrase — "substantial question of law". *Chunilal* is thus the authoritative dictionary of the term that opens (or shuts) the High Court's gate under s. 100. DU's Q.3/2019 and Q.4(a)/2018 both answer themselves out of para 6 of this judgment (see §8).

CASE #07

Koppi Setty v. Ratnam & others v. Pamarti Venka & others (the DU material's case head)

2007 RLR 27 (NSC) as per the LB-302 file header — citation caution: the DU syllabus page prints 2009 RLR 27; cite as "2007 RLR 27 (NSC) / 2009 RLR 27" with the discrepancy noted · Supreme Court of India (SLP against a second-appeal judgment of a High Court under s. 100 CPC) · DU LL.B. Prescribed Case· The anchor case for the "discipline" side of s. 100 — Q.3/2019's centrepiece

FACTS

- A suit fought through trial and first appeal ended in **concurrent findings of fact** against the party who later sought to escalate.
- That party went to the High Court in a **second appeal under s. 100 CPC**. The High Court **set aside the concurrent findings of fact** of the courts below — **without formulating any substantial question of law**, the step the amended s. 100(4) makes mandatory (also reported as *Koppisetty Venkat Ratnam v. Pamarti Venkayamma*: the appeal lay "without formulating substantial question of law which is mandatory under the amended section 100").
- The aggrieved party filed a **Special Leave Petition** in the Supreme Court complaining precisely of this: that the High Court had no jurisdiction to disturb concurrent findings of fact under s. 100 and none to hear the second appeal at all without first formulating the substantial question of law.

ISSUES

1. Whether the High Court could, under the amended s. 100, **set aside concurrent findings of fact** of the courts below without formulating a substantial question of law.
2. What is the **rationale** of confining the second appeal to substantial questions of law — and what discipline does that rationale impose on the High Courts at the admission and hearing stages?

THE COMPETING POSITIONS

- The amended s. 100 (post-1976, on the Law Commission's 54th Report) **permits only questions of law**; concurrent findings of fact are beyond reach absent a formulated SQL.
- Formulation is **mandatory** — a condition precedent to hearing; a second appeal heard without it is a jurisdictional illegality, not a curable irregularity.
- The High Court's conduct — re-appreciating evidence in the garb of a second appeal — makes the second appeal the "third trial on facts" the amendment abolished.

- That s. 100 still leaves the High Court a general power to see that "substantial justice" is done on the facts whenever the findings appear to it to be wrong.
- That formulating the question is a technicality which can be supplied later or read into the judgment.
- That every perceived perversity in a finding of fact is, by that very fact, a question of law.

DECISION

- The Supreme Court **allowed the challenge**: the High Court was wrong to set aside the concurrent findings under s. 100 without formulating a substantial question of law — the very exercise was without jurisdiction.
- **The rationale, in the Court's own architecture (as extracted in the DU material):** (1) **only two fact-hearings** — the trial and the first appeal; the doctrine of finality serves certainty and combats delay; (2) the **first appeal exists for the litigant's satisfaction**; the second appeal is in the nature of a **"luxury"** — conferred not for the litigant but for the law; (3) a law-only second appeal preserves **uniformity of law throughout the State** — the High Court's rulings bind all subordinate courts, tribunals and authorities within its jurisdiction, so that judge-made law is laid down "by one court" — this is implicit in any system where higher courts make binding decisions on questions of law; (4) High Court **arrears** are fed by laxly-admitted second appeals.
- **The discipline restated:** the High Court may admit a second appeal only where a SQL is involved; the memorandum must precisely state it; the Court must formulate it before hearing; the appeal is heard only on it. (The DU PYQ answer adds the corroborating line of authority: *Dnyanoba v. Maroti*, (1999) 2 SCC 471 — SQLs to be framed at admission; *Roop Singh v. Ram Singh*, (2000) 3 SCC 708, para 7 — no jurisdiction over "pure questions of fact" under s. 100.)
- **The recurring mischief named:** "a matter of common experience that despite clear enunciation of law in a catena of cases, a large number of cases come up where High Courts under s. 100 disturb the concurrent findings of fact without formulating the substantial question of law" — compelling the Supreme Court to set such judgments aside and **remit for decision de novo after formulation**;

several years are lost; litigation becomes "extremely expensive and time consuming" — "one of the main reasons of delay in the administration of justice in civil matters".

- The case was accordingly **remitted** to the High Court for early disposal on the correct lines.

PRINCIPLE

The Koppi Setty discipline: s. 100 post-1976 is a drastically curtailed jurisdiction; formulation of the SQL at admission is mandatory and jurisdictional; the second appeal exists for **State-wide uniformity of law**, not for a dissatisfied litigant's third shot at the facts; disturbing concurrent findings without a formulated SQL will be set aside by the Supreme Court and remitted — at the litigants' and the system's expense. Phrases to quote: **"third trial on facts"** · **"one more dice in the gamble"** · second appeal as **"luxury"** · first appeal as the litigant's satisfaction.

How to deploy it: whenever a problem gives you a High Court reversing two courts below "in second appeal", your answer has four beats — (1) s. 100 as amended; (2) concurrent findings immune without SQL; (3) formulation mandatory (*Dnyanoba*, *Singaram*); (4) consequence: SC sets aside and remits (*Koppi Setty*). This is precisely the skeleton the DU examiners rewarded in Q.3/2019 (see §8).

CASE #08

Gill & Co. (P) Ltd. & Anr. v. Bimla Kumari Jolly

1986 RLR 370 · Delhi High Court · J.D. Jain, J. · Second appeal under s. 39(2), Delhi Rent Control Act, 1958 (mirroring s. 100 CPC) · DU LL.B. Prescribed Caseparas 1-24 · The anchor case for DU PYQ Q.4(b)/2018 — additional evidence under O.XLI r. 27

FACTS

- Premises — **a portion of property No. A-41, Kirti Nagar, New Delhi** — were let to appellant No. 1, **M/s Gill & Co. (P) Ltd.** (head office Bombay), at **Rs. 750 per month in 1966**. Appellant No. 2, **Sohan Lal Ahuja**, the company's Manager at Delhi, was put into occupation for residence *in his capacity as Manager* — from the very inception of the tenancy.
- Ahuja's **service was terminated on 31 March 1972**, but he continued in occupation. The appellants' case: he then acted as the company's **local representative** at Delhi, negotiating business deals; his occupation was **permissive**; legal possession remained with the company throughout.
- On **12 February 1975** the landlady, **Bimla Kumari Jolly**, sought eviction on four grounds: (a) non-payment of rent; (b) mis-user; (c) bona fide requirement (cl.(e)); (d) **subletting, assignment or parting with possession** in favour of Ahuja (cl.(b), proviso to s. 14(1), Delhi Rent Control Act).
- **Additional Rent Controller, Delhi (20 November 1979):** eviction **solely** on the cl.(b) ground — the company had **parted with possession** to Ahuja without the landlady's written consent. Non-payment ground: default from 1 August 1974 proved, but the tenant got the benefit of **s. 14(2)** (first default, compliance with an earlier s. 15(1) order). Clauses (c) and (e) grounds dismissed.
- **During the first appeal** before the Rent Control Tribunal, the appellants moved (24 March 1981) an application under **O.XLI r. 27 read with s. 151 CPC** to produce additional evidence — pass books of **Central Bank Account No. 3184** (in Ahuja's name, allegedly operated wholly for the company), Delhi-office account statements for 1972–74, and correspondence — asserting that their Bombay office records (employment, salary, account books of 1971–73) had been **seized by the Income-tax Department in an August 1976 raid** and were still in its custody. The Tribunal **disallowed** the application and (**9 February 1983**) dismissed the first appeal. Hence the second appeal to the High Court (s. 39(2) DRC Act).

1966
Tenancy begins
A-41 Kirti Nagar let to Gill & Co. @ Rs. 750/mo; Manager Ahuja in occupation from inception — a service occupation.

31-3-1972
Service ends — occupation continues
Ahuja's employment terminated; company says he stayed on as its "local representative"; landlady says possession was parted with from here.

2-1-1975
Ahuja's letter to the landlady's husband (Ex. R7)
"I can have the house only if you transfer the rent receipts in my name" — written amid differences between the appellants and the company's aborted promise (6–1–1975) to vacate by 31–1–1975.

12-2-1975
Eviction petition
Four grounds pleaded: non-payment, mis-user, bona fide need, subletting/assignment/parting with possession.

20-11-1979
ARC orders eviction
Only on the parting-with-possession ground; non-payment forgiven under s. 14(2); other grounds rejected.

24-3-1981
O.XLI r. 27 application
Pass books, account statements, correspondence sought to be adduced; IT-seizure (Aug 1976) pleaded; Tribunal disallows.

9-2-1983
Tribunal dismisses first appeal
r. 27 application refused; cl.(b) findings affirmed.

1986
High Court (J.D. Jain J.)
Second appeal dismissed with costs — r. 27 refusal upheld; deemed-service point corrected in appellants' favour but merits hold; parting with possession unrebutted.

by Ankur R. Upadhyay

ISSUES

1. Whether the Tribunal was right in **refusing additional evidence** under O.XLI r. 27 read with s. 151 CPC (the application of 24 March 1981).
2. Whether the **notice to produce documents (O.XII r. 8 CPC / s. 66, Evidence Act)** was duly **served** on the company, so as to justify the **adverse inference** drawn below for withholding documents.
3. On merits: whether the company had **sublet, assigned or otherwise parted with possession** of the premises in favour of Ahuja within cl.(b) of the proviso to s. 14(1) of the Delhi Rent Control Act — and what an appellate court under s. 39(2) may do with concurrent findings on that question.

ARGUMENTS OF THE PARTIES

- On r. 27: the documents could not be produced earlier because the **IT Department seized the records** (August 1976); copies of the 1972–74 account statements were found only later "lying in some very old papers"; they "woke up" to the need for them only when the ARC drew an adverse inference from the alleged O.XII r. 8 notice — a **substantial cause** under r. 27(1)(b) (*K. Venkataramiah*: removing obscurity for a more satisfactory judgment).
- On service: the notice copy (X1), postal receipt (X2) and A.D. (X3) were produced only during **Ahuja's cross-examination**, never duly proved, and no opportunity to rebut was given — so the adverse inference for "withholding documents" was illegal.
- On merits: Ahuja remained a **licensee** — local representative earning brokerage and commission; account No. 3184, though in his name, was operated solely for the company, all money coming from Bombay; possession therefore never left the company.

- On r. 27: reliance was never placed on these documents below; no effort was made to produce them or to summon them from the IT Department despite opportunities; the fault was the appellants' own — the application was **dilatory, to fill up gaps deliberately left** at trial.
- On service: registered A.D. letter to the correct Bombay address, duly delivered — presumption of service arises and mere denial does not rebut it.
- On merits (fallback): even if the notice was not served, the **best-evidence rule** applies — a party withholding material documents in his power invites an adverse inference regardless of onus (*Gopal Krishnaji Ketkar v. Mohamed Haji Latif*, SC).
- Ahuja ran his own brokerage (M/s **Eskay Cotton Links**), was remunerated independently, and the Ex. R13 letter shows that business was addressed at the suit premises; his own letter (Ex. R7) sought transfer of rent receipts to his name — possession had passed.

DECISION — J.D. JAIN J., ON THE THREE ISSUES IN SEQUENCE

ISSUE 1 — R. 27 APPLICATION RIGHTLY REFUSED

- **Gateway (i) (refusal below):** not available — the evidence was **never tendered** below, so there was no improper refusal.
- **Gateway (ii) (knowledge / due diligence):** not available — the appellants **well knew** the IT Department had seized the records and could have **requisitioned them or summoned the officials**; no such effort was made; and, tellingly, the documents now sought were **not the seized ones at all** — they came from the appellants' **own possession** (the seized records had not been released).
- **Gateway (iii) (court's requirement / substantial cause):** *Parsotim Thakur v. Lal Mohar Thakur*, AIR 1931 PC 143 — the rule is "clearly not intended to allow a litigant who has been unsuccessful in the lower Court to **patch up the weak parts of his case and fill up omissions** in the Court of appeal"; it is only where the Appellate Court **"requires"** it — "it must be the Court that requires it" — and the legitimate occasion is "when on examining the evidence as it stands, **some inherent lacuna or defect becomes apparent**". *K. Venkataramiah* (SC) and *Municipal Corpn. of Greater Bombay v. Lala Pancham* (5-Judge SC) hold to the same effect — the court may require evidence **to enable it to pronounce judgment**, or to fill an obscurity for a more satisfactory judgment, but the requirement is the **court's**, not the party's.
- **Content test:** apart from the pass books, account statements and a couple of letters, the documents were **1976–78 correspondence between the appellants inter se** — i.e., dealings *after* the eviction petition was filed — "a **lurking danger of self-serving evidence** being created by the parties in order to bolster up their case to the prejudice of the opposite party"; the record as it stood was already "quite sufficient for recording a proper and satisfactory judgment".
- **Held:** "absolutely no justification for permitting the additional evidence, admittedly in the possession of the appellants, on the **flimsy ground that they did not realise their importance till adverse finding was given by the trial Court**" — the Tribunal's refusal affirmed.

PRINCIPLE

Gill & Co. is three doctrines in one judgment: (1) **r. 27 discipline** — knowledge of a seizure is not due-diligence shown unless the party actually tried to get the documents; documents from one's own possession cannot enter through the "seizure" story; the court's requirement is the court's alone (*Parsotim Thakur*); late-realised importance is a flimsy ground; inter-party correspondence created during litigation is suspected as self-serving. (2) **Proof of service** — envelope proved ≠ contents proved: s. 27 General Clauses Act deems service of the *letter*, but the party relying on the *notice* must connect the notice to the envelope; adverse inferences for withholding follow only from a proved notice. (3) **Parting with possession** — the Hazari Lal three-concept distinction; the truth-of-the-relationship test (label is nothing); exclusive possession raises a presumption which the tenant, holding the facts in special knowledge, must discharge — and appellate courts will not re-try these facts in second appeal.

Why prescribed for Topic 6: the whole appeal is a working demonstration of the syllabus — an appellate court's treatment of an **O.XLI r. 27 application** (refused, correctly), the limits of appellate interference with concurrent findings, and the r. 27 gateways

applied one by one to a live set of documents. DU's Q.4(b)/2018 answers itself almost verbatim from paras 6–12 of this judgment (see §8).

PYQ ARCHIVE // CH.02 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 `Q. 3 / 2019 · CPC & Limitation — IIIrd Term (10 marks)` What are the tests to determine a substantial question of law for the purpose of second appeal? Discuss with the help of case laws.

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 `Q. 4 (a) / 2018 · CPC & Limitation — IIIrd Term (10 marks)` In the case of Dillkarrao [Dinkarrao] v. Rattansey AIR 1949 Nag 300, the High Court held that "A question of law is substantial as between the parties if the decision turns one way or another on the particular view taken of the law". Do you agree with the view? Explain with case law.

Q.3 `Q. 4 (b) / 2018 · CPC & Limitation — IIIrd Term (10 marks)` The general rule is that an appellate court shall decide an appeal on the evidence led by the parties before the Lower Court and shall not admit additional evidence for the disposal of an appeal. Does the Code of Civil Procedure allow for an exception to this rule? Explain the relevant Order and Rule with help of case law.

Q.4 `Q. 3 (b) / 2017 · CPC & Limitation — IIIrd Term (10 marks)` "The substantial question of law is not necessarily a question which is of public importance. It must be a substantial question of law as between the parties in the case involved." Discuss the statement.

Q.5 `Q. 6 (a) / 2017 · CPC & Limitation — IIIrd Term (short note)` Write short notes on: (a) Doctrine of Merger.

`MODULE 03 // PART A · TOPICS 7 & 8` Cases #09–#10 (+ S.151)

Reference, Review, Revision & Inherent Powers of the Court

Sections 113, 114, 115 & 151 CPC · Order XLVI · Order XLVII

1. REFERENCE — Section 113 + Order XLVI

`BARE ACT` Reference is the **consultative jurisdiction** — a subordinate court *states a case and refers for opinion of High Court* instead of deciding a difficult question of law itself. It is **not appeal, not revision, not review** — the suit remains pending below; only the *point of law* travels up.

▸ **S.113 CPC — REFERENCE TO HIGH COURT (VERBATIM)** "Subject to such conditions and limitations as may be prescribed, **any Court may state a case and refer the same for the opinion of the High Court, and the High Court may make such order thereon as it thinks fit:**

Provided that where the Court is satisfied that a case pending before it involves a **question as to the validity of any Act, Ordinance or Regulation** or of any provision contained therein, **the determination of which is necessary for the disposal of the case**, and is of opinion that such Act/Ordinance/Regulation/provision is **invalid or inoperative, but has not been so declared** by the High Court to which that Court is subordinate or by the Supreme Court, **the Court SHALL state a case setting out its opinion and reasons therefor, and refer the same for the opinion of the High Court.**"
Explanation: "Regulation" = Bengal/Bombay/Madras Code Regulations or as defined in General Clauses Act.*Added proviso by Act 24 of 1951. Note MAY (discretionary) in main part v SHALL (mandatory) in proviso — favourite exam trap.*

▸ **ORDER XLVI — REFERENCE (PROCEDURE) R.1 – Reference of question to High Court:** Where, before or on hearing of a **suit or appeal in which decree is NOT subject to appeal**, or in **execution** of any such decree, any **question of law or usage having force of law** arises, on which the Court **entertains reasonable doubt**, the Court may, **either of its own motion or on application of any party**, draw up statement of facts + point of doubt + **its own opinion** and refer for decision of High Court.
R.2 – Contingent decree: Referring court may either **stay proceedings OR proceed** and pass decree/order **contingent** upon High Court's decision — but **no execution until receipt of HC judgment copy**.
R.3 – HC judgment to be transmitted: HC after hearing parties (if they desire) **decides point referred**, transmits copy under Registrar's signature; lower court **disposes case in conformity**.
R.4 – Costs: Costs of reference = **costs in the cause** (general rule).
R.4A + R.5 – S.113 proviso references + Power to alter: Rr.2–4 apply to proviso references; HC may **return case for amendment, alter/cancel/set aside** decree/order and make such order as it thinks fit; may **refuse to answer or quash** unwarranted reference.
R.6 – Small Cause jurisdiction doubt: Court doubting whether suit is cognizable by Small Causes may submit record + reasons to HC; HC orders to proceed or return plaint.
R.7 – District Court reference on Small Cause mistake: District Court, if subordinate court erroneously held suit cognizable/not cognizable by Small Causes (failure/excess of jurisdiction), **may, and if required by party shall**, submit record to HC; HC makes such order as it thinks fit.

1.1 Object & Rationale

- **Ensure Acts of legislature are interpreted by highest court in State** — subordinate courts should not finally pronounce on validity/meaning of doubtful law.
- **Avoid conflict & multiplicity:** one authoritative HC opinion binds all subordinates; prevents contradictory decrees on same legal point.
- **Prevent ultra vires adjudication by munsifs:** proviso ensures a civil judge who *prima facie thinks a statute is unconstitutional* does not strike it down himself — he **must refer**.

- **Consultative, not appellate:** HC does not rehear facts; it *advises on law*; merits remain with referring court (except R.5 power).

1.2 Two Species of Reference — Discretionary v Mandatory

Feature	(A) General / Discretionary (S.113 main + O.46 R.1)	(B) Validity / Mandatory (S.113 Proviso + O.46 R.4A)
Trigger	Any **question of law or usage having force of law** + **reasonable doubt**	Question as to **validity of Act/Ordinance/Regulation** (ultra vires) **necessary for disposal** + court thinks it **invalid/inoperative** + **not already so declared** by HC/SC
Duty	**MAY** refer (discretion)	**SHALL** refer (mandatory) — *Ganga Pratap Singh v. Allahabad Bank, AIR 1958 SC 293*
Stage	Only where decree **not subject to appeal** (R.1) — i.e., no appeal will cure error; or execution	Any pending case (suit/appeal/execution) — no "no-appeal" restriction
Opinion	Must state **own opinion** on point	Must state **opinion + reasons** why invalid
Example	Munsif doubts meaning of "usage having force of law" in customary pre-emption; no appeal lies (Small Causes)	Munsif thinks State Money-Lenders Act provision violates Art.14; must refer, cannot declare void itself

1.3 Essential Conditions / Elements (6-point checklist for exam)

1. **Pending lis:** suit, appeal or execution **pending** before referring court. No reference on hypothetical/future/moots — question must have *actually arisen between parties* whom court is called upon to adjudicate (*Banarsi Yadav v. Krishna Chandra, AIR 1972 Pat 49 FB; Ranganath v. Hanumantha*).
2. **"Court" only:** Court of civil judicature. **Tribunal / persona designata / arbitrator cannot refer** (*Phul Kumari; Ramakant Bindal; Nanak Chand*).
3. **Question of law/usage or vires:** fact questions never referable. Must be bona fide live issue.
4. **Reasonable doubt (R.1) / prima facie invalid (proviso):** No reasonable doubt if point already concluded by HC to which judge is subordinate — unless that ruling is doubted by later HC/SC/PC decision (*Ralia Ram v. Sadh Ram; Fatima-ul-Hasna; Puttu Lal v. Parbati*).
5. **No-appeal condition for R.1:** decree not subject to appeal. If appeal lies, aggrieved party has remedy — reference unnecessary.
6. **Statement + opinion:** Referring court draws up **facts + question + own opinion** (O.46 Rr.1, 4A). Defective statement → HC may return for amendment or quash (*Garling v. Secy. of State; Krishnarao v. Lakshman*).

! WHAT CANNOT BE REFERRED
Questions of fact; academic/hypothetical questions; questions already settled by binding HC decision (no reasonable doubt); reference by tribunal; reference after disposal (no pending case); reference to Supreme Court (only to HC); reference on constitutional *interpretation* simpliciter (that is Art.228, not S.113 — see below).

1.4 Who May Apply? Power & Duty of Referring Court v High Court

- **Who may move: Court suo motu OR any party's application** (S.113 + O.46 R.1). Party cannot *demand* — court decides if conditions satisfied. **Refusal to refer = "case decided" → revisable under S.115** (*Cantonment Board v. Phulchand*).
- **Duty of referring court:** formulate precise question, state facts, give opinion, may stay or pass contingent decree; **cannot execute** till HC answers (R.2).
- **Power of High Court (consultative): not confined to questions framed** — can consider new aspect (*S.K. Roy v. Board of Revenue; CIT v. Scindia Steam*); may **answer, refuse to answer, return for amendment, quash, or alter/cancel/set aside decree** (R.5); **cannot decide merits or give suggestions** beyond point (*Municipal Corpn. v. Shivshanker, (1998) 9 SCC 197*).
- **Costs:** ordinarily costs in cause (R.4); if reference **altogether unwarranted, HC may order referring judge to pay personally** (*L.S. Sherlekar v. D.L. Agarwal, AIR 1968 Bom 439*) — quote for extra marks.

2. REVIEW — Section 114 + Order XLVII (Rr.1–9)

BARE ACT **Review = judicial re-examination by the same court & same judge** which passed decree/order. S.114 gives the *substantive right* ("may make such order as it thinks fit"); O.47 prescribes *when + on what grounds + how*. It is an **exception to functus officio** (O.20 R.3 — once judgment signed & pronounced, court ceases to have control). Hence **strictly confined, reluctantly resorted, not an appeal in disguise**.

▸ **S.114 CPC — REVIEW (VERBATIM)** "Subject as aforesaid, **any person considering himself aggrieved**—
(a) **by a decree or order from which an appeal is allowed** by this Code, **but from which no appeal has been preferred**,
(b) **by a decree or order from which no appeal is allowed** by this Code, or
(c) **by a decision on a reference from a Court of Small Causes**,
may apply for a review of judgment to the Court which passed the decree or made the order, and the Court may make such order thereon as it thinks fit."

▸ **ORDER XLVII R.1 — APPLICATION FOR REVIEW (GROUNDS — HEART OF TOPIC, MEMORISE VERBATIM)** "(1) Any person considering himself aggrieved— (a)/(b)/(c) as in S.114 — **and who, from the discovery of new and important matter or evidence which, after the exercise of due diligence was not within his knowledge or could not be produced by him at the time when the decree was passed or order made, OR on account of some mistake or error apparent on the face of the record OR for any other sufficient reason, desires to obtain a review** of the decree passed or order made against him, **may apply for a review of judgment to the Court which passed the decree or made the order.**

(2) A party who is **not appealing** may apply for review **notwithstanding pendency of appeal by some other party**, EXCEPT where ground of

such appeal is common to applicant & appellant, or when, being respondent, he can present to Appellate Court the case on which he applied for review.

Explanation (inserted 1976): *The fact that the decision on a question of law on which the judgment is based has been reversed or modified by subsequent decision of superior Court in any other case, shall NOT be a ground for review."DU LB-302 quotes this Explanation in Haridas Das (para 10) to reject rehearing because later law changed.*

▸ **ORDER XLVII Rr.3–9 — PROCEDURE (SHORT) R.3:** Form as of appeals (mutatis mutandis). **R.4(1):** If no sufficient ground → **reject**. **R.4(2):** If prima facie grant → **grant only after notice to opposite party**; on discovery ground → **strict proof** of due-diligence allegation required. **R.5:** Heard by **same Judge(s)** if still attached & not precluded for 6 months; no other Judge shall hear. **R.6:** If Bench equally divided → rejected; majority prevails. **R.7(1) (1976): Rejection not appealable; grant appealable** (at once or in appeal from final decree). **R.7(2)–(3):** Rejected for default → may seek **restoration** on sufficient cause + notice. **R.8:** On grant → register note + **re-hear** or order re-hearing. **R.9: Bar of second review** — no application to review an order on review or decree/order on review shall be entertained.

2.1 Meaning, Nature & Scope

- **Literal meaning:** "to look again, reconsider, re-examine". **Legal:** same court, same judge reconsiders earlier order in *circumscribed* situations.
- **Serious step, reluctant resort:** only where **glaring omission, patent mistake, grave error by judicial fallibility** (*Sajjan Singh; Sow Chandra Kante; Northern India Caterers; Aribam; Meera Bhanja; Kewal Chand*).
- **Not appellate power:** appellate court can correct *all errors*; review court can correct only *errors within O.47 R.1*. **Finality cannot be reopened unless earlier view manifestly wrong.** Filing review to "fight over again the same battle fought and lost" wastes public time — deprecated.
- **Haridas Das formulation (DU p.51, para 10 — quote in exam):** *"Neither [limb] postulates a rehearing because a party had not highlighted all aspects or could have argued more forcefully / cited binding precedents and thereby enjoyed a favourable verdict."* Former part = situation attributable to applicant (discovery); latter = jural action manifestly incorrect / no two conclusions possible.

2.2 Who May Apply? Who May Decide? (Rr.1, 5)

- **Applicant: "Any person considering himself aggrieved"** — not necessarily party; includes third party prejudicially affected (e.g., purchaser pendente lite) if decree affects him. Must fall in (a)/(b)/(c).
- **Decided by: same court which passed decree/made order**; under R.5 **same Judge(s)** if available (attached + not absent 6 months). No forum-shopping to another Judge.
- **No inherent power of review:** review must be **conferred by statute**; court cannot review suo motu unless statute permits. *"There is no provision either in S.114 or O.47 providing for suo motu review."* Exception: courts of plenary jurisdiction under Art.226/32 have inherent review to prevent miscarriage (*Shivdeo Singh; Aribam*), and Supreme Court under Art.137.

2.3 When Review Lies — Three Circumstances (S.114 cls a/b/c)

Circumstance	Meaning + Illustration	Exam note
(a) Appeal allowed but not preferred	Decree appealable, but aggrieved person **chooses review instead of appeal**. Once appeal preferred, review barred (election). E.g., ex parte decree appealable under S.96(2) — defendant may seek review under O.47 R.1 instead.	If appeal **disposed of (except summarily)**, review below barred — merger. If appeal pending by *other party* on *different ground*, review still lies (R.1(2)).
(b) No appeal allowed	Decree/order is **final** (e.g., Small Causes, S.96(3) consent decree, S.96(4) petty suits). Only remedy = review (or revision/writ if jurisdictional).	Most reviews fall here.
(c) Reference from Small Causes	Decision on O.46 Rr.6–7 reference. Review lies to HC which decided reference.	Rare but asked as trap.

⍰WHEN REVIEW DOES NOT LIE

- After **appeal preferred** by same party on same ground (election; R.1(2) bar).
- After appeal **disposed of on merits** (doctrine of merger — only superior court can review).
- **Second review** (O.47 R.9) — order on review cannot be re-reviewed.
- On ground that **later SC/HC decision changed law** (Explanation to R.1).
- To correct **erroneous view on merits requiring long reasoning** — that is appeal, not review.

2.4 Grounds — The Trinity in O.47 R.1(1)

Ground (i): Discovery of new and important matter or evidence

- **Ingredients:** (a) new + important + bearing on decision; (b) **after exercise of due diligence was not within knowledge OR could not be produced** when decree passed. Burden = **strict proof** (R.4(2)(b)).
- **Not available** if evidence was known/available but negligently not produced, or if party wants to fill lacuna / produce additional evidence that could have been produced.
- **Subsequent events:** may be considered in review if decisive (*BCCI v. Netaji Cricket Club, (2005) 4 SCC 741* — subsequent event taken into account).

Ground (ii): Mistake or error apparent on the face of the record

- **Thungabhadra test (DU Haridas Das para 10, AIR 1964 SC 1372 — QUOTE):** *"There is a distinction which is real, though it might not always be capable of exposition, between a mere erroneous decision and a decision vitiated by 'error apparent'. A review is by no means an appeal in disguise whereby an erroneous decision is reheard and corrected, but lies only for patent error. Where without any*

elaborate argument one could point to the error and say here is a substantial point of law which stares one in the face and there could reasonably be no two opinions, a clear case of error apparent is made out."

- **Parsion Devi v. Sumiri Devi (DU Haridas Das para 12):** error **not self-evident, detectable only by process of reasoning** = not error apparent. Cannot rehear erroneous decision.
- **Examples of error apparent:** overlooking **specific statutory provision** bearing on controversy (not mere wrong view of law) — *Surinder Singh Arora v. Major Sohan Singh, AIR 1986 Del 293* (S.21(2) CPC not noticed; failure to advert = error analogous to apparent); arithmetical slip going to root; applying repealed Act; ignoring binding precedent *cited and on point* (but failure to cite precedent by counsel is not ground — Haridas Das).
- **Not error apparent:** wrong appreciation of evidence; two plausible views; subsequent reversal of law (Explanation); desire to argue better.

Ground (iii): "Any other sufficient reason" — ejusdem generis

- Must be read **analogous to (i) & (ii)** — i.e., reason of same genus: discovery-like or patent-error-like (*State of WB v. Kamal Sengupta, AIR 2009 SC (Supp) 476; Chhajju Ram*).
- **Illustrations accepted:** fraud played on court; judgment obtained by suppression; court's inadvertent omission to decide material issue; subsequent **retrospective legislation** changing law (amendment retrospective = good ground; prospective = not).
- **Not sufficient:** subsequent prospective overruling; mere hardship; change of counsel's opinion.

3. REVISION — Section 115

BARE ACT **Revision = High Court calls for record of subordinate court to satisfy itself about jurisdiction-legality.** It is **not rehearing, not appeal** — HC checks *how* jurisdiction was exercised, not *whether decision was right on facts*. Word "**may**" = discretionary. Lies only where **no appeal lies to HC**.

▸ **S.115 CPC — REVISION (VERBATIM WITH AMENDMENTS)** "**(1) The High Court may call for the record of any case which has been decided by any Court subordinate to such High Court and in which no appeal lies thereto, and if such subordinate Court appears—**
(a) **to have exercised a jurisdiction not vested in it by law, OR**
(b) **to have failed to exercise a jurisdiction so vested, OR**
(c) **to have acted in the exercise of its jurisdiction illegally or with material irregularity,**
the High Court may make such order in the case as it thinks fit:

Provided that the High Court shall not, under this section, vary or reverse any order made, or any order deciding an issue, in the course of a suit or other proceeding, EXCEPT where the order, if it had been made in favour of the party applying for revision would have finally disposed of the suit or other proceedings." [Substituted by Amendment Act 1999, w.e.f. 1-7-2002]

"**(2) The High Court shall not, under this section, vary or reverse any decree or order against which an appeal lies either to the High Court or to any Court subordinate thereto.**"
"**(3) A revision shall not operate as a stay** of suit or other proceeding before the Court **except where such suit or proceeding is stayed by the High Court.**"
Explanation: "any case which has been decided" **includes any order made, or any order deciding an issue, in the course of a suit or other proceeding.**" [Inserted 1976]*1976: renumbered as (1), added (2)(3)+Explanation. 1999: narrowed proviso — interlocutory orders largely out. Memorise proviso + (2)+(3)+Explanation verbatim.*

3.1 Meaning, Nature, Object

- **Dictionary:** "to look again carefully with a view to correcting/improving." **Legal:** HC's **supervisory power akin to certiorari** (but narrower — only on S.115 grounds, not all jurisdictional errors as in writ).
- **Object: keep subordinates within bounds of jurisdiction; prevent arbitrary/capricious/illegal exercise; subserve, not defeat, ends of justice.** Where substantial justice done, HC will not interfere on technicality; where failure of justice/hardship, HC will interfere.
- **Discretionary + equitable:** petitioner must come with **clean hands, disclose entire case** (*Dominion of India v. Gobordhan Das; J.N. Basu v. Tarakchandra*); conduct, delay, alternative remedy, acquiescence relevant. HC may refuse even if clause (a)/(b)/(c) technically satisfied.
- **Revision vs certiorari vs superintendence:** S.115 narrower than **Art.227 (superintendence)** and **Art.226 (certiorari)**. If revision barred (e.g., proviso), writ/227 may still lie in exceptional jurisdictional failure — but cannot be used to circumvent S.115 bars routinely.

3.2 Conditions — 4 Cumulative Requirements

#	Condition	Detail + Case law
1	**"Case decided"**	**Wide:** includes **any order / issue-decision in suit/proceeding** (Explanation, 1976, on Joint Committee recommendation). *Baldevdas v. Filmistan Distributors, AIR 1970 SC 406 (Shah J.):* "case" = comprehensive import; but **every order ≠ case decided** — must decide **some right/obligation in controversy**. Examples **held revisable:** refusing to refer (S.113); setting aside ex parte decree (O.9 R.13); granting/refusing interrogatories, arrest (O.38), attachment before judgment, injunction (O.39), compromise (O.23 R.3), S.80 order, transfer order, leave to defend (O.37 — but HC rarely interferes). **Not revisable:** purely procedural adjournment with no rights decided.
2	**By Court subordinate to HC**	Any civil court subordinate (District, Civil Judge, Munsif, Small Causes). Includes orders under special statutes where civil court acts as court. **Tribunal/persona designata not revisable** unless deemed court. District Court revision in **some States** (e.g., UP amendment) — otherwise only HC.
3	**No appeal lies (to HC)**	S.115(2): if **appeal lies to HC or to subordinate court**, revision barred. "Appeal" includes **first + second appeal**. Where appeal lies but **not filed / time expired**, revision still barred (cannot circumvent). Where appeal lies on **limited grounds**, revision may lie on other jurisdictional grounds. **Alternative remedy (e.g., O.9 R.13 application) → HC may decline revision** as discretionary, though not strictly barred.

#	Condition	Detail + Case law
4	**Jurisdictional error — cl.(a)/(b)/(c)**	**Heart.** Must prove one of three clauses (below). **Mere error of fact/law ≠ revisable.** See 3.3.

3.3 Jurisdictional Error — Clauses (a)/(b)/(c) in Depth

General principle (Privy Council + SC — quote)

> *"S.115 is not directed against conclusions of law or fact in which question of jurisdiction is not involved." — Amir Hassan Khan v. Sheo Baksh Singh (PC); Manindra Land v. Bhutnath Banerjee; M.L. Sethi v. R.P. Kapur. "While exercising jurisdiction under S.115, it is not competent to HC to correct errors of fact, however gross, or errors of law, however erroneous, unless jurisdictional." HC cannot re-appreciate evidence.*

- **Error of jurisdiction v error of law/fact:** If court has jurisdiction and **decides wrongly** (even grossly), no revision. If court **assumes jurisdiction it lacks, or refuses jurisdiction it has, or exercises in illegal/irregular way going to jurisdiction**, revision lies. *Illustration:* Munsif tries suit valued beyond pecuniary limit → cl.(a). Munsif refuses to try properly valued suit saying no jurisdiction → cl.(b). Munsif tries properly but **decides without evidence / violates natural justice / ignores mandatory procedure** → cl.(c).

Clause (a): Exercise of jurisdiction not vested by law (excess/assumption)

- Trying suit **barred by law** (S.11 res judicata, S.10 stay ignored where mandatory, pecuniary/territorial excess); entertaining **time-barred appeal without condonation**; deciding **without territorial jurisdiction**; holding **Act ultra vires in violation of S.113**; accepting plaint **without court fee** and proceeding; granting relief beyond pleadings/jurisdiction.

Clause (b): Failure to exercise jurisdiction vested (refusal/omission)

- Declining to entertain **maintainable suit/appeal/application**; refusing to decide **preliminary issue** it must decide; dismissing for **non-existent bar**; refusing to **condone delay where sufficient cause proved** (jurisdictional failure); refusing to **implead necessary party / grant amendment where mandatory** (rare — usually discretionary, so HC reluctant).

Clause (c): Illegal or materially irregular exercise (manner of exercise)

- **"Illegally"** = breach of **mandatory provision / fundamental procedure** (e.g., deciding without framing issues, without evidence, violating O.41 R.31, S.35 costs illegally). **"Material irregularity"** = **serious procedural lapse affecting rights / causing failure of justice** (e.g., refusing cross-examination, deciding ex parte without service, ignoring res judicata plea going to jurisdiction).
- **Not cl.(c):** mere wrong inference, erroneous interpretation where two views possible, discretionary orders (adjournment, interrogatories) unless perverse.
- **Additional illustrations:** acting in violation of S.113 by holding Parliament Act ultra vires; accepting plaint without court fees — classic cl.(a)/(c) examples.

3.4 The Two Great Bars — Proviso to (1) + Sub-section (2) (1999 amendment)

- **Proviso to S.115(1) (1999, w.e.f. 2002) — "Finally-disposed-of test":** HC **shall not vary/reverse any order made or issue-decision in course of suit/proceeding EXCEPT where order, if made in favour of revision-petitioner, would have finally disposed of suit/proceeding.**
  Effect: **Interlocutory orders largely non-revisable.** E.g., **rejecting O.7 R.11 plaint-rejection plea → revisable?** If plaint rejected, suit ends → **YES, revisable** (had it been in favour, suit disposed). **Dismissing amendment / refusing adjournment / admitting document → NO** (suit would continue anyway). DU favourite: *"Order rejecting preliminary objection on limitation — revisable?"* Yes, because if upheld, suit dismissed.
- **S.115(2):** where **appeal lies (to HC or subordinate)**, no revision. Even if appeal lies to subordinate court (e.g., appealable order under O.43), HC cannot revise.
- **S.115(3):** revision **does not operate as stay** unless HC stays. Filing revision ≠ automatic stay — must seek stay.
- **Mechalec paradox (DU PYQ Q.4(a)/2019):** HC in revision **interfered with discretionary unconditional leave (O.37)** — SC set aside, holding HC exceeded S.115 (no jurisdictional error). Quote to show **discretionary orders rarely revised**.

4. Master Comparison + Visual Diagrams

4.1 Appeal v Reference v Review v Revision — Mega Table

Head	Appeal (Ss.96–112, O.41–45)	Reference (S.113, O.46)	Review (S.114, O.47)	Revision (S.115)
Meaning	Rehearing by **higher court** on facts + law	**Consultation:** lower court seeks HC opinion on law	**Reconsideration by same court/judge**	**Supervision:** HC checks jurisdictional legality
Provision	Ss.96–112	S.113 + O.46 Rr.1–7	S.114 + O.47 Rr.1–9	S.115 (1)(2)(3)+Exp.+Proviso
Who moves?	Aggrieved party (no suo motu)	**Court suo motu or party application** (court refers)	Aggrieved person (no suo motu generally)	Aggrieved party **or HC suo motu**
Who decides?	Superior appellate court	**High Court (opinion)**; disposal by referring court	**Same court, same judge** (R.5)	**High Court only** (some States: District Court)
Stage	After decree/order	**During pendency** (suit/appeal/execution)	**After decree/order**	After **case decided**, no appeal lies

Head	Appeal (Ss.96–112, O.41–45)	Reference (S.113, O.46)	Review (S.114, O.47)	Revision (S.115)
Grounds	Any error of fact/law/ jurisdiction	**Reasonable doubt on law** / vires challenge	**Discovery / error apparent / analogous sufficient reason**	**Jurisdictional error only** — (a) excess, (b) failure, (c) illegal-irregular
Appeal lies where appeal lies?	—	R.1 only where **no appeal**; proviso any case	**Yes** — even where appeal lies (if not preferred)	**No** — only where **no appeal lies** (S.115(2))
Further remedy	Second appeal/revision/ review	HC opinion → disposal → appealable as decree	Grant appealable (O.43 R.1(w)); rejection not; **no second review (R.9)**	**Not appealable**; writ/227 in exceptional cases
Nature	Substantive statutory right; must be heard on facts+law	Consultative; HC cannot decide merits	Exception to functus officio; strictly confined	Discretionary supervisory; equitable (clean hands)
Abatement	Abates if LRs not brought (O.22)	N/A (pending lis continues)	Abates like suit (LRs needed)	**Does not abate**; HC may add LRs anytime

5. INHERENT POWERS — Section 151 (+ Ss.148–153)

BARE ACT CPC is **procedural law** — legislature **cannot contemplate all future situations**. Ss.148–153 therefore **save complementary powers** to fill gaps. S.151 is the **salutary saving clause**: it **does not confer** power; it **acknowledges power inherent by virtue of duty to do justice** (*Manohar Lal Chopra v. Hiralal, AIR 1962 SC 527, Raghubar Dayal J.* — DU p.126).

▸ **S.151 CPC — SAVING OF INHERENT POWERS (VERBATIM — MEMORISE)** "**Nothing in this Code shall be deemed to limit or otherwise affect the inherent power of the Court to make such orders as may be necessary for the ends of justice or to prevent abuse of the process of the Court.**" *Two triggers only: (1) ends of justice, (2) prevent abuse of process. Source = necessity; breadth = coextensive with necessity (Newabganj Sugar Mills v. UOI).*

▸ **ALLIED INHERENT-POWER SECTIONS (SCHEME Ss.148–153B) S.148 – Enlargement of time:** Where period fixed/granted by Court for doing act prescribed/allowed by Code, Court **may enlarge (≤30 days total now)** even if original period expired. Discretionary ("may"); conduct relevant. Two conditions: (i) period fixed by Court, (ii) for act prescribed/allowed by Code. *Mahant Ram Dass* is the lead case.
S.149 – Deficiency of court-fees: Court may **at any stage** allow payment of deficit fee; on payment document has **same force as if paid in first instance (retrospective)**. Discretionary; only where failure due to **beyond control / bona fide**; "any stage" = while matter pending (*Banta Singh*); notice to affected party (*Buta Singh*).
S.150 – Transfer of business: Transferee court has same powers/duties (properly belongs with Ss.22–25).
S.152 – Clerical/arithmetical slips: Correct **accidental slip/omission** anytime suo motu/on application. Only **accidental, not intentional/ merits** omissions (e.g., "Rs.1000 as prayed" for Rs.10,000 suit → correctable; omitting interest claim → appeal/review, not S.152). Based on *actus curiae neminem gravabit* + duty to keep true records.
S.153 – General power to amend: Amend **defect/error in any proceeding** to determine real question (*Jai Jai Ram Manohar Lal; Purushottam Umedbhai*).
S.153A – Amendment where appeal summarily dismissed (O.41 R.11): First court may still amend under S.152 despite confirming effect.
S.153B – Open court: Trial place deemed open court.
S.148A – Caveat: Right to lodge caveat (belongs with institution, placed oddly).*Statutory scheme note: S.150 and S.148A address specific contingencies, whereas S.151 serves as the general reservoir of inherent power.*

5.1 Meaning & Juristic Basis

- **"Inherent"** = natural, inseparable, intrinsic, essential attribute of office. **Inherent powers = powers to do full and complete justice** between parties before court.
- **Ex debito justitiae:** exercised **as of debt of justice** in absence of express provision. **Cannot be exercised in contravention/conflict/ ignoring express provision** (*Durgesh Sharma v. Jayshree, AIR 2009 SC 285; Mahendra Manilal v. Sushila, AIR 1965 SC 364*).
- **Roots in necessity:** Code not exhaustive; inherent powers rescue unforeseen circumstances (*Manohar Lal*).
- **Maxims to quote:** *actus curiae neminem gravabit* (act of court shall prejudice no one); *ubi jus ibi remedium*; *quando lex aliquid alicui concedit, concedere videtur et id sine quo res ipsa esse non potest* (grant includes essentials).

5.2 Two Heads of S.151 — Ends of Justice + Abuse of Process

Head 1: "Ends of justice" (affirmative)

- **Two rules:** (a) injury should be remedied; needless expense/inconvenience avoided; (b) **not** in ends of justice if it **interferes with third-party rights or causes mischief/injustice**.
- **Illustrations courts have allowed:** recall own orders & correct mistakes; set aside ex parte order in appropriate case; **issue temporary injunction beyond O.39** (*Manohar Lal*); add/delete/transpose parties; revive execution; allow amendment; consolidate suits; stay suit beyond S.10 to avoid multiplicity; extend time (S.148); restore suit/proceeding despite peremptory order (*Mahant Ram Dass; Lachmi Narain v. Balmakund, AIR 1924 PC 198*); remand in exceptional cases (narrow).

Head 2: "Prevent abuse of process" (negative — by court or party)

- **Abuse by court:** employing procedure it never intended → miscarriage → must remedy on *actus curiae* basis (*Kanai Lal Shaw; Forasol v. ONGC*).
- **Abuse by party:** fraud on court/party (*Dadu Dayal; UP Junior Doctors*); circumventing statute (*Manilal Mohanlal; Jibon Krishna*); multiplicity/vexatious/dilatory tactics (*Nair Service Society; Jethabhai; Mula v. Babu Ram*); scandalous matter (*Shankerlal*); securing undue advantage (*Yasin Ali; Rajappa Hanamantha*).

- **Ram Chand synthesis (AIR 1966 SC 1899):** *"Whatever limitations imposed by construction on S.151, they do not control undoubted power to make suitable order to prevent abuse of process."* Striking defence for director's default under O.29 R.3 via S.151 upheld — O.29 does not expressly/impliedly preclude S.151.

5.3 Manohar Lal Principles — S.151 v Express Provisions

Padam Sen v. State of UP, AIR 1961 SC 218 (quoted in Manohar Lal, DU p.125): "Inherent powers are in addition to powers specifically conferred. They are complementary. Court is free to exercise them for S.151 purposes when exercise is not in conflict with what is expressly provided or against Legislature's intention."
Raghubar Dayal J. explanation (DU p.125): Restriction is not because controlled by Code (S.151 says "nothing shall limit") but because procedure specifically provided is presumed dictated by interests of justice.
On S.94 + O.39 (DU p.124–125): S.94 is supplemental, not exhaustive; O.39 Rr.1–2 only say when court MAY grant injunction, not that it SHALL NOT in other cases. Hence injunction beyond O.39 can issue under S.151. Maqbul Ahmad v. Onkar Pratap (PC) distinguished — that was about dispensing with Limitation Act, not S.151 which expressly saves power.

- **Substantive v procedural (DU p.125–126):** S.151 covers **procedure to be followed in deciding cause**, **not substantive rights**. Padam Sen commissioner to **seize plaintiff's books** struck down — affected substantive rights; specific power needed. Inherent powers = regulate practice/procedure.
- **Exceptional + cautious (DU p.126–127):** exercised in **very exceptional circumstances where Code lays down no procedure**; order restraining party from proceeding in another regularly-constituted court needs **great care, absolutely essential for ends of justice** (*Cohen v. Rothfield; Hyman v. Helm* — burden on applicant to show multiplicity **vexatious**, mere inconvenience ≠ vexation).

Prescribed Landmark Case Laws — Detailed Analysis

CASES #09–#10 (+ S.151)

CASE #09 Haridas Das v. Smt. Usha Rani Banik, 2006 (3) SCALE 287 (SC) — Arijit Pasayat J.

Review — S.114 + O.47 R.1 • O.2 R.2 plea on review

§ FACTS (DU PP.50–51, PARAS 1–8 — DETAILED CHRONOLOGY)

19.8.1982 — ORAL AGREEMENT Kalipada Das (original owner, respondent in review) orally agrees to sell suit property + dwelling house to appellant Haridas Das for **Rs.46,000**; receives **Rs.14,000** same day, hands over **possession**, promises registered sale deed within **3 years**.
23.8.1982 — FURTHER Rs.31,000 Total paid **Rs.45,000**; only **Rs.1,000** left for execution time.
1985 — THREAT & SUIT 201/85 + MISC. 65/85 As execution time nears, Kalipada tries to sell part to Chunnilal Deb + mortgage part to Housing Board, threatens dispossession. Haridas pays balance Rs.1,000, demands execution, files **Title Suit 201/85** for **confirmation of possession + permanent injunction** (not to dispossess/alienate), **expressly reserving right to file separate specific-performance suit** (para 7 + tail of plaint). Interim **status quo** ordered. Suit dismissed for default, later **restored**.
1986 — SUIT 1/86 (13/90) FOR SPECIFIC PERFORMANCE Haridas files second suit for **specific performance + execution of sale deed**.
PENDING 1/86 — SALE TO USHA RANI BANIK Kalipada executes registered sale deed in favour of **Usha Rani Banik (Def.3, Respondent 1)** while Haridas still in possession.
1987 — CROSS SUITS Haridas: **Title Suit 2/87** for **cancellation of Usha's deed** (illegal/fraudulent/void). Usha: **Title Suit 22/87** for **declaration of title** on basis of deed.
19.1.1989 → APPEALS → 21.8.2002 Munsiff decrees 2/87 (cancels deed). **District Judge (Title Appeal 6/90) reverses**. **Gauhati HC (Second Appeal 12/93, 21.8.2002) allows**, restores Munsiff.
REVIEW (IMPUGNED) Usha files **O.47 R.1 review** of 21.8.2002 judgment. Single Judge holds: **no leave under O.2 R.2 obtained in 201/85 → 1/86 hit by O.2 R.2 → mistake/error apparent → review allowed**, second appeal dismissed, first appellate decree restored, Munsiff reversed. Haridas appeals to SC.

☑ ISSUES (AS FRAMED BY SC)

1. Whether in facts/circumstances review under **O.47 R.1** was permissible — i.e., was there **mistake/error apparent or sufficient reason**?
2. Whether **O.2 R.2 bar** (plea from Suits 201/85 → 1/86) could be imported into Suit 2/87 on review, and whether leave was in fact not reserved?
3. Scope of **S.114 v O.47**: does S.114 itself define ambit, or do parameters come from O.47?

§ ARGUMENTS — BOTH SIDES (DU PARA 9 + INFERRED PLEADINGS)

Appellant Haridas Das (review-opponent)	Respondent Usha Rani (review-petitioner, via power-of-attorney Apu Banik + written arguments)
• HC order **clearly erroneous, overlooking scope of O.47 R.1**; parameters absent. • No **discovery, no patent error, no analogous reason**; O.2 R.2 plea **never part of 2/87 lis**, raised to rehear merits. • **Leave WAS reserved** (para 7 + plaint tail) — finding factually wrong. • Review = **appeal in disguise**; remedy was appeal, not review.	• HC **justified**; O.2 R.2 infraction = **error apparent** (failure to obtain leave bars later specific-performance suit, affecting title chain). • Error goes to **maintainability**, hence reviewable as patent jurisdictional taint. • Written arguments: "whatever to be stated is contained therein" — no oral elaboration; relied on HC's factual narration.

☑ DECISION (DU PARAS 10–18 — ARIJIT PASAYAT J.)

- **Appeal allowed; HC review judgment set aside; Second Appeal judgment (21.8.2002) restored; no costs.**

- **S.114 v O.47 (para 10):** S.114 **does not adumbrate ambit** ("may make such order as it thinks fit"); **parameters in O.47**: rehearing only "on account of some mistake/error apparent or any other sufficient reason." Former = applicant-attributable (discovery); latter = **manifestly incorrect jural action where two conclusions not possible**.
- **No rehearing because better arguments possible (para 10):** failure to highlight aspects / argue forcefully / cite precedents ≠ review. Supported by **Explanation to R.1** (subsequent reversal of law ≠ ground).
- **Circumspection where appealable (para 10):** where order appealable, aggrieved party has efficacious remedy; review with **greatest circumspection**.
- **Thungabhadra (para 10), Meera Bhanja + Aribam (para 11), Parsion Devi (para 12) — quoted verbatim (see §2.4).** Review strictly confined; erroneous merits = appellate province; non-self-evident error needing reasoning ≠ apparent.
- **Application to facts (para 17 — two fatal flaws): (1) Irrelevance:** O.2 R.2 question (whether 201/85 bars 1/86) **arose in 1/86, irrelevant to 2/87** (cancellation suit). **(2) Factual error:** HC wrong that no leave prayer — **para 7 mentions 19.8.82 agreement + plaint tail reserves specific-performance right**. Hence O.2 R.2 **no application at all**.
- **Conclusion (para 18):** HC "clearly fallen in error in accepting prayer for review"; order **contrary to law laid down**.

⍰ PRINCIPLE EVOLVED / RATIO (QUOTE IN EXAM)

> *"In order to appreciate scope of review, S.114 must be read with O.47; S.114 alone gives no ambit. Review lies only for discovery despite diligence / patent error staring in face with no two opinions / analogous sufficient reason; not for rehearing because counsel could have argued better or cited precedents; subsequent change of law is no ground (Explanation); where appeal lies, review with greatest circumspection." — Haridas Das, synthesising Thungabhadra–Meera Bhanja–Aribam–Parsion Devi.*

▸ HOW TO USE IN 10-MARKER (3–4 SENTENCES)

Haridas Das (2006) holds Gauhati HC exceeded O.47 R.1 by reviewing second-appeal judgment on an **O.2 R.2 plea from a different suit**; SC stressed S.114 gives no ambit, O.47 does; error must be **patent (Thungabhadra)**, review **strictly confined (Meera Bhanja)**, **not erroneous merits (Aribam)**, **not reasoning-detected error (Parsion Devi)**; HC's finding was both **irrelevant and factually wrong** (leave was reserved). Hence review set aside.

CASE #10 Mahant Ram Dass v. Mahant Ganga Dass, AIR 1961 SC 882 (SC) — M. Hidayatullah J.

Enlargement of time + Inherent powers — Ss.148, 149, 151 + O.47 R.1 • Peremptory/conditional orders

§ FACTS (DU PP.55–57, PARAS 1–4)

SUIT — SUB-JUDGE II, GAYA Appellant Ram Dass sues for **declaration as nominated Mahant of Moghal Juan Sangat** (by Guru Gulab Das, registered deed 21.10.44) + right to manage Sangat/offshoots. **Dismissed 31.5.47.**
APPEAL — PATNA HC 26.11.51 Appeal decided in his favour **conditionally**: pay **ad valorem court-fee on amended relief of possession**; remitted to first court for valuation.
VALUATION + PEREMPTORY ORDER 30.3.54 (RAMASWAMI + SINHA JJ.) Value = **Rs.12,178-4-0**; office to calculate fee and inform counsel; **"3 months from intimation to pay fee for trial + HC; if not paid, appeal stands dismissed; if paid, appeal allowed + suit decreed."**
INTIMATION 8.4.54 → DEADLINE 8.7.54 Deficit = **Rs.1,987-8-0**. Appellant cannot arrange money (serious illness; grain-market slump; loan failed). Counsel asks to mention before Vacation Judge on 8.7.54 — **no Division Bench sitting**.
8.7.54 — IN-TIME APPLICATION Offers **Rs.1,400 immediately + balance within month**.
13.7.54 — DISMISSED (RAMASWAMI + AHMAD JJ.) *"By virtue of 30.3.54 order appeal already stood dismissed as amount not paid in time."* No merits consideration.
2.9.54 — S.151 REJECTED (IMAM CJ + NARAYAN J.) Felt **proper remedy = review**.
S.151 + O.47 R.1 PETITION (reasons: illness, loan, slump) → 27.9.55 DISMISSED (RAMASWAMI + SINHA JJ.) Held: **not within O.47 R.1; Ss.148/149 apply only before final disposal, not after; inherent powers also barred for same reason**. Ramaswami J. expresses **sympathy but refuses** ("sentiment is dangerous will-o-the-wisp" — *Latham v. Johnson*).
CERTIFICATE (BANERJI + CHAUDHARY JJ.) → SC APPEAL (ex parte — none contests)

⍰ ISSUE

Short question (DU para 5): Whether HC, having **peremptorily fixed period** ("appeal stands dismissed"), was **powerless to enlarge time** — even though **extension application was filed BEFORE expiry** but heard after? Ancillary: interplay of **Ss.148, 149, 151 + O.47 R.1** after conditional/peremptory order.

§ ARGUMENTS

Appellant (from petition/affidavit — ex parte in SC)	High Court's reasoning (as respondent-view, since none appeared in SC)
• **Sufficient cause:** serious illness, grain slump, loan efforts; bona fide part-payment offer; vacation Bench unavailable. • **S.148 in terms allows extension even after expiry**; S.149 equally liberal; *a fortiori* when applied in time — order would **relate back to 8.7.54**. • **S.151 inherent + O.47 R.1** permit moulding; peremptory orders are **in terrorem**, not jurisdictional ouster (*Lachmi Narain PC*). • Robbery hypothetical: litigant waylaid day before deadline — surely extendable.	• **Peremptory order = final disposal**; once time expired, appeal "stood dismissed" — Ss.148/149/S.151 cannot revive finally-disposed case; extension only **before final order actually made**. • O.47 R.1 inapplicable — **no discovery/error/sufficient reason** on face. • Sympathy cannot override legal principle (*Latham*).

⎚ DECISION (HIDAYATULLAH J., DU PP.56-57, PARAS 5-6)

- **Orders of 13.7.54 + subsequent orders set aside; dismissal of appeal/suit set aside; 2 months fresh time from SC judgment to pay deficit; no costs (ex parte); warning: "after lesson, appellant will not ask vainly for more indulgence." No remand — SC itself satisfied sufficient cause made out (avoid delay).**
- **Application filed in time, not considered (para 5):** HC went by **letter of original order**, ignored that petition was **before expiry**; vacation + no Bench should have been considered; order even if passed 13.7.54 would have **operated from 8.7.54**. If HC had **considered and rejected on merits**, other considerations might arise — but it did not.
- **S.148/S.149 liberal (para 5):** S.148 **"in terms allows extension even if original period expired"**; S.149 equally liberal; *a fortiori* invocable when time had **not actually expired**.
- **Peremptory orders doctrine (para 5 — QUOTE):** *"How undesirable to fix time peremptorily for future happening leaving Court powerless… Such procedural orders, though peremptory (conditional decrees apart) are in essence in terrorem, so dilatory litigants put themselves in order and avoid delay. They do not completely estop Court from taking note of events within time fixed… Such orders are not like law of Medes and Persians."* Robbery illustration + *Lachmi Narain Marwari v. Balmakund (AIR 1924 PC 198, Lord Philimore)* — courts mould practice to restore despite final order; prompt obedience still important.
- **Inherent powers available on both occasions (para 5):** HC **could have exercised powers 13.7.54 (timely petition) and again on S.151 petitions**; Ss.148/149 would have **"clothed them with ample power to do justice"**; HC **erroneously felt unable to come to aid** despite sympathy. "Time should have been extended 13.7.54 if sufficient cause, and again on inherent petitions."

⎚ PRINCIPLE EVOLVED / RATIO

"Conditional/peremptory procedural orders ('in default appeal stands dismissed') are in terrorem, not jurisdictional self-denial; S.148 permits extension even after expiry, S.149 retrospectively validates fee, and S.151 preserves power to advance justice on sufficient cause — especially where extension sought before expiry but heard after. Court must consider merits (illness, market, diligence, part-payment, vacation), not dismiss on letter." — Mahant Ram Dass. Relied in Johri Singh v. Sukh Pal (1989); Chinnamarkathian; Ganesh Prasad on discretionary extension.

▸ HOW TO USE IN EXAM (S.151 OR S.148 ANSWER)

Mahant Ram Dass (1961): Patna HC's peremptory 3-month fee order; in-time extension + S.151/review rejected as "already dismissed/finally disposed"; SC (Hidayatullah J.) held Ss.148/149 + S.151 gave **ample power**, peremptory orders **in terrorem, not Medes-Persians**, time relates back, sufficient cause (illness/slump) → dismissal set aside, 2 months granted. Use for: **S.148 conditions, peremptory orders, S.151 gap-filling, sufficient cause, retrospective fee validation**.

Allied Leading Authority on Section 151 — Manohar Lal Chopra v. Rai Bahadur Rao Raja Seth Hiralal (AIR 1962 SC 527)

Ratio on S. 151: Inherent power is not conferred by the Code; it is a power inherent in the court by virtue of its duty to do justice (*ex debito justitiae*), expressly saved by S. 151. While S. 151 cannot be exercised so as to conflict with or override express provisions of the Code (e.g., staying a suit outside the strict terms of S. 10), Order XXXIX is not exhaustive of temporary injunctions and courts may grant interim injunctions under S. 151 where O. XXXIX does not apply. **[Full detailed brief at Chapter 8, Case #23]**.

PYQ ARCHIVE // CH.03 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 `Q.2(b)/2019 (also Q.4(a)/2017 [10 marks] & Q.6(b)/2018)` "Distinguish between Revision, Review and Reference. Can there be a second review?"

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 `Q.4(b)/2019 (also Q.5(b)/2017, Q.6(a)/2018)` "Identify tests for granting temporary injunction to preserve status quo. Discuss with case laws." [S.94 + O.39 + S.151]

Q.3 `Q.4(a)/2019` Mechalec Engineers v. Basic Equipment (AIR 1977 SC 577) — O.37 leave + S.115 interference [Revision use-case]

`MODULE 04 // PART A · TOPICS 9 & 10` Cases #11-#14

Parties to Suits (Joinder, Misjoinder & Non-Joinder) & Amendment of Pleadings

Order I Rules 1-13 (esp. Rr. 1, 3, 9, 10) · Order VI Rule 17 & Proviso · Section 21 Limitation Act

1. PARTIES TO SUITS — Order I (Rr.1–13)

`BARE ACT` **Order I** deals with **who may/must be parties**, joinder, representative suits, and cures for wrong joinder. It also touches joinder of causes (with O.2) and representative suits (R.8). Question of joinder **arises only when act done by/affecting 2+ persons** (A assaults B = no joinder; A assaults B+C or A+B assault C = joinder).

▸ O.1 R.1 — WHO MAY BE JOINED AS PLAINTIFFS (1976 SUBSTITUTION) **"All persons may be joined in one suit as plaintiffs where— (a) any right to relief in respect of, or arising out of, the same act or transaction or series of acts or transactions is alleged to exist in such persons, whether jointly, severally or in the alternative; and (b) if such persons brought separate suits, any common question of law or fact would arise."** *Two cumulative conditions joined by "and" — both must be satisfied (Stroud v. Lawson; Sudhansu Sekhar; Krishna Laxman). Object: avoid multiplicity + expenses (Iswar Bhai v. Harihar Behera).*

▸ **O.1 R.2 — SEPARATE TRIAL (PLAINTIFFS)** "Where it appears that joinder of plaintiffs may **embarrass or delay trial**, Court may **put plaintiffs to election or order separate trials or make such other order as expedient**."

▸ **O.1 R.3 — WHO MAY BE JOINED AS DEFENDANTS (1976) + R.3A** "**All persons may be joined as defendants where— (a) any right to relief … arising out of same act/transaction/series … is alleged to exist against such persons, jointly/severally/alternatively; and (b) if separate suits were brought, any common question of law or fact would arise.**"
R.3A (1976): If joinder of defendants may embarrass/delay trial, Court may **order separate trials or other expedient order in interests of justice**.*"And" = cumulative (Stroud; Sant Singh v. Deo Ram; Govindaraja FB). Object: avoid multiplicity (Iswar Bhai; State Bank of Patiala).*

▸ **O.1 Rr.4–7 — SUPPLEMENTARY JOINDER RULES R.4:** Judgment may be given **without amendment** for such plaintiffs entitled / against such defendants liable according to respective liabilities.
R.5: Defendant **need not be interested in all relief** claimed.
R.6: Plaintiff may **at option join all/any persons severally or jointly+severally liable on one contract** (incl. bills/hundis/promissory notes).
R.7: Where plaintiff **in doubt from whom redress** due, may **join 2+ defendants** so liability/extent determined inter se.

1.1 Twin Conditions + Illustrations

Rule	Condition (i): same act/ transaction	Condition (ii): common Q of law/fact	Illustrations
R.1 Plaintiffs	Right to relief in each plaintiff arises from **same act/transaction/series**	Separate suits would raise **common Q**	+ **Joint oil contract:** A agrees jointly with B+C to sell 100 tins, refuses — B+C sue jointly (same breach + common Q). + **Simultaneous assault:** A assaults B+C together — joint suit. x **Separate oil contracts:** A contracts separately with B and C (same day/price) — **different transactions → cannot join**.
R.3 Defendants	Right against them from **same act/transaction/ series**	Separate suits would raise **common Q**	+ **Bus-car collision injuring passer-by A:** join bus owner B + car owner C (same collision + common negligence Q; R.7 doubt also). + **Joint assault:** B+C assault A — join both. x **4 separate oil contracts (B,C,D,E with A): 4 transactions → cannot join**.

! DOUBLE MISJOINDER
If **neither plaintiffs nor defendants jointly interested** and no common transaction/Q — suit bad for **double misjoinder** (misjoinder of plaintiffs + causes AND defendants + causes). Also see O.2 Rr.3–7 (joinder of causes). Court may order **separate trials (Rr.2, 3A)** instead of dismissing.

1.2 Necessary Party v Proper Party — The Core Distinction (2 tests)

FC/SC definition (Atiqa Begum; Udit Narain Singh; Ramesh Hirachand; Kasturi v. Iyyamperumal): "Necessary party = presence indispensable to constitution of suit, against whom relief sought, without whom no effective order can be passed. Proper party = effective order possible without, but presence necessary for complete/final decision ('effectually and completely')." In absence of necessary → no decree; in absence of proper → decree as to parties before court, but adjudication incomplete.

Two tests (Hardeva v. Ismail FB; Kasturi; Benares Bank FB — quote): (1) **Right to some relief** against such party in respect of matter involved; **AND** (2) **Effective decree impossible** in absence. Both must concur for "necessary".

Necessary party (examples)	Proper party (examples)
• All **sharers in partition** suit • **Auction-purchaser** in suit to set aside public auction • **Selected/appointed candidates** in challenge to selection (directly affected — *Ranjeet Mal; Prabodh Verma*) • Co-owner where joint right inseparable (subject to proof — *Laxmi Shankar; Vishwanath Pillai*)	• **Subtenant** in landlord v tenant possession suit • **Grandsons** in sons v father partition • **Local authority (beneficiary)** in land-acquisition reference (*UP Awas v. Gyan Devi*) • Person with **fair semblance of title** seeking impleadment (*Md. Sabir Ansari*); administrator-suit transacting parties (*Babulal Khandelwal*)

▸ **EXAM TRAP: CO-OWNER SUITS**
Pal Singh v. Sunder Singh; Laxmi Shankar v. Yash Ram; Vishwanath Pillai: **one co-owner can maintain eviction/possession vs stranger** if other co-owners do not object; vague plea of non-joinder without **evidence (pedigree/revenue record)** fails — **cannot dismiss for non-joinder without proof** of necessary party. *B.P. Rao (1985 Supp):* where absent persons' interests **identical + sufficiently represented** by parties before court → **not dismissed**.

1.3 Misjoinder v Non-joinder + Effect (O.1 R.9 + Proviso, 1976)

▸ **O.1 R.9 — MISJOINDER AND NON-JOINDER (VERBATIM)** "**No suit shall be defeated by reason of the misjoinder or non-joinder of parties, and the Court may in every suit deal with the matter in controversy so far as regards the rights and interests of the parties actually before it: Provided that nothing in this rule shall apply to non-joinder of a necessary party.**"*1976 proviso added — general saving rule does NOT save absence of necessary party.*

Head	Non-joinder	Misjoinder
Meaning	Necessary/proper person **not joined** though should be	2+ persons joined as plaintiffs/defendants **in contravention of R.1/R.3**, being **neither necessary nor proper**

Head	Non-joinder	Misjoinder
Sub-types	Non-joinder of **necessary** (fatal) vs **proper** (not fatal)	Misjoinder of **plaintiffs** (no same transaction/common Q) / **defendants** (reverse) / **double**
Effect	**Necessary → suit liable to dismissal** (no effective decree); **Proper → court may proceed** for parties before it or **add under R.10**	**Not fatal** — court deals with parties before it; may order **separate trials (Rr.2/3A), strike out (R.10(2))**
Objection	Must be taken **at earliest, at/before settlement of issues** (R.13), else **waived** — except ground subsequently arising; but **necessary-party defect goes to root** — court may still notice.	

1.4 Cure — Addition/Substitution/Striking Out (O.1 R.10) + Limitation (S.21)

▸ **O.1 R.10 — SUIT IN WRONG PLAINTIFF + ADD/STRIKE (SUMMARY) R.10(1) Wrong plaintiff:** Suit in name of **wrong person** or doubt as to right plaintiff → Court at **any stage**, if **bona fide mistake + necessary for real matter**, may **substitute/add plaintiff** on just terms. *Ill.: C (agent of A) sues B in own name by bona fide mistake → substitute A.*
R.10(2) Strike/add: At any stage, suo motu/on application, on just terms — **strike out improperly joined** (plaintiff/defendant) AND **add person who ought to have been joined OR whose presence necessary to effectually+completely adjudicate all questions**. Two alternative grounds.
R.10(3): No person added as plaintiff / next friend without consent (cannot force litigation).
R.10(4): Where defendant added → **amend plaint** (unless court directs otherwise) + **serve amended summons+plaint** on new (+ if fit, original) defendant.
R.10(5): Subject to **Limitation Act S.22 (now S.21, 1963)**, proceedings vs added defendant deemed begun **only on service of summons**.
Rr.11–12: Court may give **conduct of suit** to proper person; one of several plaintiffs/defendants may **authorise another in writing** to appear/plead/act.

- **When R.10(2):** (i) ought to have been joined (necessary/proper), OR (ii) presence necessary for complete decision. Court looks for **fair semblance of title/interest**, not success chances (*Md. Sabir*). Allowed **at any stage incl. appeal**, on terms.
- **S.21 Limitation link (PYQ): S.21(1):** added/substituted plaintiff/defendant → suit deemed instituted **when made party** (limitation runs till then). **Proviso:** if omission due to **good-faith mistake**, court may direct **relation-back to earlier date** (*Ram Prasad v. Vijay Kumar; Karuppaswamy v. Ramamurthy — dead defendant, prompt bona fide action → relate back*). **S.21(2) exceptions (no fresh limitation):** assignment/devolution, plaintiff↔defendant transposition, purchaser pendente lite stepping into shoes (*K.S. Lokaiah*). S.21 **only addition, not transposition; only suits, not execution**.
- **Jai Jai Ram link:** misdescription correction under O.1 R.10 / S.153 / O.6 R.17 **relates back to original institution** (not S.21 new party) — no limitation issue.

▸ **O.1 R.13 — OBJECTIONS AS TO NON-JOINDER/MISJOINDER (VERBATIM)** "**All objections on ground of non-joinder or misjoinder shall be taken at earliest possible opportunity and, where issues settled, at or before such settlement, unless ground subsequently arose, and any such objection not so taken shall be deemed waived.**"*With O.2 R.7 (misjoinder of causes) — early-objection + waiver policy; prevents ambush after trial.*

O.1 R.8 REPRESENTATIVE SUIT (CONTEXT — 1 PARA)
Where **numerous persons, same interest** — one+ may sue/defend for all **with permission/direction**; court gives **notice at plaintiff's expense** (personal/advertisement); any interested may **apply to be added**; **no abandon/withdraw/compromise without notice**; non-diligent representative may be **substituted**; decree **binding on all**. Explanation: **same interest ≠ same cause of action**. *Bhupendra Singh v. Municipal Council.* R.8A: court may permit **amicus-type opinion** on Q of law in public interest.

2. AMENDMENT OF PLEADINGS — Order VI, Rule 17 (+ Proviso, R.18)

BARE ACT **Pleading = plaint or written statement** (O.6 R.1: written statements of respective contentions and material details). **Object (Throp v. Holdsworth, Jessel MR; Sayad Muhammad; Ganesh Trading):** bring parties to **definite issues**, narrow conflict, prevent surprise/enlargement, diminish expense/delay, guide trial/burden/evidence/relief. **O.6 R.2:** concise **material facts, not evidence/law** (plead facts not law; mixed Q plead; material = primary facts to prove cause/defence — *Udhav Singh; Virender Nath*; particulars = amplification). **R.7 (Departure):** no new/inconsistent ground except by amendment. **R.16:** strike out unnecessary/scandalous/frivolous/vexatious/prejudicing/abusing matter. **Rr.17–18** govern amendment.

▸ **O.6 R.17 — AMENDMENT OF PLEADINGS (2002 SUBSTITUTION — VERBATIM, MEMORISE)** "**The Court may at any stage of the proceedings allow either party to alter or amend his pleadings in such manner and on such terms as may be just, and all such amendments shall be made as may be necessary for the purpose of determining the real questions in controversy between the parties: Provided that no application for amendment shall be allowed after the trial has commenced, unless the Court comes to the conclusion that in spite of due diligence, the party could not have raised the matter before the commencement of trial.**""*May*" = discretionary, judicial. *Pre-2002: pure "at any stage"; 2002 proviso adds due-diligence bar post-commencement (applies from 1–7–2002).*

▸ **O.6 R.18 — FAILURE TO AMEND AFTER ORDER** "If party obtaining leave does not amend **within time limited or 14 days** (if no time), he **shall not be permitted after** unless time extended."*With S.148 extension + costs; prevents stale leaves.*

2.1 Object — Handmaid, Not Punishment

"Rules of procedure are intended to be a handmaid to administration of justice. A party cannot be refused just relief merely because of mistake, negligence, inadvertence or even infraction of procedure. Court always gives leave unless mala fide or opponent injured beyond costs. However negligent/late, allow if without injustice." — Jai Jai Ram (Shah J.), quoting Amulakchand; Ganesh Trading (Beg CJ.):
"Procedural law to facilitate, not obstruct substantive justice; pleadings to give intimation, determine real issue, prevent deviation."
"Object of courts is to decide rights, not punish mistakes… Courts don't exist for discipline but for deciding matters; amendment as of right

if without injustice." — Cropper/Cooper v. Smith, Bowen LJ. "All amendments ought to be allowed satisfying (a) no injustice + (b) necessary for real Q." — Kisandas v. Vithoba.

- **Dominant purpose (PYQ):** try **merits**, **prevent multiplicity**, minimise litigation, do **complete justice** (court may allow even if relief within limitation; costs compensate).
- **Ganga Bai caution (DU BK Pillai):** power **wide, at any stage, limitation notwithstanding — but far-reaching discretion governed by judicial considerations; wider discretion → greater care/circumspection**.

2.2 "At Any Stage" + 2002 Proviso — Due Diligence

- **"At any stage" (pre-proviso scope):** before/at/after trial, **first appeal, second appeal, revision, Supreme Court, even execution** (if decree legal/enforceable) — **not governed by limitation as such**. Trial court ordinarily grants; appellate/revisional/SC also can.
- **Proviso (2002) bar:** after **trial commenced** (issues framed + evidence begins — filing affidavit/examination), **no amendment unless court concludes due diligence despite, matter could not be raised before commencement**. *Van Vibhag (2011):* specific-performance plea after **11 years → refused**. *South Konkan (2009):* **extremely liberal if refusal = irreparable loss** and allows ultimate justice / avoids further litigation — proviso applied with justice-lens.
- **Q.3/2020 OBE (25m) + Q.2(a)/2018:** firm-name correction **even after trial** — misdescription clarification, **diligence shown (prompt on objection)**, no new case → **allow (Jai Jai Ram)**; proviso satisfied or inapplicable (not new matter, only proper description).
- **Rajesh Kumar Aggarwal v. K.K. Modi (2006):** restates R.17 + proviso + object (merits + no injustice/prejudice).

2.3 Two Cardinal Tests (Kisandas — apply to every problem)

Test	Question to ask	If YES/NO
(a) Necessary for real Q?	Is amendment **necessary to determine real questions in controversy** (not merely technical/useless)?	YES → favour allow; NO → refuse.
(b) Without injustice?	Can it be allowed **without injustice** to other side (compensable by **costs/other terms + opportunity to meet**)?	YES → allow (even if negligent/late — *Clarpede*); NO (accrued right lost / wholly displaced / mala fide) → refuse.

Clarpede v. Commercial Union: **negligence/carelessness/lateness immaterial** if compensable in money — no injustice. Court applies **judicial mind, hears both sides**; wholly discretionary.

2.4 When Leave REFUSED — Dalip 9

Grounds for Refusing Leave to Amend

1. Not necessary for real Q (merely technical/useless/no substance).
2. **Plaintiff's suit wholly displaced** by proposed amendment (*Steward v. North Metropolitan Tramways, 1886*).
3. Takes away **legal right accrued by lapse of time** (*Weldon v. Neal*).
4. Introduces **totally different, new, inconsistent case at belated stage**.
5. Application **not in good faith**.

Core Tests Governing Refusal of Amendment

1. Not necessary for real Q.
2. **Wholly displaces / new-inconsistent / changes fundamental character** — *Steward* (tramway liability shifted to local authority after limitation vs authority expired; had it been pleaded earlier plaintiff could have sued authority → refused). **Pollock B test (quote):** *"Whether defendants can amend without placing plaintiff in position he cannot be recouped by costs/otherwise. Here action wholly displaced → ought not be allowed."* Straight J.: cannot fail on one case then succeed on antagonistic other.
3. **Accrued right by time** — *Weldon v. Neal (1887)* (slander → add assault/false imprisonment after limitation → refused). **Not universal:** limitation is **one factor, not power-ouster** (*Ganga Bai; Arundhati Mishra*); **Charan Das v. Amir Khan (Buckmaster — quote):** *"Full power cannot be disputed; as rule not exercised to take accrued right, yet cases where outweighed by special circumstances."*
4. **Mala fide** — no substantial ground / defeat-delay / reagitate / afterthought to avert inevitable (*Pirgonda; Jai Jai Ram; Patasibai; Kanakarathanammal*).

Dalip Kaur 9 principles (DU p.67 — P&H synthesis of AIR 1967/1974/1978 — quote in full)

1. Allow all **necessary for real controversies**.
2. Not **alter/substitute cause of action** of original lis.
3. No **inconsistent/contradictory in negation of admitted facts or mutually destructive** allegations.
4. No **prejudice uncompensable by costs**.
5. No **time-barred claim/relief**.
6. No **defeating accrued legal right by lapse**.
7. No suffering on **technicalities; minimise litigation**.
8. **Delay compensated by costs**.
9. **Non-fraudulent error/mistake ≠ ground to reject**.

▸ **"WELL-SETTLED RULE" COMMENT (Q.4(b)/2017 10m — ONE PARA)**
"All amendments should be permitted as necessary for determining real question in controversy, unless injustice results." Illustrates *Jai Jai Ram/Purushottam/Amulakchand* rule: handmaid, merits over technicality, costs cure negligence/lateness, but bars wholly-displacing (*Steward*), accrued-right (*Weldon/Charan Das*), new-inconsistent, mala fide amendments; delay→costs; error→allow. See §2.1–2.4 + cases.

2.5 Cause of Action Doctrine — New Case vs Additional Approach (A.K. Gupta — heart of Ganesh/BK Pillai)

> *"General rule: no new case/new cause of action, especially if suit on new case time-barred (Weldon v. Neal). But where amendment is no more than different/additional approach to same facts, allow even after limitation (Charan Das; L.J. Leach v. Jardine Skinner). Reasons: (1) courts decide rights, not punish mistakes (Cropper v. Smith); (2) party cannot rely on limitation when substance already in pleading (Kisandas; Pirgonda)." — A.K. Gupta v. Damodar Valley, AIR 1967 SC 96 (majority), quoted DU Ganesh para 9–10 + BK Pillai para 4.*
> *"'Cause of action' ≠ every material fact (Cooke v. Gill). For amendment, new claim on new basis constituted by new facts (Robinson v. Unicos); 'new case' = new set of ideas (Dornan). No amendment introducing new ideas to prejudice right acquired by lapse." — A.K. Gupta p.98.*

- **Ganesh gloss (Beg CJ., DU p.63):** cause = **whole bundle of essential facts antecedent to suit**; mere **failure to set out essential fact ≠ new cause**; defective pleadings **curable if cause not ab initio completely absent** (even very defective → cure with court-fee/costs); **refuse ordinarily only if lapse bars newly-constituted cause**.
- **Applications:** adding **money-recovery to declaratory suit (A.K. Gupta) → allowed** (same contract, additional approach); adding **title history to O.21 R.103 suit (Pirgonda) → allowed** (no new case, no surprise, costs); adding **dissolution facts to clarify capacity (Ganesh) → allowed**; adding **alternative S.60(b) plea to WS (BK Pillai) → allowed** (extension of plaintiff's plea, no admission withdrawn).
- **Puran Ram v. Bhaguram (2008):** correcting **property description in specific-performance suit** (S.26 Specific Relief proviso permits) → **no limitation/character change**, no fresh suit needed.

2.6 Plaint v Written Statement — Defendant More Favoured + Admission Rule

- **Same principles, more generous to WS:** prejudice less likely; defendant may take **alternative/inconsistent pleas** (lease + licence-irrevocable) unless **injustice or admission withdrawn** (*BK Pillai*).
- **Admission withdrawal bar —** *Heeralal v. Kalyan Mal, AIR 1998 SC 618*: once WS **admits in plaintiff's favour, cannot withdraw by amendment if it wholly displaces plaintiff's case + irretrievable prejudice**. *Modi Spg. v. Ladha Ram; Ishaq v. Iqbal; Suraj Prakash; Jagan Nath* — same.
- **PYQ tenant (Q.2(a)/2019):** B admits **tenancy + paid without receipt** → seeks to deny tenancy → **withdraws admission + wholly displaces A's rent suit + inconsistent/mutually destructive → refuse** (Steward; Heeralal).
- **BK Pillai distinction:** lessee plea + **alternative** "if licensee then irrevocable S.60(b) + limitation + permanent works" → **neither inconsistent nor admission withdrawn**, only extension/rebuttal to eviction issue → **allow with arrears + Rs.3000 costs**. Delay alone ≠ refuse if compensable.
- **Narinder Singh (DLT):** specific-performance plaintiff adding **lease-extension relief to save infructuous suit, taking away termination right → refuse**.

3. Master Tables + Flowcharts + Diagrams

3.1 Necessary v Proper v Pro Forma — Ready Table

Head	Necessary party	Proper party	Pro forma / Neither (misjoinder)
Test	Relief sought + **effective decree impossible** without	Effective decree possible, but **complete decision needs** presence	No relief + not needed for complete decision
Absence effect	**Fatal — suit liable to dismissal** (R.9 proviso)	**Not fatal** — proceed or add (R.10)	Strike out (R.10(2)) / separate trial
Examples	Sharers (partition), auction-purchaser, selectees	Subtenant, grandsons, beneficiary authority	Stranger with no semblance of interest
Cure	**Must add** (R.10); S.21 relation-back if bona fide	**May add** if effectual adjudication	Strike out

Prescribed Landmark Case Laws — Detailed Analysis CASES #11–#14

CASE #11 **Jai Jai Ram Manohar Lal v. National Building Material Supply Co., AIR 1969 SC 1267 — J.C. Shah J.**
DU LB-302 Case 11, pp.58-61 • Misdescription vs non-existent • O.6 R.17 / S.153 • Limitation relation-back

§ FACTS (DU PP.58-59, PARAS 1-4)

11.3.1950 — SUIT (SUB-JUDGE NAINITAL) Manohar Lal s/o Jai Jai Ram sues National Building Material Supply, Gurgaon for **Rs.10,139/12 (timber supplied)**. Action in business name **"Jai Jai Ram Manohar Lal"** (commission agency); signed/verified **"by pen of Manohar Lal"**. Defendant: plaintiff **unregistered firm → incompetent to sue**.
18.7.1952 — AMENDMENT APPLICATION (no reply by defendant) Manohar: business name shows **Manohar owner/proprietor, joint HUF business, known to all, not assumed/fictitious**; seeks cause-title **"Manohar Lal proprietor of Jai Jai Ram Manohar Lal"** + para 1 (timber in that name). **Sub-Judge allows:** real plaintiff Manohar, intended+filed action, amendment brings **effect in conformity with fact**.
SUPPLEMENTARY WS Defendant: (1) Manohar **not sole owner** (brothers co-owners); (2) amendment **effective 18.7.52 → suit time-barred**.
TRIAL DECREE Rs.6,568/6/3 → ALLAHABAD HC APPEAL HC: action by **"non-existing person"**; no **bona fide mistake averment** → Sub-Judge incompetent; citing *Purushottam Umedbhai (AIR 1961 SC 325)*, should have sued as **Karta representative / all coparceners**; business-title suit = **nullity, unamendable**; substitution from 18.7.52 **prospective, time-barred**. Plaintiff: special leave.

☑ ISSUES

1. Whether suit in business name was by **non-existent person (nullity)** or **misdescription of existing person (curable)**?
2. Whether amendment requires **express bona fide-mistake averment**, and whether it **relates back or prospective + time-barred**?
3. Scope of **O.6 R.17 / S.153** and **Purushottam/Amulakchand** applicability?

§ ARGUMENTS

Plaintiff Manohar Lal	Defendant National Building + HC view
• Real plaintiff always Manohar (HUF manager, competent); business name **misdescription**; amendment merely **proper description for real Q**. • No **bona fide-averment rule**; power serves ends, not narrow technicality. • **Relates back to 1950** — no limitation issue; defendant persisted in meritless plea → costs.	• **Non-existing person / unregistered firm** cannot sue; nullity **cannot be amended into person**. • No bona fide plea → incompetent; should be **Karta/all members** (*Purushottam*). • Amendment **adds new plaintiff 18.7.52 → time-barred** (limitation accrued).

☑ DECISION (SHAH J., DU PP.59-61, PARAS 5-9)

- **Appeal allowed; HC set aside; trial amendment restored; remanded to HC on merits; defendant pays costs (HC + SC)** for meritless persistence.
- **Handmaid quote (para 5) + Beaumont test (***Amulakchand, AIR 1933 Bom 304***):** *"Non-existent → nullity, no cure; misdescription → prima facie amend, loss compensable by costs."* Amulakchand: HUF firm-name suit → **substitute 3 members → ought to have been allowed** (not O.30 case).
- *Purushottam Umedbhai* **(para 6, p.994):** firm outside India suing in firm name (no O.30 privilege) = **misdescribing partners collectively, not nullity**; plaint by all partners with **defective description**; amend under **S.153 (possibly O.6 R.17 — no opinion)** to assist real Q. **Illustrates well-settled rule:** permit all amendments necessary for real Q unless injustice.
- **Application (paras 7-8):** Manohar competent as **HUF manager**, sued for family in business name; **no rule requiring express bona fide averment** — power not governed by narrow technical limits; being **mere misdescription → deemed instituted in real name on original date → no limitation Q**.

☑ RATIO (QUOTE)

> *"Misdescription of existing plaintiff (business/firm name for real manager/partners) is curable by amendment relating back; only suit by truly non-existent person is nullity. Amendment power serves ends of justice, unfettered by technical bona fide-averment requirement; costs cure blunder unless mala fide/irreparable injury." Use for every firm/HUF/partnership name problem (Ghasita Ram, Q.3/2020).*

CASE #12 M/s Ganesh Trading Co. v. Moji Ram, AIR 1978 SC 484 — M.H. Beg CJ.

DU Case 12, pp.62-66 • Pleading rules + cause-of-action bundle + capacity clarification + S.69 Partnership • Exceptional SC interference in interlocutory order

§ FACTS (DU PP.62-64, PARAS 1-8)

SC INTERVENTION RATIONALE (para 1) Normally SC does not interfere in interlocutory amendment orders, but does so **exceptionally to promote uniform standards + prevent obvious failure of justice**.
PLEADING RULES SUMMARY (paras 2-4) O.6 R.4 (particulars), R.6 (conditions precedent in issue), R.5 (further/better particulars on just terms), R.7 (no departure except by amendment) → R.17 text. Provisions **promote, not defeat, ends**; inefficiency curable with **costs + opportunity** unless **unjustifiably injures accrued rights**.
SUIT 24.8.73 — PROMISSORY NOTE 25.8.70, Rs.68,000 M/s Ganesh Trading Co., Karnal **through partner Jai Prakash**; non-payment = real basis; filed just before limitation expiry. WS 5.6.74: denies + **S.69 Partnership bar (unregistered firm)**.
AMENDMENT 31.8.74 — DISSOLUTION 15.7.73 Inadvertent omission: firm **dissolved 15.7.73 (deed) + shares**; heading to **"dissolved firm through ex-partner Jai Prakash"** for true perspective + ends. **Trial 8.4.75 refuses (new cause); HC affirms:** change based on **new facts (dissolution pre-suit)**, not mere misdescription, cause same? No — new basis.

☑ ISSUES

1. Whether dissolution/capacity averments = **new cause of action / new claim on new facts** (barred) or **clarification/capacity notice** (allowable)?
2. Meaning of **cause of action, new case, limitation** in amendment context; applicability of *A.K. Gupta/Charan Das/Leach/Jai Jai Ram*?
3. Whether dissolved firm = **non-existent** (S.69) or **continues for winding-up incl. suits**?

§ ARGUMENTS

Plaintiff Ganesh Trading (appellant)	Defendant Moji Ram + Trial/HC view
• Same note, same money, same plaintiff partner — only **capacity + notice to avoid technical S.69 objection**; what would be **proved anyway**, now pleaded abundantly. • **Additional approach to same facts** (*Leach*), substance already there; **Jai Jai Ram** condemns hyper-technicality; dissolved firm **exists for winding-up** (*Agarwal-Bose J.*).	• **New facts (dissolution, shares, deed)** → new basis → **new claim**; heading change not misdescription. • *A.K. Gupta* bars new cause especially if time-barred; unregistered firm incompetent (S.69).

⚖ DECISION (BEG CJ., DU PP.63-66, PARAS 4-17)

- **Appeal allowed; trial + HC orders set aside; amendment allowed; remanded to trial.**
- **Cause doctrine (para 5):** altering cause to **substitute new plaint/new inconsistent cause depriving accrued time-right → refuse**; but **mere failure to set out essential fact ≠ new cause**. Cause = **whole bundle of essential facts antecedent to suit**; defective curable **if not ab initio completely absent** (even very defective + fee/costs); **refuse ordinarily only if lapse bars newly-constituted cause**.
- *A.K. Gupta* **(paras 9–10, AIR 1967 SC 96 — declaratory → add money relief in second appeal, allowed by majority despite S.42 Specific Relief reversal below):** rule bars new cause especially if time-barred, but **different/additional approach to same facts allowed even after limitation; object = decide rights not punish; no limitation Q if clarification; Cooke v. Gill distinguished; Robinson/Dornan definitions** (quoted verbatim — see §2.5).
- *Jai Jai Ram* **(para 11):** HC **failed to follow** — there too **time-bar objection + hyper-technical non-existing view reversed**; handmaid quote reaffirmed.
- *Purushottam* **(para 12, S.4 Partnership + O.30):** firm name = **compendious for partners collectively**; O.30 enabling for India firms; outside-India plaint = **suit by partners individually with defective description**.
- **Approvals (paras 13–15):** *Mohan Singh v. Kanshi Ram (Narula CJ.)* correct (follows Jai Jai Ram); *Ippili Satyanarayana (AP)* (no prejudice); *Agarwal Jorawarmal v. Kasam (Bose J., Nagpur): "Dissolution does not render firm non-existent; continues for winding-up incl. recovery by suit."*
- **Application (paras 14,16):** suit by **one partner of dissolved firm — capacity specification changes neither character/pleadings/cause nor identity**; amendment only **notice of provable facts, abundantly cautious** vs O.6 R.7 objection.

⚖ RATIO

> *"Capacity-clarifying amendment (dissolution/shares) to same claim on same facts is not new cause/new ideas; defective pleadings curable with costs/fee unless newly-constituted cause time-barred; dissolved firm persists for suits; hyper-technical S.69/misdescription objections rejected." Master citation for cause-of-action + limitation in every amendment answer.*

CASE #13 Dalip Kaur v. Major Singh, AIR 1996 P&H 107 — R.P. Sethi J. (P&H HC, Revision)

DU Case 13, pp.67-68 • 9 principles synthesis (AIR 1967/1974/1978) • Delay→costs • Fresh-suit-avoidance • Amendment adding challenge to collusive decree

§ FACTS (DU P.67, PARAS 1-2)

Possession (21K 10M) + permanent injunction vs alienation suit. Plaintiff seeks O.6 R.17 amendment to **declare 20.7.93 judgment/decree (Suit 135/6.2.90, Major Singh v. Balbir Kaur) null/void/ineffective vs plaintiff**. Trial **dismisses: inordinate delay unexplained + changes foundation by distinct cause**. Revision to P&H HC.

⚖ ISSUE

Whether amendment adding challenge to **intervening collusive decree over same land** is **distinct-cause substitution / time-barred / prejudicial**, or **necessary for real controversy, delay compensable, fresh-litigation-avoiding**?

§ ARGUMENTS

Petitioner-plaintiff Dalip Kaur	Respondents (Major Singh side)
• Same land, same title dispute; decree **affects rights, must be adjudicated together**; delay → **costs**; forcing **fresh suit = multiplicity**; no **vested/time-bar** (concededly fresh suit available). • 9-principle test satisfied; basic character unchanged.	• **Belated, unexplained**; introduces **distinct cause (decree challenge)**, alters foundation; prejudicial beyond costs; should file **separate suit**.

⚖ DECISION (SETHI J., DU PP.67-68, PARAS 3-6)

- **Revision allowed; impugned set aside; amend on Rs.1000 costs.**
- **Purpose + precedents (para 3):** O.6 R.17 **wide, any stage, interests of justice** per *AIR 1967/1974/1978* (**decide rights not punish mistakes**); far-reaching discretion → **greater care**; lays down **9 principles (i–ix) — see §2.4**.
- **Not exhaustive (para 4):** no **matter of right**; general not exhaustive; **case-specific, substantial justice over technicality**; if result only **forces fresh litigation → discourage, allow in same lis without changing basic character/nature**.
- **Application (para 5 — concession decisive):** respondents **concede fresh suit maintainable → not time-barred, no vested right taken, no defeat by lapse**; delay → costs; principles satisfied; trial unjustified.

⚖ RATIO

> *"9-point amendment code + fresh-suit-avoidance rule: where added relief over same subject-matter is concededly not time-barred, amendment does not substitute cause or defeat vested right; delay → costs; courts prefer same-lis adjudication over multiplicity." Cite as ready checklist in every answer.*

CASE #14 B.K. Narayana Pillai v. Parameswaran Pillai, (2000) 1 SCC 712 — Sethi J. (SC)

DU Case 14, pp.69-71 • Written-statement liberal + alternative plea + S.60(b) Easements + limitation • Trial + HC refusals reversed

§ FACTS (DU P.69, PARA 2)

Respondent-plaintiff sues for **mandatory + prohibitory injunction, eviction as licensee**. Appellant-defendant WS: **not licensee but lessee**. During trial, seeks WS amendment: **alternative — if licensee, not evictable as licence irrevocable (S.60(b) Easements Act — permanent works + expenses on acting upon licence)** + **prayers 1–2 time-barred**. **Trial + HC reject:** mutually destructive, withdraws admission, irretrievable prejudice. Appeal to SC (appellant **gives up other pleas, presses only S.60(b)**; respondent alleges **unclean hands — no licence fee paid**).

☑ ISSUES

1. Whether alternative S.60(b) plea is **inconsistent/repugnant/mutually destructive or withdrawal of lessee admission**?
2. Whether **prolonged delay + unclean hands (arrears)** bar amendment, or **costs/arrears cure**?
3. Scope of **WS amendment liberality + A.K. Gupta/Ganga Bai/Ganesh principles**?

§ ARGUMENTS

Appellant-defendant	Respondent-plaintiff + Trial/HC view
• **Alternative, not substitutional:** primary lessee stands; S.60(b) only **if court finds licensee** — extension of plaintiff's own plea + rebuttal to eviction issue. • **No admission withdrawn** (never admitted revocable licence); delay → costs; WS amendments **liberal**.	• **Mutually destructive:** lessee vs licensee cannot coexist; amounts to **withdrawing admission + irretrievable prejudice**. • **Belated + unclean (no fee)** → no discretion; pay arrears if allowed.

☑ DECISION (SETHI J., DU PP.69-71, PARAS 3-7)

- **Appeals allowed; impugned set aside; amend WS to S.60(b) only, on arrears + Rs.3000 costs within 1 month from appearance; payment without prejudice; appeal costs easy.**
- **Purpose + liberal (para 3):** O.6 R.17 **wide, any stage, interests of justice**; not matter of right, but **no hyper-technical; liberal general rule especially where costs compensate; no hampering by technicalities; avoid multiplicity**.
- *A.K. Gupta* **(para 4, quoted at length — Weldon/Charan/Leach + Cropper/Kisandas/Pirgonda + Cooke/Robinson/Dornan):** new-case bar vs additional-approach allowance; limitation reliance where substance already pleaded; **new ideas to prejudice lapsed right barred**.
- *Ganga Bai* **(para 4):** wide/any stage/limitation-notwithstanding + **greater care**. *Ganesh* **(para 4):** promote ends, inefficiency curable with costs/opportunity unless **unjustifiably injures accrued rights**.
- **WS synthesis (para 4):** plaint principles **equally apply, courts more generous to WS**; defendant may take **alternative plea unless injustice or admission withdrawn**; allow all **necessary for real controversies unless substitutes cause**; bar **inconsistent/contradictory in negation of admitted facts or mutually destructive**; bar **uncompensable prejudice / lapsed-right defeat**; **delay→costs; non-fraudulent error ≠ reject**.
- **Application (para 5):** S.60(b) plea **neither inconsistent nor repugnant**; **extension of respondent's plea + rebuttal to dispossession-if-licensee issue**; delay alone ≠ refuse where **costs compensate**; **disagree: no admission withdrawn, no irretrievable prejudice**.
- **Arrears (paras 6–7): substance in unclean-hands plea** → condition arrears + costs.

☑ RATIO

> *"Alternative WS plea (lessee; if licensee then S.60(b) irrevocable) is permissible extension/rebuttal, not admission-withdrawal, where primary defence retained; delay cures by costs, arrears by condition; WS amendments liberally allowed unless injustice/admission-loss." Lead citation for WS + alternative pleas + S.60(b).*

?ALLIED CASES (ONE-PARA GARNISH — ALL IN DU MATERIAL)

Amulakchand Mewaram v. Babulal Kanalal, AIR 1933 Bom 304 (Beaumont CJ.) — misdescription test
Non-existent → nullity; misdescription → amend + costs. HUF firm-name suit → substitute 3 members ought to be allowed. Quoted Jai Jai Ram para 5.

Purushottam Umedbhai v. Manilal & Sons, AIR 1961 SC 325 — outside-India firm
Firm name = partners collectively; O.30 privilege only India firms; outside-India firm plaint = partners with defective description; amend under S.153 (possibly O.6 R.17). Quoted Jai Jai Ram para 6 + Ganesh para 12.

A.K. Gupta v. Damodar Valley, AIR 1967 SC 96 — new case vs additional approach
Declaratory → add money relief in second appeal allowed (majority); Cooke/Robinson/Dornan definitions; limitation where substance already pleaded. Quoted Ganesh paras 9–10 + BK Pillai para 4.

Pirgonda Patil v. Kalgonda Patil, AIR 1957 SC 363 — title history allowed
O.21 R.103 declaration + title history after limitation → no new case, no surprise, costs cure. Quoted BK Pillai.

Steward v. North Metropolitan Tramways (1886) 16 QBD 178 + bona fide test — wholly displaced
Tramway → shift to local authority after vs-authority limitation → refused; Pollock: recoupable by costs? Action wholly displaced → refuse. PYQ Q.2(a)/2019 core.

Weldon v. Neal (1887) 19 QBD 394 — accrued limitation right
Slander → add assault/imprisonment after limitation → refused (takes limitation defence). General rule, exception Charan Das special circumstances.

Heeralal v. Kalyan Mal, AIR 1998 SC 618 — admission withdrawal bar
WS admission for plaintiff cannot be withdrawn if wholly displaces + irretrievable prejudice. Decides PYQ tenant case.

by Ankur R. Upadhyay

PYQ ARCHIVE // CH.04 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 Q.2(a)/2019 A sues B for 2 years' rent (B tenant). B admits tenancy, pleads paid without receipt. During trial B seeks to amend WS to deny tenancy. Decide.

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 Q.4(b)/2017 (10m) "There is well-settled rule that all amendments should be permitted as necessary for real question in controversy, unless injustice results. Comment."

Q.3 Q.2(a)/2018 Ghasita Ram does business as "Ghasita Ram & Sons", sues X in firm name. X: unregistered, cannot sue. Ghasita Ram seeks to amend to own name. Allow? At what stage? With case laws.

Q.4 Q.3/2020 OBE (25m) X+Y partners in unregistered ABC & Co. Firm to recover Rs.1,00,000 from Z. X sues in firm name. Z: partners not impleaded. X+Y seek to add names. What if after commencement of trial? Statutory provisions + case law.

MODULE 05 // PART A · TOPIC 11 Case #15

Rejection of Plaint

Order VII, Rules 11, 12 & 13 · Section 2(2) & Section 96 CPC

2. Bare Text of Order VII, Rule 11

§ Order VII, Rule 11 — Rejection of Plaint

11. Rejection of plaint.—The plaint shall be rejected in the following cases:—

(a) where it does not disclose a cause of action;

(b) where the relief claimed is undervalued, and the plaintiff, on being required by the Court to correct the valuation within a time to be fixed by the Court, fails to do so;

(c) where the relief claimed is properly valued, but the plaint is written upon paper insufficiently stamped, and the plaintiff, on being required by the Court to supply the requisite stamp-paper within a time to be fixed by the Court, fails to do so;

(d) where the suit appears from the statement in the plaint to be barred by any law;

(e) where it is not filed in duplicate;

(f) where the plaintiff fails to comply with the provisions of rule 9:

Provided that the time fixed by the Court for the correction of the valuation or supplying of the requisite stamp-paper shall not be extended unless the Court, for reasons to be recorded, is satisfied that the plaintiff was prevented by any cause of an exceptional nature from correcting the valuation or supplying the requisite stamp-paper, as the case may be, within the time fixed by the Court and that refusal to extend such time would cause grave injustice to the plaintiff.

12. Procedure on rejecting plaint.—Where a plaint is rejected the Judge shall record an order to that effect with the reasons for such order.

13. Where rejection of plaint does not preclude presentation of fresh plaint.—The rejection of the plaint on any of the grounds hereinbefore mentioned shall not of its own force preclude the plaintiff from presenting a fresh plaint in respect of the same cause of action.

- **"shall be rejected"** — the language is *imperative/mandatory*, not discretionary. Once a ground is made out, the Court has no option; it *must* reject. (Contrast Order XXXIX R.1 "may grant".)
- **"where the suit appears** *from the statement in the plaint*" in clause (d) — this five-word phrase is the entire statutory foundation of the *Saleem Bhai* "plaint-only" rule. The legislature itself confined the enquiry to the plaint.
- **Clauses (e) and (f) were inserted by the Amendment Act 46 of 1999 (w.e.f. 1-7-2002)** to curb dilatory practice; the proviso was added by the same amendment.

3. Object, Purpose and Juridical Nature of the Power

3.1 The Object

① Weed out sham litigation
The real object is "to keep out of Courts irresponsible law-suits". A suit that is *bound* to fail should not be allowed to occupy the Court's time or the defendant's mind.

② Protect the defendant
"A party should not be unnecessarily harassed in a suit." Rejection saves an innocent defendant from years of vexatious trial.

③ Conserve judicial time
Docket-management device: nip meritless claims *in limine* instead of after a decade of trial.

④ Give effect to statutory bars
Where the legislature has expressly barred a class of suits (limitation, res judicata, S.80 notice, statutory ouster), clause (d) enforces that bar at the threshold.

⑤ Enforce fiscal discipline
Clauses (b) & (c) protect the revenue: correct court-fee and correct valuation are conditions of access to the Court.

⑥ Enforce procedural discipline
Clauses (e) & (f) (1999 Amendment) force the plaintiff to complete formalities promptly so that summons can issue without delay.

> *"The whole purpose of conferment of such powers is to ensure that a litigation which is meaningless and bound to prove abortive should not be permitted to occupy the time of the court and exercise the mind of the respondent… Even in an ordinary civil litigation the Court readily exercises the power to reject a plaint if it does not disclose any cause of action." — Azhar Hussain v. Rajiv Gandhi, 1986 Supp SCC 315*

3.2 Nature of the Power — Six Attributes

Attribute	Explanation & Authority
Mandatory, not discretionary	The word used is "*shall* be rejected". Once the Court concludes that a ground under (a)–(f) exists, rejection follows as a matter of law. The Court cannot "condone" a want of cause of action.
Exercisable *suo motu*	No application by the defendant is necessary. It is a *duty cast on the Court*. The Court may reject the plaint even before registering it, without hearing the defendant at all — because at that stage only the plaint is being read.
Exercisable at ANY stage	Saleem Bhai: "before registering the plaint or after issuing summons to the defendant *at any time before the conclusion of the trial*."
Draconian / extraordinary	Because it terminates the suit without trial, it must be exercised "with great caution and circumspection", only in *clear and manifest* cases.
Grounds are not exhaustive of dismissal	Rule 11 lists the cases in which a *plaint is rejected*; a suit may still be *dismissed* on other grounds after trial. Rejection ≠ dismissal.
Plaint rejected as a WHOLE	There can be no *partial* rejection of a plaint. It is rejected in its entirety or not at all. (Partial *striking out of pleadings* is a different power, under Order VI Rule 16.) Corollary: if *even one* of several reliefs is maintainable/within limitation, the plaint survives.

4. The Six Grounds — Clause-by-Clause Analysis

4.1 Clause (a) — "Where it does not disclose a cause of action"

What is a "cause of action"?

A cause of action is **the bundle of essential facts which it is necessary for the plaintiff to prove, if traversed, in order to support his right to the judgment of the Court**. It is not defined in the Code, but it comprises:

1. the existence of a **right** vested in the plaintiff (or a duty owed to him);
2. an **infringement / breach** of that right by the defendant;
3. the **facts constituting** that infringement — every fact which the plaintiff must prove; and
4. a consequential **right to relief** against *this* defendant.

It does not include the evidence by which those facts are to be proved, nor the defence. It is "a cause of action" as against the particular defendant impleaded — hence a plaint disclosing a cause of action against *X* but naming *Y* as defendant discloses no cause of action.

+ Tests the Court applies under clause (a)

1. **The "meaningful reading" test** — the plaint must be read *as a whole*, meaningfully and not formally; a clever drafting device to circumvent a legal bar will be seen through.
2. **The "assume-it-all-true" test** — the Court must take the averments in the plaint *as true*, and then ask: even so, does a cause of action arise? If yes, the plaint survives however improbable the story.
3. **The "decree" test** (Liverpool & London S.P. & I Assn. Ltd. v. M.V. Sea Success I, (2004) 9 SCC 512) — if the averments in the plaint, taken in their entirety along with the documents relied on, are proved, *would a decree follow?* If no decree could possibly follow, the plaint discloses no cause of action.
4. **Real v. illusory** — the question is whether the plaint discloses a *real* cause of action or something *purely illusory*. A "clever drafting creating an illusion of a cause of action" is no cause of action.
5. **Question of fact, but decided on the plaint** — "Whether a plaint discloses a cause of action or not is essentially a question of fact. But whether it does or does not *must be found out from reading the plaint itself*." (T. Arivandandam v. T.V. Satyapal, (1977) 4 SCC 467).

! Distinguish: "no cause of action" v. "weak cause of action"

A *weak*, doubtful or difficult-to-prove cause of action is NOT a ground of rejection — that is what the trial is for. Only the **total absence** of a cause of action attracts clause (a). Similarly, *misjoinder* of parties or of causes of action is not a ground of rejection (Prem Lala Nahata v. Chandi Prasad Sikaria, (2007) 2 SCC 551) — a suit suffering from misjoinder is not a suit "barred by any law".

4.2 Clause (b) — Relief Undervalued and Valuation Not Corrected

This clause has **two limbs and a built-in second chance**. Rejection is *not* automatic on undervaluation:

1. The Court must first **form an opinion** that the relief claimed has been undervalued (usually on an objection under the Suits Valuation Act / Court Fees Act, or *suo motu*).
2. The Court must then **require the plaintiff to correct** the valuation and **fix a time** for doing so.
3. Only if the plaintiff **fails to correct within that time** does the plaint stand rejected.

The proviso then governs extension of that time: the Court cannot extend it unless (i) it records reasons; (ii) it is satisfied the plaintiff was prevented by "*a cause of an exceptional nature*"; and (iii) refusal would cause "*grave injustice*". All three conditions are cumulative.

4.3 Clause (c) — Insufficiently Stamped Plaint

Here the relief is *properly* valued but the plaint is written on paper carrying deficient court-fee. The structure is identical to clause (b): **Court requires supply of requisite stamp-paper → fixes time → failure → rejection**, with the same proviso controlling extension.

▸ **Practical relief**

A plaintiff genuinely unable to make good the deficiency may apply to sue as an **indigent person under Order XXXIII**. Further, courts have consistently held that an order under clause (c) must be passed only after granting the plaintiff a *reasonable* opportunity to make up the deficiency — the clause is not a trap.

4.4 Clause (d) — "Where the Suit Appears From the Statement in the Plaint to be Barred by Any Law"

This is by far the most litigated clause, and it is the clause under which Saleem Bhai was argued (along with clause (a)). Three elements must be dissected:

Element	Meaning
"the suit"	The whole suit must be barred. If several reliefs are claimed and even one is not barred, the plaint cannot be rejected (no partial rejection).
"appears from the statement in the plaint"	The bar must be *apparent on the face of the plaint* (and the documents filed with it). The Court may not look at the written statement, affidavits, or evidence. This is the statutory root of the *Saleem Bhai* principle.
"barred by any law"	Any law — substantive or procedural, general or special. Includes: the Limitation Act; *res judicata* (S.11); Order II Rule 2; want of notice under S.80 CPC; S.9 CPC ouster by a special statute (e.g., tenancy, revenue, industrial law); the doctrine of *lis pendens* (S.52 TPA, as urged in *Saleem Bhai*); bar under specific enactments such as the Benami Act, the Specific Relief Act, etc.

Limitation under clause (d) — the fine line

Limitation is ordinarily a *mixed question of law and fact*, and is normally to be tried as an issue. **But**:

- Where the plaint averments *themselves* show that the suit is *ex facie* and hopelessly time-barred, and no further evidence is needed, the plaint **may** be rejected under clause (d) — Nusli Neville Wadia v. Ivory Properties, (2020) 6 SCC 557; Shri Mukund Bhavan Trust v. Shrimant Chhatrapati Udayan Raje Bhonsle (2024).
- Where determining limitation requires evidence (e.g., when possession became adverse, when fraud was discovered, whether acknowledgment was made), the plaint **cannot** be rejected — the issue must go to trial (Karam Singh v. Amarjit Singh (2025)).

4.5 Clause (e) — Plaint Not Filed in Duplicate

Inserted by Act 46 of 1999. Read with **Order IV Rule 1(1)** (suit instituted by presenting a plaint *in duplicate*). The object is administrative — one copy for the record, one for service/registration — so that the machinery of summons is not delayed. Courts treat this as a curable irregularity in practice and almost invariably allow the defect to be made good, but the text is mandatory.

4.6 Clause (f) — Failure to Comply with Order VII Rule 9

§ Order VII, Rule 9 (as substituted in 1999/2002)

Where the Court orders that the summons be served on the defendants, the plaintiff shall, **within seven days from the date of such order**, present as many copies of the plaint on plain paper as there are defendants, together with the requisite fee for service of summons on the defendants.

Clause (f) therefore penalises the plaintiff who, having got his plaint admitted, then sleeps over the service of summons. Again, a 1999-Amendment anti-delay device.

5. The Two Golden Rules of Adjudicating a Rule 11 Application

Your Case Material distils Saleem Bhai into two propositions. Reproduce them in *exactly* this form in the exam:

① THE PLAINT-ONLY RULE

The **only** material germane to an application under Order VII Rule 11 is **the averments in the plaint** (together with the documents filed with and relied upon in the plaint). The Court must confine itself strictly to the four corners of the plaint.

② THE EXCLUSION-OF-DEFENCE RULE

The pleas taken by the defendant in the **written statement are wholly irrelevant** at that stage. Consequently, the filing of a written statement is *unnecessary*, and to *direct* its filing before deciding the Rule 11 application is a **procedural irregularity** and a **failure to exercise jurisdiction**.

6. Stage of Exercise, Procedure, and Rules 12 & 13

6.1 At What Stage May the Power be Exercised?

Saleem Bhai answers this in one breath — **"at any stage of the suit"**, and then illustrates three points on the timeline:

6.2 Procedure — Rule 12

On rejecting a plaint, the Judge **shall record an order to that effect** *with the reasons*. Reasons are indispensable because (i) the order is a deemed decree and appealable; (ii) the appellate court must know the ground; and (iii) it disciplines the trial judge against mechanical rejection.

by Ankur R. Upadhyay

6.3 Rule 13 — Fresh Plaint Permissible

Rejection **"shall not of its own force preclude the plaintiff from presenting a fresh plaint in respect of the same cause of action."** This is the great mitigating feature. It means:

- Rejection does **not** operate as *res judicata* under Section 11 (there is no decision on merits, no "heard and finally decided").
- The plaintiff may cure the defect (plead the cause of action properly, pay the deficit court fee, file in duplicate) and sue again.
- **BUT** the fresh suit remains subject to (i) the **law of limitation** — time does not stop running; and (ii) the words *"of its own force"* — if the ground of rejection was itself a substantive bar (e.g., the suit was barred by limitation or by *res judicata* under clause (d)), a fresh plaint on the same cause of action will meet exactly the same fate.

7. Rejection of Plaint is a DECREE — and What Follows

§ Section 2(2), CPC — "decree" (relevant part)

"decree" means the formal expression of an adjudication which, so far as regards the Court expressing it, conclusively determines the rights of the parties with regard to all or any of the matters in controversy in the suit and may be either preliminary or final. **It shall be deemed to include the rejection of a plaint** and the determination of any question within section 144, **but shall not include**—(a) any adjudication from which an appeal lies as an appeal from an order, or (b) any order of dismissal for default.

Consequence	Explanation
Deemed decree	Section 2(2) expressly *deems* rejection of a plaint to be a decree, even though there is no adjudication on merits.
First appeal lies under S. 96	Because it is a decree, the plaintiff's remedy is a **regular first appeal** under Section 96 — *not* an appeal from order under Order XLIII.
Refusal to reject = an ORDER	An order *refusing* to reject the plaint is **not** a decree (the suit continues) and is **not** listed in Order XLIII Rule 1. Therefore **no appeal lies**; the defendant's remedy is a **revision under S.115** or, in appropriate cases, Article 227.
Fresh plaint permitted	Order VII Rule 13 (see §6.3). No *res judicata*.
Court fee	Generally refundable/adjustable in appropriate cases under the Court Fees Act where the plaint is rejected under clauses (b)/(c) before trial.

8. Rejection v. Return v. Dismissal — The Classic Distinction Question

Point	REJECTION of Plaint O.VII R.11	RETURN of Plaint O.VII R.10	DISMISSAL of Suit e.g. O.IX R.8, after trial
Ground	Six statutory grounds (a)–(f)	Court has **no jurisdiction** (pecuniary, territorial or subject-matter)	Default of appearance, or failure to prove the case at trial
What happens to the paper	Plaint is **rejected** and retained on record; a formal order with reasons is passed (R.12)	Plaint is physically **returned** with an endorsement of date of presentation/return, party's name and reasons (R.10A)	Plaint remains; the **suit** is dismissed
Merits examined?	No — only the plaint is read	No — only jurisdiction is examined	May or may not be (dismissal after trial is on merits)
Nature of order	**Deemed DECREE** — S.2(2)	**ORDER** — appealable under O.XLIII R.1(a)	Dismissal for default = order (S.2(2)(b) excludes it); dismissal after trial = decree
Remedy	First appeal, **S.96**	Appeal under **O.XLIII R.1(a)**; or re-present to proper Court	O.IX R.9 (restoration) / S.96 appeal, as the case may be
Fresh suit?	Permitted — **O.VII R.13**, subject to limitation	Not a fresh suit: the **same plaint** is presented to the proper Court	Dismissal for default: fresh suit barred by **O.IX R.9**; dismissal on merits: barred by **res judicata**, S.11
Res judicata?	No	No	Yes, if decided on merits

Prescribed Landmark Case Laws — Detailed Analysis CASE #15

CASE #15 **Saleem Bhai & Others v. State of Maharashtra & Others**

AIR 2003 SC 759 · (2003) 1 SCC 557 · Decided 17 December 2002 · Bench: · Syed Shah Mohammed Quadri, J. & Arijit Pasayat, J. | · Author: · Quadri, J. · Topic 11 · Order VII, Rule 11 CPC

FACTS

1. The **respondents (plaintiffs)** instituted two civil suits challenging certain earlier **judgments and decrees**, pleading in the plaint that those decrees were *"non-existent, null and void, not within jurisdiction and therefore not binding on the plaintiff"*. The dispute concerned property covered by a **relinquishment deed**, in particular **Items 51 and 52** of that deed.
2. The **appellant (the eighth defendant, Saleem Bhai)** did not file a written statement. Instead he filed an application under **Order VII Rule 11 CPC** praying that the plaints be rejected, specifically invoking:
   - **Clause (a)** — the plaints disclosed **no cause of action**; and
   - **Clause (d)** — the suits were **barred by law**, namely by the principles of *res judicata* and *lis pendens*.

3. The plaintiffs (respondents) retaliated with a cross-application under **Order VIII Rule 10 CPC**, asking the Court to pronounce judgment in the suits because the appellant had **failed to file his written statement**.
4. The appellant also moved an application under **Section 151 CPC** (inherent powers), praying that the Court decide the Order VII Rule 11 application *first*, before anything else.
5. **Trial Court, order dated 8 December 2001:**
   - dismissed the plaintiffs' Order VIII Rule 10 application;
   - dismissed the appellant's Section 151 application; and
   - as regards the Order VII Rule 11 application, **did not decide it at all** — instead **directed the appellant to file his written statement**.
6. **High Court of Madhya Pradesh (Indore Bench), order dated 7 May 2002**, in revision: **confirmed** the trial court's order, reiterated the direction that the appellant file his written statement, and further observed that the trial court "shall frame issues of law and facts arising out of the pleadings" and "should record its finding on the preliminary issues in accordance with law before proceeding to try the suit on facts".
7. Against this common order of the High Court, the present civil appeals were preferred to the Supreme Court.

ISSUE

Sub-issues embedded in the main question:

- What material is "germane" to a decision under clauses (a) and (d) of Order VII Rule 11?
- At what stage of a suit may the power under Order VII Rule 11 be exercised?
- Does a direction to file a written statement, made *without first deciding* a pending Rule 11 application, amount to a **failure to exercise jurisdiction** and/or a **procedural irregularity**?

ARGUMENTS OF THE PARTIES

FOR THE APPELLANT (Defendant No. 8 — Saleem Bhai)	FOR THE RESPONDENTS (Plaintiffs) — Mr. K. K. Venugopal, Sr. Adv.
1. Having regard to the **very nature of the relief claimed** by the plaintiffs, the plaints were liable to be rejected under Order VII Rule 11 CPC. 2. The Court **ought to have considered the application on merits**, instead of giving a direction to file a written statement. To decline to decide it "**would amount to not exercising the jurisdiction vested in the Court**". 3. The plaints **do not show any cause of action** — clause (a). 4. The plaints ought to have been rejected because the suit was **barred by the principles of** *res judicata* **and** *lis pendens* — clause (d). 5. The High Court failed to appreciate these aspects and merely rubber-stamped the trial court's abdication.	1. Drew the Court's attention to **various orders passed in earlier proceedings** to demonstrate the true subject-matter. 2. Contended that the subject-matter of the property — **Items 51 and 52 of the relinquishment deed** — were **not the suit properties in the earlier judgments**, including in the order passed by the Supreme Court itself. 3. Therefore, **neither the principle of** *res judicata* **nor the principle of** *lis pendens* **is attracted** — the suits were not barred by any law and clause (d) was not made out. 4. Consequently there was nothing wrong in the courts below requiring pleadings to be completed and issues framed before the matter was adjudicated.

REASONING OF THE SUPREME COURT

1. **Textual starting point.** The Court reproduced Order VII Rule 11 in full, including the proviso, and observed: "A perusal of Order VII Rule 11 CPC makes it clear that **the relevant facts which need to be looked into for deciding an application thereunder are the averments in the plaint**."
2. **Stage of exercise.** "The trial court can exercise the power under Order VII Rule 11 CPC **at any stage of the suit** — before registering the plaint or after issuing summons to the defendant **at any time before the conclusion of the trial**."
3. **Written statement is irrelevant.** "For the purposes of deciding an application under **clauses (a) and (d)** of Rule 11 of Order VII CPC, **the averments in the plaint are germane; the pleas taken by the defendant in the written statement would be wholly irrelevant at that stage**."
4. **The consequential holding.** "Therefore, **a direction to file the written statement without deciding the application under Order VII Rule 11 CPC cannot but be a procedural irregularity touching the exercise of jurisdiction by the trial court**."
5. **Double vice identified.** The trial court's order therefore suffered from **(i) non-exercise of the jurisdiction vested in the Court**, and **(ii) procedural irregularity**. The High Court "did not advert to these aspects" and thus fell into the same error.
6. **Merits left open.** Significantly, the Supreme Court did **not** itself decide whether the plaints in fact disclosed a cause of action or were barred by *res judicata/lis pendens*. It refused to be drawn into Mr. Venugopal's factual submissions about Items 51 and 52 — precisely because that was for the trial court to determine, on the plaint, in the first instance.

DECISION / HELD

The appeals were **ALLOWED**.

- The **common order of the High Court dated 7 May 2002 was SET ASIDE**.
- The matters were **REMITTED to the trial court** with a direction to **decide the appellant's application under Order VII Rule 11 CPC on the basis of the averments in the plaint**, after affording both parties an opportunity of being heard.
- **No order as to costs.**

PRINCIPLE EVOLVED / RATIO DECIDENDI

▸ **Why the ratio is confined to clauses (a) and (d) — a nuance worth 2 extra marks**

Notice the Court's own words: "For the purposes of deciding an application under **clauses (a) and (d)**…". The plaint-only rule fits those two clauses perfectly because both are, by their nature, determined on the face of the plaint. Clauses **(b), (c), (e) and (f)** are different in structure — they involve the Court *requiring* the plaintiff to do something (correct valuation, supply stamp paper, file duplicate, comply with R.9) and then examining *whether he did it*. That enquiry necessarily looks at the *record*, not merely at the plaint's averments. A sharp answer notes this limitation while affirming that the broad principle — exclusion of the defence — holds good for all six clauses.

! Points of criticism / limitations (write these for the "critically examine" variant)

- **Scope for abuse.** Because the application must be decided first, a defendant may file a frivolous Rule 11 application purely to **defer the filing of the written statement** and stall the suit. Later decisions therefore stress that the Rule 11 application must be decided *expeditiously*, and that time for filing the written statement runs afresh only from its rejection.
- **Tension with clever pleading.** Since only the plaint is read, a plaintiff who drafts artfully can conceal a fatal bar. Subsequent decisions (T. Arivandandam, Sea Success I) supply the corrective: the plaint must be read **meaningfully**, and "clever drafting creating an illusion of a cause of action" will be seen through.
- **No guidance on merits.** The Court expressly refrained from deciding whether the plaints were barred; the judgment is a purely *procedural* clarification, not a substantive precedent on *res judicata* or *lis pendens*.

PYQ ARCHIVE // CH.05 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 `Long Answer · 15 Marks` "The plaint shall be rejected in the following cases…" Discuss the grounds on which a plaint may be rejected under Order VII Rule 11 of the Code of Civil Procedure, 1908. What material may the Court look into while deciding such an application? Refer to decided cases.

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 `Problem · 10 Marks` P files a suit against D for declaration and possession. Before filing his written statement, D moves an application under Order VII Rule 11(a) and (d) CPC contending that the plaint discloses no cause of action and that the suit is barred by res judicata. The trial court, without deciding the application, directs D to file his written statement and states that it will decide the objection as a preliminary issue after issues are framed. D approaches you. Advise, with reference to decided cases.

Q.3 `Critically Examine · 10 Marks` "The power under Order VII Rule 11 CPC is a drastic power which must be exercised with great caution." Critically examine, with particular reference to the requirement that the application be decided only on the averments in the plaint.

`MODULE 06 // PART A · TOPIC 12` Cases #16-#18

Appearance of Parties & Consequences of Non-Appearance

Order IX, Rules 1-14 (Focus: Rules 6, 7 & 13) · Section 96(2) CPC

1. Foundations — Summons, Appearance and the "First Hearing"

1.2 Section 27 and Order III — the duty to appear

§ Section 27, CPC — Summons to defendants

Where a suit has been duly instituted, a summons may be issued to the defendant to appear and answer the claim and may be served in the manner prescribed on such day not beyond thirty days from the date of the institution of the suit.

Order IX Rule 1 then imposes the mandatory obligation:

§ Order IX, Rule 1 — Parties to appear on day fixed in summons

On the day fixed in the summons for the defendant to appear and answer, the parties shall be in attendance at the Court-house in person or by their respective pleaders, and the suit shall then be heard unless the hearing is adjourned to a future day fixed by the Court.

Forms of "appearance" — Order III

Under **Order III Rules 1 and 2**, appearance may be:

① In person
The party himself attends the Court-house.

② By a recognised agent
O.III R.2 — a holder of power-of-attorney, or a person carrying on trade/business for the party, etc.

③ By a pleader
An advocate duly appointed by *vakalatnama*. He must be instructed and able to answer all material questions; otherwise the appearance is no appearance in law.

! "Appearance" that is no appearance

Where a pleader appears but reports "**no instructions**", or is unable to answer material questions relating to the suit and no other person able to do so accompanies him, the party is treated as **not having appeared** (Order V Rule 1 proviso / Order III). Similarly, a party who is *physically present* in the Court-house but does not answer when the suit is called on is deemed absent.

1.3 The critical distinction: FIRST hearing v. ADJOURNED hearing

This distinction is the hinge on which Sangram Singh turns, and no answer on Order IX is complete without it.

Aspect	FIRST HEARING	ADJOURNED / SUBSEQUENT HEARING
Which day?	The day fixed *in the summons* for the defendant to appear and answer (O.IX R.1)	Any day to which the hearing is subsequently adjourned by the Court
Purpose (O.V R.5)	Summons must state whether it is for **settlement of issues only** or for **final disposal of the suit**	Continuation — evidence, arguments, judgment
Governing provision on non-appearance	**Order IX** (Rr. 2–11) applies *per se*	**Order XVII Rule 2** applies; it then *throws the Court back* to Order IX
Can an ex parte DECREE be passed?	Only if the first hearing was fixed **for final disposal**. If it was only for settlement of issues, the proviso to **O.XV R.3(1)** bars an ex parte decree on that date (a decree there requires that "the parties or their pleaders are present and none of them objects")	Yes — the Court may dispose of the suit in one of the modes in Order IX, or make such other order as it thinks fit
Sangram Singh's holding	**O.IX R.6(1)(a) is confined to the FIRST hearing and does not** *per se* **apply to subsequent hearings.** At each adjourned hearing the Court is "thrown back to Order IX Rule 6" afresh — "the right to proceed *ex parte* is a right which **accrues from day to day**."	

2. The Complete Scheme of Order IX (Rules 1–14)

Rule	Situation	Consequence / Remedy
R. 1	Parties to appear on the day fixed in summons	Mandatory attendance in person or by pleader; suit heard unless adjourned
R. 2	Summons not served in consequence of **plaintiff's failure** to pay costs / present copies	Court **may dismiss the suit**. Proviso: no dismissal if the defendant appears in person or by agent. Remedy → R.4
R. 3	**NEITHER PARTY appears** when the suit is called on for hearing	Court **shall make an order that the suit be dismissed**. Not on merits → no *res judicata*
R. 4	Remedy after dismissal under R.2 or R.3	Plaintiff may (i) bring a **FRESH SUIT** (subject to limitation); **or** (ii) apply to **set aside the dismissal** on showing sufficient cause. Both routes open
R. 5	Plaintiff fails, for **7 days** after return of unserved summons, to apply for fresh summons	Suit dismissed (unless plaintiff satisfies the Court of the grounds in R.5(1)(a)–(c)). Fresh suit permitted, subject to limitation
R. 6	**PLAINTIFF appears, DEFENDANT does not**	(a) Summons duly served → Court **may proceed EX PARTE**; (b) Not duly served → fresh summons; (c) Served but not in sufficient time → adjournment, and costs on the plaintiff if the fault was his
R. 7	Defendant **appears at an adjourned hearing** and assigns **GOOD CAUSE** for previous non-appearance	He may, on such terms as to costs as the Court directs, **be heard in answer to the suit "as if he had appeared on the day fixed"** — i.e., relegated back to the earlier stage
R. 8	**DEFENDANT appears, PLAINTIFF does not**	Court **shall dismiss the suit** — unless the defendant **admits** the claim or part; then decree on the admission, dismissal as to the rest
R. 9	Effect of dismissal under R.8	**FRESH SUIT BARRED** on the same cause of action. Sole remedy: apply to **set aside the dismissal** on proof of sufficient cause. (Contrast R.4!)
R. 10	Several plaintiffs; some appear, some do not	Court may permit the suit to proceed as if all had appeared, or make such order as it thinks fit
R. 11	Several defendants; some appear, some do not	Suit proceeds; at the time of pronouncing judgment the Court makes such order as it thinks fit against the non-appearing defendants
R. 12	Party **ordered to appear in person** fails to do so without sufficient cause	Subject to all the provisions of the foregoing rules applicable to non-appearing plaintiffs / defendants. *Marginal note uses the word "consequence", not "penalty" — a point Bose, J. relies on*
R. 13	**SETTING ASIDE AN EX PARTE DECREE** against a defendant	On proof that (i) **summons was not duly served**, or (ii) he was **prevented by SUFFICIENT CAUSE** from appearing, the Court **shall** set aside the decree on terms. Two provisos + Explanation
R. 14	No decree to be set aside without notice to the opposite party	Natural justice safeguard: the plaintiff must be heard before his decree is undone

4. Rule 6 — Where Only the Plaintiff Appears (the Ex Parte Hearing)

§ Order IX, Rule 6 — Procedure when only plaintiff appears

(1) Where the plaintiff appears and the defendant does not appear when the suit is called on for hearing, then—

(a) When summons duly served—if it is proved that the summons was duly served, the Court may make an order that the suit shall be heard *ex parte*;

(b) When summons not duly served—if it is not proved that the summons was duly served, the Court shall direct a second summons to be issued and served on the defendant;

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(c) When summons served but not in due time—if it is proved that the summons was served on the defendant, but not in sufficient time to enable him to appear and answer on the day fixed in the summons, the Court shall postpone the hearing of the suit to a future day to be fixed by the Court, and shall direct notice of such day to be given to the defendant.

(2) Where it is owing to the plaintiff's default that the summons was not duly served or was not served in sufficient time, the Court shall order the plaintiff to pay the costs occasioned by the postponement.

4.1 The three pre-conditions for proceeding ex parte under R.6(1)(a)

① Plaintiff appears
If he too is absent, R.3 (neither) or R.8 (only defendant) governs instead.

② Defendant does not appear
Neither in person, nor by recognised agent, nor by an instructed pleader.

③ Service is PROVED
"If it is *proved* that the summons was duly served" — the burden is on the plaintiff. Without proof of due service the Court **must** issue a second summons under R.6(1)(b); an ex parte decree passed without proof of service is a nullity.

4.2 What "the Court MAY proceed ex parte" actually means — the heart of Sangram Singh

+ The Wallace, J. view — adopted by the Supreme Court

"*Ex parte*" merely means **"in the absence of the other party"**. Rule 6(1)(a) **"does nothing more than remove a bar"** — it authorises the Court to do what it could not otherwise have done, namely to proceed in the absence of one of the parties. It does **not** operate as a punitive order shutting the defendant out for all time.

x The O'Sullivan, J. view — REJECTED

That "ex parte" means the Court is at liberty to proceed **without the defendant until the termination of the proceedings**, unless he shows good cause for his non-appearance and gets the "ex parte order" set aside. Hariram v. Pribhdas, AIR 1945 Sind 98. The Supreme Court in Sangram Singh expressly disapproved this line.

"But, be it noted, the Court is not directed to make an ex parte order. Of course the fact that it is proceeding ex parte will be recorded in the minutes of its proceedings but that is merely a statement of the fact and is not an order made against the defendant in the sense of an ex parte decree or other ex parte order which the Court is authorised to make. All that rule 6(1)(a) does is to remove a bar and no more. ... The contrast in language between rules 7 and 13 emphasises this." — Vivian Bose, J., Sangram Singh v. Election Tribunal, Kotah, AIR 1955 SC 425

5. Rule 7 — Where the Defendant Appears at an Adjourned Hearing

§ Order IX, Rule 7

Where the Court has adjourned the hearing of the suit ex *parte*, and the defendant, at or before such hearing, appears and **assigns good cause for his previous non-appearance**, he may, upon such terms as the Court directs as to costs or otherwise, be heard in answer to the suit **as if he had appeared on the day fixed for his appearance**.

Question	Answer (per Sangram Singh)
What does Rule 7 give?	The right to be **relegated to the earlier stage** — to "set back the hands of the clock" and be heard *as if* he had appeared on the original date (so he may file a written statement, cross-examine witnesses already examined, etc.).
What is the price?	He must "assign **GOOD CAUSE**" for his previous non-appearance, and accept such terms as to costs as the Court directs.
If NO good cause is shown, is he shut out altogether?	**NO — this is the crux.** "This cannot be read to mean, as it has been by some learned Judges, that he cannot be allowed to appear at all if he does not show good cause. **All it means is that he cannot be relegated to the position he would have occupied if he had appeared.**" He may still appear and take part **from the stage at which he comes in**.
Is any "order" required to be set aside first?	No. Unlike Rule 13 (which speaks of the Court making "an order setting aside the decree"), Rule 7 contemplates **no order at all**. "No order is contemplated by the Code and therefore no order to set aside the order is contemplated either." A *decree*, being a command of the Court, must be formally set aside; a mere *fact* recorded in the minutes need not be.
When is Rule 7 NOT available?	Where the hearing of the suit is **complete** and the suit has been adjourned only **for pronouncing judgment**. At that point there is no "hearing" left to be heard in answer to — Arjun Singh v. Mohindra Kumar, AIR 1964 SC 993; affirmed in Bhanu Kumar Jain.

8. Rule 13 — Setting Aside an Ex Parte Decree

§ Order IX, Rule 13 — Setting aside decree ex parte against defendant

In any case in which a decree is passed *ex parte* against a defendant, he may apply to the Court by which the decree was passed for an order to set it aside; and if he satisfies the Court that **the summons was not duly served**, or that **he was prevented by any sufficient cause from appearing when the suit was called on for hearing**, the Court shall make an order setting aside the decree as against him upon such terms as to costs, payment into Court or otherwise as it thinks fit, and shall appoint a day for proceeding with the suit:

Provided that where the decree is of such a nature that it cannot be set aside as against such defendant only, it may be set aside as against all or any of the other defendants also:

Provided further that no Court shall set aside a decree passed ex parte merely on the ground that there has been an irregularity in the service of summons, if it is satisfied that the defendant had notice of the date of hearing and had sufficient time to appear and answer the plaintiff's claim.

Explanation.—Where there has been an appeal against a decree passed ex parte under this rule, and the appeal has been disposed of on any ground other than the ground that the appellant has withdrawn the appeal, no application shall lie under this rule for setting aside that ex parte decree.

8.1 Dissection of Rule 13 — the elements

Element	Detail
Who may apply?	The **defendant** against whom the ex parte decree is passed. Also his **legal representatives** (Raj Kumar v. Sardari Lal). A **non-party** may apply only if he shows that his interests are affected by the decree.
To which Court?	"the Court **by which the decree was passed**" — i.e., the trial court, not the appellate court.
When must an ex parte decree exist?	Rule 13 is available **only after a decree** is passed. Before a decree, the remedy at an adjourned hearing is Rule 7.
Ground 1	**Summons was not duly served.** "Duly served" means served in accordance with Order V. Non-service goes to the root of jurisdiction and natural justice.
Ground 2	**Prevented by any SUFFICIENT CAUSE from appearing** when the suit was called on for hearing. (See §9 below for the full jurisprudence.)
Nature of the power	Once a ground is established, the Court "**shall**" set aside the decree — mandatory. But it may impose **terms** as to costs, payment into Court, etc.
Effect of setting aside	The Court "shall appoint a day for proceeding with the suit". The suit is restored and proceeds **as if no ex parte decree had been passed** (Rajni Kumar).
Limitation	**30 days** from the date of the decree, or (where summons was not duly served) from the date the applicant had knowledge of the decree — **Article 123, Limitation Act, 1963**. Delay condonable under **Section 5**.
Notice mandatory	**Rule 14** — no decree shall be set aside without notice to the opposite party.
Appeal against R.13 order	An order **rejecting** an application under R.13 is appealable under **Order XLIII Rule 1(d)**. (This route was actually taken, and lost, in Bhanu Kumar Jain.)

8.2 The two provisos and the Explanation

▸ Proviso 1 — the "indivisible decree" proviso

Where the decree is of such a nature that it **cannot be set aside as against the applying defendant alone** (e.g., a joint and indivisible decree for partition or possession of joint property), the Court may set it aside as against **all or any** of the other defendants also — even those who did not apply. Prevents the absurdity of conflicting decrees in the same suit.

! Proviso 2 — irregularity is not enough (1976 Amendment)

No Court shall set aside an ex parte decree **merely** because there was an *irregularity* in the service of summons, if it is satisfied that the defendant **(i) had notice of the date of hearing and (ii) had sufficient time to appear and answer**. This distinguishes a *technical irregularity* (curable) from *total non-service* (fatal). The burden of invoking this proviso lies on the plaintiff/decree-holder.

9. "Sufficient Cause" — The Complete Jurisprudence

9.1 Meaning

"Sufficient cause" is **not defined** in the Code — deliberately so, because "problems of human beings are so varied and complex". It is an **elastic expression**, to be determined on the facts of each case. The essential enquiry is:

Was the defendant's absence attributable to circumstances beyond his reasonable control, without negligence, inaction or want of *bona fides* **on his part?** Put negatively — sufficient cause means that the party *"had not acted in a negligent manner"*, that there was no *"want of bona fide"*, and that he cannot be said to have *"not acted diligently"* or *"remained inactive"*.

9.2 The governing principles — G.P. Srivastava v. R.K. Raizada, AIR 2000 SC 1221

1. Unless "sufficient cause" is shown for non-appearance *on the date of hearing*, the Court has **no power** to set aside an ex parte decree.
2. The words "was prevented by any sufficient cause from appearing" must be **liberally construed** to enable the Court to do complete justice between the parties, *particularly where no negligence or inaction is imputable to the erring party*.
3. It is an **elastic expression for which no hard-and-fast guidelines can be prescribed**; the courts have wide discretion, exercised judicially on the peculiar facts of each case.
4. **The relevant date is decisive:** "sufficient cause" refers to **the date on which the absence was made a ground for proceeding ex parte**, and **cannot be stretched to rely upon other circumstances anterior in time**.
5. If sufficient cause is made out for *that* date, the defendant **cannot be penalised for his previous negligence which had been overlooked and thereby condoned earlier**.

9.3 "Good cause" (R.7) v. "Sufficient cause" (R.13) — Arjun Singh v. Mohindra Kumar, AIR 1964 SC 993

"We are unable to conceive of a 'good cause' which is not 'sufficient' as affording an explanation for non-appearance, nor conversely of a 'sufficient cause' which is not a good one... If, on the other hand, there is any difference between the two, it can only be that the

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requirement of a 'good cause' is complied with on a lesser degree of proof than that of 'sufficient cause'." — Arjun Singh v. Mohindra Kumar, AIR 1964 SC 993

▸ Also decided in Arjun Singh — the res judicata point

A decision in an **interlocutory** proceeding of the kind contemplated by Order IX Rule 7 is **not** of a kind that can operate as *res judicata* so as to bar a hearing on the merits of an application under Order IX Rule 13. A Rule 7 order merely regulates procedure; it decides nothing finally and is not appealable. *Contrast this carefully with* Bhanu Kumar Jain, where the Rule 13 application *had been dismissed and that dismissal had become final through appeal* — a wholly different situation.

10. The Ex Parte Decree — Nature and the Five Remedies

10.1 Nature

- An ex parte decree is a decree passed against a defendant *in absentia*. Its **legal validity, enforceability and operation are the same as those of any bi-parte decree** — it is not a nullity, and unless set aside it is executable.
- The Court is **not bound to decree the suit merely because the defendant is absent**. The plaintiff must still satisfy the Court on the material on record. Even where no written statement is filed and the Court proceeds under **Order VIII Rule 10**, the Court "may pronounce judgment against him *or make such order in relation to the suit as it thinks fit*" — which, as Bose, J. observed, "invests the Court with the **widest possible discretion**".
- A decree passed under Order VIII Rule 10 for failure to file a written statement is nevertheless an ex parte decree, and is subject to Order IX Rule 13.

10.2 The Five Remedies

12. Master Comparative Matrices

12.1 Rule 7 v. Rule 13

Point	ORDER IX, RULE 7	ORDER IX, RULE 13
Stage	**Before** the ex parte decree — while the suit is still being heard ex parte and stands adjourned	**After** an ex parte **decree** has been passed
What is challenged	Not an "order" at all — the defendant simply seeks to be relegated to the earlier stage	A **decree**, which is a formal command of the Court and must be formally set aside
Test	"**GOOD CAUSE**" for previous non-appearance	Summons not duly served **OR** "**SUFFICIENT CAUSE**" for non-appearance
Is there a difference in the tests?	No material difference — Arjun Singh. If any, "good cause" is satisfied on a **lesser degree of proof**.	
Effect if the test is satisfied	He is heard "**as if he had appeared on the day fixed**" — the clock is turned back; he may file a W.S., cross-examine, lead evidence	The **decree is set aside**; a day is appointed and the suit proceeds **as if no ex parte decree had been passed**
Effect if the test FAILS	He may **still appear and participate from that stage onwards**; he simply cannot go back. **(Sangram Singh)**	The application is dismissed and the decree stands; his remaining remedies are S.96(2) appeal (on merits only) / review / fraud suit
Is a formal order needed?	No order of setting-aside is contemplated by the Code	Yes — "the Court **shall make an order** setting aside the decree"
Appealability	Interlocutory; not appealable. It does not operate as *res judicata* against a later R.13 application (Arjun Singh)	An order **rejecting** the application is appealable — **O.XLIII R.1(d)**
Limitation	None prescribed; must be made "at or before" the adjourned hearing	**30 days** — Article 123, Limitation Act
Availability	Not available where the hearing is **complete** and the suit is adjourned only for pronouncing judgment (Arjun Singh)	Available whenever an ex parte decree exists (except where barred by the Explanation)

Prescribed Landmark Case Laws — Detailed Analysis CASES #16-#18

CASE #16 **Sangram Singh v. Election Tribunal, Kotah; Bhurey Lal Baya**

AIR 1955 SC 425 · 1955 SCR (2) 1 · Decided 22 March 1955 · Bench: · Vivian Bose, J.; B. Jagannadhadas, J.; Bhuvneshwar P. Sinha, J. | · Author: · Bose, J. · Topic 12 · Order IX, Rules 6 and 7; Order XVII Rule 2; Article 226/136

FACTS

1. The second respondent, **Bhurey Lal Baya**, filed an **election petition under Section 100 of the Representation of the People Act, 1951**, against the appellant **Sangram Singh** and two others, seeking to set aside Sangram Singh's election.
2. The petition was tried by an **Election Tribunal at Kotah**. Under **Section 90(2)** of the Act, the Tribunal was required to try the petition "as nearly as may be, in accordance with the procedure applicable under the Code of Civil Procedure, 1908, to the trial of suits".
3. The **first hearing was on 11 December 1952 at Kotah**. The appellant **DID appear** at that hearing and at subsequent hearings at Kotah. *(This fact is critical — this was not a case of a defendant who never appeared at all.)*

4. The proceedings were then adjourned for certain hearings at **Udaipur**, fixed for **17, 18 and 19 March 1953**.
5. On **17 March 1953**, neither the appellant nor *any* of his three engaged counsel appeared. The Tribunal **waited until 1:15 p.m.** and then **proceeded ex parte**. Evidence was recorded on 17 and 18 March, and the matter was adjourned to **20 March**.
6. On **20 March 1953**, one of the appellant's counsel, **Mr. Bharat Raj, DID appear**. The Tribunal **refused to permit him to take any part in the proceedings**, on the footing that the proceedings were already *ex parte* and that the "ex parte order" had not been set aside.
7. On **21 March 1953**, Mr. Trivedi (counsel) applied to have the ex parte proceedings set aside and to be permitted to cross-examine those of Bhurey Lal's witnesses who had already been examined. The explanation offered was a **misunderstanding among the three advocates** and delay in the receipt of letters. The Tribunal **rejected the application the same day**, holding that the appellant had "failed to satisfy ourselves that there was any just or unavoidable reason preventing the appearance of Respondent No. 1 himself or of any of his three learned advocates between the 17th and the 19th of March, 1953".
8. A writ petition to the **Rajasthan High Court** under Article 226 failed. The High Court held (i) that the Tribunal was the authority to decide whether the reasons were sufficient, and its conclusion could not be challenged in such a petition; and (ii) that on the merits, counsel "were **grossly negligent** in not appearing on the date which had been fixed for hearing, more than two months previously".
9. The matter came to the Supreme Court by way of a **certificate of fitness under Article 133(1)(c)** granted by the High Court.

ISSUES

1. Whether, despite **Section 105 of the Representation of the People Act, 1951** (which declares every order of an Election Tribunal to be "final and conclusive"), the High Court under **Article 226** and the Supreme Court under **Article 136** retain jurisdiction to examine the legality of the Tribunal's orders?
2. Whether, under the Code of Civil Procedure, there exists such a thing as an "**ex parte ORDER for non-appearance**" which **precludes a party from further appearance at an adjourned hearing** until that order is set aside?
3. Whether the Tribunal was justified in refusing to allow the appellant's counsel to appear and take part in the proceedings on 20 March 1953?
4. What is the true scope of **Order IX Rules 6 and 7**, and their relationship with **Order XVII Rule 2**?

ARGUMENTS OF THE PARTIES

FOR THE APPELLANT (Sangram Singh)	FOR THE RESPONDENT (Bhurey Lal Baya) / SUPPORTING THE TRIBUNAL
1. The Tribunal was **bound in law to set aside the order to proceed ex parte**; the non-appearance was due to a genuine misunderstanding among counsel and delay in receipt of letters. 2. **No order to proceed ex parte can be made at all** under the Code — the Code contemplates no such "order". 3. An order under Order IX Rule 6 merely **permits the Court to continue in a party's absence**; it does **not bar that party from participating at later hearings**. 4. The Tribunal's refusal to hear counsel from 20 March onwards amounted to a **denial of natural justice** — the appellant was prevented from cross-examining witnesses and even from arguing the case. 5. Additionally, the **constitution of the Tribunal was illegal** because its members did not satisfy the statutory qualifications under Section 86 of the Act.	1. **Section 105** makes every order of the Tribunal **"final and conclusive"**; the legislature intended these decisions to be final on all matters, whether of fact or of law. Acting within its jurisdiction, the Tribunal cannot be said to commit an error of law, for in that sphere its decisions are absolute. 2. The **Tribunal alone was the authority to decide** whether the reasons offered were sufficient; its conclusion of insufficiency cannot be challenged in a writ petition. 3. On the merits, counsel were **grossly negligent** — the date had been fixed more than two months earlier. 4. Once proceedings had gone *ex parte*, a party **could not re-enter without first getting the ex parte order set aside** under Order IX Rule 7. 5. The presumption of regularity of official acts (S.114 Illus. (e), Evidence Act) protected the appointment of the Tribunal's members; no credible contrary evidence was led.

REASONING OF THE SUPREME COURT (BOSE, J.)

(B) The philosophy of procedural law — the most quoted passage in Order IX

> *"A Code of procedure is a body of law designed to facilitate justice and further its ends: not a penal enactment for punishment and penalties; not a thing designed to trip people up. Too technical a construction of sections that leaves no room for reasonable elasticity of interpretation should therefore be guarded against (provided always that justice is done to both sides) lest the very means designed for the furtherance of justice be used to frustrate it." — Bose, J.*

> *"Next, there must be ever present to the mind the fact that our laws of procedure are grounded on a principle of natural justice which requires that men should not be condemned unheard, that decisions should not be reached behind their backs, that proceedings that affect their lives and property should not continue in their absence and that they should not be precluded from participating in them. Of course, there must be exceptions and where they are clearly defined they must be given effect to. But taken by and large, and subject to that proviso, our laws of procedure should be construed, wherever that is reasonably possible, in the light of that principle."*

(C) "Consequence", not "penalty" — the textual argument

Bose, J. traced the Code's own vocabulary: **Section 27** empowers issue of summons to a defendant; **Section 30** empowers issue of summons to witnesses; and **Section 32** prescribes *penalties for default* — but **confines those penalties to summonses under Section 30**. "There is **no penalty for a refusal or an omission to appear in response to a summons under Section 27**." Certain consequences follow, and "popularly speaking, those consequences may be regarded as the penalty for non-appearance, **but they are not penalties in the true sense of the term. They are not punishments which the Court is authorised to administer for disregard of its orders**." The Court then noted that the heading of Order IX itself uses the word "**consequence**", and Rule 12's marginal note is "Consequence of non-attendance" — "The use of the word 'penalty' is scrupulously avoided." *"We deprecate the tendency of some Judges to think in terms of punishment and penalties properly so called when they should instead be thinking of compensation and the avoidance of injustice to both sides."*

(D) Rule 6(1)(a) is confined to the FIRST hearing

The Rules in the First Schedule **draw a distinction between the first hearing and subsequent hearings** (O.V Rr.1, 5, 8; O.VIII R.1 speaks expressly of "the first hearing"). Order IX Rule 1 opens with the words "On the day fixed in the summons for the defendant to appear and answer", and the rest of Order IX is consequential on that. Hence: "**Order IX Rule 6(1)(a) … is confined to the first hearing of the suit and does not** *per se* **apply to subsequent hearings**" — following Sahibzada Zeinulabdin Khan v. Sahibzada Ahmed Raza Khan, 5 I.A. 233.

(E) What "the Court may proceed ex parte" means — Wallace, J. preferred over O'Sullivan, J.

Judicial opinion was sharply divided. Wallace, J. in Venkatasubbiah v. Lakshminarasimham, AIR 1925 Mad 1274 held that "ex parte" merely means *in the absence of the other party*. O'Sullivan, J. in Hariram v. Pribhdas, AIR 1945 Sind 98 held that it means the Court may proceed without the defendant *till the termination of the proceedings* unless he shows good cause. **The Supreme Court held Wallace, J. and those who adopt the same line of thought to be right.**

> *"But, be it noted, the Court is not directed to make an ex parte order. Of course the fact that it is proceeding ex parte will be recorded in the minutes of its proceedings but that is merely a statement of the fact and is not an order made against the defendant… All that rule 6(1)(a) does is to remove a bar and no more. It merely authorises the Court to do that which it could not have done without this authority, namely to proceed in the absence of one of the parties. The contrast in language between rules 7 and 13 emphasises this."*

Rule 13 requires the Court to "make an order setting aside the decree" — because "a decree is a command or order of the Court and so can only be set aside by another order made and recorded with due formality". Rule 7 requires nothing of the kind: "**No order is contemplated by the Code and therefore no order to set aside the order is contemplated either.**"

(F) The day-to-day accrual doctrine — via Order XVII Rule 2

> *"Now rule 2 only applies when one or both of the parties do not appear on the day fixed for the adjourned hearing. In that event, the Court is thrown back to Order IX with the additional power to make 'such order as it thinks fit'. When it goes back to Order IX it finds that it is again empowered to proceed ex parte on the adjourned hearing in the same way as it did, or could have done, if one or other of the parties had not appeared at the first hearing — that is to say, the right to proceed ex parte is a right which accrues from day to day because at each adjourned hearing the Court is thrown back to Order IX, rule 6. It is not a mortgaging of the future but only applies to the particular hearing at which a party was afforded the chance to appear and did not avail himself of it. Therefore, if a party does appear on 'the day to which the hearing of the suit is adjourned', he cannot be stopped from participating in the proceedings simply because he did not appear on the first or some other hearing."*

(G) But he cannot "set back the hands of the clock"

"Though he has the right to appear at an adjourned hearing, **he has no right to set back the hands of the clock. Order IX, rule 7 makes that clear.** Therefore, unless he can show good cause, he must accept all that has gone before and be content to proceed from the stage at which he comes in." Rule 7 says he may be heard "*as if he had appeared on the day fixed*" — and Bose, J. explained: "**This cannot be read to mean … that he cannot be allowed to appear at all if he does not show good cause. All it means is that he cannot be relegated to the position he would have occupied**" — for instance, he cannot as of right put in a written statement, and must suffer such consequences as Order VIII Rule 10 entails.

(I) The Tribunal's fatal error — failure to exercise discretion

The Court did **not** disturb the concurrent finding on facts: "We agree with the Tribunal, and with the High Court, that **no good cause was shown** and so the defendant had no right to be relegated to the position that he would have occupied if he had appeared on 17-3-1953". **But** — "that he had a right to appear through counsel on 20-3-1953 and take part in the proceedings from the stage at which they had then reached, subject to such terms and conditions as the Tribunal might think fit to impose, is, we think, **undoubted**."

> *"The Court has a discretion which it must exercise. Its hands are not tied by the so-called ex parte order; and if it thinks they are tied by Order IX, rule 7 then it is not exercising the discretion which the law says it should, and, in a given case, interference may be called for… In the present case, we are satisfied that the Tribunal did not exercise its discretion because it considered that it had none and thought that until the ex parte order was set aside the defendant could not appear either personally or through counsel."*

Whether counsel should have been allowed to cross-examine the three witnesses examined after his appearance, or to adduce evidence, the Supreme Court left entirely to the Tribunal's sound judicial discretion — "but **we can find no justification for not at least allowing counsel to argue**".

`DECISION / HELD`

The appeal was **ALLOWED**. The Supreme Court **set aside the order of the Election Tribunal**. Since the original Tribunal had by then ceased to exist, the Court directed that the **Election Commission reconstitute a Tribunal** to hear and dispose of the election petition in accordance with law, the appellant being entitled to appear and participate from the stage at which his counsel had entered.

Summary of the four propositions held (as headnoted):

1. Under S.90(2) of the RP Act, the procedure for trial of election petitions is, as near as may be, the same as in the trial of suits under the CPC.
2. Under the CPC **there is no such thing as an "ex parte order for non-appearance" which precludes further appearance at an adjourned hearing until the order is set aside.** If a party appears at an adjourned hearing, the Court has a **discretion (which must be exercised judicially)** either to allow him to appear on such terms as it thinks fit, or to disallow further appearance.
3. If he is allowed to appear, then **unless good cause is shown under Order IX Rule 7** for the earlier non-appearance, the proceedings must continue **from the stage at which the later appearance is entered**, and the party cannot be relegated to the position he would have occupied had he appeared earlier.
4. In exercising its discretion the Court must see that **justice is done to all concerned, including the witnesses**.

`PRINCIPLES EVOLVED / RATIO DECIDENDI`

CASE #17 **Rajni Kumar v. Suresh Kumar Malhotra & Another**

2003 (3) SCALE 434 · AIR 2003 SC 1322 · (2003) 5 SCC 315 · Decided 28 March 2003 · Bench: · Syed Shah Mohammed Quadri, J. & Ashok Bhan, J. | · Author: · Quadri, J. · Topic 12 · Order XXXVII Rule 4 read with Order IX Rule 13

FACTS

1. The **appellant, Rajni Kumar (tenant)**, took on rent a residential flat — **No. C-470, Sarita Vihar, Ground Floor, New Delhi** — from the **respondent, Suresh Kumar Malhotra (landlord)**, for a period of **nine months** under a written lease agreement dated **26 November 1993**.
2. After the expiry of the term, the appellant **continued to occupy the premises as tenant until 11 January 1997**.
3. Alleging that the appellant had **not paid the electricity and water consumption charges** for the period 26 November 1993 to 11 January 1997, the respondent filed **Suit No. 597 of 1997** in the Court of the Senior Civil Judge, Delhi, **under Order XXXVII CPC (summary procedure)**, for recovery of **Rs. 33,661**.
4. Pursuant to the Court's order dated 16 April 1999, a **summons for judgment was sent by registered post A.D.** to the appellant on **21 April 1999**. The Court thereupon **drew an inference of deemed service**, proceeded with the case, and **decreed the suit ex parte on 12 August 1999**, with interest at **18% per annum**.
5. The appellant filed an application **under Order XXXVII Rule 4 CPC** in the trial court to set aside the ex parte decree.
6. **Trial court, 6 January 2001:** dismissed the application, holding that **no special circumstances** were stated in the petition, either (i) as to any illegality in deeming service of the summons for judgment, or (ii) as to **facts sufficient to entitle the appellant to defend the suit**.
7. **Delhi High Court, C.R. No. 138 of 2001, 15 October 2001:** dismissed the revision.
8. Appeal by special leave to the Supreme Court.

ISSUE

Sub-issues: (i) What is the meaning and scope of "**special circumstances**" in Order XXXVII Rule 4? (ii) Does **Order IX Rule 13** apply to a suit filed under Order XXXVII? (iii) What must an applicant under Order XXXVII Rule 4 establish, and is it enough to explain his absence?

ARGUMENTS OF THE PARTIES

FOR THE APPELLANT (Tenant) — Mr. A. Sharan, Sr. Adv.	FOR THE RESPONDENT (Landlord) — appearing IN PERSON
1. There was **no proof or record** to show that any notice by registered post with acknowledgment due was in fact issued to the appellant. The respondent had **taken the notice from the Court but filed no proof of having posted it**. 2. There was therefore a **"special reason"/special circumstance** for the appellant's failure to appear in response to the summons for judgment — the deemed service was unjustified. 3. On the merits, a **sufficient amount had been deposited with the respondent as advance**, which would answer the claim. 4. **Order XXXVII CPC was not applicable** to the facts of this case — a claim for utility charges is not a claim of the kind for which the summary procedure is available. 5. Both the trial court and the High Court therefore erred in dismissing the Rule 4 application.	1. The summons for judgment **was issued on 21 April 1999** and the Court had **rightly drawn the presumption of service** on the appellant. 2. Crucially — **nowhere in her application had the appellant stated anything about her defence to the suit**. Not a word was said about any amount lying in deposit with the respondent, nor about the suit being not maintainable under Order XXXVII. 3. The order under challenge was therefore rightly passed by both courts below, and no interference was warranted. *The Supreme Court recorded that the respondent, though appearing in person, "argued his case with precision and perfection".*

REASONING OF THE SUPREME COURT

(A) The two reliefs under Order XXXVII Rule 4

A careful reading of Rule 4 shows that it empowers the Court which passed an ex parte decree under Order XXXVII, **under special circumstances**, to set aside the decree and to grant one or both of the following reliefs, if it seems reasonable to the Court so to do and on such terms as it thinks fit:

(i) Post-decree relief

To **stay or set aside execution**.

(ii) Pre-decree relief

To give leave to the defendant **(a) to appear to the summons** and **(b) to defend the suit**.

(B) The meaning of "special circumstances"

> *"The expression 'special circumstances' is not defined in the C.P.C. nor is it capable of any precise definition by the court because problems of human beings are so varied and complex. In its ordinary dictionary meaning it connotes something exceptional in character, extra-ordinary, significant, uncommon. It is an antonym of common, ordinary and general. It is neither practicable nor advisable to enumerate such circumstances. Non-service of summons will undoubtedly be a special circumstance."*

The Court added: in an application under Order XXXVII Rule 4, the Court has to determine, on the facts of each case, "as to whether circumstances pleaded are **so unusual or extraordinary as to justify putting the clock back** by setting aside the decree".

(C) The critical distinction — ordinary suits v. Order XXXVII suits

Ordinary suit	Suit under Order XXXVII
A defendant has **the right to contest the suit as a matter of course**. He may nonetheless be declared ex parte if he does not appear in response to summons, or after entering appearance before framing issues, or during or after trial.	The procedure for appearance is governed by **Rule 3**. A defendant is **not entitled to defend the suit unless** he enters appearance **within ten days** of service of summons, in person or by pleader, and files an address for service. In default, the plaintiff becomes entitled to a decree for the sum in the summons with interest and costs.
Once an ex parte decree is passed, **Order IX Rule 13** operates: on proof of non-service or sufficient cause the Court *shall* set aside the decree, "and thereafter on the day fixed for hearing by the Court, **the suit would proceed as if no ex parte decree had been passed**".	If the defendant does enter appearance, the plaintiff serves a **summons for judgment**; within ten days the defendant may **seek leave to defend**, "which will be granted on disclosing such facts as may be deemed sufficient to entitle him to defend", either unconditionally or on terms. Leave is refused only where the defence is **not substantial, or frivolous or vexatious**. Where part of the claim is admitted, no leave unless the admitted amount is deposited.

(D) Order IX Rule 13 does not apply to Order XXXVII suits

> "**Rule 7 of Order 37** says that except as provided thereunder the procedure in suits under Order 37 shall be the same as the procedure in suits instituted in the ordinary manner. **Rule 4 of Order 37 specifically provides for setting aside decree; therefore, provisions of Rule 13 of Order 9 will not apply to a suit filed under Order 37.**" *(Application of the maxim generalia specialibus non derogant — the special provision excludes the general.)*

(E) The two-fold burden — and the "one application" rule

Because the very purpose of Order XXXVII is to ensure **expeditious hearing and disposal**, Rule 4 empowers the Court to grant leave to appear and defend *in addition* to setting aside the decree. From this the Court drew two consequences:

- **All reliefs must be claimed in ONE application.** "Where on an application, more than one among the specified reliefs may be granted by the Court, all such reliefs must be claimed in one application. It is **not permissible to claim such reliefs in successive petitions** as it would be contrary to the letter and spirit of the provision."
- **The applicant must show TWO things, not one.** "It is, therefore, **not enough for the defendant to show special circumstances which prevented him from appearing or applying for leave to defend; he has also to show by affidavit or otherwise, facts which would entitle him leave to defend the suit. In this respect, Rule 4 of Order 37 is different from Rule 13 of Order 9.**"

(F) Application to the facts

"Now adverting to the facts of this case, **though the appellant has shown sufficient cause for his absence on the date of passing the ex parte decree, he failed to disclose facts which would entitle him to defend the case.** The respondent was right in his submission that in the application under Rule 4 of Order 37 the appellant **did not say a word** about any amount being in deposit with the respondent, or that the suit was not maintainable under Order 37." Hence, "the High Court was right in **accepting the existence of special circumstances** justifying his not seeking leave of the Court to defend, **but in declining to grant relief since he had mentioned no circumstances justifying any defence**."

`DECISION / HELD`

- The Supreme Court found **no illegality, much less jurisdictional error**, in the order under challenge warranting interference. The refusal to set aside the ex parte decree was **upheld**.
- **However**, having regard to **Section 34 CPC** and the fact that **the liability did not arise out of a commercial transaction**, the Court held the grievance about the rate of interest to be justified and **reduced the interest from 18% to 6% per annum**.
- The appellant had been directed to deposit the decretal amount as security pending the appeal; as leave to defend was not granted, she was permitted to **withdraw that amount or have it adjusted** in satisfaction of the decree.
- **Subject to that modification, the appeal was DISMISSED. No costs.**

`PRINCIPLES EVOLVED / RATIO DECIDENDI`

`CASE #18` **Bhanu Kumar Jain v. Archana Kumar & Another**

`AIR 2005 SC 626 · (2005) 1 SCC 787 · Decided 17 December 2004 · Bench: · N. Santosh Hegde, J.; B. P. Singh, J.; S. B. Sinha, J. | · Author: · S. B. Sinha, J. · Topic 12 · Order IX Rules 7 & 13; Section 96(2); Order XLIII Rule 1(d); issue estoppel`

`FACTS`

1. The original plaintiff filed a **suit for partition** of property that had belonged to his father, Shri N. N. Mukherjee, claiming a half share and separate possession together with mesne profits. The defendants were **Archana Kumar (Respondent 1)** and **Surendra Kumar (Respondent 2)**. Respondent 2 also filed a **counter-claim under Order VIII Rule 6-D** (relating to an alleged mortgage), directed against his mother-in-law (the original Defendant 1).
2. By order dated **7 October 1985**, the trial court **posted the suit for ex parte hearing**.
3. The defendants applied **under Order IX Rule 7** to set aside the order dated 7 October 1985. That application was **rejected on 31 October 1985**.
4. A **preliminary decree for partition** was passed in favour of the plaintiff on **1 November 1985**.

5. The respondents then filed an application **under Order IX Rule 13** on 5 November 1985 (Misc. Judicial Case No. 30/1985). It was **dismissed on 15 January 1986** by the 6th Additional District Judge, Jabalpur, holding that **the defendants had failed to prove good and sufficient cause for their absence on 7 October 1985**.
6. An **appeal under Order XLIII Rule 1(d)** (Misc. Appeal No. 19/86) against that dismissal was filed on 30 January 1986 and was itself **dismissed on 5 April 1994**. A **Special Leave Petition** against that dismissal was **withdrawn** on 16 December 1994.
7. A **Civil Revision** challenging the order dated 31 October 1985 (the Order IX Rule 7 rejection) was **also dismissed**.
8. Meanwhile the respondents had also filed a **regular First Appeal (No. 109/86) under Section 96(2)** in the High Court against the ex parte preliminary decree.
9. The original plaintiff transferred his right, title and interest to the present **appellant, Bhanu Kumar Jain**, and died on 1 May 2001.
10. The **Madhya Pradesh High Court allowed First Appeal No. 109/86**, holding: (i) the trial judge had "**grossly erred in law by proceeding ex parte against the defendants**"; and (ii) it was incumbent on the trial judge to **decide Respondent 2's counter-claim** under Order VIII Rule 6-D. The High Court set aside the ex parte decree.
11. The plaintiff's transferee appealed to the Supreme Court.

ISSUES

1. Whether a **regular first appeal under Section 96(2) CPC is maintainable** against an ex parte decree **despite the dismissal of an application under Order IX Rule 13**?
2. If maintainable, **what contentions may the defendant raise** in such an appeal — may he re-agitate the propriety of the order posting the suit for ex parte hearing, and/or the existence of sufficient cause for his non-appearance?
3. Whether both remedies (Order IX Rule 13 and Section 96(2) appeal) may be pursued **simultaneously**, and what is the effect of the outcome of one upon the other?
4. Whether the principles of *res judicata* **and** *issue estoppel* operate at different stages of the same proceeding so as to bar re-agitation?

ARGUMENTS OF THE PARTIES

FOR THE APPELLANT (Bhanu Kumar Jain) — Mr. Anoop G. Chaudhari, Sr. Adv.	FOR THE RESPONDENTS (Archana Kumar & Surendra Kumar) — Mr. Ranjit Kumar, Sr. Adv.
1. As the **counter-claim filed under Order VIII Rule 6-D was dismissed** by the trial judge, the First Appeal ought not to have been entertained at the instance of Respondent 2 at all. 2. The subject-matter of the Order IX Rule 13 application and the subject-matter of the appeal being the **same**, it is **against public policy** to allow two parallel proceedings to continue simultaneously. [Relying on Badvel Chinna Asethu v. Vettipalli Kesavayya, AIR 1920 Mad 962; Rani Choudhury v. Lt.-Col. Suraj Jit Choudhury, (1982) 2 SCC 596; P. Kiran Kumar v. A.S. Khadar, (2002) 5 SCC 161, and others.] 3. The respondents' claim is **hit by the doctrine of ISSUE ESTOPPEL** — the very issues had been decided against them and had become final. [Relying on Y.B. Patil v. Y.L. Patil, (1976) 4 SCC 66; Vijayabai v. Shriram Tukaram, (1999) 1 SCC 693; Hope Plantations Ltd. v. Taluk Land Board, (1999) 5 SCC 590.] 4. The counter-claim was directed **only against the mother-in-law** (Defendant 1) and could not be enforced against the plaintiff; moreover, the trial judge *had* in fact determined it (Issue No. 5), so the High Court's contrary finding was a manifest error. 5. The respondents **adduced no evidence and produced no documents**; the mortgage deed was not even annexed to the written statement as Order VIII Rule 1 required. There is therefore **no material on record** enabling any court to decide the matter on merits, and a remand would serve no purpose.	1. The respondents were **entitled to maintain an appeal against the ex parte decree under Section 96(2)**, which confers an **unrestricted statutory right** upon a party to a suit. 2. The High Court had found that the suit was directed to be proceeded ex parte **only against Respondent 1 and not against Respondent 2**; Respondent 2 was therefore entitled to challenge the legality of the order dated 31 October 1985. 3. In any event, the respondents were entitled to **assail the judgment on the merits**. Under **Order VIII Rule 10**, even where no written statement is filed, the Court may direct evidence to be adduced and **must record a satisfaction that the plaintiff has proved his case** before decreeing the suit. If the plaintiff fails to prove his case, the judgment is subject to appeal under Section 96(2). 4. The appellant **has no locus standi** to maintain the appeal, as he was never substituted in place of the original plaintiff upon the latter's death. 5. In the alternative, if the respondents cannot question the ex parte order, the matter should be **remitted to the High Court** for a decision on the merits.

REASONING OF THE SUPREME COURT (S. B. SINHA, J.)

(A) The scope of Order IX Rule 7 — following Arjun Singh

"Order 9, Rule 7 of the Code postulates an application for allowing a defendant to be heard in answer to the suit when an order posting a suit for ex parte hearing was passed **only in the event the suit had not been heard**; as in a case where hearing of the suit was complete and the court had adjourned the suit for pronouncing the judgment, an **application under Order 9 Rule 7 would not be maintainable**." — Arjun Singh v. Mohindra Kumar, AIR 1964 SC 993; Vijay Kumar Madan v. R.N. Gupta Technical Education Society, (2002) 5 SCC 30.

(B) Res judicata operates at different STAGES of the same proceeding

The Court held it "now well-settled that principles of *res judicata* apply in different stages of the same proceedings", relying on Satyadhyan Ghosal v. Deorajin Debi, AIR 1960 SC 941 and Prahlad Singh v. Col. Sukhdev Singh, (1987) 1 SCC 727, and quoting Y.B. Patil: "*principles of res judicata can be invoked not only in separate subsequent proceedings, they also get attracted in subsequent stages of the same proceedings. Once an order made in the course of a proceeding becomes final, it would be binding at the subsequent stage of that proceeding.*" It also quoted Hope Plantations on the twin public-policy foundations: (i) decisions of competent courts should be final unless modified on appeal, and (ii) **no one should be made to face the same kind of litigation twice over**.

(C) On the facts — the respondents had exhausted and lost every procedural challenge

It was undisputed that **both** respondents had (i) applied under Order IX Rule 13; (ii) appealed under Order XLIII Rule 1(d) against its dismissal; and (iii) filed a revision against the order posting the suit ex parte — **all of which were dismissed**, and the SLP was withdrawn. "In that view of the matter **it is not permissible for the Respondents now to contend that it was open to Respondent No. 2 to re-agitate the matter before the High Court.**" Moreover, the very contention raised in the First Appeal had **never been raised** in the Order IX Rule 13 application, the Misc. Petition or the Revision — "such a question having not been raised, the respondents disentitled themselves from raising the said contention yet again."

(D) The two grounds available in a Section 96(2) appeal

> "An appeal against an ex parte decree in terms of Section 96(2) of the Code could be filed on the following grounds:
> **(i)** the materials brought on record in the ex parte proceedings in the suit by the plaintiff **would not entail a decree in his favour**; and
> **(ii)** the suit **could not have been posted for ex parte hearing**."

By contrast, "in an application under Order 9 Rule 13 of the Code, **apart from questioning the correctness or otherwise of an order posting the case for ex parte hearing**, it is open to the defendant to contend that he had **sufficient and cogent reasons for not being able to attend the hearing** of the suit on the relevant date." — the ground of "sufficient cause" is *peculiar to Rule 13*.

(E) The options open to a defendant, and the asymmetry of the Explanation

> *"When an ex parte decree is passed, the defendant (apart from filing a review petition and a suit for setting aside the ex parte decree on the ground of fraud) has two clear options: one, to file an appeal; and another, to file an application for setting aside the order in terms of Order 9 Rule 13 of the Code. He can take recourse to both the proceedings simultaneously but in the event the appeal is dismissed as a result whereof the ex parte decree passed by the trial court merges with the order passed by the appellate court, having regard to the Explanation appended to Order 9 Rule 13 of the Code, a petition under Order 9 Rule 13 would not be maintainable. However, the Explanation appended to the said provision does not suggest that the converse is also true."*

The Court also noted that in an appeal under Section 96, having regard to **Section 105**, it is permissible for an appellant to raise a contention as to the correctness of an **interlocutory order** passed in the suit, subject to the conditions laid down in that section.

(F) Issue estoppel v. res judicata — the conceptual distinction

> *Res judicata* "debars a **court** from exercising its jurisdiction to determine the *lis* if it has attained finality between the parties", **whereas** the doctrine of *issue estoppel* "is invoked **against the party**. If such an issue is decided against him, **he would be estopped from raising the same in the latter proceeding**." The Court cited Thoday v. Thoday, [1964] 1 All ER 341, where Lord Diplock explained *cause of action estoppel* as that "which prevents a party to an action from asserting or denying, as against the other party, the existence of a particular cause of action, the non-existence or existence of which has been determined by a court of competent jurisdiction in previous litigation between the same parties".

(G) The dichotomy resolved

The Court acknowledged the tension: on the one hand, allowing the same contention in both forums "may lead to **conflict of decisions** which is not contemplated in law"; on the other, "**a right to question the correctness of the decree in a first appeal is a statutory right. Such a right shall not be curtailed nor shall any embargo be fixed thereupon unless the statute expressly or by necessary implication says so.**"

> *"The dichotomy, in our opinion, can be resolved by holding that whereas the defendant would not be permitted to raise a contention as regards the correctness or otherwise of the order posting the suit for ex parte hearing by the trial court and/or the existence of a sufficient cause for non-appearance of the defendant before it, it would be open to him to argue in the first appeal filed by him under Section 96(2) of the Code on the merits of the suit, so as to enable him to contend that the materials brought on record by the plaintiffs were not sufficient for passing a decree in his favour or that the suit was otherwise not maintainable."*

Further: "when an application under Order 9 Rule 13 is dismissed, the defendant can only avail the remedy available thereagainst, viz., to prefer an appeal in terms of **Order 43 Rule 1** of the Code. **Once such an appeal is dismissed, the appellant cannot raise the same contention in the first appeal.**"

`DECISION / HELD`

- The High Court's judgment was held **unsustainable**, because it had set aside the ex parte decree **solely on procedural grounds** — the alleged wrongfulness of the ex parte order and the non-consideration of the counter-claim — grounds that had **already been finally decided** against the respondents and could not be reopened.
- The High Court had **failed to examine the merits** within the permissible scope of a Section 96(2) appeal.
- The **preliminary decree stands revived**, but subject to the High Court's **fresh adjudication on the merits** of the partition claim and the counter-claim, **confined to the existing evidentiary record**. The matter was accordingly remitted for that limited purpose.

`PRINCIPLES EVOLVED / RATIO DECIDENDI`

`PYQ ARCHIVE // CH.06` **Previous Year Questions (DU LL.B. Examinations)**

Q.1 `Long Answer · 15 Marks` What are the consequences of the non-appearance of parties under Order IX of the Code of Civil Procedure? What is an ex parte decree, and what remedies are available to a defendant against whom such a decree has been passed?

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 `Long Answer · 15 Marks` "Under the Code of Civil Procedure there is no such thing as an ex parte order for non-appearance which precludes further appearance at an adjourned hearing until that order is set aside." Examine this statement in the light of Sangram Singh v. Election Tribunal, Kotah. Discuss the scope of Order IX Rules 6 and 7.

Q.3 `Long Answer · 12-15 Marks` An ex parte decree is passed against D. He applies under Order IX Rule 13 to have it set aside; the application is dismissed on the finding that he had no sufficient cause for his absence, and his appeal under Order XLIII Rule 1(d) also fails. D now files a first appeal under Section 96(2) against the ex parte decree, contending (i) that the trial court wrongly posted the suit for ex parte hearing, (ii) that he had sufficient cause for his absence, and (iii) that in any event the plaintiff's evidence did not warrant a decree. Decide, with reference to decided cases.

Q.4 `Short Note / Distinguish · 6-8 Marks` Distinguish between an application under Order IX Rule 13 CPC and an application under Order XXXVII Rule 4 CPC for setting aside an ex parte decree. Refer to Rajni Kumar v. Suresh Kumar Malhotra.

Q.5 `Problem · 10 Marks` A suit is fixed for hearing on 5 March. The defendant, though duly served, does not appear, and the Court orders that the suit be heard ex parte. Evidence of the plaintiff's witnesses is recorded on 5 and 6 March and the case is adjourned to 12 March. On 12 March the defendant's counsel appears and seeks to (i) cross-examine the witnesses already examined, (ii) file a written statement, and (iii) address arguments. He offers no explanation for the earlier absence. The trial court refuses to hear him at all, saying the proceedings are "ex parte". Is the trial court right? Decide.

`MODULE 07 // PART A · TOPIC 13` Cases #19-#22

Summary Procedure

Order XXXVII, Rules 1-7, Code of Civil Procedure, 1908

The Concept of Summary Procedure

What a summary suit is, where it comes from, why it exists, and its legal character

Core Definition
A **summary suit** under Order XXXVII CPC is a suit upon a negotiable instrument or for a debt / liquidated demand in money in which the defendant is **not entitled, as of right, to defend the suit** as in an ordinary suit. The defendant must **apply to the court for leave (permission) to defend** within the prescribed time; if leave is refused or not sought, the plaintiff becomes **entitled to judgment forthwith** and the decree may be executed immediately.

1.1 Essence of the Summary Suit

- **Right of audience is conditional:** In an ordinary suit, appearing and defending is the defendant's *right*; in a summary suit it is a *privilege* granted by the court's leave — *"the defendant shall not defend the suit unless he enters an appearance"* (Rule 2(3)).
- **Leave to defend:** Granted only if the defendant's affidavit discloses facts which would make it incumbent on the plaintiff to prove consideration, or such other facts as the court deems sufficient; leave may be **unconditional** or **on terms** (deposit, security, time/mode of trial).
- **Deemed admission:** On default of appearance, *"the allegations in the plaint shall be deemed to be admitted"* and the plaintiff is entitled to a decree forthwith (Rule 2(3)).
- **Speed in commercial causes:** The Order targets classes of money claims where speedy decisions are desirable in the interests of trade and commerce.
- **Rules of procedure only:** The provisions of Order XXXVII are merely rules of procedure — they **do not alter the nature of the suit or the jurisdiction of the court** (Prayag Deb v. Rama Roy, AIR 1977 Cal 1 (FB)). Filing under O.37 R.2(1) has no bearing on the jurisdiction of the court or on the nature of the suit.

1.3 Object & Rationale

- **Primary object** — "to prevent unreasonable obstruction by the defendant who has no defence and to assist expeditious disposal of cases".
- **Commercial rationale** — "Trading and commercial operations are liable to be seriously impeded if, in particular, money disputes between the parties are not adjudicated upon expeditiously" (*Milkhiram*, adopted in *Santosh Kumar* through *Kesavan v. South India Bank Ltd.* and *Sundaram Chettiar v. Valli Ammal*).
- **Balance struck** — *Santosh Kumar* (Vivian Bose, J.): "the object is to see that the defendant does not unnecessarily prolong the litigation and prevent the plaintiff from obtaining an early decree by raising untenable and frivolous defences in a class of cases where speedy decisions are desirable in the interests of trade and commerce."

Natural-justice foundation Quoting *Sangram Singh v. Election Tribunal, Kotah* (AIR 1955 SC 425), Bose J. reminded courts that a code of procedure is "something designed to facilitate justice and further its ends; not a penal enactment for punishment and penalties; not a thing designed to trip people up" — hence the summary jurisdiction must be exercised along judicial lines.

Rule 1 — Courts and Classes of Suits `R.1 — APPLICABILITY`

The territorial and subject-matter reach of the summary jurisdiction

Order XXXVII, Rule 1 — Courts and classes of suits to which the Order is to apply

(1) This Order shall apply to the following Courts, namely:—
(a) High Courts, City Civil Courts and Courts of Small Causes; and

(b) other Courts:
Provided that in respect of the Courts referred to in clause (b), the High Court may, by notification in the Official Gazette, restrict the operation of this Order only to such categories of suits as it deems proper, and may also, from time to time, as the circumstances of the case may require, by subsequent notification in the Official Gazette, further restrict, enlarge or vary, the categories of suits to be brought under the operation of this Order as it deems proper.
(2) Subject to the provisions of sub-rule (1), the Order applies to the following classes of suits, namely:—
(a) suits upon bills of exchange, hundies and promissory notes;
(b) suits in which the plaintiff seeks only to recover a debt or liquidated demand in money payable by the defendant, with or without interest, arising,—
(i) on a written contract, or
(ii) on an enactment, where the sum sought to be recovered is a fixed sum of money or in the nature of a debt other than a penalty; or
(iii) on a guarantee, where the claim against the principal is in respect of a debt or liquidated demand only.

2.1 Element I — The Courts (Rule 1(1))

- **Automatic application:** High Courts, City Civil Courts and Courts of Small Causes — the superior commercial courts of Presidency towns.
- **Other courts:** The Order reaches them only if (and to the extent that) the **High Court notifies** categories of suits in the Official Gazette; the High Court retains a continuing power to **restrict, enlarge or vary** those categories.
- This is why, historically, the vigorous development of O.37 practice occurred in **Bombay, Calcutta and Delhi** — and why the leading cases in the DU material (Santosh Kumar — Delhi; Mechalec — Delhi; ONGC & IDBI — Bombay HC original side) all arise from those courts.

2.2 Element II — The Suits (Rule 1(2))

(a) Suits upon bills of exchange, hundies and promissory notes

The classical core of the Order — suits on negotiable instruments where the document itself is the debt. *Santosh Kumar* (dishonoured cheque of ₹60,000) and *Mechalec* (dishonoured cheque of ₹21,265.28) both belong to this class.

(b) Suits to recover a debt or liquidated demand in money

- **"Only to recover"** — the relief must be purely monetary; a suit seeking additional non-monetary relief (declaration, injunction, possession) falls outside the Order.
- **"Debt or liquidated demand"** — a sum certain, or capable of ascertainment by computation from the document; **unliquidated damages** (e.g., damages for breach requiring proof of loss) are outside.
- Three sources: **(i) written contract**; **(ii) enactment** — but only where the sum is a fixed sum or in the nature of a debt *other than a penalty*; **(iii) guarantee** — where the claim against the principal is itself for a debt or liquidated demand.

Guarantee ≠ Indemnity **State Bank of Saurashtra v. Ashit Shipping Services (P) Ltd.** (2002) 4 SCC 736: where the document was in substance an **indemnity bond**, the SC held a summary suit was not maintainable — "in case of claims on indemnity bonds the loss would first have to be proved. Thus a summary procedure cannot be adopted in such cases." Order XXXVII R.1(2)(iii) speaks only of **guarantees**. Leave to defend was granted.

Post-1976 expansion Before 1977, class (b) as such did not exist in the central Code (it was the Bombay amendment's innovation); suits were confined to negotiable instruments. The 1976 amendment nationalised the wider classes — which is why *ONGC v. SBI* (bank guarantee) and *IDBI Trusteeship v. Hubtown* (corporate guarantee) could be brought as summary suits.

Rule 2 — Institution of Summary Suits R.2 — INSTITUTION

How the summary suit is launched, and the consequence of the defendant's default

Order XXXVII, Rule 2 — Institution of summary suits
(1) A suit, to which this Order applies, may *if the plaintiff desires to proceed hereunder*, be instituted by presenting a plaint which shall contain,—
(a) a specific averment to the effect that the suit is filed under this Order;
(b) that no relief, which does not fall within the ambit of this rule, has been claimed in the plaint; and
(c) the following inscription, immediately below the number of the suit in the title of the suit, namely:—
"(Under Order XXXVII of the Code of Civil Procedure, 1908)."
(2) The summons of the suit shall be in Form No. 4 in Appendix B or in such other Form as may, from time to time, be prescribed.
(3) The defendant shall not defend the suit referred to in sub-rule (1) unless he enters an appearance and in default of his entering an appearance **the allegations in the plaint shall be deemed to be admitted** and the plaintiff shall be entitled to a decree for any sum, not exceeding the sum mentioned in the summons, together with interest at the rate specified, if any, up to the date of the decree and such sum for costs as may be determined by the High Court from time to time by rules made in that behalf and **such decree may be executed forthwith**.

3.1 The Three Plaint Formalities — R.2(1)(a)-(c)

1. **Specific averment:** the plaint must say in terms that the suit is filed under Order XXXVII — the defendant must know at a glance that his right to defend is curtailed.
2. **Confinement of relief:** an averment that no relief outside R.1's ambit is claimed — this ties the plaint to the "only to recover a debt or liquidated demand in money" limitation.
3. **The inscription:** "(Under Order XXXVII of the Code of Civil Procedure, 1908)" printed immediately below the suit number in the cause title — the visible stamp of the summary procedure.

Procedural note: instituting under O.37 R.2(1) has **no bearing on the jurisdiction of the court or on the nature of the suit** — if a court of the lowest grade lacks summary jurisdiction, that does not make it incompetent to try the suit if otherwise within its jurisdiction.

3.2 The Summons — R.2(2)

The summons is in **Form No. 4, Appendix B** (or a prescribed alternative). Appendix B Form 4 warns the defendant, in substance, that he must appear within ten days of service, that in default the allegations in the plaint will be deemed to be admitted and a decree may be executed forthwith — the summons thus carries the entire coercive logic of the Order (cf. bare Act, Appendix B).

3.3 Default of Appearance — R.2(3)

- The defendant "shall not defend the suit unless he enters an appearance" — defence is **conditional on appearance**.
- On default: **deemed admission** of the plaint's allegations → the plaintiff is entitled to a decree (capped at the sum in the summons, plus specified interest and High-Court-rule costs) → **decree executable forthwith** — no trial, no evidence, no O.8 written statement.
- The defendant's protection against such a decree is later found in **Rule 4** (setting aside under special circumstances) — see Section 6.

Remember The Supreme Court in *Rajni Kumar v. Suresh Kumar Malhotra* spelt out the sequence: "In default of his entering an appearance, the plaintiff becomes entitled to a decree for any sum not exceeding the sum mentioned in the summons together with interest at the rate specified, if any, up to the date of the decree together with costs. The plaintiff will also be entitled to judgment in terms of sub-rule (6) of Rule 3."

Rule 3 — Procedure for the Appearance of the Defendant `R.3 — THE ENGINE ROOM`

The step-by-step chronology from service to judgment — the most examined provision of the Order

Order XXXVII, Rule 3 — Procedure for the appearance of defendant

(1) In a suit to which this Order applies, the plaintiff shall, together with the summons under rule 2, serve on the defendant a copy of the plaint and annexures thereto and the defendant may, at any time **within ten days of such service**, enter an appearance either in person or by pleader and, in either case, he shall file in Court an address for service of notices on him.
(2) Unless otherwise ordered, all summonses, notices and other judicial processes, required to be served on the defendant, shall be deemed to have been duly served on him if they are left at the address given by him for such service.
(3) On the day of entering the appearance, notice of such appearance shall be given by the defendant to the plaintiff's pleader, or, if the plaintiff sues in person, to the plaintiff himself, either by notice delivered at or sent by a pre-paid letter directed to the address of the plaintiff's pleader or of the plaintiff, as the case may be.
(4) If the defendant enters an appearance, the plaintiff shall thereafter serve on the defendant a **summons for judgment** in Form 4–A in Appendix B or such other Form as may be prescribed from time to time, returnable not less than ten days from the date of service supported by an **affidavit verifying the cause of action and the amount claimed** and stating that in his belief **there is no defence to the suit**.
(5) The defendant may, at any time **within ten days from the service of such summons for judgment**, by affidavit or otherwise disclosing such facts as may be deemed sufficient to entitle him to defend, apply on such summons for leave to defend such suit, and leave to defend may be granted to him **unconditionally or upon such terms as may appear to the Court or Judge to be just**:
Provided that leave to defend shall not be refused unless the Court is satisfied that the facts disclosed by the defendant do not indicate that he has a **substantial defence** to raise or that the defence intended to be put up by the defendant is **frivolous or vexatious**:
Provided further that, where a part of the amount claimed by the plaintiff is **admitted** by the defendant to be due from him, leave to defend the suit shall not be granted unless the amount so admitted to be due is **deposited** by the defendant in Court.
(6) At the hearing of such summons for judgment,—
(a) if the defendant has not applied for leave to defend, or if such application has been made and is refused, the plaintiff shall be entitled to **judgment forthwith**; or
(b) if the defendant is permitted to defend as to the whole or any part of the claim, the Court or Judge may direct him to give such security and within such time as may be fixed by the Court or Judge and that, on failure to give such security within the time specified by the Court or Judge or to carry out such other directions as may have been given by the Court or Judge, the plaintiff shall be entitled to **judgment forthwith**.
(7) The Court or Judge may, for sufficient cause shown by the defendant, **excuse the delay** of the defendant in entering an appearance or in applying for leave to defend the suit.

4.1 Sub-rule by Sub-rule — the Working Elements

Sub-rule	Requirement	Detail / significance
R.3(1)	Service of plaint copy + 10 days to appear	Plaintiff must serve the **plaint and annexures with the summons**; defendant appears in person or through pleader and files an **address for service**. The 10-day window is rigid but condonable under R.3(7).
R.3(2)	Deemed service	Process left at the address given by the defendant is good service — he cannot hide behind his own default.
R.3(3)	Notice of appearance to plaintiff	Same-day intimation to the plaintiff('s pleader) — triggers the plaintiff's duty to issue the summons for judgment.
R.3(4)	Summons for judgment (Form 4–A)	The plaintiff's affidavit must (i) verify the cause of action, (ii) verify the amount claimed, and (iii) state his belief that **there is no defence**. `Rule` An ex parte decree passed **without issuing summons for judgment** (and without the R.3(4) affidavit) is liable to be set aside.
R.3(5)	Application for leave to defend	Within **10 days** of service of the summons for judgment; by affidavit or otherwise disclosing sufficient facts. Leave: unconditional or on just terms. Twin provisos: (i) refusal only for want of substantial defence / frivolous-vexatious defence; (ii) **deposit of admitted amount is a condition precedent**.
R.3(6)	Hearing & outcomes	(a) No application / refused → **judgment forthwith**; (b) leave granted → court may fix **security** and time; failure to comply → judgment forthwith.
R.3(7)	Condonation	Court may excuse delay in appearance or in applying for leave for **sufficient cause**.

Limitation Act hook (LB-302 is CPC + Limitation!) **Article 118, Schedule to the Limitation Act, 1963** — "For **leave to appear and defend a suit under summary procedure**: period **ten days**; computation — **from when the summons is served**." The statutory 10-day period is thus mirrored in the limitation table.

Leave to Defend — The Jurisprudence R.3(5)-(6) — DISCRETION

From Kiranmoyee Dassi (1945) to IDBI Trusteeship (2016): the standards that govern the grant, refusal and conditioning of leave

5.1 The Judicial Frame of Mind

- **Discretion, but judicial:** "the Court is given a discretion [which] must be exercised along judicial lines... in consonance with the principles of natural justice that form the foundations of our laws" (*Santosh Kumar*).
- **No hard-and-fast rules:** "It is always undesirable, and indeed impossible, to lay down hard and fast rules in matters that affect discretion" (*Santosh Kumar*); "it would be undesirable and inexpedient to lay down any rule of general application" (*Milkhiram*).
- **Answers from pleadings & affidavits only:** "Whether the defence raises a triable issue or not has to be ascertained by the court from the pleadings before it and the affidavits of parties and it is not open to it to call for evidence at that stage" (*Milkhiram*).
- **Proof comes later:** "the stage of proof can only come after the defendant has been allowed to enter an appearance and defend the suit" (*Santosh Kumar*).
- **Revisional restraint:** the High Court under s.115 should not interfere with the trial court's discretionary grant of leave on a "pure question of fact — whether the defences could be honest and bona fide" — deciding that before evidence "is generally hazardous" (*Mechalec*).

5.2 The Foundational Tests

Jacobs v. Booth's Distillery Co. (1901) 85 LT 262 (HL) — via Santosh Kumar & MilkhiramWhenever the defence raises a "triable issue", leave must be given; and later cases say that when that is the case it must be given **unconditionally**; otherwise the leave may be illusory.
Santosh Kumar v. Bhai Mool Singh (1958) — Bose J."In general, therefore, the test is to see whether the defence raises a **real issue and not a sham one**, in the sense that, if the facts alleged by the defendant are established, there would be a good, or even a plausible defence on those facts."
Raj Duggal v. Ramesh Kumar Bansal, AIR 1990 SC 2218"the test whether leave to defend should be granted or not is to see whether the defence raises a **real, honest and bona fide dispute** and raises a triable issue or not. If the Court is satisfied that the defence has raised a triable issue or a fair dispute has arisen, leave to defend should not be refused." Summary judgment should not be given where there is serious conflict as to matter of fact, or any difficulty on issues as to law arises; the court should not reject the defence merely because of its inherent implausibility or its inconsistency.

When is a "triable issue" raised?

- a **fair dispute to be tried as to the meaning of the document** on which the claim is based; or
- **uncertainty as to the amount actually due**; or
- facts of such a nature as to entitle the defendant to **interrogate the plaintiff**; or
- to **cross-examine his witnesses**.

But where the triable point is purely a **question of law** not dependent on facts to be investigated, no leave is needed — the court may decide the point at once.

5.3 The Five Kiranmoyee Dassi Propositions — approved in Mechalec

Smt. Kiranmoyee Dassi v. Dr. J. Chatterjee, (1945) 49 CWN 246 = AIR 1949 Cal 479 (Das, J.) — as extracted in the DU case material within *Mechalec*:

Class	Nature of defence disclosed	Consequence
(a)	Good defence to the claim on its merits	Plaintiff **not** entitled to sign judgment; defendant entitled to **unconditional leave**.
(b)	Trible issue raised — fair / bona fide / reasonable defence though not positively good	Plaintiff **not** entitled to sign judgment; **unconditional leave**.
(c)	Facts disclosed lead to the inference that a defence may possibly be established at trial	Leave granted, but conditions may be imposed **as to time or mode of trial only — not** as to payment into court or furnishing security.
(d)	No defence, or illusory / sham / "practically moonshine" defence	Ordinarily, plaintiff entitled to **sign judgment**; no leave.
(e)	No defence or sham/moonshine — but court shows mercy	Court may protect the plaintiff by conditional leave — defence allowed to proceed **only if the amount claimed is paid into court or otherwise secured**.

Mechalec's use of the table In *Mechalec* the Court held that a **deposit condition is justifiable only in class (e)** — "It is only in that class of cases that an imposition of the condition to deposit an amount in Court before proceeding further is justifiable." Since the defendant there had denied privity of contract itself, the case fell outside (e), and the Delhi HC's conditional order could not stand.

5.4 Milkhiram — the Four-Judge Bridge to the Amended Law

Milkhiram (India) (P) Ltd. v. Chamanlal Bros., AIR 1965 SC 1698 (bench of four) construed the **Bombay amendment** of O.37 R.2 — textually the ancestor of today's R.3(4)-(6) — and held:

- A triable issue is ascertained **from pleadings and affidavits**, not by calling for evidence.
- If the defence is **sham, fantastic or highly improbable**, the court may put the defendant on terms before granting leave.
- Even where a defence is **plausible but improbable**, the court may conclude the issue is not triable and impose terms.
- **Devlin LJ in Fieldrank Ltd. v. Stein** and **Chagla CJ in Rawalpindi Theatres v. Film Group Bombay** approved as guidance for appellate courts: a "real doubt about the defendant's good faith" justifies protecting the plaintiff by conditions.

- Care directives: (i) the object of speedy disposal of commercial causes must not be defeated; (ii) "real and genuine triable issues are not shut out by unduly severe orders as to deposit".

In *IDBI Trusteeship*, Nariman J. identified *Milkhiram* as "a direct authority on the amended O.XXXVII provision" — since the central amendment of 1976 reproduced the Bombay text — though the two provisos to sub-rule (5) were "new".

5.6 IDBI Trusteeship (2016) — the Six Governing Principles Today

Nariman, J. held that "the principles stated in paragraph 8 of *Mechelec's* case will now stand superseded, given the amendment of O.XXXVII R.3, and the binding decision of four judges in *Milkhiram's* case", and restated the law as:

1. **Substantial defence** (a defence that is *likely to succeed*) → plaintiff not entitled to sign judgment; defendant entitled to **unconditional leave**.
2. **Trible issues** indicating a fair or reasonable defence (though not positively good) → plaintiff not entitled to sign judgment; defendant **ordinarily** entitled to unconditional leave.
3. **Trible issues but doubt** about the defendant's good faith or the genuineness of the issues → judge may impose conditions **both as to time/mode of trial and as to payment into court or furnishing security**; care that the object of expeditious disposal is not defeated and that triable issues are not shut out by unduly severe orders.
4. **Plausible but improbable** defence → conditions as to time/mode of trial and as to payment into court or furnishing security; since such a defence does not raise triable issues, conditions **can extend to the entire principal sum plus such interest as the court thinks just**.
5. **No substantial defence / no genuine triable issues; frivolous or vexatious** → leave **refused**; plaintiff entitled to judgment forthwith.
6. **Admitted part** of the claim → leave (even if triable issues or substantial defence raised) shall not be granted unless the admitted amount is **deposited in court**.

IDBI Trusteeship — the "multi-coloured coat""The discretion that a Judge exercises under Order XXXVII to refuse leave to defend or to grant conditional or unconditional leave to defend is a discretion **akin to Joseph's multi-coloured coat** — a large number of baffling alternatives present themselves. The life of the law not being logic but the experience of the trial Judge, is what comes to the rescue in these cases... Justice, like Equality... and arbitrariness... are sworn enemies."

Rule 4 — Power to Set Aside Decree `R.4 – POST-DECREE RELIEF`

The defendant's rescue route after a summary decree — "special circumstances" and the contrast with Order IX Rule 13

Order XXXVII, Rule 4 — Power to set aside decree

After decree the Court may, **under special circumstances**, set aside the decree, and if necessary **stay or set aside execution**, and may **give leave to the defendant to appear to the summons and to defend the suit**, if it seems reasonable to the Court so to do, and on such terms as the Court thinks fit.

6.1 Anatomy of Rule 4 (as read by the SC in Rajni Kumar v. Suresh Kumar Malhotra)

- **Trigger:** "special circumstances" — something *exceptional in character, extraordinary, significant, uncommon*; the antonym of common, ordinary and general. It is neither practicable nor advisable to enumerate such circumstances exhaustively.
- **Non-service of summons will undoubtedly be a special circumstance**; the court asks, on the facts of each case, whether the circumstances pleaded are "so unusual or extraordinary as to justify putting the clock back by setting aside the decree".
- **Bundle of reliefs:** (i) set aside the decree; (ii) stay or set aside execution (post-decree); (iii) leave to the defendant (a) to appear to the summons and (b) to defend the suit (pre-decree matters revived) — granted "if it seems reasonable" and "on such terms as the Court thinks fit".
- **All reliefs in ONE application:** since more than one of the specified reliefs may be granted, "all such reliefs may be claimed in one application. It is not permissible to claim such reliefs in successive petitions as it would be contrary to the letter and spirit of the provision."
- **Twin burden:** it is not enough to show special circumstances for the non-appearance/non-application — the defendant must **also show facts which would entitle him to leave to defend** (by affidavit or otherwise). "In this respect, Rule 4 of Order 37 is different from Rule 13 of Order 9."

Bar of inherent power Ramkarandas v. Bhagwandas, AIR 1965 SC 1144: the court's power under special circumstances under R.4 excludes recourse to **s.151 inherent power** to set aside a summary decree. (Supplementary: *Ethirajulu v. Panikkar*, AIR 1957 Mad 572 — the R.4 power is wide enough to cover not only non-service but sufficient cause for non-appearance.)

Practical procedural gloss Where an application is styled as one under **O.9 R.13** but contains all the ingredients required by **R.4** (special circumstances + disclosable defence), it can be *treated as an application under R.4* — substance over form.

6.2 Rule 4 vs Order IX Rule 13 — the classic comparison

Point	Order IX Rule 13 (ordinary suit)	Order XXXVII Rule 4 (summary suit)
Who may apply & when	Defendant against whom a decree is passed *ex parte*; on grounds of non-service or sufficient cause for absence.	Defendant against whom a decree is passed (typically on default of appearance, non-application for leave, refusal of leave, or non-compliance with conditions).
Standard	Summons not duly served, or prevented by **sufficient cause** from appearing when the suit was called on for hearing.	**Special circumstances** — a higher, exceptional standard ("unusual or extraordinary").
Must the defence be shown?	No — the setting-aside and the defence are separate; the suit then proceeds "as if no ex parte decree had been passed".	**Yes** — must also disclose facts entitling him to leave to defend, in the same application (*Rajni Kumar*).

Point	Order IX Rule 13 (ordinary suit)	Order XXXVII Rule 4 (summary suit)
Reliefs	Set aside decree; terms as to costs or payment into court.	Set aside decree + stay/set aside execution + leave to appear & defend — all in one application.
Governing logic	General procedure — participation is the norm.	Rule 7 saves ordinary procedure only "save as provided by this Order"; because R.4 *specifically* provides for setting aside, O.9 R.13 **will not apply** to a suit filed under O.37.

Bhanu Kumar Jain v. Archana Kumar, AIR 2005 SC 626 (DU material, Topic 12) The right of appeal under **s.96(2)** against an original decree passed ex parte is a **statutory right** and cannot be denied merely because an earlier O.9 R.13 application was dismissed — the defendant's remedies survive. (For summary suits, pair this with the settled principle that a decree under O.37 where leave is refused is appealable under s.96.)

Summary Suit vs Ordinary Suit; Appeals, Revision & S.10

Structural differences, the remedial map around O.37 orders, and the interplay with res sub judice

8.1 Summary Suit vs Ordinary Suit

Dimension	Ordinary suit	Summary suit (O.XXXVII)
Right to defend	Defendant may appear and defend **as of right**.	Defence only with the **court's leave**, sought within 10 days (R.3(5)).
Consequence of default	Ex parte proceedings under O.9; decree set aside under O.9 R.13.	Allegations **deemed admitted**; decree forthwith (R.2(3), R.3(6)); setting aside only under R.4 for **special circumstances** — O.9 R.13 excluded.
Power of trial court over its own decree	Cannot set aside its decree except on **review**.	**Can set aside** the decree under special circumstances (R.4) — a deliberate safety-valve.
Written statement	Filed as of right within 120/90 days (O.8 R.1).	No written statement unless **leave to defend** is granted; facts disclosed by affidavit.
Classes of claims	Any civil claim.	Only R.1 classes: bills/hundies/notes; debt or liquidated demand on written contract, enactment (non-penalty), guarantee.
Speed	Full trial.	Immediate decree where no substantial defence — "quick relief" for commercial causes.

Prescribed Landmark Case Laws — Detailed Analysis CASES #19–#22

CASE #19 **Santosh Kumar v. Bhai Mool Singh**

AIR 1958 SC 321 · (1958) SCR 1211 · Supreme Court of India · Vivian Bose, J. · Appeal by special leave (Art. 136) from Delhi Circuit Bench of the Punjab High Court (Art. 227) · DU Case Material, pp. 95–98

FACTS

- The plaintiff, **Bhai Mool Singh**, filed suit on a **cheque for ₹60,000** drawn by the defendants — **Santosh Kumar and the Northern General Agencies** — in his favour, which was **dishonoured on presentation** to the bank.
- The suit was filed in the Court of the **Commercial Subordinate Judge, Delhi, under Order XXXVII**; the defendants applied for **leave to defend under Rule 3**.
- Their defence: they **admitted executing the cheque** but pleaded it was given only as **collateral security** for the price of goods supplied by the plaintiff; those goods, they said, had since been **paid for by cash payments made from time to time and by other cheques** — they set out the **exact dates of payments and the numbers of the cheques**; the cheque in suit had "served its end" and should be returned.
- The trial judge held the defence **"raises a triable issue"** — yet went on to hold that the defendants had **"not placed anything on the file to show that the defence was a bona fide one"** and that, without the supporting documents, the defence was "vague consisting of indefinite assertions". He granted leave **conditionally**: security to the extent of the **suit amount plus costs**.
- **Review** before the trial judge failed; **Art. 227** petition to the Delhi Circuit Bench of the Punjab High Court failed; the defendants obtained **special leave under Art. 136**.

`Suit & leave application`
Cheque of ₹60,000 dishonoured → summary suit under O.37 before Commercial Subordinate Judge, Delhi; defence: collateral security + payments detailed by date and cheque number.

`Trial court`
"Defence raises a triable issue" — but "not bona fide" absent documents; conditional leave on security of suit amount + costs.

`Review → Art. 227 (Punjab HC, Delhi Circuit Bench)`
Both failed.

`Supreme Court (Art. 136)`
Appeal allowed; orders of HC and trial judge set aside; case remanded for trial of the issues raised by the defendants; costs to the appellants.

ISSUES

1. Where a defence raises a **triable issue**, can the court nonetheless refuse *unconditional* leave and impose conditions (security for the entire suit amount) on the ground that the defence is "not bona fide" because the defendant produced no documentary evidence along with his affidavit?
2. Is the discretion under (old) R.3(2) — "unconditionally or subject to such terms as to payment into Court, giving security, framing and recording issues or otherwise as the Court thinks fit" — **unfettered**, and if not, along what lines must it be exercised?
3. Does an appeal lie against such an exercise of discretion, and when will the Supreme Court interfere?

§ Plaintiff-respondent's arguments

- The discretion conferred by R.3(2) is **unfettered**; it has been exercised by the trial judge, so **no appeal lies** unless there is a "grave miscarriage of justice or flagrant violation of law".
- Reliance: *D.N. Banerji v. P.R. Mukherjee* (AIR 1953 SC 58) and *Waryam Singh v. Amarnath* (AIR 1954 SC 215).
- Supported by *Gopala Rao v. Subba Rao* (AIR 1936 Mad 246), *Manohar Lal v. Nanhe Mal* (AIR 1938 Lah 548) and *Shib Karan Das v. Mohammed Sadiq* (AIR 1936 Lah 584): where the court opines the defence is **not bona fide**, it may impose conditions rather than refuse leave.

§ Defendants-appellants' arguments

- Laws of procedure are grounded in **natural justice** — no man should be condemned unheard (*Sangram Singh v. Election Tribunal*, AIR 1955 SC 425): procedure "designed to facilitate justice... not a thing designed to trip people up".
- Under *Jacobs v. Booth's Distillery* (1901, HL), a defence raising a **triable issue** must get leave — and **unconditionally**, else the leave is illusory.
- Their affidavit was **clear and precise** (dates, cheque numbers); demanding documentary proof *before* leave reverses the order of stages — proof comes only after leave is granted.

DECISION

- The SC accepted the existence of a "third course" (conditions where the defence is not bona fide — agreeing with Varadachariar J. in the Madras case) **but** stressed the conclusion that a defence is not bona fide "cannot be reached arbitrarily" — it is hemmed in by judicial rules and procedure.
- **Object of the Order** (via *Kesavan v. South India Bank* and *Sundaram Chettiar*): to prevent the defendant prolonging litigation by untenable, frivolous defences where speedy decisions serve trade and commerce.
- **Test:** whether the defence raises a **real issue, not a sham one** — if the facts alleged are established, there would be a good, or even plausible, defence.
- The defence (collateral security + itemised payments) "at once raised an issue of fact, the truth and good faith of which could only be tested by going into the evidence"; the trial judge himself found a triable issue.
- A defence clear on its face does not become "vague" merely because the **evidence** to prove it is not filed with the affidavit — "the stage of proof can only come after the defendant has been allowed to enter an appearance and defend the suit".
- Conditions exist only **to ensure a speedy trial** (where the defendant is trying to prolong litigation) — not to punish non-production of evidence at the affidavit stage; and once the court is satisfied the facts alleged would make a good/plausible defence, "leave cannot be withheld and no question about imposing conditions can arise".
- Interference with discretionary orders is exceptional — but warranted where the discretion is exercised **arbitrarily or on a misunderstanding of the governing principles** resulting in failure of justice: "there is an obvious failure of justice if judgment is entered against a man who, if he is allowed to prove his case, cannot but succeed."
- **Appeal allowed;** orders of the HC and trial judge set aside; case **remanded for trial** of the issues raised by the defendants; costs to the appellants.

§ Principles Evolved

- **The triable-issue test:** leave to defend turns on whether the defence raises a real issue (not sham); if the facts alleged by the defendant are established there would be a good or even plausible defence → leave must follow.
- **Unconditionality:** once a genuine triable issue is found, leave cannot be withheld nor conditions imposed — conditions are for securing speedy trial, not for suspected weakness of proof.
- **Stage discipline:** affidavit-disclosure is judged on its face; evidence and proof belong to the post-leave trial.
- **Judicial discretion:** O.37 discretion must be exercised along judicial lines consistent with natural justice (*Sangram Singh*).
- **Appellate correction:** arbitrary or principle-less exercises of the discretion will be interfered with where justice has failed.

Key extract — Bose, J."Taken by and large, the object is to see that the defendant does not unnecessarily prolong the litigation and prevent the plaintiff from obtaining an early decree by raising untenable and frivolous defences in a class of cases where speedy decisions are desirable in the interests of trade and commerce. In general, therefore, the test is to see whether the defence raises a real issue and not a sham one, in the sense that, if the facts alleged by the defendant are established, there would be a good, or even a plausible defence on those facts."

Later career of this case*Santosh Kumar* was heavily relied on in *Milkhiram* (1965) — which however qualified it for "plausible but improbable" defences under the Bombay-amended rule — cited in *Mechalec* (1977), and described as "a case where a cheque, the execution of which was admitted by the defendant, had been dishonoured" whose test governs unconditional leave. In *IDBI Trusteeship* it remains authority for principle 1-2 of the six-principle restatement (substantial defence / triable issues → ordinarily unconditional leave).

CASE #20 **M/s Mechalec Engineers & Manufacturers v. M/s Basic Equipment Corporation**

AIR 1977 SC 577 · (1976) 4 SCC 687 · Supreme Court of India · M.H. Beg, J. · Appeal by special leave from Delhi High Court (s.115 revision) · DU Case Material, pp. 99–101

FACTS

- The plaintiff-respondent, a **registered partnership firm**, filed suit on **25 April 1974** through Smt. Pushpa Mittal (shown as one of its partners) to recover **₹21,265.28 as principal** and **₹7,655 as interest at 12% p.a.** (according to law and mercantile usage) on a **cheque dated 12 May 1971** drawn by the defendant on the **State Bank of India — dishonoured on presentation**.
- The plaintiff alleged the cheque was given as the **price of goods supplied**.
- The defendant-appellant firm **admitted issue of the cheque by its managing partner** but **denied any privity of contract** with the plaintiff firm, and had "its own version as to the reasons and purposes for which the cheque was drawn".
- Suit instituted under **Order XXXVII**; the defendant applied for **leave to defend under Rule 2** (as the Order then stood).
- The **Additional District Judge, Delhi granted leave unconditionally** after perusing "the cases of the two sides".
- On **revision under s.115 CPC**, a learned Judge of the **Delhi High Court**, after setting out **not less than seven questions** on which the parties were at issue and holding that **triable issues arose**, nevertheless concluded the defences were **not bona fide** and granted leave only conditionally — deposit of **₹21,265.28 with 6% interest from the date of suit till payment + court-fee costs**, within two months.

ISSUE

The only question before the Supreme Court: *"Could the High Court interfere in exercise of its powers under Section 115, Civil Procedure Code, with the discretion of the Additional District Judge, in granting unconditional leave to defend to the defendant-appellant upon grounds which even a perusal of the order of the High Court shows to be reasonable?"*

§ Plaintiff-respondent's stance (supporting the HC)

- The defences, though raising triable issues, were **not bona fide**; the court could therefore impose terms (the "third course" recognised in the older cases — *Gopala Rao*, *Manohar Lal*, *Shib Karan Das*).
- A conditional order protects the plaintiff-creditor pending trial; the revisional jurisdiction was validly exercised to correct the trial court's indulgence.

§ Defendant-appellant's stance (attacking the HC)

- The trial court's order granting unconditional leave was based on a reasonable perusal of both sides' cases; the High Court's **s.115** jurisdiction — meant for jurisdictional error — was not attracted.
- Deciding bona fides of a defence as a "pure question of fact" **before evidence** is hazardous and unfair (*Santosh Kumar*); a mere different view cannot justify revisional interference.

DECISION

- The SC surveyed *Santosh Kumar* (including its approval of *Jacobs v. Booth's Distillery* — triable issue → leave, and unconditionally where the defence cannot be shown dishonest *in limine*) and held the well-settled principles governing **s.115 jurisdiction were ignored** by the High Court.
- The HC had differed on a **pure question of fact — whether the defences could be honest and bona fide**; "any decision on such a question, even before evidence has been led by the two sides, is generally hazardous... not fair to pronounce a categorical opinion... before the evidence of the parties is taken".
- **Threshold for questioning unconditional leave:** "It is only in cases where the defence is **patently dishonest or so unreasonable that it could not reasonably be expected to succeed** that the exercise of discretion by the trial Court to grant leave unconditionally may be questioned."
- On the facts: the defendant had **denied liability to pay anything** for the alleged supply of goods (no privity) — no ground of interference under s.115 appeared in the HC's judgment.
- The Court then adopted the **five propositions of Das, J. in** *Smt. Kiranmoyee Dassi v. Dr. J. Chatterjee*, **(1945) 49 CWN 246** (classes (a)–(e), extracted in full — see Section 5.3 above).
- **Held:** the case did **not fall within class (e)**; it is *only* in class (e) that a deposit condition is justifiable. The High Court's judgment and order were **set aside and the Additional District Judge's order restored**.

§ Principles Evolved

- **Revisional restraint:** an order granting or refusing leave is a "case decided" revisable under s.115, but the High Court will not substitute its own view of a fact-question (bona fides of defence) decided before evidence.
- **Patent dishonesty threshold:** only a patently dishonest or unreasonably hopeless defence justifies disturbing unconditional leave.
- **Deposit conditions belong to class (e):** under the *unamended* rule, ordering deposit/security before trial is justifiable only where the defence is illusory, sham or "practically moonshine" — the court's "mercy" regime.
- **Institutionalised** *Kiranmoyee Dassi* (a)–(e) as the governing framework — the single most quoted paragraph in DU exams on this topic.

Critical update (must write in exams) In *IDBI Trusteeship v. Hubtown* (2016), the SC held that **paragraph 8 of** *Mechalec* **(the (a)–(e) propositions) "will now stand superseded"** given the 1976 amendment of R.3 and the binding four-judge decision in *Milkhiram*. Write *Mechalec* for the pre-amendment framework and revisional discipline — then show the examiner you know *IDBI*.

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CASE #21 **Oil & Natural Gas Corporation Ltd. v. State Bank of India, Overseas Branch, Bombay**
AIR 2000 SC 2548 · Supreme Court of India · S. Rajendra Babu, J. · Appeal by special leave from Bombay High Court (order dated 27-4-1998 granting unconditional leave) · DU Case Material, pp. 102-106

FACTS

- **The contract:** ONGC entered a contract with a consortium of **M/s Saipem SPA / Snamprogetti of Italy** for construction of a system of undersea pipelines — the **Gas Lift Pipelines**: pre-engineering survey, design & engineering, procurement, wrap & coat, fabrication, transportation, laying, installation, testing and pre-commissioning of **forty sub-marine pipeline segments of approximately 181.8 kms**.
- **Price & dates:** contract price **US $63,875,000 plus ₹8,06,00,000**; whole works to be completed by **30 April 1991**; **liquidated damages (LD)** at **3% of contract price per month of delay, capped at 10%**.
- **The guarantee:** contractor to furnish a bank guarantee covering LD for 10% of the price; the **State Bank of India, Overseas Branch, Bombay** furnished a guarantee for **US $6,387,500 plus ₹8,060,000**, undertaking **"irrevocably and unconditionally"** to pay ONGC **"on demand in writing without demur or protest and irrespective of any contest or dispute"** between ONGC and the contractor, **without reference to the contractor**; ONGC's notice of demand and amount claimed would be **"final and binding"** as to the factum of LD and the amount payable; governed by Indian law; validity to be extended if completion slipped.
- **The delay & invocation:** after assessing total delay of **306 days**, ONGC assessed LD at **US $4,320,432 + ₹55,15,959** (letter of 17-3-1993 asking the contractor to extend the guarantee; the Bank furnished an enhanced guarantee valid to 4-10-1993); by letter of **13-9-1993** ONGC advised the contractor to extend validity; on **23-9-1993** the contractor issued notice referring the dispute to **arbitration** and appointed its arbitrator; on **27-9-1993** ONGC told the Bank that if validity were not extended by 1-10-1993, the letter be treated as **invoking the guarantee**.
- **The Bank's refusal (3-12-1993):** (a) its guarantee was issued against the **counter-guarantee of Credito Italiano, Milan**, and the contractor had obtained an **injunction from an Italian court** restraining Credito Italiano from paying SBI; (b) it was "considering" the validity of ONGC's demand; (c) under **exchange control regulations**, rupee payment would be made only on receipt of reimbursement from the foreign bank; (d) the matter was sub judice — ONGC should await the outcome.
- Both sides appeared before the Italian court; on **2-3-1994** that court ordered Credito Italiano and SBI "to abstain from payment of any sum in execution of the agreement of guarantee/counter-guarantee".
- **The suit:** ONGC filed a **summary suit under Order XXXVII** before the Bombay High Court for **US $4,320,432 + ₹55,15,959** with 18% interest; the Bank applied for **unconditional leave to defend**, which the Single Judge **allowed (27-4-1998)** on four grounds: (i) the invocation letter of 27-9-1993 did not state the LD amount; (ii) the guarantee required a clear notice of demand towards LD; (iii) that letter was not a legal notice communicating LD; (iv) arbitration was pending and the Italian court was seised. ONGC appealed by special leave.

ISSUES

1. Did any of the four grounds relied on by the Bombay High Court furnish a sufficient basis for granting **unconditional leave to defend** a summary suit on an unconditional bank guarantee?
2. Can the beneficiary's failure to quantify LD in the invocation notice, pending arbitration between ONGC and the contractor, or a **foreign court's injunction on the counter-guarantee**, constitute a credible defence for the guarantor bank?
3. What is the interplay between the autonomy of bank guarantees (fraud / irretrievable injustice exceptions) and the leave-to-defend jurisdiction under Order XXXVII?

§ ONGC (appellant) — Shri Ashok H. Desai, Sr. Adv.

- None of the HC's grounds could justify unconditional leave; the defence was **totally untenable**.
- **Svenska Handelsbanken v. Indian Charge Chrome**: a confirmed bank guarantee / irrevocable letter of credit **cannot be interfered with unless there is established fraud or irretrievable injustice** — there must be a prima facie case of *established* fraud and special equities; mere irretrievable injustice without fraud is of no consequence.
- **Hindustan Steelworks Construction Ltd. v. Tarapore & Co.**: encashment of an unconditional guarantee does not depend on adjudication of disputes; no distinction between performance guarantees and security-deposit guarantees; where the beneficiary is sole judge of breach, the bank must pay **on demand without demur**; absent a plea of fraud, the guarantee must be given effect to.
- Excess recovery, if any, could be corrected in the pending arbitration by way of damages.

§ SBI (respondent) — the defence accepted by the HC

- The invocation letter of 27-9-1993 **did not state the amount** of liquidated damages; the guarantee required a **clear notice of demand towards LD**; the letter was "not a legal notice to communicate the LD".
- Arbitration between ONGC and the contractor was **pending** and the **Italian court was seised** of the matter (injunction of 2-3-1994).
- Under exchange-control position, payment under the rupee guarantee depended on reimbursement from Credito Italiano — which the Italian injunction had frozen; the Bank feared it would be left uncompensated.

DECISION

- The SC extended the *Svenska* / *Tarapore* principle — though those were injunction cases — "to understand the **nature of defence** raised by the respondent Bank": in the absence of a plea of fraud, much less a finding, such defences are **totally untenable**.
- On quantification: in *Svenska* itself the contentions about liquidated damages and delayed invocation were rejected — separate communications to the bank before expiry served as notice of invocation; wrong recovery could be corrected in arbitration.
- **The Italian order was irrelevant to ONGC's rights:** "the said order arose out of the counter guarantee **with which the appellant had nothing to do**."

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- The **Foreign Exchange Manual, 1999** (and its predecessor) made clear that authorised dealers **may make rupee payments to the resident beneficiary immediately when the guarantee is invoked** and simultaneously arrange reimbursement from the overseas bank; if the bank wishes to make payment conditional on reimbursement, **that condition must be made clearly known to the beneficiary in the guarantee itself** — which was not done. None of the Bank's claims was an impediment to payment.
- **Held:** "the High Court plainly erred in having granted leave to defend unconditionally. **We vacate that order and dismiss the application filed by respondent Bank for leave to defend** by allowing this appeal." No costs. (The guarantee's autonomy prevailed; the summary jurisdiction did its work.)

§ Principles Evolved

- **Autonomy of the bank guarantee in summary suits:** an unconditional, irrevocable guarantee is an independent contract — the guarantor bank cannot set up disputes under the main contract, pending arbitration, or defects in the beneficiary's invocation (absent fraud / irretrievable injustice) as a defence under O.37.
- **Fraud / irretrievable injustice as the sole exceptions** (*Svenska*), and the beneficiary-as-sole-judge / pay-without-demur rule (*Tarapore*).
- **Counter-guarantee insulation:** the beneficiary of the guarantee takes it free of the bank's back-to-back arrangements; the bank's reimbursement risk cannot be shifted to the beneficiary unless expressly stipulated in the guarantee.
- **Leave to defend is for credible defences:** an "untenable" defence — however elaborate — deserves no leave, unconditional or otherwise.

CASE #22 **IDBI Trusteeship Services Ltd. v. Hubtown Ltd.**

[2016] 11 S.C.R. 660 · Supreme Court of India · R.F. Nariman, J. · Appeal from Summons for Judgment No. 39 of 2013 in a Summary Suit on the original side of the Bombay High Court (impugned judgment of the Single Judge dated 8-5-2015) · DU Case Material, pp. 107–120

FACTS (I) THE INVESTMENT STRUCTURE

- In 2009–2010, **FMO** (Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden N.V. — a Dutch development-finance institution) invested in equity shares and **compulsorily convertible debentures (CCDs)** of **Vinca Developer Private Limited**: 10% Class A equity + 3 CCDs (which on conversion would give FMO **99% of Vinca's equity** and voting/economic rights).
- **Hubtown Ltd.** (formerly **Ackruti City Ltd.**) owned **49%** of Vinca's Class A equity; individual promoters Hemant Shah and Vyomesh Shah held 41% and all Class B shares.
- Vinca used FMO's money (₹418 crores in all) to subscribe to **optionally partially convertible debentures (OPCDs)** — secured, non-marketable, transferable — of **Rubix Trading Private Limited** (₹128.5 crore tranche 1 + ₹139.5 crore tranche 2) and **Amazia Developers Private Limited** (₹150 crore), carrying a variable running coupon and back-ended coupon to ensure an **IRR of 14.75% p.a.** Proceeds were to go towards FDI-compliant township/housing/build-up projects.
- **IDBI Trusteeship Services Ltd.** — "India's largest trusteeship company" — was appointed **Debenture Trustee** under the Debenture Subscription and Debenture Trust Deeds (DTDs) dated 1–12–2009 (as amended 8–9–2010).

(II) THE GUARANTEE AND THE DEFAULT

- To secure the OPCDs, Hubtown executed a **Deed of Corporate Guarantee cum Mortgage dated 9–12–2009** — "unconditional, absolute and irrevocable" — in favour of IDBI Trusteeship for the benefit of Vinca: Hubtown guaranteed due and punctual payment of the Amazia/Rubix secured obligations **as primary obligor**, payable **forthwith on demand (Demand Certificate) within 5 business days**; the trustee's independent opinion of default and shortfall stated in the Demand Certificate would be **final and binding**; default interest at **14.75% p.a.**; a continuing guarantee until full discharge.
- Defaults alleged from mid-2011: non-payment of interest on OPCDs (since 15/16–6–2011); cross-default under the CCDs; failure to furnish financial statements; breach of financial ratios (Net Debt-to-EBITDA, Debt Service Cover, Interest Coverage) for the period 1–4–2011 to 30–9–2011; breaches of positive covenants (application of proceeds) and negative covenants.
- Notices of 2–5–2012 to Amazia and Rubix went unanswered; **redemption notices of 27–6–2012** required full redemption on 3–7–2012 of **₹4,843,299,862.97**; a **Demand Certificate dated 3–8–2012** was served on Hubtown — **no reply**.
- The summary suit (through Summons for Judgment No. 39 of 2013) claimed **₹532,11,29,364.05** as on 6–5–2013 (revised principal ₹477,51,90,932.97 + default interest ₹42,26,78,815.12 and ₹12,32,59,615.96 + future interest at 14.75%).

(III) THE DEFENCE AND THE HIGH COURT'S ORDER

- Hubtown's main defence: the **entire structure was a colourable device to defeat FEMA / FDI policy** — FDI in townships/construction/housing was permitted only via equity (including CCDs) and **no assured return was permissible**; FMO, wanting a fixed 14.5–14.75% return on ₹418 crores, had **Vinca interposed as the nominal recipient**: FDI came in as equity + CCDs (apparent compliance) but was immediately routed to Amazia/Rubix as OPCDs bearing fixed return; on conversion FMO would own 99% and reap the fixed return; the guarantee was **part of the illegal structure**, hence unenforceable — the court should not lend its aid to an illegality (*Imam Appa Rao v. G. Ramalingamurthi*).
- The Single Judge (8–5–2015): prima facie the routing of FMO's FDI through Vinca was "a colourable device"; the guarantee, "though ostensibly in favour of Vinca", was part of the illegal scheme and prima facie illegal and unenforceable; rejected some defences (discharge of guarantee, downstream-investment, ECB points); found **triable issues**; granted **unconditional leave to defend**; transferred the suit to the commercial causes list for expeditious trial.

ISSUES

1. **The core question of law:** whether the judgment in *Mechalec* (para 8 — the *Kiranmoyee Dassi* propositions) continues to govern leave to defend **after the 1976 amendment** of O.XXXVII R.3.
2. Did Hubtown's FEMA/FDI "colourable device" defence disclose **triable issues** entitling it to **unconditional** leave — or was the defence "plausible but improbable", justifying terms?

3. Can a court refuse to enforce a guarantee on public policy where the underlying structure is alleged to circumvent FEMA/FDI regulations (*Imam Appa Rao*; doctrine of *pari delicto*)?

§ IDBI Trusteeship (appellant) — Dr. Abhishek Manu Singhvi, Sr. Counsel

- **No FEMA violation:** under Regs. 4 & 5, FEMA (Non-Debt Instruments) Regulations, the suit is between an **Indian trustee and an Indian company** (Hubtown), for the benefit of another Indian company (Vinca) — no funds leave India; the FDI came in as **equity + CCDs**, fully convertible — permissible instruments.
- ₹418 crores stood "swallowed" by the development project; defaults began only in 2011; the guarantee is **unconditional** and its invocation is **not alleged to be wrong**.
- The defence is "entirely frivolous and vexatious" — leave ought to have been refused; alternatively the plaintiff should at least be **fully secured**.
- *Mechalec* is **no longer good law** post-1976 amendment: even with triable issues, the court may secure the plaintiff monetarily as a condition of leave.

§ Hubtown (respondent) — Shri Aspi Chinoy, Sr. Counsel

- **Clear breach of FEMA/FDI policy:** fixed/assured return to FMO via the OPCD structure was prohibited; Vinca was interposed only as a facade of compliance; the guarantee secured the **illegal object**.
- Per *Imam Appa Rao v. G. Ramalingamurthi*, where the plaintiff seeks the court's active assistance to effectuate what the law prohibits, the court will refuse aid — even if the defendant is *pari delicto*; public interest prevails over estoppel.
- The 1976 amendment made **only one change** — deposit of **admitted** amounts (second proviso); beyond that the law is unchanged, so triable issues → unconditional leave (clause (e) not attracted), and the Single Judge was right; nothing perverse to warrant Art. 136 interference.

DECISION

- **On the law:** *Mechalec* was decided on the **unamended** R.3; *Milkhiram* (4 judges) is "a direct authority on the amended O.XXXVII provision" (the central text mirroring the Bombay amendment), though the two provisos are new. Following *Defiance Knitting* and *Southern Sales*, "O.XXXVII has suffered a change in 1976, and that change has made a difference in the law laid down."
- The trial judge's discretion "has to result in justice being done on the facts of each case" — but discretion and arbitrariness are "sworn enemies"; hence guideline principles (the six restated propositions — Section 5.6 above) to obviate arbitrary exercise.
- **Para 8 of** *Mechalec* **stands superseded** by the six principles.
- **On the facts:** the equity/CCD investment itself was not alleged to be violative; the suit was on an **unconditional guarantee**, not challenged as wrongly invoked; payment ran to an Indian trustee for an Indian company; FMO's 99% conversion and any repatriation would require RBI permission — "If RBI permission is not granted, then again there would be no infraction of FEMA Regulations".
- *Imam Appa Rao* "would be attracted only if the illegal purpose is **fully carried out**, and not otherwise" — the illegality remained incomplete.
- Therefore Hubtown had **no substantial defence**; "arguably at the highest... a triable issue may be said to arise" on the FEMA angle, but the Court was "left with a **real doubt about the Defendant's good faith** and the genuineness of such a triable issue" — the defence was **"plausible but improbable"**; ₹418 crores had gone into the project and payments stopped only in 2011.
- **Order:** leave to defend granted **only if** Hubtown deposits in the Bombay High Court **the principal sum of ₹418 crores** or gives security for it to the satisfaction of the Prothonotary and Senior Master, within **three months**; Single Judge's judgment set aside; suit to be tried **expeditiously, preferably within one year**, uninfluenced by the Court's observations.

§ Principles Evolved — the definitive post-amendment statement

- **Supersession of** *Mechalec* **¶8** and restatement of the six governing principles (substantial defence → unconditional leave; triable issues → ordinarily unconditional; triable issues + doubt → measured conditions; plausible-but-improbable → conditions up to the entire principal + interest; frivolous/vexatious → refusal; admitted amount → deposit first).
- **"Multi-coloured coat" discretion** disciplined by anti-arbitrariness (justice as a constitutional value) — guided judicial discretion on the facts of each case.
- **Illegality defence contained:** courts will not refuse enforcement of an unconditional guarantee for a structure whose illegality is incomplete and where regulatory clearance stages remain (*Imam Appa Rao* distinguished).
- **Protective conditioning:** a "plausible but improbable" defence can lawfully be met with a deposit/security condition covering the **entire principal** — here ₹418 crores.

Key extract — Nariman, J. (¶17)"The discretion that a Judge exercises under Order XXXVII to refuse leave to defend or to grant conditional or unconditional leave to defend is a discretion akin to Joseph's multi-coloured coat – a large number of baffling alternatives present themselves... At one end of the spectrum is unconditional leave to defend, granted in all cases which present a substantial defence. At the other end of the spectrum are frivolous or vexatious defences, leading to refusal of leave to defend. In between these two extremes are various kinds of defences raised which yield conditional leave to defend in most cases."

PYQ ARCHIVE // CH.07 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 `Q. 4(a) / 2019 · CPC & Limitation — IIIrd Term` What are the principles laid down by the Supreme Court in M/s. Mechalec Engineers & Manufacturers v. M/s. Basic Equipment Corporation, AIR 1977 SC 577, while dealing with the application for leave to defend in a suit filed by the plaintiff under Order XXXVII of the Code of Civil Procedure, 1908?

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 `Q. 5(a) / 2018 · (20 marks) — problem question` Mr. A filed a suit against Mr. B, as the cheque drawn by Mr. B in favour of Mr. A was dishonoured. It is pertinent to mention that the suit was filed in the year 1995 and the suit was a summary suit. Mr. B claims that he should be given an unconditional leave to defend as there is a "triable issue". Will Mr. B get an unconditional leave to defend? Explain the summary procedure in detail.

Q.3 `Q. 5(a) / 2017 · (10 marks)` Discuss the concept of 'triable issues' in relation to summary procedure, on which leave to defend is granted.

`MODULE 08 // PART A · TOPIC 14` Cases #23-#24

Temporary Injunctions & Interlocutory Orders

Order XXXIX, Rules 1-5 · Section 94(c), Section 95 & Section 151 CPC

The Concept of Injunctions & Interlocutory Orders

Meaning, kinds, object and nature of the interim relief that Order XXXIX regulates

Core Definition
An **injunction** is a judicial process whereby a party is required to do, or to refrain from doing, any particular act — a remedy in the form of an order of the court addressed to a particular person that either **prohibits** him from doing or continuing a particular act (*prohibitory injunction*) or **orders** him to carry out a certain act (*mandatory injunction*). A **temporary (interim / interlocutory) injunction** restrains a party only temporarily — until disposal of the suit or further orders — and is regulated by **Order XXXIX CPC** (defined in s. 37, Specific Relief Act, 1963).

1.1 Interim Relief is Ancillary

It is well-settled that interim relief can always be granted in the aid of, and as ancillary to, the main relief available to a party on final determination of his rights in a suit or other proceeding. The temporary injunction does not decide rights — it preserves the subject-matter so that any final decree remains meaningful.

- **Status quo is the key:** "the Court in exercise of the power of granting ad interim injunction is to preserve the subject matter of the suit in the **status quo** for the time being" (*Dalpat Kaur*); it "can only be granted to restore status quo and not to establish a new state of thing".
- **Preventive, not punitive:** it is "in the nature of preventive relief to a litigant to prevent future possible injury" (*Dalpat Kaur*).
- **Equitable and discretionary:** "the grant of injunction is a discretionary relief" exercised on sound judicial principles; a party is not entitled to it as of right (*Dalpat Kaur*; *Shiv Kumar Chadha v. MCD*).
- **Co-terminus with the suit:** it may be date-wise, event-wise, result-wise or till further orders, "but always co-terminus with the final decision in the suit".

1.2 Who may apply — and against whom

- Not the plaintiff alone — **a defendant may also apply** for an injunction against the plaintiff (*Rattu v. Mala*; *Gujarat Bottling*).
- An injunction may be issued **only against a party** to the suit/proceeding — **not against a stranger** or third party, not against a court or judicial officer; normally only against persons within the jurisdiction of the court.
- Applications are made by **affidavit or otherwise** — "proved by affidavit or otherwise" (R.1).

What is NOT an injunction **Food Corporation of India v. Sukha Deo Prasad** (AIR 2009 SC 2330): a direction to a tenant to deposit arrears of rent in court (with interest on default) is **not an injunction** — "a direction to pay money either by way of final or interim order is not considered to be an injunction"; it fell outside rr. 1 and 2 of Order XXXIX.

Statutory Framework & Rule 1 — When a Temporary Injunction May be Granted `R.1 – GROUNDS`

Sections 94 & 95 CPC and the three statutory grounds (plus the inherent-power residual head)

2.1 The Enabling Provisions — ss. 94 & 95 CPC

Section 94 (supplementary proceedings) — in order to prevent the ends of justice from being defeated, the Court may, if it is so prescribed:
(a) order arrest & imprisonment; (b) order attachment of property; **(c) grant a temporary injunction and in case of disobedience commit the person guilty thereof to civil prison and order that his property be attached**; (d) appoint a receiver; (e) make such other interlocutory orders as may appear just and convenient.

Section 95 (compensation for obtaining injunction on insufficient grounds)
Where a temporary injunction has been obtained by the plaintiff **on insufficient grounds**, or where the suit fails and it appears there was no reasonable ground for instituting it, the court may, on the defendant's application, order the plaintiff to pay **up to ₹50,000** as reasonable compensation for expense or injury (including injury to reputation) caused by the injunction.

Key Analysis of s. 94(c) "Section 94(c) shows that a court may grant a temporary injunction thereunder, only if it is so prescribed" — 'prescribed' (s. 2(16)) means **prescribed by rules**, and the rules are **O.39 rr. 1 & 2**. Therefore a temporary injunction may be granted under s. 94(c) **only if the requirements of O.39 rr. 1 & 2 are made out** — it is **one integrated source of power**, not two alternative ones. The court may also grant a temporary injunction in exercise of **inherent power under s. 151** — but there it does not act under the Code at all (the *Manohar Lal* territory).

Order XXXIX, Rule 1 — Cases in which temporary injunction may be granted

Where in any suit it is **proved by affidavit or otherwise**—
(a) that any property in dispute in a suit is in danger of being **wasted, damaged or alienated** by any party to the suit, or **wrongfully sold in execution of a decree**; or
(b) that the defendant **threatens, or intends, to remove or dispose of his property** with a view to **defrauding his creditors**; or
(c) that the defendant **threatens to dispossess the plaintiff** or otherwise cause **injury to the plaintiff in relation to any property in dispute** in the suit,
the Court may by order grant a temporary injunction to restrain such act, or make such other order for the purpose of staying and preventing the wasting, damaging, alienation, sale, removal or disposition of the property **or dispossession of the plaintiff, or otherwise causing injury to the plaintiff in relation to any property in dispute in the suit** as the Court thinks fit, **until the disposal of the suit or until further orders**.

2.2 Elements of the Three Grounds

Clause	Danger / threat to be proved (by affidavit or otherwise)	Illustrative protection
(a)	Property **in dispute** in danger of being **wasted, damaged, alienated** by any party, or **wrongfully sold in execution** of a decree	Restrain alienation / waste / damage / sale — preserve the res for the decree
(b)	Defendant threatens or intends to **remove or dispose of his property** to **defraud creditors**	Restrain removal/disposal — an ancillary conservatory shield (compare attachment before judgment, O.38)
(c)	Defendant **threatens to dispossess** the plaintiff or otherwise cause **injury in relation to property in dispute**	Restrain dispossession/injury until disposal — the anti-eviction clause

History of clause (c) — as narrated in Dalpat Kaur Clause (c) was inserted **pursuant to the recommendation of the Law Commission** by the CPC (Amendment) Act 104 of 1976, w.e.f. 1-2-1977 (the DU text prints the Act year as "1966" — a misprint; the bare Act's footnotes confirm **Act 104 of 1976**). **Earlier, there was no express power** to grant ad interim injunction against dispossession — courts acted only under the **inherent power of s. 151** (*Dalpat Kaur*, K. Ramaswamy J.). Clause (c) also carried into Rule 1 the "dispossession of the plaintiff... or otherwise causing injury" language in the operative limb.

The residual head — "interest of justice"

Beyond rr. 1(a)-(c), injunction may issue: (d) where a defendant is about to commit a **breach of contract or other injury of any kind** — that is Rule 2's territory; and (e) **where the court is of the opinion that the interest of justice so requires** — the residual head sourced from ss. 94(c) & 151, whose classic authority is *Manohar Lal v. Seth Hiralal*. This is exactly the majority/minority battleground in *Manohar Lal* — see Case 23.

Note also: r. 1 grounds are illustrative of when an injunction *may* issue — the rule "nowhere provides that no temporary injunction can be granted unless the case falls within the said provision" — the *Manohar Lal* (majority) position.

Rule 2 — Injunction against Breach; Rule 2-A — Consequences of Disobedience R.2 & R.2-A

The contractual-injury injunction and the penal machinery that enforces every Order XXXIX order

Order XXXIX, Rule 2 — Injunction to restrain repetition or continuance of breach

(1) In any suit for restraining the defendant from committing a **breach of contract or other injury of any kind**, whether compensation is claimed in the suit or not, the plaintiff may, at any time after the commencement of the suit, and either **before or after judgment**, apply for a temporary injunction to restrain the defendant from committing the breach of contract or injury complained of, **or any breach of contract or injury of a like kind** arising out of the same contract or relating to the same property or right.
(2) The Court may grant such injunction **on such terms** as to the **duration** of the injunction, **keeping an account, giving security or otherwise**, as the Court thinks fit. (Sub-rules (3)-(4) of the old rule were omitted by the 1976 Amendment.)

3.1 Working Elements of Rule 2

- **Subject-matter:** breach of contract or "other injury of any kind" — the injury may be to property, right or person; compensation need not be claimed.
- **Timing:** any time after commencement of suit — even **after judgment** (e.g., pending appeal).
- **Reach:** the injunction may cover not only the breach complained of but any **like-kind breach** from the same contract or the same property/right.
- **Terms:** duration, keeping accounts, security — the court's equitable conditioning power.

Order XXXIX, Rule 2-A — Consequence of disobedience or breach of injunction (inserted 1976)

(1) In the case of disobedience of any injunction granted or other order made under **rule 1 or rule 2**, or breach of any of the terms on which the injunction was granted, the Court granting the injunction (or any court to which the suit is transferred) may order the **property of the person guilty** of such disobedience or breach **to be attached**, and may also order such person to be **detained in civil prison for a term not exceeding three months**, unless in the meantime the Court directs his release.
(2) No attachment shall remain in force for **more than one year**; at the end of that time, if the disobedience or breach continues, **the property attached may be sold**, and out of the proceeds the Court may award such compensation as it thinks fit to the injured party and shall pay the balance, if any, to the party entitled thereto.

3.2 Anatomy of the Enforcement Machinery

- **Three-step ladder:** (i) **attachment** of property; (ii) **detention in civil prison up to 3 months**; (iii) on continued breach beyond a year of attachment — **sale** of the attached property and compensation to the injured party from the proceeds.

- **Who is liable:** not only the party — "a person is liable to proceedings under Order XXXIX Rule 2A even if he was not personally a party to the suit, provided he is shown to have been **agent or servant** of the defendant and to have violated the order of injunction **in spite of knowledge** that there was such an order" (**Ram Prasad Singh v. Subodh Prasad Singh**, AIR 1983 Pat 278; **Brijendra Prasad Narain Singh**, AIR 1963 Pat 449).
- The expression "person" in r. 2-A is used compendiously — to cover **everyone** against whom the injunction runs (defendant, his agents, servants, workmen); otherwise "the order of injunction would be frustrated and the power rendered ineffective and unmeaning".
- **Special provision over general law:** refusal to respect a restraining order is destructive of the rule of law; r. 2-A is a **special provision which prevails over the general law under the Contempt of Courts Act, 1971**.
- **Contempt overlay:** wilful and deliberate disobedience of interim orders "can never be said to be bona fide, honest and in good faith" — contemners have been held guilty under **s. 12 Contempt of Courts Act, 1971 read with s. 94(c), O.39 r. 2-A and Art. 129** (quoting C.K. Thakker J.); a tactical apology ("tendered when the contemners are in a tight corner") has been rejected.

Rules 3, 3-A, 4 & 5 — Procedure: Notice, Ex Parte Orders, Discharge & Corporations R.3-R.5

The procedural safeguards that discipline the discretionary power

Order XXXIX, Rule 3 — Before granting injunction, Court to direct notice to opposite party

The Court shall in all cases, **except where it appears that the object of granting the injunction would be defeated by the delay**, before granting an injunction, direct notice of the application to be given to the opposite party:
Provided that, where it is proposed to grant an injunction **without giving notice**, the Court shall **record the reasons** for its opinion that the object of granting the injunction would be defeated by delay, and require the applicant—
(a) to deliver to the opposite party, or send him by **registered post, immediately after the order**, a copy of the application for injunction together with (i) a copy of the affidavit in support; (ii) a copy of the plaint; and (iii) copies of documents relied on; and
(b) to **file an affidavit** (on the day of the order or the next day) stating that the copies have been so delivered or sent.

Order XXXIX, Rule 3-A — Court to dispose of application for injunction within thirty days (inserted 1976)

Where an injunction has been granted without notice, the Court shall **endeavour to finally dispose of the application within thirty days** from the date of grant; where it is unable to do so, it shall **record its reasons** for the inability.

Order XXXIX, Rule 4 — Order for injunction may be discharged, varied or set aside

Any order for an injunction may be **discharged, varied or set aside** by the Court on application by any party dissatisfied with it:
Provided that if in the application or supporting affidavit a party has **knowingly made a false or misleading statement on a material particular** and the injunction was granted without notice, the Court **shall vacate** the injunction unless, for recorded reasons, it considers it unnecessary in the interests of justice:
Provided further that where an order was passed **after hearing a party**, it shall not be discharged, varied or set aside on that party's application **except for changed circumstances**, or if the Court is satisfied the order has caused **undue hardship** to that party.

Order XXXIX, Rule 5 — Injunction to corporation binding on its officers

An injunction directed to a corporation is binding not only on the corporation itself, but also on **all members and officers** of the corporation whose action is sought to be restrained.

4.1 The Ex Parte Injunction — a Jurisdiction of Exception

- **Rule:** notice to the opposite party before injunction. **Exception:** where the object would be defeated by delay — but then reasons must be recorded, copies served immediately by the applicant, and an affidavit of service filed (R.3 proviso).
- **Shiv Kumar Chadha v. MCD** (1993) 3 SCC 161: the requirement to record reasons is **mandatory, not a formality** — "a party... who is being restrained from exercising a right which such party claims to exercise either under a statute or under the common law, must be informed why, instead of following the requirement of Rule 3, the procedure prescribed under the proviso has been followed". If compliance were optional, "the introduction of the proviso by Parliament shall be a futile exercise" — the proviso attracts the principle that *a thing required by statute to be done in a particular manner must be done in that manner or not at all*. Ex parte injunctions are "for cases of real urgency, where there has been a true impossibility of giving notice".
- **Morgan Stanley Mutual Fund v. Kartick Das** (1994) 4 SCC 225 — the seven factors for ex parte injunctions: (i) will irreparable/serious mischief ensue to the plaintiff? (ii) would refusal involve greater injustice than grant? (iii) the time at which the plaintiff first had notice of the act complained of (preventing improper orders behind a party's back); (iv) acquiescence — no ex parte order for one who sat by; (v) **utmost good faith** expected of the applicant; (vi) even if granted, only for a limited period; (vii) the general trident (prima facie case, balance of convenience, irreparable loss) still applies.
- **Purpose of Rule 3:** to let the opposite party show cause, and if an order has already issued, to file objections — "to prevent the petitioner [from] retain[ing] undue advantage of the situation and abuse of the process of law" (Morgan Stanley).
- **Rule 4's discipline:** knowingly false statements → injunction **shall be vacated**; orders made after hearing → revisable only for changed circumstances or undue hardship. Settled procedure: an ex parte *temporary injunction* is set aside under **R.4**, not under O.9 r.13 (an injunction order is not a decree).

The Trident — Tests for Grant of Temporary Injunction DALPAT KAUR FORMULATION

Prima facie case × irreparable injury × balance of convenience — the doctrine every DU examiner tests

Dalpat Kaur v. Prahlad Singh (1993) — the governing formulation (K. Ramaswamy, J.)Grant of injunction is a discretionary relief. The exercise thereof is subject to the court satisfying that **(1)** there is a serious disputed question to be tried in the suit and that, on the facts before the court, there is probability of the applicant being entitled to the relief asked for; **(2)** the court's interference is necessary to protect the party from the species of injury — irreparable injury or damage would ensue **before the legal right would be established at trial**; and **(3)** the comparative hardship or mischief or inconvenience which is likely to occur from **withholding** the injunction will be greater than that likely to arise from **granting** it.

6.1 Test I — Prima facie case

- "Prima facie case is **not to be confused with prima facie title** which has to be established on evidence at the trial. Prima facie case is a **substantial question raised, bona fide, which needs investigation and a decision on merits**" (*Dalpat Kaur*).
- **Martin Burn Ltd. v. R.N. Banerjee** (AIR 1958 SC 79): "A prima facie case does not mean a case proved to the hilt but a case which can be said to be established **if the evidence which is led in support of the same were believed**... the relevant consideration is whether on the evidence led it was possible to arrive at the conclusion in question and not whether that was the only conclusion."
- Not a fool-proof case — only a **fair question to agitate** about the existence of the right, with the property preserved till the question is decided (*Paidsetti Bhanknarayna*, AIR 1999 Ori 92 — title need not be established, only a fair question about the right).
- At this stage the court does **not** try title or resolve conflicts of evidence — that is for the trial (Lord Diplock, *American Cyanamid*).

6.2 Test II — Irreparable injury

- Non-interference would result in irreparable injury, **and no other remedy** is available except injunction (*Dalpat Kaur*).
- "Irreparable injury does not mean that there must be no physical possibility of repairing the injury, but means only that the injury must be a **material one, namely one that cannot be adequately compensated by way of damages**" (*Dalpat Kaur*; *Cotton Corpn. of India*).
- *American Cyanamid* (HL): if damages would adequately compensate the plaintiff, **no interlocutory injunction should normally be granted, however strong the claim** — and conversely, if the defendant can be compensated under the plaintiff's undertaking as to damages, there is no ground to refuse.
- An injury is irreparable where **no certain pecuniary standard exists** for measuring damages.

6.3 Test III — Balance of convenience (better: "balance of inconvenience")

- The court "should exercise sound judicial discretion to find the amount of substantial mischief or injury which is likely to be caused to the parties if the injunction is refused and **compare it with that which is likely to be caused to the other side if the injunction is granted**. If on weighing competing possibilities or probabilities of likelihood of injury the court considers that, pending the suit, the subject-matter should be maintained in status quo, an injunction would be issued" (*Dalpat Kaur*).
- Properly understood, the expression denotes "balance of *in*convenience" — analogous to "greater hardship" under Rent Laws.

6.4 The Overlay — Conduct, Clean Hands & the Sequence of Tests

- **Sequence is strict:** "when a party fails to prove prima facie case to go for trial, question of considering the balance of convenience or irreparable loss and injury... would not be material at all" (**Kashinath Sansthan v. Srimad Sudhindra Thirtha Swamy**, AIR 2010 SC 296). The trident is applied prong by prong; failure of prong one ends the matter.
- **Conduct:** grant of injunction is an **equitable** relief — the applicant must come with clean hands; delay, laches, acquiescence, suppression of material facts, or monetary adequacy of relief are independent grounds of refusal (**Mandati Ranganna v. T. Ramachandra**, AIR 2008 SC 2291: "a person who had kept quiet for a long time and allowed another to deal with the properties exclusively, ordinarily would not be entitled to an order of injunction").
- **Gujarat Bottling Co. v. Coca Cola Co.** (AIR 1995 SC 2372): the equitable-conduct discipline applies not only to the applicant for an injunction, but equally to a party seeking to **vacate** one already granted — "His conduct should be fair and honest."
- **The warning of *Dalpat Kaur*:** the three phrases "are not rhetoric phrases for incantation, but words of width and elasticity, to meet myriad situations presented by man's ingenuity in given facts and circumstances, but always is hedged with sound exercise of judicial discretion to meet the ends of justice."
- **Public interest caution:** interim orders can injure the public interest as violators "perpetuate the contraventions made by them by delaying the final disposal" — the court must not protect a wrongdoer (*Shiv Kumar Chadha v. MCD*).

Prescribed Landmark Case Laws — Detailed Analysis

CASES #23-#24

CASE #23 Manohar Lal v. Seth Hira Lal

AIR 1962 SC 527 | Supreme Court of India | Majority: Raghubar Dayal J. (for himself and on behalf of the Bench) | Dissent: J.C. Shah, J. | Appeal from the Madhya Pradesh High Court

FACTS IN DETAIL

- **The partnership:** Manohar Lal (the appellant) and Seth Hira Lal (respondent No.1) were partners in **Diamond Industries**, a registered firm at **Indore** — a partnership at will. Dissolution followed. By a **dissolution deed dated 22 August 1945** all assets and business were taken over by Manohar Lal, who undertook to pay the liabilities and dues.
- **The arbitration clause:** the dissolution deed contained a second proviso that any dispute about the deed's terms would be referred to **arbitration**, and — crucially — that "the court at **Indore and nowhere else**" shall have jurisdiction over such disputes.
- **Round 1 — Asansol suit (18 August 1948):** Hira Lal sued Manohar Lal in the Court of the Sub-Judge, **Asansol** (West Bengal), for **₹1,00,000** as his share on dissolution of the partnership plus **₹18,000** for all other claims — plain money claims.
- **Arbitration move (27 October 1948):** Manohar Lal, relying on the deed, petitioned the Indore court under **s.34, Arbitration Act, 1940** to stay the Asansol suit and refer the disputes to arbitration.
- **Round 2 — Indore suit (3 January 1949):** Manohar Lal himself filed a suit at **Indore** for a declaration and accounts — that the respondent was not entitled to anything further and must account for and pay **₹1,90,519-0-6** due from him.
- **The injunction attempt:** in that Indore suit, Manohar Lal applied for a **temporary injunction** to restrain Hira Lal from proceeding with the Asansol suit. It was refused at first.
- **Calcutta High Court (7 May 1953):** on appeal by Hira Lal, the Asansol suit was **restored** (it had been struck off for default) — so the two parallel proceedings were now live again.

- **The s.151 application (14 September 1953):** Manohar Lal moved the Indore court afresh — this time expressly **under s.151 CPC** (inherent power) — for an order restraining Hira Lal from continuing the Asansol suit.
- **ADJ Indore:** Additional District Judge granted the injunction (2 December 1953) — restrained Hira Lal from proceeding at Asansol, modified to continue until the s.34 arbitration application was decided.
- **MP High Court (10 May 1955):** Hira Lal's revision succeeded — the ADJ's order was **set aside**. Manohar Lal appealed to the Supreme Court by special leave.

Timeline of the litigation (1945 – 1962)

22-8-1945
Dissolution deed — Manohar Lal takes over assets/liabilities; arbitration clause; jurisdiction confined to "the court at Indore and nowhere else".

18-8-1948
Asansol suit by Hira Lal: ₹1,00,000 + ₹18,000.

27-10-1948
Manohar Lal's **s.34 Arbitration Act** application at Asansol — stay & refer to arbitration.

3-1-1949
Indore suit by Manohar Lal: declaration + accounts; ₹1,90,519–0–6.

7-5-1953
Calcutta HC restores the Asansol suit (struck off earlier for default).

14-9-1953
Fresh application at Indore **under s.151 CPC** for restraint order.

2-12-1953
ADJ Indore grants the injunction (to operate till the s.34 application is decided).

10-5-1955
MP High Court (revision) **sets aside** the injunction.

1962
Supreme Court — majority (Raghubar Dayal J.) dismisses the appeal: power exists, but the order cannot stand; **Shah, J. dissents**: no such power at all.

ISSUES

1. Whether the **stay of the Asansol suit** was governed exclusively by **s.10 CPC** (stay of suit) — and if so, whether its conditions were satisfied.
2. Whether the Calcutta HC's restoration order foreclosed further consideration at Asansol, making the Indore injunction an attempt to overreach a decision of a competent superior court.
3. Whether the two suits were in the **same court** for the purposes of **s.22(2)** (power to stay proceedings where common questions of fact/law arise in separate suits), read with the definitions in s.2(3)–(5) CPC.
4. **The core issue:** whether the Indore court had power — under **O.39 rr. 1 & 2 or s.151 CPC** — to grant a temporary injunction **restraining a party from proceeding in another court of concurrent jurisdiction**.
5. If such power exists, whether it was properly exercised here.

ARGUMENTS FOR MANOHAR LAL (APPELLANT)

- The dissolution deed's second proviso **confined jurisdiction to Indore** and provided for **arbitration**; the Asansol suit violated both — proceeding there was oppressive.
- The Asansol suit was a device to **avoid the agreed forum**; courts should restrain litigants from pursuing proceedings instituted in breach of contract.
- Independent of O.39, every court possesses **inherent power (s.151)** to prevent abuse of its process and to prevent the ends of justice being defeated — the very power the ADJ invoked.
- Parallel litigation over the same partnership accounts in two provinces invites **conflicting decrees**; the Indore court could avert that by holding Hira Lal to the forum he contracted for.
- On the merits the trident was satisfied: a serious question (the deed's effect), irreparable injury (multiplicity of proceedings), and balance of convenience favouring one forum.

ARGUMENTS FOR SETH HIRA LAL (RESPONDENT)

- **s.10 is exhaustive** of the power to stay a suit in certain cases; its conditions — matters "pending in the same court", issues "directly and substantially in issue" in both — were absent, so **no stay** could be granted.
- The Asansol suit had been **restored by the Calcutta High Court** — a competent superior court; an Indore injunction would nullify that order and produce **conflict between courts of co-ordinate jurisdiction**.
- Neither s.94 nor O.39 rr. 1 & 2 authorises restraining a suitor from **proceeding in another court**; O.39 protects property in dispute in the suit — not forum-selection.
- s.151 cannot be used to **create a power the Code withholds** or to side-step s.10's conditions.
- The Indore suit and the Asansol suit rested on **different causes** (accounting vs. money claims) — not the "same matter" in the same court.

THE DECISION & THE TWO JUDGMENTS

by Ankur R. Upadhyay

MAJORITY — Raghubar Dayal J. (appeal dismissed; MP HC upheld)

- **Power exists:** "courts have inherent power to issue injunctions in cases not covered by the provisions of sub-section (c) of section 94 or rule 1 of order XXXIX" — the power "to make orders for the ends of justice or to prevent abuse of the process of the Court" remains, though "such power is not to be exercised when its exercise will conflict with the policy of the Civil Procedure Code".
- **O.39 not exhaustive:** Rule 1 (post-1976, including cl.(c) inserted in 1976 — after this case) "does not and cannot provide for all cases in which injunctive relief may be needed"; r.1's opening ("may... grant") means it merely **regulates** instances — "it cannot be said that the court has no power to issue an injunction in cases other than those specified".
- **But s.10 governs stays:** the stay of a suit is a matter for **s.10**, whose conditions (same court; same matters directly and substantially in issue) were **not satisfied** — the Asansol and Indore suits were in different courts and rested on different matters. The power could not be used to **circumvent s.10**.
- **Calcutta HC order:** the restoration of the Asansol suit was a decision by the court of competent jurisdiction; it was **not open to the Indore court** to disregard it while granting an injunction. (Shah, J. read this as effectively the ratio: an inferior court cannot stultify a superior court's order.)
- **Exercise was flawed:** the ADJ's order would run even during the pendency of the s.34 arbitration application — the very forum where the agreed forum question fell for decision. Interference refused.

MINORITY — J.C. Shah, J. (would dismiss; no power at all)

- **Courts cannot bind other courts:** an injunction by one court cannot operate upon the **proceedings of another court**; s.94 is the only source of power to grant temporary injunctions in a suit, and it permits injunctions only as prescribed by the rules — rr. 1 & 2 — which "deal with entirely different matters" (property in dispute, breach of contract/injury), not restraint of suits.
- **s.151 gives no new substantive power:** s.151 merely saves the court's inherent power "to make such orders as may be necessary for the ends of justice or to prevent abuse of process" — it does not confer power to issue injunctions **restraining a party from proceeding in another court**; if rr. 1 & 2 do not permit it, s.94(c) does not permit it.
- **Conflict of jurisdiction:** an injunction operating to obstruct proceedings in a court of co-ordinate (or superior) jurisdiction would create intolerable conflict between courts.
- Notably, Shah, J. — consistent with his premise — would allow the appeal **on the ground of absence of power**, but the operative result for the appellant was the same: **no injunction**.

The English authorities weighed in the judgment **Cohen v. Rothfield** (1919, CA): where two courts have concurrent jurisdiction, one may restrain a plaintiff from proceeding in the other — but (per Scrutton, L.J.) the power is discretionary, will be exercised with the **greatest care**, and is one that "should be very rarely exercised". Even if the power exists, this is not a fit case for it.
Hyman v. Helm (1881, CA): a court cannot by injunction **restrain proceedings in a court of co-ordinate or superior jurisdiction**; injunctions are for parties, not courts. But where a suit is pending in a court not of co-ordinate jurisdiction — e.g., a Scottish court vis-à-vis an English one, an **anti-suit injunction may issue** against the party (the *anti-suit* line running through to *Modi Entertainment*).

PRINCIPLE EVOLVED

1. A civil court retains **inherent power (s.151)** to grant interim injunctions even in situations falling outside s.94(c) and O.39 rr. 1 & 2 — O.39 is **not exhaustive** of injunctive power. (This proposition — the majority's — is the settled law, affirmed in *Dalpat Kumar*.)
2. But that inherent power **cannot be exercised so as to conflict with the Code's policy** — the stay of suits is governed by **s.10** and s.10's conditions (same court; same matters directly and substantially in issue) must be satisfied before one suit's progress can be arrested on account of another.
3. A court will not, by injunction, **overreach or nullify orders of a court of concurrent/superior jurisdiction**; injunctions run against **parties**, not against courts (Hyman v. Helm), and the anti-suit type of restraint is to be exercised with the greatest care and "very rarely" (Cohen v. Rothfield).
4. Temporary injunctions aim to preserve the **subject-matter of the suit** and prevent irreparable injury **pending final adjudication** — they are ancillary protective relief, not jurisdictional weapons.

CASE #24 **Dalpat Kaur (Dulip Kaur) v. Prahlad Singh**
AIR 1993 SC 276 | Supreme Court of India | K. Ramaswamy, J. | Appeal from the Rajasthan High Court (Jaipur Bench)

FACTS IN DETAIL — FOUR ROUNDS OF LITIGATION

- **Round 0 — the family settlement (14 June 1979):** Prahlad Singh (respondent) agreed to purchase a **house at Jaipur** for **₹51,000** from one Sardar Singh; possession was to be handed over to him. The vend/possession arrangement embroiled the vendor's family — his wife **Dalpat Kaur** (appellant, a housewife with no independent means) and her sons — in years of litigation.
- **Round 1 — money suit & ex parte decree:** Prahlad Singh sued Sardar Singh for refund of the price. A decree was passed **ex parte** against Sardar Singh. The house was attached in execution — and on **10 August 1983** it was **sold**; a **sale deed** was executed in favour of Prahlad Singh.
- **Round 2 — the wife's suit (No. 83 of 1984):** Dalpat Kaur sued for a declaration that the sale deed was not binding on her and for possession, and obtained an **ex parte ad interim injunction** restraining alienation. But she **did not apply for a final injunction** after notice issued; the suit was later dismissed for default (protracted proceedings followed).

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- **Round 3 — execution objections & the sons' suit (No. 278 of 1988): five objections** were raised in execution of Prahlad Singh's decree by Dalpat Kaur and her sons, all dismissed. The sons then filed their own suit (278/1988), which was also **dismissed for default** and never restored.
- **Round 4 — the fraud suit (7 December 1988):** Dalpat Kaur filed a fresh suit — for **declaration that the sale deed dated 10-8-1983 was void** and obtained by **fraud** — and applied for a temporary injunction to restrain Prahlad Singh from alienating the house pending the suit. Notice issued; the trial court directed that the application be decided expeditiously.
- **Trial court (3 November 1990): refused** the temporary injunction.
- **Rajasthan High Court (26 February 1991):** allowed the appeal and **granted** the temporary injunction restraining alienation or transfer pendente lite.
- Prahlad Singh appealed to the Supreme Court; **Dalpat Kuar and her sons contested** — seeking affirmance, and in the alternative pressing that any injunction be conditioned so as to prevent Prahlad Singh from defeating the decree.

ISSUES

1. Whether the circumstances disclosed a case for a **temporary injunction** under **O.39 r.1(c)** — a threat of dispossession / injury in relation to property in dispute.
2. What is the correct **content of the three tests** — prima facie case, irreparable injury, balance of convenience — and how must a court exercise its discretion under them?
3. Whether the High Court was right in **reversing** the trial court's refusal of the injunction.
4. Whether the decree-holder Prahlad Singh's rights (acquired through court sale) could be protected while the fraud suit was pending — the correct **terms** of any interim order.

ARGUMENTS FOR PRAHLAD SINGH (APPELLANT BEFORE SC)

- He was a **purchaser in court auction** under a valid, binding decree — sale deed executed 10-8-1983; the house was his.
- Dalpat Kaur's earlier suit (83/1984) had been **dismissed for default** and she had never pursued a final injunction; the sons' suit too had suffered the same fate — the fresh "fraud" suit was an **abuse of process**, a third bite at the cherry.
- No prima facie case: fraud was not substantiated at the interlocutory stage; her conduct (defaults, delays) disentitled her to equitable relief.
- Since he held under a court sale, there was no danger of waste or alienation by him — no interim order was needed; restraint would harm a decree-holder's rights.

ARGUMENTS FOR DALPAT KAUR (RESPONDENT BEFORE SC)

- The sale deed was **void, obtained by fraud** — a bona fide, serious question requiring trial; injunction was needed to keep the res intact.
- Under **r.1(c)** (inserted 1976 precisely to cover dispossession threats), a plaintiff threatened with dispossession from property in dispute is entitled to protection of **status quo**.
- Irreparable injury: she was a **housewife with no independent means** — eviction from the family home could not be compensated in money; the balance of convenience favoured preserving possession.
- Transfer/alienation pendente lite would be hit by **lis pendens (s.52 TPA)** but would still cloud and complicate; prevention was better.

THE DECISION

Appeal dismissed; High Court's injunction restored (with modifications). K. Ramaswamy, J. found the High Court had reached the right result but by a "manifest error" in reasoning path — the SC corrected the approach and re-affirmed the injunction, directing expeditious disposal of the suit and of the pending injunction applications.

- **Trident satisfied:** (i) a serious disputed question (fraud voiding the sale) existed, with probability of the plaintiff being entitled to relief; (ii) interim protection was needed to prevent irreparable injury before trial; (iii) the mischief of refusing (possible eviction/ defeat of the suit) outweighed the mischief of granting (delay to the decree-holder's enjoyment).
- **Rule 1(c)'s purpose:** before 1976 there was no express power to restrain threatened dispossession — courts acted under s.151; clause (c) now expressly covers a defendant threatening to dispossess the plaintiff or otherwise injure her in relation to property in dispute.
- **On auction purchasers & lis pendens:** transfer of the property pendente lite would **not destroy the plaintiff's rights (s.52 TPA)** — but alienation attempts during litigation must be restrained to avoid multiplicity; meanwhile, if the decree-holder was obstructed, he could be compensated for use and occupation, for which an appropriate allowance could be made in moulding the interim order.
- **Directions:** the trial court was to dispose of the suit and all injunction applications **expeditiously**; the injunction would continue on appropriate terms until then.

PRINCIPLE EVOLVED — the authoritative statement of the trident

1. **Prima facie case** ≠ prima facie title: "a substantial question raised bona fide, which needs investigation and a decision on merits." (Echoing *Martin Burn*: not "proved to the hilt".)
2. **Irreparable injury** = "a material one, i.e. one that cannot be adequately compensated by damages"; and where no other remedy than injunction exists.
3. **Balance of convenience** = weighing the substantial mischief of refusal against that of grant; if the mischief of refusal is greater, status quo is maintained by injunction until final decision.
4. The three tests are **"not rhetoric phrases for incantation"** — words of "width and elasticity" hedged by sound judicial discretion to meet the ends of justice.
5. Interim injunction is **preventive relief**, designed to preserve the subject-matter/status quo co-terminus with the suit — and appellate courts will intervene where the court below's exercise of discretion is vitiated by manifest error.

6. O.39 r.1(c) is the express statutory home for injunctions against **threatened dispossession** (post-1976); before it, such relief flowed from inherent power — the bridge back to *Manohar Lal*.

PYQ ARCHIVE // CH.08 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 PYQ – 2019 "What are the tests for grant of temporary injunction? Discuss with the help of decided cases."

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 PYQ – 2020 (OBE) · 25 MARKS "A filed a suit for permanent injunction against B, his neighbour, in respect of a boundary wall. Pending the suit, the court granted a temporary injunction restraining B from demolishing the wall. Despite the injunction, B's husband C demolished the wall and raised a construction of a room thereupon, claiming that the injunction operated only against B and not against him. A applied to the court for action against B and C under Order XXXIX, Rule 2–A CPC. Decide."

Q.3 PYQ – 2017 "On what grounds can a temporary injunction be granted? Explain."

PART B // MODULES 09 TO 12 · PRESCRIBED CASES #25 TO #38

THE LIMITATION ACT, 1963

MODULE 09 // PART B · TOPIC 1 Cases #25–#30

Limitation of Suits, Appeals & Applications and Condonation of Delay

Sections 3, 4 & 5 (r/w Section 29(2)), The Limitation Act, 1963

The Law of Limitation — Concept, Object & Policy

Why the law compels litigants to be diligent — and what exactly limitation destroys

Core Definition
The **law of limitation** prescribes the time-limits within which suits, appeals and applications must be brought before a court; a proceeding launched after the **prescribed period** is liable to be **dismissed as time-barred** (s. 3, Limitation Act, 1963). It creates no rights and defines no causes of action — it only **bars the judicial remedy** for enforcing existing rights after the lapse of the fixed period: *"vigilantibus non dormientibus jura subveniunt"* — the law aids the diligent, not those who sleep over their rights.

1.1 Statutes of Repose, Peace and Justice

Limitation laws are called statutes of repose: they quiet long possession, extinguish stale demands and bring litigation to an end — "disputes would be immortal, when men are mortal". The principle on which the statute is founded is interest reipublicae ut sit finis litium — the interest of the State requires that litigation come to an end.

- **Policy pillars:** (i) keeping litigation alive for unlimited periods disturbs the peace of society; (ii) a constant threat of involvement in judicial process generates insecurity, retarding national growth; (iii) the law compels litigants to approach courts within the prescribed time, and quiets long possession.
- **Two broad considerations** underlying the doctrine: (1) a right not exercised for a long time is **presumed not to exist**; (2) rights in property and rights in general must not remain in constant **uncertainty, doubt and suspense**.
- **Settled Common Law Principles** — three objects of limitation statutes: (i) long dormant claims have often **more of cruelty than justice** in them; (ii) the defendant may have **lost the evidence** to rebut a stale claim; (iii) persons with good causes of action should pursue them with **reasonable diligence**.
- Best, C.J. in **A'Court v. Cross** (1825) 3 Bing. 329 (quoted in *Butler*): "It is, as I have heard it often called by great judges, **an act of peace**. Long dormant claims have often more cruelty than justice in them."

1.2 The Master Maxim — Limitation bars the Remedy, not the Right

Punjab National Bank v. Surendra Prasad Sinha, AIR 1992 SC 1815 (K. Ramaswamy, J.)"The rules of limitation are not meant to destroy the rights of the parties. **Section 3 of the Limitation Act… only bars the remedy, but does not destroy the right** which the remedy relates to. The right to the debt continues to exist notwithstanding the remedy is barred by limitation. **Only exception in which the remedy also becomes barred by limitation is that the right itself is destroyed** — for example under Section 27 of the Act a suit for possession of any property becoming barred by limitation, the right to property itself is destroyed... The time barred debt does not cease to exist by reason of Section 3. That right can be exercised in any other manner than by means of a suit."

- **Consequences of the maxim:** a time-barred debt is still **due** — "after a debt becomes barred a person is still deemed to owe and it does not cease to be due" (*First National Bank Ltd. v. Seth Santlal*, AIR 1954 Punj 328); a claim **satisfied outside court** after expiry of limitation is not illegal, and the payment cannot be recovered back.
- **Enforcement without suit:** a creditor may **adjust a time-barred debt** out of money paid by the debtor, and may **appropriate it against a security in his possession** (the *PNB* holding itself — Case 27 below).
- **The s. 27 exception:** in a suit for possession of immovable property based on title, once limitation (Art. 65 — 12 years) expires, not only the remedy but the **owner's very title is extinguished**, and the adverse possessor's title matures — the one great inroad on the maxim (see the PYQ on *Mohan & Sohan*, Section 13).

- **Criminal law overlay:** a creditor acting within his contractual rights to adjust a security is not guilty of **criminal breach of trust** (ss. 405/409 IPC) — *PNB*: "Action in terms of the contract... is a negation of criminal breach of trust."

The Statutory Framework & Key Definitions

Act 36 of 1963, the Schedule of Articles, s. 2 definitions, s. 29(2) special laws, and the CPC's position

2.2 Special & Local Laws — s. 29(2)

Section 29(2), Limitation Act, 1963

Where any special or local law prescribes for any suit, appeal or application a period of limitation different from the period prescribed by the Schedule, **the provisions of section 3 shall apply as if such period were the period prescribed by the Schedule**, and for the purpose of determining any period of limitation prescribed for any suit, appeal or application by any special or local law, the provisions contained in **sections 4 to 24 shall apply only in so far as, and to the extent to which, they are not expressly excluded** by such special or local law.

- A special law (e.g., the U.P. Sales Tax Act in *Madan Lal Das*, the Indian Railways Act in *West Coast*) may prescribe its own periods — but **s. 3's mandatory bar still applies** to them, and ss. 4–24 (including s. 5 condonation and s. 12 exclusion) apply **unless expressly excluded**.
- The "prescribed period" for s. 3 and s. 5 therefore includes periods prescribed by **any law for the time being in force**, not merely the Schedule.

Section 3 — Bar of Limitation & its Effect SUB-TOPIC (a) OF THE SYLLABUS

The mandatory dismissal rule, the deemed dates of institution, and the effect of expiry on remedy and right

Section 3, Limitation Act, 1963 — Bar of limitation

(1) Subject to the provisions contained in sections 4 to 24 (inclusive), every suit instituted, appeal preferred, and application made **after the prescribed period shall be dismissed**, **although limitation has not been set up as a defence**.
(2) For the purposes of this Act —
(a) a suit is instituted — (i) in an ordinary case, when the **plaint is presented to the proper officer**; (ii) in the case of a pauper, when his **application for leave to sue as a pauper** is made; (iii) in the case of a claim against a company being wound up by the court, when the claimant first **sends in his claim to the official liquidator**;
(b) any claim by way of **set-off or counter-claim shall be treated as a separate suit** and deemed instituted — (i) in the case of set-off, on the **same date as the suit** in which it is pleaded; (ii) in the case of a counter-claim, on the **date it is made in court**;
(c) an application by **notice of motion** in a High Court is made when the application is presented to the proper officer of that court.

3.1 The Mandate — a Duty, not a Option

- **"Shall be dismissed"** — the word is imperative. The bar is applied by the court **ex debito justitiae**; the plea of limitation need not be taken by the defendant.
- Limitation is a **question of law** for the court: it must be considered **at any stage**, even suo motu, in appeal and second appeal as well (*Mohinder Singh Jagdev*: "the court is bound to take note thereof... and dismiss the suit, if it is barred by limitation").
- But the court cannot **refuse relief to a plaintiff on the mere possibility** that limitation may be pleaded — where the date of institution and the accrual are clear and the suit is within time, dismissal is impermissible.
- Subject "to the provisions of ss. 4 to 24": the bar applies to the **prescribed period**, i.e., after the Act's own extensions and exclusions are worked out.

3.2 When does the clock start?

- The Schedule fixes both the **period** and the **starting point** ("time from which period begins to run") for each Article — usually when **the right to sue accrues** (Art. 113: "when the right to sue accrues") or "first accrues" (Art. 58, declarations).
- **Cause of action accrues** when every ingredient exists — a person capable of suing and a person who can be sued (*Butler*, Case 25); ignorance of the wrongdoer's identity does not stop the clock.
- **"Once limitation starts running, it runs its full course"** until interdicted by an order of a competent court (*P.K. Kutty* — though overruled on merger in *West Coast*, this proposition still holds where no appeal is pending).
- **Continuing breaches:** for continuing wrongs (e.g., dispossession — Art. 64/65), fresh limitation runs from each act; s. 22 and Arts. 26–27 supply special rules.

3.3 Effect of Expiry — the Full Picture

Consequence	Law
Suit / appeal / application dismissed	s.3(1) — mandatory, even if limitation not pleaded
Right survives (generally)	PNB v. Surendra Prasad Sinha — remedy barred, right subsists; time-barred debt still due (First National Bank v. Seth Santlal)
Voluntary satisfaction valid	Payment on a time-barred debt cannot be recovered — no "injustice" in satisfying a subsisting obligation
Adjustment against security valid	PNB — creditor holding security may appropriate the time-barred debt per contract; no criminal breach of trust
Right extinguished (exception)	s.27 — suits for possession: on expiry, title itself extinguished (adverse possession; Art. 65, 12 years)
Set-off / counter-claim	s.3(2)(b) — separate suits with their own limitation (set-off: date of suit; counter-claim: date made)
Dismissal for want of limitation ≠ decree on merits	Order rejecting a condonation application is not a decree; dismissal as time-barred leaves the right untouched

Section 4 — Expiry of Prescribed Period when Court is Closed S.4

The gentlest section of the Act — and a favourite short-note

Section 4, Limitation Act, 1963

Where the prescribed period for any suit, appeal or application **expires on a day when the court is closed**, the suit, appeal or application may be instituted, preferred or made **on the day when the court re-opens**.

Explanation. A court shall be deemed to be closed on any day if **during any part of its normal working hours it remains closed** on that day.

4.1 Points to Note

- **Operation:** s. 4 does not extend limitation generally — it only permits filing on the **re-opening day** when the last day of the period falls on a closed day (holiday, strike-closure, vacation where the court is closed).
- **"Closed" is generous:** even partial closure during normal working hours makes the day a "closed" day (Explanation) — so a court that functions only in the morning, or is closed by a strike for part of the day, counts as closed.
- **Contrast with the strike problem:** in the 2019 PYQ (Section 13), the limitation expired on **12 October 1980** during a widespread strike, and the State appealed on **15 October** — s. 4 was not enough (the closure did not cover all days, and the appeal was 3 days late); the rescue had to come from **s. 5 condonation** on "sufficient cause".
- **Prospective operation:** s. 4 applies when the **period expires** on a closed day — not when the cause of action arose on a closed day.
- Section 4 applies to **suits** too (unlike s. 5) — and via s. 29(2) to special laws unless excluded.

Section 5 — Extension of the Prescribed Period: Condonation of Delay SUB-TOPIC (b) OF THE SYLLABUS

"Sufficient cause" — the most litigated phrase in the Limitation Act

Section 5, Limitation Act, 1963 — Extension of prescribed period in certain cases

Any **appeal** or any **application**, other than an application under any of the provisions of **Order XXI of the Code of Civil Procedure, 1908**, may be admitted after the prescribed period if the appellant or the applicant **satisfies the court that he had sufficient cause** for not preferring the appeal or making the application within such period.

Explanation. The fact that the appellant or the applicant was **misled by any order, practice or judgment of the High Court** in ascertaining or computing the prescribed period may be sufficient cause within the meaning of this section.

5.1 Scope — the Three Exclusions

- **No suits:** s. 5 applies only to appeals and applications — a **suit** filed late cannot be condoned; it stands dismissed under s. 3.
- **No execution:** applications under **O.XXI CPC** (execution proceedings) are expressly excluded.
- **Courts only:** s. 5 empowers only a **"court"** — it has no application to quasi-judicial tribunals, labour courts, bodies acting as *persona designata*, or executive authorities.
- **Trigger:** the "prescribed period" must be over; "prescribed period" means any period prescribed by any law in force (including special laws via s. 29(2)).
- **Explanation — misled by the High Court:** an order, practice or judgment of the HC that misleads a litigant in computing time is itself sufficient cause.
- **Not a decree:** an order allowing or rejecting condonation is not a decree; dismissal of an appeal as time-barred follows the rejection (*Ratan Singh v. Vijaya Singh*, AIR 2001 SC 279).

5.2 "Sufficient Cause" — the Working Definition

- Not defined in the Act. It must mean a cause **beyond the control of the party** invoking the section; a cause which by **due care and attention** the party could have avoided is not sufficient cause — "nothing is bona fide unless it is done with due care and attention".
- The extension rests on **judicial discretion** — "discretionary, not arbitrary"; no hard-and-fast rule; each case on its own facts; reasons must be recorded.
- **Proof of sufficient cause is a condition precedent** to the exercise of discretion; even after cause is shown, condonation is not a matter of right (*Ram Lal v. Rewa Coalfields*; *Lipok AO*).
- **Liberal construction** to advance substantial justice: *N. Balakrishnan v. M. Krishnamurthy* (AIR 1998 SC 3222) — the court must place itself in the position of the applicant and ask whether the delay resulted from the cause adduced.
- The discretion "should not be defined or crystallised so as to convert a discretionary matter into a rigid rule of law" (*New India Assurance v. Shanti Misra*, (1975) 2 SCC 840).
- **The true guide** is whether the applicant acted with **reasonable diligence** in prosecuting the appeal (*Brij Indar Singh v. Kanshi Ram*, AIR 1917 PC 156).

5.3 Ram Lal v. Rewa Coalfields Ltd., AIR 1962 SC 361 — the Three Canons

1. It would be unreasonable to require a party to act on the first day; a party may file on **any day within the period** — so it is **prima facie not required to explain conduct during the whole limitation period**.
2. "Within such period" means within the period ending with the **last day** — the party must show cause **why it did not file on the last day**, and thereafter explain the delay **day by day** from that last day to the actual filing.
3. Even after sufficient cause is shown, condonation is **not a matter of right** — it remains a discretionary jurisdiction vested by s. 5.

The Evolution — Government as a Litigant: from Katiji's Liberality to Bherulal's Stick THE EXAM ARC

The single most testable storyline in Topic 1 — 1987 → 2020 in one narrative

6.1 Three Ages of Section 5

The doctrinal pendulum
1917–1987 · FOUNDATIONS

by Ankur R. Upadhyay

Brij Indar Singh (PC, 1917): reasonable diligence is the guide. **Ram Lal** (1962): day-by-day explanation. **Katiji** (1987): the liberal charter — substantial justice over technicality; State entitled to the same even-handed treatment; "step-motherly treatment" deprecated; impersonal machinery and file-pushing understood.

1988–2005 · CONSOLIDATED LIBERALITY

G. Ramegowda (1988): "a little play at the joints" for Government. **Chandra Mani** (1996): pragmatic, justice-oriented approach; State ≠ individual in decision-speed. **Lipok AO** (2005): 57 days condoned; missing file + departmental follow-up = sufficient cause; delay by length irrelevant — sufficiency is everything.

2012–2020 · THE STRICT TURN

Living Media (2012): modern technology has destroyed the bureaucratic excuse; condonation is an exception, not an anticipated benefit; law of limitation binds everybody including Government. **Bherulal** (2020): 663 days! — SLP dismissed as time-barred with ₹25,000 costs recoverable from the responsible officers; "certificate cases" deprecated; Katiji cannot be invoked mechanically.

How to reconcile them in an answer Katiji/Lipok and Living Media/Bherulal are not opposites. The liberal line governs **short, non-deliberate delays** where the State acted bona fide and with some diligence; the strict line governs **inordinate, unexplained delays** supported only by generic "red tape" assertions. Bherulal itself accepts that "some leeway is given for the Government inefficiencies" — but Katiji-era liberality cannot be claimed as of right in the age of email, e-filing and tracked files. State the length of delay, the specificity of the explanation, and the era of the authority relied upon.

Prescribed Landmark Case Laws — Detailed Analysis

CASES #25–#30

CASE #25 R.B. Policies at Lloyd's v. Butler

(1949) 2 All ER 226 | King's Bench Division (England) | Streatfeild, J. | Limitation Act, 1939 (UK), ss. 2(1), 3(1), 26

FACTS IN DETAIL

- R.B. Policies at Lloyd's (the plaintiffs, underwriters) owned a **motor car**, registration **JD 6412**. It was **stolen from them by some person or persons unknown on 27 June 1940**.
- In **January 1947** the car — now bearing registration **ALN 765** — was found in the possession of **Mr. Alfred Butler**, having reached him through **a line of intermediate purchasers during the previous seven years**.
- The plaintiffs issued a writ on **16 July 1947** claiming **return of the car** as wrongfully detained by the defendant.
- **Defence:** the cause of action was barred by the **Limitation Act, 1939 (UK), s. 2(1)** — "no action shall be brought after the expiration of **six years from the date on which the cause of action accrued**"; the theft having occurred in June 1940, six years expired in June 1946, a year before the writ.
- The plaintiffs were owners; Butler was an **innocent purchaser for good consideration and in good faith**, years after the theft. The preliminary issue: **on what date did the cause of action accrue?**

Timeline

27-6-1940
Car stolen from the plaintiffs by person(s) unknown — conversion by the thief; identity never discovered.

1940–1946
Car passes **through a line of intermediate purchasers**; registration changes to ALN 765.

June 1946
Six years from the theft expire (s. 2(1), Limitation Act, 1939).

Jan 1947
Car **found in Butler's possession** — an innocent purchaser for value without notice.

16-7-1947
Writ issued claiming return of the car — more than six years after the theft, under two years within discovery.

1949
Held (Streatfeild, J.): cause of action accrued on the date of theft; the claim is **statute-barred**.

ISSUES

1. On what date did the plaintiffs' **cause of action accrue** — the date of the theft (1940), or the date the car (and a suable defendant) was discovered (1947)?
2. Does the fact that the **thief was unknown and untraceable** prevent the accrual of a cause of action against him?
3. Could s. 26 of the 1939 Act (fraudulent concealment) or the principle of discovering the wrong postpone the running of time?
4. What is the **policy** of a limitation statute in a contest between an owner and an innocent purchaser?

by Ankur R. Upadhyay

ARGUMENTS FOR THE PLAINTIFFS (R.B. POLICIES AT LLOYD'S)

- A cause of action requires **a person capable of suing and a person who can be sued** — the thief being unknown, no action could be brought in 1940, so the cause of action cannot have accrued then.
- Only in January 1947 was there an **identifiable defendant** (Butler) in possession — limitation should run from discovery of the wrong and the wrongdoer.
- It would be unjust to deprive the true owner of property merely because the thief concealed his identity.

ARGUMENTS FOR THE DEFENDANT (BUTLER)

- The theft itself was a **complete conversion** the moment it occurred — every ingredient of the cause of action existed in June 1940.
- S. 3(1) of the 1939 Act: subsequent conversions by the chain of purchasers are comprehended in the original accrual — **no action lies after six years from the original cause of action**.
- S. 26 (fraudulent concealment) is a **special, limited exception** — and it postpones the running of time only until fraud is or could be discovered; it does not postpone accrual for a merely unknown thief.
- The Act protects **innocent purchasers against stale demands** — that is its policy.

THE DECISION

Preliminary point decided in favour of the defendant: the claim was barred by limitation. The cause of action accrued in June 1940, when the car was stolen.

- **Accrual:** "A cause of action cannot accrue unless there be a person in existence capable of suing and another person in existence who can be sued" — the thief **was in existence**, though not traceable: "It was, no doubt, a misfortune to the plaintiffs that they could not find a defendant whose name they could insert in a writ, but the fact remains that **every other ingredient of the cause of action was present**."
- **S. 26 is the sole postponement:** it says time "shall not begin to run" until discovery of fraud — it does not say the cause of action accrues afresh on discovery; absent pleaded fraud, **time runs from the theft notwithstanding ignorance of the thief's identity**.
- **The watch illustration:** "It would lead to appalling results if someone, having lost a watch and discovered it fifty or sixty years later in the possession of a wholly innocent person who had bought it many years previously, was able to bring an action for its recovery merely because he did not know who the thief was."
- **Policy — the twin principles:** (i) "those who go to sleep on their claims should not be assisted by the Courts in recovering their property"; (ii) equally, "there shall be an end of these matters... **protection against stale demands**" — quoting Best, C.J. in *A'Court v. Cross*: the Act is "an act of peace"; "long dormant claims have often more cruelty than justice in them".
- A claim made seven-eight years after the loss, against a perfectly innocent holder who gave value without knowing of the theft, "does not seem just" — the Act exists to **prevent precisely such injustices**.

PRINCIPLE EVOLVED

1. A cause of action **accrues when all its ingredients exist** — the existence (not the identity or traceability) of a wrongdoer suffices; ignorance of the defendant's name does not postpone accrual.
2. Limitation statutes are **acts of peace** designed to bury stale demands, protect defendants from lost evidence, and shield **innocent purchasers** — dormancy is cruelty, not justice.
3. Postponement of limitation is **exceptional** (fraudulent concealment-type provisions) and must be strictly construed — it delays the running of time, it does not re-create the cause of action.
4. Owners must be diligent: he who sleeps on his claim forfeits the court's assistance — the creditor's remedy dies while the duty to be alert lives.

CASE #26 **Union of India v. West Coast Paper Mills Ltd.**

AIR 2004 SC 1596 | Supreme Court of India | Three-Judge Bench: R.C. Lahoti, C.J.I., S.B. Sinha & S.H. Kapadia, JJ. | P.K. Kutty overruled

FACTS IN DETAIL

- **The freight dispute:** West Coast Paper Mills (respondent) transported goods by rail over the branch line **Alnavar → Dandeli**, paying a common freight rate based on weight. The Railways revised the rate **w.e.f. 1-2-1964** — levying **standard telescopic class rates on three times the inflated distance**.
- **18-4-1966:** The **Railway Rates Tribunal** declared the levy **unreasonable** (complaint held: unjust, unreasonable, discriminatory).
- **Special leave:** The Union of India appealed to the Supreme Court. Special leave was **granted with a limited interim order**: "The Railway may charge the usual rates **without inflation of the distance**, and the Respondent will give a Bank guarantee... for Rupees Two Lakhs to be renewed each year until the disposal of the appeal." The SLP was ultimately **dismissed on 14-10-1970**.
- **5-1-1972:** The mill filed a **writ petition** (W.P. No. 210/1972); the High Court **declined jurisdiction** on 29-10-1973, leaving it to an ordinary civil suit — parties free to raise all contentions.
- **12-12-1973 & 18-4-1974:** The mill filed **two civil suits** (later O.S. 38/1982 & 39/1982) for **refund of excess freight** for the periods 24-6-1963 to 1-2-1964 and 1-2-1964 to 18-4-1966, with interest.
- **The limitation objection:** UOI contended the cause of action arose with the **Tribunal's declaration (18-4-1966)** — under **Art. 58** (declaration suits: 3 years from when the right to sue **first accrues**), the suits (filed 1973-74) were hopelessly late; and since **no stay** of the Tribunal's judgment had been granted, the pendency before the SC did not stop the clock.

- **Trial Court & High Court:** suits were **within time** — the mill was entitled to the benefit of **ss. 14 and 15** (exclusion of time spent bona fide prosecuting the writ remedy). UOI appealed; a Division Bench doubted *P.K. Kutty* and referred the matter to a **three-Judge Bench**.

ISSUES

1. From what date did limitation run for a suit for **refund of excess freight** — the Tribunal's declaration (18–4–1966) or the Supreme Court's final order (14–10–1970)?
2. Did the absence of a **stay** of the Tribunal's judgment make it operative from 1966, so that the SLP's pendency did not matter?
3. Which article governed — **Art. 58** (declaration suits, "right to sue first accrues") or **Art. 113** (residuary, "right to sue accrues")?
4. Did the **doctrine of merger** apply to the Tribunal's decision once special leave was granted — and was *P.K. Kutty*, which ignored merger, good law?
5. Were the periods of the writ petition excludable under **ss. 14–15**?

ARGUMENTS FOR THE UNION OF INDIA (APPELLANT)

- The cause of action arose on the **Tribunal's declaration (18–4–1966)**; under **Art. 58** the three-year clock then began; suits of 1973–74 were 4–5 years late.
- **No stay** of the Tribunal's judgment was ever granted by the SC — the interim order was only partial — so the judgment was operative and enforceable, and pendency of the SLP could not exclude time.
- Under **s. 46A, Indian Railways Act**, the Tribunal's judgment was **final**; the refund claim stood on it and could not be deferred.
- Reliance: *Juscurn Boid* (PC), *Maqbul Ahmad* (PC), *P.K. Kutty* (SC), *Mohinder Singh Jagdev* (SC) — "once limitation starts running, it runs its full course".

ARGUMENTS FOR WEST COAST PAPER MILLS (RESPONDENT)

- **Art. 113** (residuary), not Art. 58, governed — this was a suit for **refund of money**, not for a declaration; the declaration had already been obtained.
- Once **special leave was granted** and an interim order passed, the Tribunal's judgment was **"in jeopardy"** — its finality was gone; correctness stood "wide open".
- **Doctrine of merger** (*Kunhayammed v. State of Kerala*, (2000) 6 SCC 359): the Tribunal's order merged in the SC's order; limitation for consequential relief runs from the **appellate order**.
- In any event, the **writ interlude was excludable** under ss. 14–15 — a bona fide prosecution of a remedy before the appropriate forum.

THE DECISION — THREE-JUDGE BENCH (S.B. SINHA, J. FOR THE BENCH)

- **Tribunal's powers were declaratory only:** under the Railways Act "the Tribunal was only entitled to make a declaration... It did not have any jurisdiction to execute its own order" — a suit was the execution path.
- **s. 46A could not exclude Art. 136:** finality before the Tribunal did not touch the Supreme Court's special appellate power; once special leave was granted, "the correctness or otherwise of the judgment of the Tribunal becomes **wide open**... In such an event the correctness of the judgment is **in jeopardy**."
- **Merger applies to tribunals as to courts** — following the Constitution Bench line (*Mohammad Nooh* — Vivian Bose, J.: justice "in a common sense liberal way... broadbased on human values rather than... hair-splitting technicalities"; *S.S. Rathore* — the court/tribunal distinction "is one without any legal justification"): "an appeal is a continuation of the suit", the decree becomes executable only when finally disposed of by the last court.
- **Starting point = the SC's order (14–10–1970)**; the writ period was additionally excludable under ss. 14–15 — the suits were **within limitation**. Trial Court and High Court affirmed; nothing to differ.
- **Art. 58 vs Art. 113 distinction:** Art. 58 counts three years from when the right to sue **first** accrues; Art. 113 counts from when the right to sue accrues — "the right to sue may accrue to a suitor... at different points of time", the last determination fixing the date. A refund suit needs a finally determined right; the mill did not sue for a declaration at all.
- **Overruled** *P.K. Kutty* — it "does not lay down the law correctly": merger and the Constitution Bench precedents were never argued or noticed there. *Mohinder Singh Jagdev* distinguished on facts; *Maqbul Ahmad* and *Juscurn Boid* turned on peculiar facts.
- **The liberal gloss on s. 3 itself:** "Despite the rigours of Section 3 of the Limitation Act, 1963, the provisions thereof are required to be construed in a **broad based and liberal manner**."

PRINCIPLE EVOLVED

1. Where an order is subjected to appeal (including special leave under Art. 136), its **finality is in jeopardy**; by the doctrine of merger the appellate order becomes the sole operative order — limitation for consequential relief (refund suit) runs from the **date of the last order**, not the first.
2. **Stay is not the touchstone of jeopardy:** the absence of a formal stay does not restart finality once the superior court has entertained the challenge and applied its mind to merits.
3. **Art. 58 ≠ Art. 113:** "first accrues" (first accrual of right to sue) vs "accrues" (accrual, including the final determination) — classification of the article decides many limitation problems.
4. Time spent **bona fide prosecuting a remedy in the appropriate forum** (including a writ petition wrongly but genuinely chosen) is excluded under ss. 14–15.
5. Section 3's rigour is real but its provisions are construed **broadly and liberally** in aid of justice.

CASE #27 Punjab National Bank v. Surendra Prasad Sinha

AIR 1992 SC 1815 | Supreme Court of India | K. Ramaswamy, J. | Quashing of private complaint u/ss 409, 109/114 IPC

FACTS IN DETAIL

- **5-5-1984:** PNB's Katni branch lent **₹15,000** to one Sriman Narain Dubey. The respondent — **an Advocate and Standing Counsel for the Bank itself** — and his wife Annapoorna stood **guarantors**, executed a security bond and handed over a **Fixed Deposit Receipt of ₹24,000** (F.D. A/c No. 77/83, maturing 1-11-1988; value at maturity **₹41,292**).
- The principal debtor **defaulted**. At maturity, the Branch Manager adjusted **₹27,037.60** (the debt due as on December 1988) from the FDR and credited the balance **₹14,254.40 to the respondent's Savings Bank Account** (No. 3763), intimated to him on 14-1-1989.
- **The complaint:** the respondent filed a private complaint (C.C. No. 933 of 1991) before the Additional Chief Judicial Magistrate, Katni, against the Bank, its Chairman, Managing Director and four officers, alleging offences under **s. 409 IPC** (criminal breach of trust by banker/merchant) and **ss. 109/114 IPC** (abetment) — the Bank had "criminally embezzled" the FDR amount.
- **His theory:** the principal debt became **barred by limitation on 5-5-1987** (three years from the loan); the guarantor's liability being **co-extensive** with the debtor's, it too stood "extinguished" on that date; the Bank, with a **"dishonest interest to save itself from the financial obligation"**, neglected to recover from the debtor in time and then converted the entrusted FDR money to its own use — in violation of his specific direction to credit the entire ₹41,292.
- The Magistrate **mechanically issued process** against all the appellants; the High Court **declined to quash**, finding the Bank had acted "prima facie high-handedly". The Bank appealed to the Supreme Court. The respondent (served 29-7-1991) neither appeared nor was represented.

THE SECURITY BOND — THE CONTRACT THAT DECIDED THE CASE

- "We confirm having handed over to you by way of security... F.D. Account No. 77/83 dated November 1, 1983 for Rs 24,000..." — "the F.D.R. will continue to remain with the bank as security here."
- "**The amount due and other charges, if any, be adjusted and appropriated by you from the proceeds of the said F.D.R. at any time before, or on its maturity at your discretion**, unless the loan is otherwise fully adjusted from the dues on demand in writing made by you..."
- "We give the bank right to credit the balance to our savings bank account... and adjust the amount due from the borrowers out of the same."
- "We authorise you... the F.D.R. pledged as security... shall also be security including the surplus proceeds thereof for any other liability... and the bank shall be entitled to retain/realise/utilise/appropriate the same **without reference to us**."

ISSUES

1. Did the bar of limitation under **s. 3** extinguish the debt (and the co-extensive guarantor's liability), so that the Bank's appropriation from the FDR became **criminal misappropriation**?
2. Is a creditor entitled to **adjust a time-barred debt** out of a **security in his possession**, under the contract?
3. Did the facts make out even a **prima facie case** of criminal breach of trust (ss. 405/409 IPC) — "entrustment" and "dishonest conversion"?
4. Was the Magistrate right to issue process against the Bank's senior-most officers, and the High Court right to refuse to quash?

ARGUMENTS FOR PNB (APPELLANTS)

- s. 3 **bars only the remedy, not the right**: the debt subsisted despite limitation; the Bank was not obliged to sue at all.
- The security bond **expressly authorised** appropriation from the FDR at maturity "at your discretion" and "without reference to us" — the Bank acted precisely as the contract permitted.
- The FDR was entrusted **as guarantor's security, not in the course of banking business** — s. 409 IPC has no application; and action under contract negatives "dishonesty" (s. 405).
- The complaint was a **patent abuse of process** to harass the Bank and its officers — the respondent was himself the Bank's Standing Counsel pursuing a **personal vendetta**.

CASE FOR THE RESPONDENT (SINHA)

- The loan became time-barred on **5-5-1987**; the guarantor's co-extensive liability stood **extinguished**; the Bank's neglect to sue the debtor was with a **dishonest interest** to escape its own obligation.
- Having allowed the claim to become barred, the Bank could not help itself to the **entrusted FDR proceeds** — that was **embezzlement** (s. 409) by the Bank and abetment (ss. 109/114) by its officers.
- His direction that the entire ₹41,292 be credited was disobeyed; only ₹14,254.40 was credited despite repeated demands.
- The High Court had found the Bank's conduct "prima facie high-handed"; the Magistrate's process could not be interfered with at that stage.

THE DECISION

Appeal allowed; complaint quashed. K. Ramaswamy, J. held the complaint "eloquently manifest on its face a clear abuse of the process of the court to harass the appellants".

- **The maxim applied:** "The rules of limitation are not meant to destroy the rights of the parties. Section 3... only bars the remedy, but does not destroy the right which the remedy relates to. The right to the debt continues to exist notwithstanding the remedy is barred by limitation." The **only exception**: where the right itself is destroyed — s. 27 (possession suits).

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- **Time-barred debt does not cease to exist:** "It is not obligatory to file a suit to recover the debt." A creditor may **adjust a time-barred debt** from payments, and — "when he is in possession of an adequate security" — may **adjust the debt from that security**. The Bank's appropriation was per the contract; the balance was duly credited.
- **No criminal breach of trust:** "Action in terms of the contract expressly or implied is a **negation of criminal breach of trust** defined in Section 405 and punishable under Section 409 IPC. It is neither dishonest, nor misappropriation." Moreover the FDR was entrusted in the capacity of **guarantor**, not in the course of the Bank's business as banker.
- **No prima facie case at all:** "The complaint does not make out any case much less prima facie case, a condition precedent to set criminal law in motion." The Magistrate issued process "obviously, in a mechanical manner"; the High Court committed "grave error" in refusing to quash.
- **Process as oppression:** "Judicial process should not be an instrument of oppression or needless harassment." Impleading the Chairman and MD by name and a host of officers = "wreak[ing] personal vengeance"; criminal justice exists for "vindication of majesty of justice", not private vendetta.

PRINCIPLE EVOLVED

1. **S. 3 bars the remedy, not the right** (s. 27 the sole statutory exception) — a time-barred debt subsists, is still "due", and may be satisfied, set off, or adjusted against a **security in the creditor's possession** in terms of the contract.
2. Non-suiting a debtor within limitation is a business misfortune, not a crime: mere failure to sue before the bar **cannot convert lawful contractual appropriation into "dishonest" misappropriation** under ss. 405/409 IPC.
3. **Entrustment under s. 409 must be in the course of business as banker/merchant** — a FDR pledged by a guarantor is outside it.
4. Criminal process must not become an instrument of oppression: no process without a prima facie case; impleading senior officers without basis is harassment; quashing is the proper cure for complaint-vendettas.

CASE #28 **Collector, Land Acquisition, Anantnag v. Mst. Katiji**

AIR 1987 SC 1353 | (1987) 2 SCC 107 | Supreme Court of India | Thommen & Thakkar, JJ. (Thakkar, J.)

FACTS IN DETAIL

- The State of Jammu & Kashmir filed an appeal against a decision **enhancing compensation** for land acquired for a **public purpose** — an upward revision of nearly **800%** (from ₹1,000 per kanal to ₹8,000 per kanal), involving roughly **₹14 lakhs** and raising important questions on **principles of valuation**.
- The appeal was **four days beyond limitation**; the accompanying application for condonation of delay was **rejected**, and the appeal was **dismissed as time-barred** by the High Court.
- The State appealed to the Supreme Court **by special leave**.

The opening of the judgment (Thakkar, J.) — a classic"**To condone or not to condone, is not the only question.** Whether or not to apply the same standard in applying the 'sufficient cause' test to all the litigants regardless of their personality in the said context is another."

ISSUES

1. Should the delay of four days in filing the State's appeal be condoned under s. 5 — was there "sufficient cause"?
2. Should the same standard of the "sufficient cause" test apply to **all litigants regardless of personality** — does it matter that the applicant is the **State**?

CASE FOR THE STATE (APPELLANT)

- The delay of four days was neither deliberate nor mala fide — caused in the ordinary course of governmental file movement; the merits of a ₹14-lakh, 800%-enhancement valuation challenge deserved a hearing.
- "Sufficient cause" must receive a justice-oriented, liberal construction; refusing condonation throws out a meritorious cause at the threshold.
- Equality before law (Art. 14) demands the same treatment for the State as for any private litigant — the HC's stricter approach to a State applicant was impermissible.

CASE FOR KATIJI (RESPONDENT)

- "Every day's delay must be explained" — the State had shown no cause for each of the four days, only a general plea of official procedure.
- The decree-holder's rights had crystallised; the law of limitation binds the Government equally, and condonation would reward governmental lethargy at the cost of a poor landowner.
- A liberal approach for the State would create a separate, privileged limitation regime for the biggest litigant of all.

THE DECISION & THE SIX PRINCIPLES

Appeal allowed; the HC's order set aside; matter remitted to the High Court for disposal on merits. The Court held that the legislature conferred the s. 5 power "to enable the Courts to do substantial justice to parties by disposing of matters on merits", and that "the expression 'sufficient cause' employed by the legislature is adequately elastic to enable the Courts to apply the law in a meaningful manner which subserves the ends of justice — that being the life-purpose for the existence of the institution of Courts."

The liberal approach rests on six numbered principles:

1. **Ordinarily a litigant does not stand to benefit by lodging an appeal late.**
2. **Refusing to condone delay can result in a meritorious matter being thrown out at the very threshold** and the cause of justice being defeated.

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3. As against this, **when delay is condoned the highest that can happen is that a cause would be decided on merits** after hearing the parties.
4. "**Every day's delay must be explained**" does not mean a **pedantic approach** — "Why not every hour's delay, every second's delay? The doctrine must be applied in a rational, common-sense, pragmatic manner."
5. **When substantial justice and technical considerations are pitted against each other, substantial justice deserves to be preferred** — "the other side cannot claim to have vested right in injustice being done because of a non-deliberate delay."
6. **There is no presumption that delay is occasioned deliberately, or on account of culpable negligence, or on account of mala fides.** "A litigant does not stand to benefit by resorting to delay. In fact he runs a serious risk."

- **On the State:** "The fact that it was the 'State' which was seeking condonation and not a private party was altogether **irrelevant**. The doctrine of equality before law demands that all litigants, including the State as litigant, are accorded the same treatment and the law is administered in an even-handed manner. There is no warrant for according step-motherly treatment when the 'State' is the applicant."
- **The bureaucratic insight:** "experience shows that on account of an **impersonal machinery** (no one in charge of matter is directly hit or hurt by the judgment sought to be subjected to appeal) and the inherited **bureaucratic methodology imbued with the note-making, file-pushing and passing-on-the-buck** ethos, delay on its part is **less difficult to understand though more difficult to approve**... the State which represents the collective cause of the community does not deserve a **litigant non grata** status."
- **The credo:** "It must be grasped that **judiciary is respected not on account of its power to legalize injustice on technical grounds but because it is capable of removing injustice** and is expected to do so." — Sufficient cause existed; the HC order dismissing the appeal as time-barred was set aside and the appeal remitted for decision on merits.

PRINCIPLE EVOLVED

1. "Sufficient cause" under s. 5 is **adequately elastic** and must receive a **justice-oriented, liberal construction** — the section exists to bring matters to merits, not to bury them on calendars.
2. The "every day's delay must be explained" doctrine demands a **rational, common-sense, pragmatic** application, not pedantry.
3. **Substantial justice prevails over technicality**; no party acquires a vested right in another's non-deliberate delay.
4. **Equality of all litigants** — the State included: the same sufficient-cause standard, no step-motherly treatment; but the State's impersonal, file-driven machinery makes its delays "less difficult to understand though more difficult to approve".
5. Short delays (here: **4 days**) supported by an honest explanation should ordinarily be condoned and the appeal heard on merits.

Caveat for the exam **Bherulal (2020)** holds that Katiji's liberality belongs to "a period of time when technology had not advanced"; it is not a licence for inordinate delay. Pair the two cases in every answer on governmental delay (see Section 6).

CASE #29 State of Nagaland v. Lipok AO

(2005) 3 SCC 752 | Supreme Court of India | Arijit Pasayat, J. & S.H. Kapadia, J. | Appeal from Gauhati High Court, Kohima Bench

FACTS IN DETAIL

- **The prosecution story:** on 29-5-1999, five accused police officials formed the **escort party of a State Cabinet Minister** at Dimapur, Nagaland. Their version: a Maruti Zen crossed the Minister's cavalcade and shouted at it; the Minister's PSO saw an occupant with a firearm; later the escort vehicle spotted the car, whose occupant opened fire; the police party fired back. The car was later found with one occupant dead; of the two injured survivors, one died in hospital, the other lost an arm. An FIR under **ss. 302/307/326/34 IPC** followed.
- **Acquittal (18-12-2002):** the trial court (Additional Deputy Commissioner (Judicial), Dimapur) found the ballistic report established the bullets came from the accused's guns and that they had **exceeded their powers** ("misfeasance") — but the **absence of the post-mortem report** "vitally affected the prosecution case", self-defence (AK-47/M-22 fire) was made out, and the accused received the **benefit of doubt**.
- **The State's leave application:** the State desired to appeal the acquittal — requiring **special leave of the High Court under s. 378(3) CrPC**. The chronology of officialdom: copy of the judgment received 15-1-2003; papers put up the same day before the DIG (Headquarters); forwarded next day to DIG (M&P); **the entire file with the note-sheet went missing** and could not be traced despite best efforts; **traced on 15-3-2003** (on directions to reconstruct the file, it "suddenly appeared" in the DGP's office); put up to the ADG (Headquarters), who opined on 26-3-2003 that an appeal should be filed; a **Special Public Prosecutor was appointed**; when no appeal was filed, the Secretary (Law & Justice) chased the Additional Advocate General; the appeal was finally filed **14-5-2003** — **57 days beyond limitation**.
- **High Court:** refused condonation — "it is the duty of the litigant to file an appeal before the expiry of the limitation period"; the AAG's inaction despite instructions was not sufficient cause; missing records were not a valid ground; the department should have pursued the matter and made enquiries. The leave application fell with it. The State appealed.
- Notably, **police officials were themselves the accused**, and the Court did not miss the possibility "that the mischief [was] played by some persons interested to help the accused colleagues" — the file's disappearance was not necessarily innocent.

ISSUES

1. Whether the delay of **57 days** in filing the leave application (with the appeal) was protected by "sufficient cause" under s. 5?
2. What is the correct judicial approach to "sufficient cause" — length of delay versus sufficiency of explanation?
3. Do Government departments deserve any latitude for their impersonal machinery — and how much?

by Ankur R. Upadhyay

ARGUMENTS FOR THE STATE OF NAGALAND (APPELLANT)

- Every fact in the condonation application stood **unrebutted** — no denial of the missing file, the reconstruction efforts, the appointments and reminders; bona fide departmental action at every step.
- The approach of the HC was contrary to the settled line of authority — *Katiji*, *Chandra Mani*, *Ramegowda*: sufficiency, not length, is the test; a pragmatic, justice-oriented view must govern.
- The file's disappearance was plausibly the mischief of persons helping accused colleagues — the department should not suffer for sabotage.
- The acquittal of police officials in a double-death shooting deserved appellate scrutiny in the public interest.

CASE FOR LIPOK AO (RESPONDENT)

- It is the litigant's duty to file within limitation; instructions to the AAG were no excuse — the department should have pursued and enquired whether the appeal had actually been filed (the HC's reasoning).
- Missing records are the State's own internal failure; acceptance would make every file-misplacement a ground for extension.
- The acquittal rested on benefit of doubt and self-defence; nothing in the "sufficient cause" showing warranted disturbing it.

The respondent did not appear before the Supreme Court despite service.

THE DECISION — AND THE GALLERY OF AUTHORITIES MARSHALLED

Appeal allowed; the 57 days' delay condoned; the High Court directed to grant leave and dispose of the appeal on merits (the SC itself directed grant of leave given the long passage of time). Pasayat, J. first laid the foundations, then applied them:

- **Condition precedent:** "The proof of sufficient cause is a condition precedent for exercise of the extraordinary discretion vested in the court. **What counts is not the length of the delay but the sufficiency of the cause**, and shortness of the delay is one of the circumstances to be taken into account in using the discretion."
- **Liberal construction** — *N. Balakrishnan v. M. Krishnamurthy* (AIR 1998 SC 3222): the court "has to go in the position of the person concerned" and ask whether the delay resulted from the cause adduced.
- **No hard-and-fast rules** — *New India Assurance v. Shanti Misra* (1975): discretion under s. 5 must not be "crystallised into a rigid rule of law".
- **Reasonable diligence is the guide** — *Brij Indar Singh v. Kanshi Ram* (PC 1917).
- **Bona fides must be presumed absent proof** — *Shakuntala Devi Jain v. Kuntal Kumari* (3-Judge Bench): "unless want of bona fides... or negligence as would deprive a party of the protection of Section 5 is proved, the application must not be thrown out".
- **Counsel's mistake** — *Concord of India* (negligence of counsel misleading a litigant — condoned); *Lala Mata Din v. A. Narayanan*: no general proposition that counsel's mistake is always sufficient — the question is whether it was bona fide or a device for an ulterior purpose.
- **Question of fact** — *State of Kerala v. E.K. Kuriyipe*; reassessment under Art. 136 possible — *Milavi Devi*.
- **Grave miscarriage of justice** as a ground — *O.P. Kathpalia* (3-Judge Bench).
- **Katiji recited in full** — substantial justice, even-handed treatment, no step-motherly approach to the State, the "less difficult to understand though more difficult to approve" bureaucracy passage; *Prabha v. Ram Parkash Kalra*: no "injustice-oriented approach".
- **The State's special texture** — *G. Ramegowda* (1988): Government decisions are "proverbially slow", encumbered by procedural red tape; "a certain amount of latitude is not impermissible"; those who bear the responsibility of Government must have **"a little play at the joints"**; if Government appeals are lost for such defaults "no person is individually affected, but what in the ultimate analysis suffers is **public interest**"; yet no special standards — only a realistic view of how Government works. *Chandra Mani* (1996) and *Special Tehsildar v. K.V. Ayisumma* (1996) endorsed; strict standards can produce "public mischief by skilful management of delay".
- **Institutional prescription:** Government should constitute **legal cells** to sift appeals from settlements; the officer responsible for filing must be **personally responsible for lapses**; the State "cannot be put on the same footing as an individual" in decision-speed — the individual is "a person legally injured", the State "an impersonal machinery working through its officers or servants".
- **Result:** on these facts the delay of 57 days "deserved condonation"; leave to appeal directed to be granted, the appeal to be heard on merits (no opinion expressed on its merits).

PRINCIPLE EVOLVED

1. **Sufficiency, not length:** the inquiry under s. 5 is into the quality of the explanation; the number of days is only one circumstance weighing on discretion.
2. S. 5 is construed **liberally to advance substantial justice**; delays are generally condonable where no **gross negligence, deliberate inaction or lack of bona fides** is imputable (*Ramegowda* formulation, adopted).
3. **Government cases:** the same law, realistically applied — "a little play at the joints" for the slow wheels of the State; public interest, not individuals, suffers when State appeals default; legal cells and officer accountability are the systemic cure.
4. Unrebutted, specific, official explanations (the missing file chronology) constitute sufficient cause; appellate courts may reassess condonation refusals under Art. 136.

CASE #30 **State of Madhya Pradesh v. Bherulal**

(2020) 10 SCC 654 | Supreme Court of India | Sanjay Kishan Kaul, J. & Dinesh Maheshwari, J. | 663 days' delay — SLP dismissed with costs

FACTS IN DETAIL

- The State of Madhya Pradesh filed a **Special Leave Petition in the Supreme Court with a delay of 663 days** — almost two years beyond limitation.
- **The entire explanation** in the condonation application: the delay occurred "due to **unavailability of the documents and the process of arranging the documents**", and (in the next paragraph) — "**bureaucratic process works, it is inadvertent that delay occurs**". No dates, no movement-chart, no officer-wise responsibility — only a generic apology.
- The Bench (Sanjay Kishan Kaul, J.) found itself "constrained to pen down a detailed order" because "all our counseling to Government and Government authorities [has] fallen on deaf ears" — the Supreme Court "cannot be a place for the Governments to walk in when they choose, ignoring the period of limitation prescribed".
- The Court had earlier suggested that if the Government's machinery was "so inefficient and incapable", the remedy might be legislative — a **longer limitation period for Government authorities**; but "that is not so": "Till the Statute subsists, the appeals/ petitions have to be filed as per the Statutes prescribed."

ISSUES

1. Whether a delay of 663 days, explained only by "unavailability of documents" and generic references to bureaucratic process, constitutes "sufficient cause" under s. 5?
2. Whether the liberal Katiji-era approach to governmental delay still holds in the age of modern technology?
3. What consequences can the Court visit on State machinery that treats limitation casually and uses the Supreme Court for "certificates"?

CASE FOR THE STATE OF MP (PETITIONER)

- The delay was inadvertent — born of the bureaucratic process of collecting and arranging documents, not of deliberate inaction or mala fides.
- The matter had some merit — a meritorious case ought not to be shut out for delay alone.
- The line of authority from *Katiji* through *Lipok AO* requires a liberal, justice-oriented approach to the State's delays.

THE COURT'S ANSWER (NO APPEARANCE NEEDED TO STATE IT)

- Some leeway exists for Government inefficiencies — but the authorities "keep on relying on judicial pronouncements for a period of time when technology had not advanced and a greater leeway was given" (*Katiji* contextualised).
- Merit is no answer: "If a case is good on merits, it will succeed in any case. **It is really a bar of limitation which can even shut out good cases**."
- The application disclosed "the casual manner" of drafting — no plausible, acceptable, officer-wise explanation; *Living Media* (2012) had already warned: red-tape explanations shall not be accepted; condonation is an exception, not an anticipated benefit.

THE DECISION — THE LIVING MEDIA CHARTER APPLIED, WITH TEETH

Office of the Chief Post Master General v. Living Media India Ltd., (2012) 3 SCC 563 (quoted at length)"...the claim on account of impersonal machinery and inherited bureaucratic methodology of making several notes cannot be accepted in view of the **modern technologies being used and available**. **The law of limitation undoubtedly binds everybody including the Government.**... it is the right time to inform all the government bodies, their agencies and instrumentalities that unless they have **reasonable and acceptable explanation** for the delay and there was **bona fide effort**, there is no need to accept the usual explanation that the file was kept pending for several months/years due to considerable degree of procedural red-tape... The government departments are under a **special obligation to ensure that they perform their duties with diligence and commitment**. **Condonation of delay is an exception and should not be used as an anticipated benefit for government departments. The law shelters everyone under the same light and should not be swirled for the benefit of a few.**" — and Bherulal adds: **"Eight years hence the judgment is still unheeded!"**

- **The "preposterous proposition" rejected:** that merit alone earns condonation — limitation "can even shut out good cases"; the court's power to condone remains, but must be exercised on cause, not on merits.
- **"Certificate cases" exposed:** governments file hopelessly time-barred SLPs "to obtain a certificate of dismissal from the Supreme Court to put a **quietus** to the issue" — to complete the formality and **"save the skin of officers who may be at default"**; the Court "strongly deprecated" the practice; "in none of the cases any action is taken against the officers who sit on the files and do nothing"; counsel even addressed merits without touching limitation until the Bench pointed it out.
- **The signal:** State authorities "must pay for wastage of judicial time which has its own value" — such costs "can be recovered from the officers responsible".
- **The order:** looking to the period of delay (663 days) and the casual drafting — **costs of ₹25,000** on the petitioner State, payable within four weeks to the **Mediation and Conciliation Project Committee**, **recovered from the officers responsible** for the delay with a certificate of recovery filed; **SLP dismissed as time-barred**; non-compliance would invite **contempt proceedings against the Chief Secretary**; a copy of the order placed before the Chief Secretary, MP.

PRINCIPLE EVOLVED

1. **The law of limitation binds everybody, including the Government** — condonation under s. 5 is an **exception**, never an **anticipated benefit** for government departments.
2. Generic pleas — "unavailability of documents", "bureaucratic process", "procedural red-tape" — are **not reasonable and acceptable explanations** in the era of modern technology (*Living Media* applied).

3. **Merit does not purchase time:** limitation can shut out even good cases; the court may condone only on sufficient cause, not on the strength of the case.
4. "Certificate cases" — time-barred SLPs filed to obtain a dismissal certificate and shield defaulting officers — are an **abuse of the Supreme Court's process**; the officers, not the public exchequer silently, must bear the consequences: **costs recoverable from the officers responsible**, with compliance policed through the Chief Secretary.
5. Katiji's liberality survives only for **short, honestly explained, non-deliberate delays**; Bherulal is the modern counterweight every answer on State delay must cite.

PYQ ARCHIVE // CH.09 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 PYQ – 2019 "Admittedly there was widespread strike by non-gazetted officers of the State between 5th September to 13th October, 1980. Various offices including those of the Deputy Commissioner as well as majority of Courts were not functioning properly, because of strike. Though the strike was called off on 13th October, 1980, it took some time before the employees came back to service and normally returned. State filed an appeal on 15th October, 1980. Period of limitation had expired on 12th October, 1980. An application was filed for condonation of delay on the ground that there was a general strike and the work in the offices was disrupted. How would you decide?"

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 PYQ – 2018 "Section 3 [Limitation Act] only bars the remedy and does not destroy the right to which the remedy relates. Do you agree with the statement? Explain with case laws."

Q.3 PYQ – 2018 "The expression 'sufficient cause' employed by the legislature is adequately elastic to enable the courts to apply the law in a meaningful manner which subserves the ends of justice. Explain the relevant section with case laws."

Q.4 PYQ – 2017 "A State Government files a criminal appeal in the High Court against the acquittal of the accused person along with the application for condonation of delay of 90 days in filing the appeal. Decide whether the said delay can be condoned under section 5 of the Limitation Act on the basis of the decided cases."

Q.5 PYQ – 2017 (short notes) "Limitation bars the remedy but does not destroy the right." · Q. 6(c)/2017 — "Statutes of limitation are statutes of repose, peace and justice."

MODULE 10 // PART B · TOPIC 2 Cases #31–#34

Computation of Limitation: Exclusion, Fraud/Mistake, Acknowledgment, Payment & Added Parties

Sections 12, 17, 18, 19, 20 & 21, The Limitation Act, 1963

Section 12 — Exclusion of Time in Legal Proceedings SUB-TOPIC (a) OF THE SYLLABUS

The first day, the judgment day, and the time requisite for copies — the appellate litigant's arithmetic

Section 12, Limitation Act, 1963 — Exclusion of time in legal proceedings

(1) In computing the period of limitation for any suit, appeal or application, **the day from which such period is to be reckoned shall be excluded**.
(2) In computing the period of limitation for an **appeal** or an **application for leave to appeal** or for **revision** or for **review of judgment**, **the day on which the judgment complained of was pronounced** and the **time requisite for obtaining a copy** of the decree, sentence or order appealed from or sought to be revised or reviewed shall be excluded.
(3) Where a decree or order is appealed from or sought to be revised or reviewed, or where an application is made for leave to appeal from a decree or order, the time requisite for obtaining a copy of the **judgment** shall also be excluded. [Words "on which the decree or order is founded" omitted by Act 46 of 1999, w.e.f. 1-7-2002.]
(4) In computing the period of limitation for an application **to set aside an award**, the time requisite for obtaining a copy of the award shall be excluded.
Explanation. In computing under this section the time requisite for obtaining a copy of a decree or an order, **any time taken by the court to prepare the decree or order before an application for a copy thereof is made shall not be excluded**.

2.1 What Each Sub-section Does

- **s.12(1) — the dies a quo rule:** the starting day itself is never counted (the period runs from the *next* day). Applies to **every** suit, appeal and application.
- **s.12(2) — the appellate double exclusion:** for appeals, leave-to-appeal, revision and review — (i) the day the judgment was pronounced, and (ii) the **time requisite for obtaining a copy** of the decree/sentence/order, are excluded. The 1963 Act adds revision to the 1908 list (Madan Lal Das).
- **s.12(3) — copies of the judgment:** even where the decree/order copy is what is formally appealed from, the time for the **judgment copy** is also excluded.
- **s.12(4) — arbitration:** for applications to set aside an award (now under ss. 33-34, Arbitration Act, 1996 as applied), time for the **award copy** is excluded.
- **The Explanation — the applicant's trap:** the court's own delay in **preparing** the decree/order *before* a copy application is made is **not** excluded — apply for the copy promptly; only the time *after* the application is protected.

2.2 Scope & Working Rules

- **True effect:** "the periods referred to in the various sub-sections have to be **added to the period of limitation** for ascertaining the last date for filing the appeal" — exclusion works by extension backwards.
- **Plain reading of s.12:** only for computing limitation for (1) an appeal; (2) an application for leave to appeal; (3) revision; (4) review — the day of judgment and the time for the decree copy are excluded.
- **Conduct matters:** in determining "time requisite", the **conduct of the appellant** must be considered; no period is requisite which need not have elapsed had the appellant taken reasonable steps for the copy — but see *Maharaj Narain*: this does not import an obligation of promptitude.
- **Holidays & vacations:** where judgment is pronounced just before holidays during which the appellant cannot apply for a copy, such holidays should be excluded; where judgment is delivered on the last working day before a vacation in which limitation would expire, the application for copies should be made on the re-opening day and the **vacation counts as time requisite** and is excluded; time during which the decree is **not drawn up** is excluded even though the copy application was made before drawing up (*Commissioner of Sales Tax v. Madan Lal Das*).
- **Special laws:** s.12(2) applies to revision under the U.P. Sales Tax Act via **s.29(2)**, nothing therein expressly excluding it — *Madan Lal Das*.

2.3 "Time Requisite" — the Two Competing Readings (the exam's favourite duel)

The strict view (Lahore: Mathela v. Sher Mohammad, AIR 1935 Lah 682; accepted by the Allahabad HC in Maharaj Narain)

- "Requisite" is a strong word — **"properly required"** (J.N. Surty, PC): it throws on the appellant the burden of showing that no part of the delay beyond the prescribed period is due to his fault.
- Time requisite = the **shortest time** in which a copy could have been obtained by an appellant acting with reasonable promptitude and diligence — not the time he actually took.
- Delay caused by the appellant's **laches** is not deductible (*Pramatha Nath Roy v. Lee*, 49 IA 307).

The liberal view (FB Madras: Panjam v. Trimala Reddy, ILR 57 Mad 560 — adopted by the Supreme Court)

- Time requisite = **the time beyond the party's control actually occupied in obtaining the copy which is filed** with the memorandum — "not an ideal lesser period which might have been occupied if the application for the copy had been filed on some other date".
- S.12(2) **imposes no obligation to be prompt**: the appellant may apply for the copy on the last day of the period and still deduct the time it takes (Hedge, J. in *Maharaj Narain*).
- A minimum-time enquiry in every appeal would be "unworkable" — courts cannot go hunting for other copies the litigant may have obtained for other purposes.

The settled law **Maharaj Narain** (AIR 1968 SC 960) adopts the liberal reading for *appeals*; **Madan Lal Das** (AIR 1977 SC 523) extends s.12(2) to *revisions* under special laws and holds the exclusion available **even where the copy is not required to be filed** with the application (following *J.N. Surty*, PC), and even where an earlier copy was **lost** and a fresh one had to be obtained. Together they make s.12(2) exclusion near-automatic once a copy was genuinely applied for and obtained for the proceeding.

Sections 17 to 21 — Fraud & Mistake, Acknowledgment, Payment, Added Parties SUB-TOPIC (b) OF THE SYLLABUS

Four engines that move the clock: postpone, restart, restart, re-date

Section 17 — Effect of fraud or mistake

17(1) Where in any suit/application for which a period of limitation is prescribed — (a) it is based upon the **fraud** of the defendant/respondent or his agent; or (b) the **knowledge of the right or title** is concealed by such fraud; or (c) it is for **relief from the consequences of a mistake**; or (d) a **document necessary to establish the right has been fraudulently concealed** — the period **does not begin to run until the plaintiff/applicant has discovered the fraud or mistake, or could with reasonable diligence have discovered it**; for concealed documents, until he first had the means of producing it or compelling its production.
Proviso: bonafide purchasers for value without notice of the fraud/mistake/concealment are protected.
17(2) Where the judgment-debtor by **fraud or force** prevents execution of a decree within limitation, the court may, on the creditor's application made **within one year** of discovery of the fraud or cessation of force, **extend the period for execution**.

3.1 Section 17 — Elements

- **Object:** to keep the right to sue **suspended** so long as the person is, without his own fault, ignorant of the fraud — "the right of a party defrauded cannot be affected by lapse of time... so long as he remains, without any fault of his own, in ignorance of the fraud".
- **Applies to suits and applications — not appeals**; it is an enabling, postponing section (fixes the *starting point*, does not exclude elapsed time).
- **Three essentials to invoke:** (i) fraud/mistake/concealment exists; (ii) it kept the plaintiff from knowledge of his right; (iii) the extension operates only against the person guilty of (or accessory to) the fraud — not against a bona fide purchaser for value.
- **Fraud (s.17 read with s.17, Contract Act):** promise without intention to perform; act declared fraudulent by law; suggestion of falsehood; act fitted to deceive; active concealment.
- **Mistake of law:** in refund-of-tax suits, the mistake "becomes known" when a competent court declares the levy void — *Kanhaiya Lal*; *Mahabir Kishore* — "it is seldom that a person can, even with reasonable diligence, discover a mistake of law before a judgment adjudging the validity of the law."

3.2 Section 18 — Acknowledgment in Writing

18(1) Where, **before the expiration of the prescribed period** for a suit/application in respect of any property or right, an **acknowledgment of liability** in respect of such property or right has been made **in writing signed** by the party against whom the right is claimed, or by a person through whom he derives title or liability, **a fresh period of limitation is computed from the time the acknowledgment was signed**.
18(2) Undated writing: oral evidence of the time of signing is allowed; but **oral evidence of contents** is not (subject to the Evidence Act).
Expl. (a) sufficient though it omits the exact nature of the property/right, avers time has not come, is coupled with refusal to pay or with a claim to set-off, or is addressed to a stranger; (b) "signed" = personally or by duly authorised agent; (c) execution applications are not applications "in respect of any property or right".

- **Six conditions:** (1) made **before expiry** of the prescribed period — a barred debt cannot be revived (*Sampuran Singh*); (2) by the party liable or one through whom he derives title/liability; (3) **in writing**; (4) **signed**; (5) an admission of **liability** — no promise needed, refusal to pay is no obstacle, but a denial of liability is fatal; (6) may be made **to anyone**, not only the creditor.
- Express or implied (*Bhagwan v. Madhav*, 46 Bom 1000); must **distinctly relate to the liability claimed** (*Gopal Rao v. Harilal*, 9 Bom LR 715).
- **Conscious liability:** the person acknowledging must be conscious of his liability; if the facts constituting liability are admitted, acknowledgment may be inferred (*State of Kerala v. T.M. Chacko*, (2000) 9 SCC 722).

3.3 Section 19 — Payment on Account of Debt / Interest on Legacy

Where **payment on account of a debt or of interest on a legacy** is made **before the expiration of the prescribed period** by the person liable or his duly authorised agent, **a fresh period of limitation is computed from the time the payment was made**: *Provided* that an **acknowledgment of the payment appears in the handwriting of, or in a writing signed by**, the person making the payment.
Expl. (a) receipt of **rent or produce of mortgaged land in mortgagee's possession is deemed payment**; (b) "debt" does not include money payable under a decree or order of court.

- Two ingredients: (i) the **payment**, and (ii) a **writing recording it** in the payer's hand or signed by him.
- **s.18 vs s.19:** not mutually exclusive — a defective s.19 payment can still save limitation as an s.18 acknowledgment if its conditions are met; s.18 covers **any property or right**, s.19 only debts and legacies; s.18 binds only the acknowledgor, s.19 payment operates against **all persons liable** for the debt; s.18 writing need not be addressed to the creditor, s.19 payment must be made to the person entitled; s.18 needs only an admission of liability, s.19 needs payment + record (*Parasuraman v. Purushottaman* & Co., AIR 1977 Ker 132).

3.4 Sections 20 & 21 — Agency for 18/19; Added Parties

Section 20 — acknowledgment or payment by another person

(1) For persons under disability, "agent duly authorised" includes guardian/committee/manager or their agent. (2) One of several joint contractors/partners/executors/mortgagees is not chargeable by reason only of another's acknowledgment/payment. (3) A Hindu limited owner's acknowledgment binds the **reversioner**; the manager's acknowledgment binds the whole **Hindu undivided family**.

Section 21 — substituting or adding new plaintiff or defendant

21(1) Where after institution of a suit a new plaintiff or defendant is substituted or added, the suit shall, as regards him, be **deemed to have been instituted when he was so made a party**: *Provided* the court, satisfied that the omission was due to a **mistake made in good faith**, may direct that the suit as regards him be deemed instituted on an **earlier date**.
21(2) Does not apply where a party is added/substituted owing to **assignment or devolution of interest** during the suit, or where a plaintiff is made a defendant (or vice versa).

- **Object of s.21:** to let courts get over technical/procedural bottlenecks and implead necessary parties even after limitation, in the cause of real justice.
- **Good-faith proviso:** the non-impleading must be a **bona fide mistake**, proved to the court's satisfaction — the court's satisfaction "breathes life in the suit" (*Karuppaswamy v. C. Ramamurthy*, AIR 1993 SC 2324; *Ram Prasad Dagaduram v. Vijay Kumar*, AIR 1967 SC 1178). The proviso is of a piece with s.14 (bona fide wrong forum) and s.17 (fraud/mistake).
- **s.21(2) logic:** an assignee/legal representative steps into the shoes of the original party — no new limitation question arises; purchaser pendente lite comes on record within the decree's limitation, not from the purchase (*K.S. Lokaiah v. M.B. Shivaraya*, AIR 2007 NOC 430 (Kant)).
- s.21 governs **addition** of parties only, not transposition; and not execution proceedings.

Prescribed Landmark Case Laws — Detailed Analysis

CASES #31-#34

CASE #31 The Commissioner of Sales Tax, U.P. v. M/s. Madan Lal Das & Sons, Bareilly

AIR 1977 SC 523 | Supreme Court of India | H.R. Khanna, J. (for the Bench) | Appeal by special leave from the Allahabad High Court

FACTS IN DETAIL

- **Assessment year 1960–61.** The dealer-respondent (Madan Lal Das & Sons, Bareilly) appealed against a Sales Tax Officer's order; the Additional Commissioner (Judicial) Sales Tax disposed of the appeal.
- **22–8–1965:** the copy of the appellate order was **served on the dealer** under the Act. He then **lost that copy**.
- **15–6–1966:** he applied for **another copy** of the order. The copy was ready **17–8–1967** and delivered **18–8–1967**.
- **9–9–1967:** he filed a **revision under s.10 of the U.P. Sales Tax Act, 1940** before the Judge (Revision), Sales Tax.
- **The limitation rule:** s.10(3–B) prescribed **one year from service** of the order, with power in the revising authority to entertain within a **further six months on proof of sufficient cause**.
- **The objection:** the revenue contended the revision was out of time; the dealer claimed exclusion under **s.12(2), Limitation Act, 1963** of the time spent obtaining the fresh copy.
- The Judge (Revision) and the Allahabad High Court (on a referred question under s.11(3) of the Act) accepted the dealer's contention; the Commissioner appealed to the Supreme Court.

ISSUES

1. Does **s.12(2) of the Limitation Act, 1963** apply to computing limitation for a **revision application under a special law** (the U.P. Sales Tax Act) — or does the special law form a "complete code" excluding it?
2. Is the time for obtaining a copy excluded where the **copy was not required to be filed** along with the revision application?
3. Where a copy had been **served and lost**, is the time spent obtaining a **fresh copy** nonetheless "requisite"?

ARGUMENTS FOR THE COMMISSIONER (APPELLANT)

- The U.P. Sales Tax Act is a **complete code** prescribing its own limitation for revisions; the Limitation Act's s.12(2) has no room.
- The rules did not **require** a copy of the order to be filed with the revision petition — so no time for obtaining it could be "requisite".
- A copy had already been **served** on the dealer under the Act; the loss was his own — the fresh copy was a luxury, not a requisite.

ARGUMENTS FOR MADAN LAL DAS (RESPONDENT)

- **s.29(2), Limitation Act**: ss.4–24 apply to special-law periods "in so far as... not expressly excluded" — nothing in the Sales Tax Act expressly excluded s.12(2).
- Without the copy, the dealer and his adviser **could not decide** whether to revise and on what grounds — the time was genuinely requisite.
- The 1963 Act's s.12(2) covers **revision** expressly (the 1908 Act's did not) — the legislative design supports exclusion.

THE DECISION — H.R. KHANNA, J.

- **Special law, but s.12(2) applies:** the U.P. Sales Tax Act is a special law; by **s.29(2)** the provisions of s.12(2) apply to its limitation "in so far as and to the extent to which they are not expressly excluded" — and there was **no express exclusion**. Hence "the provisions of sub-section (2) of Section 12 can be invoked for computing the period of limitation prescribed for filing a revision petition under Section 10".
- **Copy need not be filed — still excluded:** nothing in s.12(2) limits the exclusion to cases where the copy must accompany the application; it would be "impermissible to read in" such a proviso the legislature never enacted. "It is also plain that without procuring copy of the order... the respondent and his legal adviser would not have been in a position to decide as to whether [the] revision petition should be filed... and if so, what grounds should be taken."
- **The authority — *J.N. Surty v. T.S. Chetiyar* (AIR 1928 PC 103):** the Privy Council held s.12(2) (of the 1908 Act) applies **even where the rules did not require the copy to be filed** with the memorandum of appeal: the section "makes no reference to the Code of Civil Procedure or to any other Act. It does not say why the time is to be excluded, but simply enacts it as a **positive direction**." The decree "may be complicated... the practitioner may well want to see its form before attacking it"; the Legislature "may not wish him to hurry to make a decision till he has well considered it."
- **The precedent-line:** FB Lahore (*Punjab Co-operative Bank v. Official Liquidators*, AIR 1941 Lah 257 — Companies Act appeals); FB Patna (*Mt. Lalitkumari v. Mahaprasad N. Singh*, AIR 1947 Pat 329 — Letters Patent appeals); SC (*Additional Collector of Customs v. Best & Co.*, AIR 1966 SC 1713).
- **On the lost copy — *Maharaj Narain* applied a fortiori:** there, three copies obtained on different dates, and the SC excluded the time for the copy **filed with the memorandum** (which took the maximum time), refusing a minimum-time enquiry. "**If that be the position of law in a case where there was no allegation of the loss of any copy, a fortiori**... where the copy served upon a party is **lost** and there is no alternative except to apply for a fresh copy... the time spent in obtaining that copy would necessarily have to be excluded under Section 12(2)."
- **Result:** the High Court correctly answered the referred question for the dealer — time for the fresh copy excluded; revision within time.

> **Timeline of the lost copy**
> A.Y. 1960-61
> Sales tax assessment; dealer's appeal disposed of by the Additional Commissioner (Judicial).

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22-8-1965
Copy served on the dealer under the Act — limitation (1 year + 6 months) begins from service (s.10(3-B)).
1965-66
Dealer **loses the served copy**.
15-6-1966
Application for a fresh copy — the protected period starts.
17/18-8-1967
Copy **ready and delivered** — excluded time ends.
9-9-1967
Revision filed — within time once the copy-period is excluded (s.12(2) via s.29(2)).
1977
SC affirms — special laws take the Limitation Act's computation machinery unless they expressly exclude it.

PRINCIPLE EVOLVED

1. **s.29(2) gateway:** a special law's limitation period is computed with the full ss.4-24 machinery (including s.12(2)) **unless expressly excluded** — "complete code" arguments fail in the absence of express exclusion.
2. **Exclusion does not depend on filing requirements:** the time for obtaining a copy is excluded even if the copy need not accompany the application — s.12(2) is "a positive direction" (*J.N. Surty*).
3. **Lost copies:** where the served copy is lost, the time for obtaining a fresh copy is necessarily requisite and excluded (*a fortiori* from *Maharaj Narain*).
4. The 1963 Act extends s.12(2) to **revisions** expressly — a deliberate widening of the 1908 position.

CASE #32 **State of Uttar Pradesh v. Maharaj Narain**
AIR 1968 SC 960 | Supreme Court of India | Hedge, J. | Appeal by certificate from the Allahabad High Court | s.12(2), Indian Limitation Act, 1908 (Item 157)

FACTS IN DETAIL

- The respondents were tried for various offences before the **Assistant Sessions Judge, Farrukhabad**, who **acquitted them on 10-11-1962**.
- The State appealed to the Allahabad High Court. **Item 157, First Schedule (Act 1908)**: an appeal under CrPC 1898 from an order of acquittal lies within **three months from the date of the order**; **s.12(2)** excluded the day of judgment and the time requisite for a copy.
- **The memorandum of appeal was filed on 29-3-1963.** The copy of the order **filed with the memorandum** showed: **applied for 15-11-1962, ready 3-1-1963** — on that footing the appeal was **within time**.
- **But the State had obtained two more copies:** one applied for on **3-12-1962**, ready **20-12-1962**; yet another applied for on **21-12-1962**, ready **the same day**. Computing the three months from the earliest available copy (20/21-12-1962), the appeal (29-3-1963) was **out of time**.
- **Allahabad High Court:** "requisite" means **"properly required"** — limitation must be computed on the basis of the copies made available in December 1962; appeal **dismissed as time-barred**. The State appealed by certificate — purely to settle the question of law.

ISSUE

The sole question (Hedge, J.)"The only question that arises for decision is as to the **true scope of the expression 'time requisite for obtaining a copy of the decree, sentence or order appealed from'**" in s.12(2) — do other, earlier copies obtained by the appellant for other purposes curtail the exclusion?"

ARGUMENTS FOR THE STATE (APPELLANT)

- The copy **filed with the memorandum** governs: its timeline showed the appeal within time.
- S.12(2) imposes **no obligation of promptitude** — the appellant could have waited till the period was nearly exhausted and still deducted the copy time (a position not disputed by the other side).
- Copies obtained **for other purposes** are irrelevant — the court has "nothing to do" with them.

ARGUMENTS FOR THE RESPONDENTS

- "Requisite" = "properly required" (*J.N. Surty*, PC) — once copies were available in December 1962, no further time was **properly required**; the delay after 20-12-1962 was the State's own laches.
- The Lahore rule (*Mathela*): time requisite is the **shortest time** in which a diligent appellant could have got a copy — not the time actually taken for the copy he chose to file.
- Limitation should not be enlarged by the litigant's choice of the slower copy.

THE DECISION — HEDGE, J.

- **No promptitude obligation:** it was "not disputed that it was not necessary for the appellant to apply for a copy... immediately after the order was pronounced. The appellant could have, if it chose to take the risk, waited till the ninety days period allowed to it by the statute was almost exhausted" — and still deducted the copy time. Hence **"time requisite" cannot mean the time absolutely necessary**, nor the **minimum** time in which a copy could have been obtained.

- **The plain rule:** s.12(2) "permits the appellant to deduct from the time taken for filing the appeal, **the time required for obtaining the copy of the order appealed from** and not any lesser period which might have been occupied if the application for the copy had been filed at some other date... There is no justification for restricting the scope of that provision."
- **The workability test:** if appellate courts had to find the minimum time in every case, they would have to enquire into "other copies which he might have got and **used for other purposes with which the court has nothing to do**" — "a great deal of confusion" would follow; the rule would be "unworkable".
- **Mathela v. Sher Mohammad disapproved:** the Lahore reading — reasonable promptitude + shortest time — "does not lay down the law correctly"; no such requirements can be "spelt out" from s.12(2)'s language.
- **The PC cases confined to their facts:** *Pramatha Nath Roy v. Lee* (49 IA 307) — the appellant there was **guilty of laches**; time lost by laches is not deductible — the case "does not bear on the question". *J.N. Surty* (55 IA 161) — "requisite is a strong word... 'properly required'... throws upon the pleader... the necessity of showing that no part of the delay... is due to his fault" — means only that **delay due to the pleader's default cannot be deducted**; "there can be no question of any default if the steps taken by the appellant are in accordance with law".
- **The anchor — FB Madras,** *Panjam v. Trimala Reddy* (ILR 57 Mad. 560): "the words 'time requisite for obtaining a copy of the decree' mean **the time beyond the party's control occupied in obtaining the copy which is filed with the memorandum of appeal** and not an ideal lesser period which might have been occupied if the application for the copy had been filed on some other date" — followed in Travancore-Cochin (*Kunju Kesavan*, AIR 1953 TC 552), Allahabad (*B. Govind Raj Sewak Singh*, AIR 1950 All 486) and MP (*K.U. Singh*, AIR 1960 MP 140).
- **Result:** the High Court's decision "does not lay down the law correctly" — but the State did not press the appeal on merits (it had come only to settle the law); **appeal dismissed**, the rule of law vindicated.

PRINCIPLE EVOLVED

1. **"Time requisite" = the time actually taken**, beyond the party's control, to obtain **the copy filed with the memorandum of appeal** — not the minimum or ideal time (*Panjam* FB, affirmed).
2. **No obligation of promptitude** in applying for a copy: a litigant may apply on the last day of limitation and still exclude the copy time.
3. Copies obtained **for other purposes** cannot curtail the exclusion; a minimum-time enquiry in every appeal would be unworkable.
4. What the strict line still polices: **laches** and the **pleader's own default** — delay genuinely attributable to the appellant's fault is not deductible.
5. Read with *Madan Lal Das*: the exclusion extends to revisions under special laws, and to fresh copies after loss — s.12(2) is a beneficent, generously construed provision.

CASE #33 **Mahabir Kishore v. State of Madhya Pradesh**

AIR 1990 SC 313 | Supreme Court of India | K.N. Saikia, J. | Plaintiffs' appeal by special leave from the M.P. High Court

FACTS IN DETAIL

- The appellant firm (**Rai Saheb Nandkishore Rai Saheb Jugalkishore**) was allotted contracts for **manufacture and sale of liquor** — calendar year 1959 (for ₹2,56,200) and 1-1-1960 to 31-3-1961 (for ₹4,71,900) — by the Government of M.P., which also charged **7½% over the auction money as "mahua and fuel cess"**.
- Writ petitions challenging the charge were pending; the government announced it would continue collecting pending its decision, which would bind the contractors. The firm paid a total extra **₹54,606**.
- **24-4-1959 (reported 1960 MPLJ 39):** M.P. High Court in *Surajdin v. State of M.P.* declared the 7½% collection **illegal** — yet the government continued to charge it.
- **31-8-1961 (reported 1962 MPLJ 130):** the High Court again held the charge illegal (*N.K. Doongaji v. Collector, Surguja*). The appellants say they learnt of this **only in or about September 1962**.
- **17-10-1961:** the government **internally** decided not to charge the extra 7½% any more — **letter Ex. D-23, never communicated** to the appellants or any contractor.
- **17-10-1964:** s.80 CPC notice for refund of ₹54,606; **24-12-1964:** Civil Suit No. 1-B of 1964 filed before the Additional District Judge, Jabalpur.
- **Trial court:** Arts. 62 & 96 of the 1908 Act applied — limitation ran from the **dates of payment** — suit barred. **High Court:** Art. 113 read with **s.17** of the 1963 Act (not Art. 24) — limitation ran from **17-10-1961** (the uncommunicated letter); with the two months of s.80 CPC, the suit expired 17-12-1964 — **seven days late**; "unfortunate" but barred. Leave to appeal refused; the firm came to the SC by special leave.

ISSUES

1. What is the correct **starting point of limitation** for a suit for refund of money paid under a **mistake of law** — the date of payment, the date of the government's internal decision, or the plaintiff's **knowledge** of the mistake?
2. Does s.17(1)(c) require **actual discovery**, or does "could with reasonable diligence have discovered" start the clock from an uncommunicated internal order?
3. Which Article governs (Art. 113 / Art. 24 / Arts. 62-96 of the old Act), and how does s.72, Contract Act interact with the Limitation Act?

ARGUMENTS FOR MAHABIR KISHORE (APPELLANTS)

- The letter of 17–10–1961 was **purely internal, never communicated** — the appellants had no opportunity to know of it; limitation cannot start from a fact locked in a government drawer.
- Under **s.17(1)(c)**, in mistake-of-law cases knowledge ordinarily comes only with a **judgment declaring the law void**; at the least, "a week" must be allowed for knowledge to percolate — making the suit timely.
- Their statement that they knew only in **September 1962** (after *Doongaji*) was never disproved; on that footing too, the suit (December 1964) was within three years.
- The payments were made under a mistake common to both parties — the State was **unjustly enriched**; restitution under s.72, Contract Act should not be defeated by a technical starting point.

ARGUMENTS FOR THE STATE OF M.P. (RESPONDENT)

- 17–10–1961 was the date the government **finally decided** to stop the extra charge — the right to refund then crystallised; the HC rightly ran limitation from that date.
- Even if not communicated, the contractors **with reasonable diligence** could have known of the decision on that very date.
- On either Art. 24 or Art. 113, the suit of 24–12–1964 was barred (by seven days on the HC's reckoning).
- The payments were made voluntarily, pending a declared government policy — no "mistake" should reset the clock.

THE DECISION — K.N. SAIKIA, J.

- **Characterising the suit:** the levy was charged "believing that it had power, but the High Court in two cases held that the power was not there. The money realised was **under a mistake and without authority of law**. The appellants also while paying suffered from the same mistake... the suit was for **refund of money paid under mistake of law**." Restitution tracks the three elements of **unjust enrichment** — enrichment, at the plaintiff's expense, unjust retention.
- **s.72 Contract Act includes mistake of law** — *STO v. Kanhaiya Lal* (AIR 1959 SC 135): money paid under mistake of law is recoverable, subject to estoppel, waiver, limitation; and on limitation, **s.17(1)(c)** applies — three years from **knowledge** of the mistake ("within 3 years of the knowledge of the mistake").
- **The settled rule (para 28):** "in a suit for refund of money paid under mistake of law, Section 72 of the Contract Act is applicable and the period of limitation is **three years under Article 113**... and the provisions of **Section 17(1)(c)**... will be applicable so that the period will begin to run from the **date of knowledge** of the particular law... being declared void; and this could be the date of the judgment of competent court declaring that law void."
- **The authorities run one way:** *D. Cawasji & Co.* (AIR 1975 SC 813 — start from the judgment declaring the law void); *Shri Vallabh Glass Works* (AIR 1984 SC 971 — s.72 + s.17(1)(c) + Art. 113); *CST v. Auraiya Chamber* ((1986) 3 SCC 50 — mistake of law within s.72; no estoppel where the mistake is common to both); *Salonah Tea* ((1988) 1 SCC 401 — "no State has the right to receive or to retain taxes... without the authority of law"; limitation from knowledge, i.e., the *Loong Soong* judgment). And *Madras Port Trust v. Hymanshu International* ((1979) 4 SCC 176, Bhagwati J.): public authorities should not fling technical limitation pleas at just claims.
- **Why the HC's start-date failed:** the 17–10–1961 letter "was purely an **internal communication**... never communicated to the appellants or other liquor contractors. **There could, therefore, be no question of the limitation starting from that date.** Even with reasonable diligence, as envisaged in Section 17(1)(c), the appellants would have taken at least a week to know about it" — and State counsel conceded there was nothing to show they knew of it on that date or within a reasonable time thereafter.
- **Two saving computations:** (i) knowledge a week after 17–10–1961, or (ii) knowledge in **September 1962** (after *Doongaji* — the appellants' undisputed statement) — **on either, the suit was within three years under Art. 113**.
- **Result:** High Court set aside; **appeal allowed; suit remanded** for decision on merits, expeditiously; costs to the appellants.

PRINCIPLE EVOLVED

1. **Mistake of law postpones limitation under s.17(1)(c):** the clock for a refund suit runs from the plaintiff's **knowledge** of the mistake — usually the date of the judgment declaring the levy void — not from the payment, nor from an uncommunicated internal order.
2. "Could with reasonable diligence have discovered" gives a small, realistic allowance (here, at least a week) — not an assumption of omniscience.
3. **Unjust enrichment + s.72, Contract Act** is the restitution engine for taxes collected without authority of law; the Limitation Act accommodates it through Art. 113 + s.17(1)(c).
4. An **undisputed assertion of knowledge** (September 1962) supplies the start-date; the burden lay on the State to disprove it.
5. Courts frown on public authorities raising limitation technicalities against just refund claims (Hymanshu; Salonah Tea).

CASE #34 Sampuran Singh v. Smt. Niranjan Kaur

AIR 1999 SC 1047 | Supreme Court of India | A.P. Misra, J. | Appeal from the Punjab & Haryana High Court | Oral mortgage of 1893 — suit of 1980

FACTS IN DETAIL

- **21–3–1893:** Rekha and others mortgaged **37 kanals 15 marlas** of land in Village Sambhli, Tehsil & District Karnal (Khewat 260, Khatauni 448) **orally, for ₹53**, to Bakhatwara, Raju and Matu — possession delivered; mutation sanctioned. (A mortgage of under ₹100 was then valid in Punjab either by registered instrument **or by delivery of possession** — the Transfer of Property Act reached Punjab only on 1–11–1956, and Haryana on 5–8–1967.)

- **1959:** the appellants (purchasers from the original mortgagors) bought the equity in the land by three registered sale deeds; the mortgagors remained in possession through tenants till 1960–61.
- **11-1-1960:** the mortgagee Matu and Smt. Dasondha **sold their mortgagee rights by registered deed to the respondents**, who thereby **acknowledged the existence of the mortgage** in the deed.
- **1980:** the appellants sued for **possession by redemption on payment of ₹53**. The respondents pleaded the suit was **hopelessly time-barred** — they were owners, the mortgagee rights having been transferred to them outright; only limitation was pressed at every stage.
- **Trial court:** decreed redemption — reliance on *Inder Singh v. Kishno* ((1966) 68 Punj LR 408): for an unregistered/oral mortgage, limitation begins only after **12 years** from the mortgage (when the mortgagee's possession matures into a valid mortgage); 1893 + 12 = 1905; + 60 years = 1965; the **acknowledgment of 11-1-1960 was within that period** → fresh limitation from 1960 → the 1980 suit in time.
- **First appellate court:** reversed — **oral mortgages were valid in Punjab** at the relevant time; principal < ₹100; mortgage with possession complete **on the day of execution (March 1893)** → 60 years expired **in 1953** → suit barred.
- **Punjab & Haryana High Court (second appeal):** relied on its Full Bench decision *Shri Chand v. Nathi* ((1983) 85 Punj LR 288), which had **overruled** *Inder Singh* — appeal dismissed. The mortgagors appealed to the Supreme Court.

ISSUES

1. When did the limitation for a redemption suit on the **1893 oral mortgage** begin — at execution, or 12 years later (when possession might have "perfected" an invalid mortgage)?
2. Could the **acknowledgment of the mortgage contained in the 1960 registered sale deed** give a **fresh period of limitation** under **s.18** — even though the original 60-year period had already expired in 1953?
3. Does the "right to redeem" accrue only on tender of the mortgage money (or the mortgagee's communication of satisfaction by usufruct), as Art. 61(a)'s "when the right to redeem accrues" might suggest?

ARGUMENTS FOR SAMPURAN SINGH (MORTGAGOR-APPELLANTS)

- **s.18 revival:** the respondents, in the registered deed of 11-1-1960, **acknowledged the mortgage**; a fresh period should run from that date, making the 1980 suit timely.
- *Inder Singh* line: for an unregistered mortgage, possession perfects a valid mortgage only after 12 years — limitation (60 years) could not start before 1905; the acknowledgment of 1960 fell within the live period.
- **Approbate-reprobate** (*C. Beepathuma*, AIR 1965 SC 241): the respondents took the benefit of the mortgage under the deed — they cannot deny the mortgagors' corresponding right to redeem.
- The **Redemption of Mortgages (Punjab) Act, 1913** first gave a redemption procedure — limitation for redemption could not run before 1913.
- Under Art. 61(a), the right to redeem accrues only when the mortgagor **tenders** the amount or the mortgagee **communicates satisfaction** — neither had happened, so time never began.

ARGUMENTS FOR NIRANJAN KAUR (RESPONDENTS)

- The oral mortgage of 1893 was **valid when made** (Punjab law; < ₹100; possession delivered) — the right to redeem accrued **from day one**, and 60 years expired in **1953**.
- **s.18's opening words** require the acknowledgment to be made "**before the expiration of the prescribed period**" — an acknowledgment of 1960 cannot revive a period dead since 1953.
- The Full Bench in *Shri Chand v. Nathi* had already overruled *Inder Singh*, which had misapplied *Purusottam Das v. S.M. Desouza* (AIR 1950 Ori 213 — a case of an **invalid** unregistered mortgage where the TPA applied).
- The respondents purchased the mortgagee rights **outright** — they claim as owners, not as mortgagees bound to account.

THE DECISION — A.P. MISRA, J.

- **Validity of the oral mortgage — *Shri Chand* FB affirmed:** "there was no bar to give effect to an oral mortgage in a case where a mortgagor gave possession of the land to a mortgagee"; TPA s.59 had not reached Punjab/Haryana then; registration was "wholly irrelevant with regard to the issue of its validity". *Inder Singh* was rightly overruled: it misapplied *Purusottam Das* (where the TPA **did** apply and the mortgage was invalid). "We find no error committed in coming to the said decision by the Full Bench."
- **The s.18 kill-shot:** "Section 18 sub-section (1) itself starts with the words: '**Where, before the expiration of the prescribed period** for a suit or application in respect of any property or right, an acknowledgment of liability... has been made...'. Thus, the acknowledgment, if any, has to be **prior to the expiration of the prescribed period**... if the limitation has already expired, **it would not revive** under this section." With 60 years from March 1893 expiring in **1953**, the 1960 acknowledgment came too late.
- **Approbate-reprobate rejected:** *C. Beepathuma* concerns a person accepting benefit under an instrument while renouncing its obligations — here "there is neither any deed nor document of mortgage"; the only obligation of an oral mortgagee is to return possession when the mortgage money is paid, and the mortgagor never tendered it. The doctrine of election is irrelevant.
- **The 1913 Act argument rejected:** the Redemption of Mortgages (Punjab) Act, 1913 was enacted to give the Deputy Commissioner powers of restoration (mirroring s.7(5) of the Punjab Alienation of Land Act) and a summary procedure — it "has no correlation with the period of limitation"; and even from 1913, sixty years expired in **1973** — the 1980 suit was still late.
- **Art. 61(a) argument rejected — right to redeem accrues at once:** "Right accruing means, right either existing or coming into play thereafter. Where no period in the mortgage is specified, there exists a right to a mortgagor to redeem the mortgage by paying the amount **that very day**... or any day thereafter." The tender/satisfaction theory would mean limitation "never start[s] running... for an infinite period" — rejected. (At the relevant time the period was **60 years**; the present Art. 61(a) prescribes 30.)
- **Result:** limitation ran from **March 1893** and expired in 1953; no revival; the first appellate court and the High Court were right — **appeal dismissed**.

Ankur R. Upadhyay

PRINCIPLE EVOLVED

1. **s.18 revives only a living period:** an acknowledgment of liability (or a part payment under s.19) made **after the prescribed period has expired** confers no fresh limitation — the opening words of s.18(1) are a condition precedent, not decoration.
2. **Validity first, limitation second:** the court asks only whether the mortgage is **valid**; if valid (as an oral mortgage with possession then was in Punjab), **the right to redeem accrues on the day of its execution** — no 12-year incubation, no waiting for tender or satisfaction.
3. Art. 61(a)'s "when the right to redeem... accrues" means the day the mortgagor could lawfully have paid and demanded possession — the very first day, absent a contractual restriction; otherwise limitation would run "for an infinite period".
4. Local-law context matters: TPA s.59's registration requirement applied to Punjab only from 1-11-1956 (Haryana 5-8-1967) — earlier oral mortgages with possession stand valid (*Shri Chand* FB).
5. Equitable doctrines (election; approbate-reprobate) cannot stretch a statutory limitation period; nor can procedural statutes like the Punjab Redemption Act, 1913 postpone its start.

PYQ ARCHIVE // CH.10 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 PYQ – 2017 "The expression 'time requisite' under section 12(2) of the Limitation Act cannot be understood as the time necessary for obtaining the copy of the order." Discuss the statement in the light of the decided cases.

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 PYQ – 2019 What is the effect of addition of plaintiff or defendant in a pending suit upon the limitation for filing such suit?

Q.3 PYQ – 2019 Describe what is an "acknowledgement" under the Limitation Act. What is the effect of "acknowledgement" on limitation? Discuss with illustrations.

Q.4 PYQ – 2017 Discuss the effect of fraud and mistake on the period of limitation.

Q.5 PYQ – 2017 Distinguish between section 18 and section 19 of the Limitation Act, 1963.

Q.6 PYQ – 2020 (OBE) A took a loan of ₹50,000 from B on 01.04.2016. On 01.04.2017, A paid ₹20,000 to B in cash against due receipt. On 24.03.2020, A wrote a letter through courier wherein he stated that he owed the sum of ₹40,000. On the very next day the Government of India imposed a complete lockdown due to Covid-19. B received the letter on 15.06.2020 and filed a suit on 20.06.2020. A contended that the suit is barred by limitation. Decide with relevant provision and case law. (25 marks)

MODULE 11 // PART B · TOPIC 3 Cases #35-#36

Acquisition of Ownership by Possession: Prescription & Adverse Possession

Sections 25, 26 & 27 · Articles 64 & 65, The Limitation Act, 1963

Possession as a Source of Title — The Concept and the Framework

Sections 25-27 of the Limitation Act, 1963: where time itself transfers ownership

Core Idea
Ordinarily, limitation **bars the remedy** and leaves the right untouched. But for suits for **possession of property**, the Act goes further: when the owner sleeps beyond the prescribed period, **s. 27 extinguishes his very title** — and the person in possession, by satisfying the classic tests of adverse possession, **acquires that title**. Sections 25 and 26 do the same work for **easements**: twenty years' open, peaceful enjoyment as of right makes the easement **absolute and indefeasible**. Together they make possession, over time, a **source of ownership** — the doctrine the 2019 Constitution-strength decision in *Ravinder Kaur Grewal* emphatically reaffirmed.

1.1 The General Maxim and its Famous Exception

- **The maxim:** *limitatio tempus adimat actionem, non jus* — limitation bars the **remedy**, not the **right**. A time-barred debt can still be paid voluntarily; payment of a barred debt is not *unjust enrichment* recoverable back (*First National Bank v. Seth Santlal*, AIR 1954 Punj 328: "after a debt becomes barred a person is still deemed to owe and it does not cease to be due").
- **The exception: s. 27** — in a suit for **possession of property**, at the determination of the period limited for instituting the suit, "his right to such property **shall be extinguished**." Not merely the remedy — the **right and title itself die**, and (as the case law holds) they die **in favour of the possessor**.
- **The policy** (as recognised in *Rajender Singh*): (1) long dormant claims have more of cruelty than justice in them; (2) a defendant may have lost the evidence to disprove a stale claim; (3) persons with good causes of action should pursue them with reasonable diligence. Statutes of limitation are statutes of **"repose," "peace" and "justice"** — *interest reipublicae ut sit finis litium*; *vigilantibus non dormientibus jura subveniunt*.
- **The utilitarian side** (*Ravinder Kaur Grewal*, para 2): the possessor who maintains, tills and improves the land "must hold the best title to the land"; the concept cures clouds on title, develops "wild" lands with weak or indeterminate title, and honours the attachment built by caring for property — from the **Code of Hammurabi** (Law 30: three years' use defeats the returning owner, save the soldier captured in battle) through the **Statute of Westminster 1275** and the **1639** twenty-year limitation, to our own Art. 65.

Why an exam loves this sections. 27 is the point where the law of limitation stops being procedural and becomes **substantive**: it does not merely close the courtroom door, it **re-distributes property**. That is why every DU paper from 2017 to 2020 has carried a question on this cluster — and why the 2019 decision in *Ravinder Kaur Grewal* (Case 36) matters so much.

Sections 25 & 26 — Acquisition of Easements by Prescription

Direct acquisition of incorporeal rights by long enjoyment: light, air, way, water

2.1 Section 25 — The Statute

Section 25, Limitation Act, 1963 — Acquisition of easements by prescription

25(1). Where the access and use of light or air to and for any building have been **peaceably enjoyed therewith as an easement, and as of right, without interruption, and for twenty years**, and where any way or watercourse or the use of any water or any other easement (whether affirmative or negative) has been **peaceably and openly enjoyed by any person claiming title thereto as an easement and as of right without interruption and for twenty years**, the right to such access and use of light or air, way, watercourse, use of water, or other easement **shall be absolute and indefeasible**.

25(2). Each of the said periods of twenty years shall be taken to be a period **ending within two years next before the institution of the suit** wherein the claim to which such period relates is contested.

25(3). Where the property over which a right is claimed under sub-section (1) **belongs to the Government**, that sub-section shall be read as if for the words "twenty years" the words **"thirty years"** were substituted.

Explanation. Nothing is an interruption within the meaning of this section, unless where there is an **actual discontinuance of the possession or enjoyment** by reason of an **obstruction by the act of some person other than the claimant**, and unless such obstruction is **submitted to or acquiesced in for one year** after the claimant has notice thereof and of the person making or authorising the same to be made.

2.2 Ingredients of s. 25(1)

- **Peaceably** (nec vi) — no force; the enjoyment must not be gained or maintained by violence.
- **Openly** (nec clam) — not clandestinely; visible to the servient owner who, with ordinary observation, would know of it.
- **As of right** (nec precario) — without permission, acknowledgement of a superior title, or resort to force or stealth; "as of right" means the user asserts a right, not a favour.
- **Without interruption** — see the Explanation: a mere obstruction is not an "interruption" unless enjoyment actually stops, the obstruction is by a third person, and the claimant **acquiesces for one year after notice** of it. Occasional interruptions that are resisted do not break the period.
- **For twenty years** (thirty for Government property) — and by s. 25(2), the twenty years must be the period **ending within two years before the suit**: prescription must have been complete (or nearly so) when the claimant came to court, so that freshly-minted enjoyment cannot be sued upon.
- **Claiming title thereto as an easement** — the user must be referable to the claimant's own land (a dominant heritage), not a mere personal tolerance; s. 25 concerns only the **acquisition of easements**, not the extent of the right acquired or the remedy for disturbing it (for those, one looks to the general law of easements).

What "absolute and indefeasible" means Once the period runs out, the easement is no longer a revocable enjoyment — it is a **vested incorporeal right**, effective against the servient owner and his successors, transferable with the dominant heritage, and protected by injunction. The servient owner cannot extinguish it by unilateral obstruction; his remedy (blocking and resisting for over a year) had to be exercised **before** the period completed.

Section 27 & the Law of Adverse Possession

Extinguishment of right to property — and the doctrine that gives the extinguished title to the possessor

3.1 Section 27 — The Statute

Section 27, Limitation Act, 1963 — Extinguishment of right to property

27. At the determination of the period hereby limited to any person for instituting a suit for possession of any property, his right to such property **shall be extinguished**.

- **Applies only to suits for possession** — not applications for possession; and not to suits on other footings: a mortgagee's suit for sale of the mortgaged property may become barred, but his right (the debt and the security) is not extinguished; where no period of limitation is prescribed at all, s. 27 has no application.
- **Substantive, not procedural** — it operates on rights, not remedies; "possession" here embraces **actual possession and possession in law** (constructive possession). An owner in symbolic possession is not "dispossessed" merely because a stranger occupies a corner.
- **Applies only to a person out of possession** who could have sued — an owner still in possession cannot have his title extinguished; and the right extinguished is the right of **that particular person**: if a Hindu widow's right is extinguished, the reversioner's right survives; if the mortgagor-in-possession's right to sue possession is barred, the simple mortgagee's right to bring the property to sale is untouched.
- **Government:** thirty years (Art. 65/112 with s. 27) — the State's right to possession of land is extinguishable, but on a longer fuse; for private owners, twelve years.
- **The 1908 Act's ancestor:** s. 28 of the Limitation Act, 1908, in identical terms — the provision at work in *Gunga Govind Mundul* (11 M.I.A. 212), *Sarangadeva Periya Matam*, *Rajender Singh*, and every other classic in this topic.

by Ankur R. Upadhyay

3.2 Adverse Possession — The Classic Requirements

The Privy Council and the Supreme Court converge on one formula — the possessor must show possession that is adequate in continuity, in publicity and in extent, and hostile in intention to the true owner, for the full statutory period.

The Three Latin Tests

nec vi — not by force: adequate in **continuity**;
nec clam — not clandestine: adequate in **publicity**;
nec precario — not by the owner's leave: **adverse** to the competitor, in denial of his title and to his knowledge (*S.M. Karim v. Bibi Sakina*, AIR 1964 SC 1254; *Karnataka Wakf Board*; *Balkrishan v. Satyaprakash*, (2001) 2 SCC 498). The animus possidendi must exist **from the commencement** of possession (*Annakili v. Vedanayagam*, (2007) 14 SCC 308) — and all three requirements must **co-exist at the same time** (Ravinder Kaur, para 57).

The Karnataka Wakf Board Checklist

A claimant must show: (a) **on what date** he came into possession; (b) the **nature of the possession**; (c) whether the factum of possession was **known** to the other party; (d) **how long** it continued; (e) that it was **open and undisturbed**. A person pleading adverse possession **has no equities in his favour** — he must clearly plead and establish every fact. Knowledge of the adverse claim may be **presumed from open and notorious acts**.

3.3 The Seven Working Rules

1. **Actual possession required** — mere entries in revenue records in the defendant's name are not enough; but physical possession of **every square foot** is not required — the test is whether the acts of possession show the **dominion normally exercised** over such property (a wrongful do gains title only to the portion actually held).
2. **Adequate in continuity, publicity and extent** — open, notorious, actual, exclusive and adverse; "some acts of ownership" are not enough.
3. **Intention to hold** — the possessor must intend to hold as owner; if he believes he holds only a life estate, his possession is not adverse beyond that belief.
4. **No adverse possession under a lawful title** — a manager's, guardian's or tenant's possession is referable to the owner's title and becomes adverse only on a **distinct repudiation** of that title, brought home to the owner (*Des Raj v. Bhagat Ram*: hostile declaration in a written statement of 1968 could start the clock; *P. Lakshmi Reddy*: adverse possession cannot commence "until he obtains actual possession with the required animus").
5. **Knowledge or means of knowledge** — possession does not become adverse until the owner knows, or has circumstances that would give him knowledge; but knowledge is **presumed from open and notorious acts** — the owner who does not care to know notorious facts is charged with knowledge (Ravinder Kaur, para 57).
6. **Immediate entitlement** — possession is not adverse until the plaintiff was **entitled to immediate possession** (e.g., against a reversioner it turns adverse only when the estate falls into possession — Art. 65, Explanation (a)).
7. **Long possession ≠ adverse possession** — "a mere suggestion in the relief clause that there was uninterrupted possession for 'several 12 years'... was not enough to raise such a plea. Long possession is not necessarily adverse possession and the prayer clause is not a substitute for a plea" (*S.M. Karim*); a trespasser's casual user is construed as possession **on behalf of** the owner (Ravinder Kaur, para 57).

The two-pronged enquiry (P.T. Munichikkanna Reddy v. Revamma, (2007) 6 SCC 59)(1) Apply the limitation provision: the owner's **"wilful neglect"** distances the title from the paper-owner. (2) Find the possessor's **specific positive intention to dispossess**: that intention "effectively shifts the title already distanced from the paper-owner to the adverse possessor." Simple efflux of time, without the intention to dispossess, is not enough.

3.4 Articles 64 and 65 — The Two Doors to the Twelve Years

- **Art. 64** (suit based on previous possession, not title): 12 years from **the date of dispossession** — the possessory action for one who was in possession and was turned out. Until the title completes, this — and s. 6, Specific Relief Act — is the dispossessed possessor's protection.
- **Art. 65** (suit for possession **based on title**): 12 years from **when the possession of the defendant becomes adverse to the plaintiff**. Explanations: (a) against a remainderman/reversioner/devisee, possession becomes adverse only when the estate **falls into possession**; (b) against a Hindu/Muslim heir of a female holder, only when the **female dies**; (c) a purchaser at an execution sale where the judgment-debtor was out of possession steps into the judgment-debtor's shoes.
- **The crucial reading (Case 36):** "title" in Art. 65's opening part **includes title acquired by adverse possession** — so the possessor whose twelve years have completed sues on the very title the owner lost; Art. 65's column 3 poses no bar to a **plaintiff** pleading adverse possession.
- **Heritability and tacking (Ravinder Kaur, para 58):** adverse possession is **heritable** and the right is transmissible; successive possessors in privity (purchaser, legatee, assignee claiming through the same right over the same property) may **tack** their possessions to complete the period — but "two distinct trespassers cannot tack their possession."

Prescribed Landmark Case Laws — Detailed Analysis

CASES #35-#36

CASE #35 Rajender Singh v. Santa Singh

AIR 1973 SC 2537 | Supreme Court of India | Beg, J. | Plaintiffs' appeal by special leave from the Full Bench of the Punjab High Court

FACTS IN DETAIL

- **The land:** 331 kanals 11 marlas (khasra numbers given in the plaint), originally owned by **Sham Singh** (deceased).
- **The devolution:** Smt. Malan, Sham Singh's widow, **gifted the plots in 1935, half and half**, to the plaintiffs (sons of Smt. Premi, Sham Singh's daughter) and to Smt. Khemi (Premi's younger sister). Smt. Khemi, **issueless**, made a further gift to the plaintiffs before her **death in 1944**. The plaintiffs claim they obtained possession of the whole land through the Tehsildar about **13-12-1946**.
- **The cloud:** because the rights of daughters and a widow's powers of donation under **Punjab customary law** were then uncertain, the defendants — the **8th degree collaterals of Sham Singh** — filed a suit on **3-7-1940** for declaration and possession. It was **stayed from 1941 to 29-5-1946** under the Indian Soldiers (Litigation) Act, 1925 (the plaintiffs being soldiers' beneficiaries); a parallel mutation fight in the revenue courts ended for the donees before the Financial Commissioner on **13-12-1946**; the 1940 suit, renumbered in 1949, ended in the donees' favour in the Punjab High Court on **21-11-1958**.
- **The dispossessions alleged:** the plaintiffs' Suit No. 179 of 1959 (filed **20/16-4-1959**) alleged the defendants took **illegal and forcible possession after 21-11-1958** and sought possession back. The defendants' case: they had taken possession **after Smt. Khemi's death in 1944** and held "in open, continuous, exclusive possession as owners, adversely to the rest of the world" — the suit was barred by limitation and they had become owners by adverse possession.
- **Courts below:** the trial court framed three issues — (1) whether plaintiffs got possession through the Tehsildar c. 13-12-1946; (2) whether defendants took possession after 21-11-1958; (3) whether defendants became owners by adverse possession — placing issues 1-2 on the plaintiffs and issue 3 on the defendants. On evidence ("oral evidence coupled with the entries in the revenue records"), the courts below **rejected the plaintiffs' possession story** and accepted the defendants' possession from 1944 onwards, holding the suit barred under **Art. 142** of the 1908 Act. The first appellate court, however, relying on *Sukhubai v. Eknath Bellappa* (AIR 1948 Nag 97), held that **lis pendens** prevented the defendants' rights from maturing during the 1940 suit — possession became adverse only on **21-11-1958**, when the High Court dismissed the defendants' own appeal.
- **The Full Bench (Punjab HC):** majority (**A.N. Grover, J.**) — adverse possession commenced **during the pendency** of the earlier suit, and "once having begun to run, could not stop running merely because of the pendency" of that suit; minority (**I.D. Dua, J.**) — lis pendens would exclude the time of the 1940 suit pending. The plaintiffs appealed to the Supreme Court.

The Rajender Singh Timeline

1935
Smt. Malan (widow) gifts the land half-and-half to the plaintiffs and Smt. Khemi.

3-7-1940
Collaterals' suit for declaration & possession — stayed 1941 to 29-5-1946 (Soldiers' Litigation Act).

1944
Smt. Khemi dies issueless; defendants (their case) take possession and hold adversely from about this date.

13-12-1946
Financial Commissioner decides the mutation fight for the donees (plaintiffs claim possession through Tehsildar near this date).

21-11-1958
Division Bench decides the 1940 suit **for the donees** — the plaintiffs allege dispossession "after" this date.

20-4-1959
Suit No. 179 of 1959 for possession — squarely within Art. 142 (asserted possession & dispossession).

1944 → 1959
Over 12 years of the defendants' open, adverse, hostile, continuous, exclusive possession — concurrent findings of fact, accepted by the Full Bench majority.

1973
Supreme Court (Beg, J.): appeal dismissed — lis pendens does not arrest limitation.

ISSUES

1. Does the **doctrine of lis pendens** in s. 52, Transfer of Property Act, 1882, arrest the running of limitation during the pendency of the defendants' 1940 suit — so that the defendants' adverse possession matured only after 21-11-1958?
2. Was **Art. 142** (or Art. 144) of the Limitation Act, 1908, correctly applied — including s. 3's duty to apply the bar even when not pleaded?
3. Can **banjar (uncultivated) land** be adversely possessed at all?
4. Could the plaintiffs invoke s. 14 of the 1908 Act (exclusion of time of proceedings bona fide in a court without jurisdiction) or the Custodian of Evacuee Property's claim under s. 8(4) of the Administration of Evacuee Property Act, 1950?

by Ankur R. Upadhyay

ARGUMENTS FOR RAJENDER SINGH (PLAINTIFFS-APPELLANTS)

- **Lis pendens excluded time:** while their opponents' 1940 suit over the very land was pending (1940–1958), the property could not be "dealt with" so as to affect the parties' rights — the defendants' possession could not ripen into title during the litigation (following *Sukhubai*, AIR 1948 Nag 97, as the first appellate court had).
- Extinction of title during the pendency of a suit must itself be hit by s. 52 — otherwise a party could gain by the litigation what he could not gain by a transfer.
- **Banjar land:** portions entered as banjar are vacant and incapable of cultivation — possession follows title, so they must be deemed in the plaintiffs' constructive possession; adverse possession of banjar land is impossible.
- Art. 142 was wrongly applied: its applicability was not put in issue by pleadings; and (via the Custodian) rights vesting under s. 8(4) of the Evacuee Property Act deserved adjudication.

ARGUMENTS FOR SANTA SINGH (DEFENDANTS-RESPONDENTS)

- Concurrent findings of fact: possession from 1944 was theirs — open, continuous, exclusive, as owners, adverse to the world; over 12 years completed **before** the 1959 suit.
- s. 52 TPA strikes at **transfers and dealings** — bilateral acts like sales — not at the continuance of wrongful possession, which is "one sided wrongful act"; the Limitation Act alone governs maturation of title by time.
- The plaintiffs' own plaint asserted possession and dispossession — squarely **Art. 142**; under *Bindhyachal Chand* (AIR 1934 All 993, Sulaiman C.J.) "the question of limitation in one sense becomes the question of title" — without subsisting title the suit must fail.
- s. 14 of the 1908 Act could not help: the cause of action in the 1940 suit was entirely different (indeed it was the defendants who sued there).

THE DECISION — BEG, J.

- **Art. 142 squarely attracted:** the plaintiffs having alleged possession and dispossession and sought delivery back, "the case fell squarely within the ambit of Article 142." Issues 1 and 2 bore directly on it; an issue need not recite the provision of law. And it is "the duty of the Court, in view of Section 3, to apply the bar of limitation where, on patent facts, it is applicable even though not specifically pleaded." Per *Bindhyachal Chand*: where the only question is discontinuance of the plaintiff's possession, limitation becomes the question of title, "because by virtue of Section 28, Limitation Act, if the claim is barred by time, the title must be deemed to be extinguished."
- **Art. 142 or Art. 144 — immaterial for s. 28:** "It is immaterial... whether Article 142 or Article 144... is applicable" — on the accepted findings, all elements of "open, adverse, hostile, continuous, and exclusive possession of the defendants for over 12 years were present," so extinguishment followed either way.
- **Banjar land can be adversely possessed:** "It may be that Banjar land cannot be cultivated, but... it could possibly [not] be urged that it is per se incapable of being actually physically possessed by use for other purposes, such as building or storing of wood or crops, apart from cultivation." Besides, the plaintiffs' own pleadings admitted the defendants' actual adverse possession of all the land — the point was a belated afterthought (CMP No. 2487 of 1967 seeking to introduce it was dismissed).
- **Lis pendens — the core ruling:** extinction of title by the Limitation Act "will not be hit by the doctrine of lis pendens simply because it is an extinction during the pendency of a suit... a case in which the extinction of title takes place by an application of the specific and mandatory provisions of the Limitation Act falls outside the scope of Section 52 of the Transfer of Property Act" — it is governed by the Limitation Act "exclusively."
- **Why s. 52 cannot serve as a time-exclusion device:** the doctrine strikes at attempts "to circumvent the jurisdiction of a court... by private dealings" — transfers and comparable bilateral transactions. "Taking of illegal possession or its continuance neither resemble[s] nor [is] comparable to a transfer. They are one sided wrongful acts and not bilateral transactions of a kind which ordinarily constitute 'deals' or dealings with property... They cannot confer immediate rights on the possessor. Continued illegal possession ripens into a legally enforceable right only after the prescribed period of time has elapsed." If the policy was to exclude litigation time, the provision would have been in the Limitation Act — indeed Part III of that Act deals with exclusion of time (s. 14 being its only litigation-time provision, inapplicable here).
- **s. 3 forecloses judicial extension:** "The effect of Section 3 Limitation Act is that it expressly precludes exclusion of time on a ground outside this Act even if it parades under the guise of a doctrine which has no application whatsoever here. Courts of Justice cannot legislate or reconstruct law contained in a statute or introduce exceptions when statutory law debars them from doing so. Even hard circumstances of a case do not justify the adoption of such a course." The plaintiffs could not "complain of hardship when their own negligence or failure to act in time enabled defendants to acquire rights."
- **Support:** *Subbaiya Pandaram v. Mahammad Mustapha Marcayar* (AIR 1923 PC 175) and *Narayan Jivangouda Patil v. Puttabai* (AIR 1945 PC 5) — limitation runs from the taking of possession notwithstanding the pendency of litigation; "We are in complete agreement with the majority view" (Grover, J.) of the Full Bench. The Custodian's s. 8(4) claim was not decided (dispute between co-defendants; no res judicata; the plaintiffs could not raise it "in a desperate attempt to clutch at a straw").
- **Result:** Full Bench affirmed; **appeal dismissed**; parties to bear their own costs throughout.

PRINCIPLE EVOLVED

1. **Lis pendens does not suspend limitation:** adverse possession once begun runs through pending litigation; a possessor's title can mature by the Limitation Act even while a suit over the property is pending — the two doctrines belong to different statutes and different policies.
2. **Wrongful possession is not a "dealing":** s. 52 TPA hits bilateral transactions (transfers, sales, comparable acts with immediate effect); continued illegal possession is a unilateral wrong that ripens only by efflux of time under the Limitation Act.

3. **The Limitation Act is exclusive on its own ground:** s. 3 "precludes exclusion of time on a ground outside this Act even if it parades under the guise of a doctrine" — courts cannot create equitable exceptions; exclusion of time belongs to Part III (s. 14), whose conditions are strict.
4. **Limitation can be the question of title:** in Art. 142 cases, barring the suit by time itself extinguishes title (s. 28 of the 1908 Act) — so the plea need not be raised by the parties; the court must apply it suo motu.
5. **Banjar land is not immune:** uncultivable land can still be physically possessed for building, storing wood or crops — no per se exclusion from adverse possession.

CASE #36 **Ravinder Kaur Grewal & Ors. v. Manjeet Kaur & Ors.**
[2019] 11 S.C.R. 74 | Supreme Court of India | Arun Mishra, S. Abdul Nazeer & M.R. Shah, JJ. | Authoritative settlement of the law of adverse possession

THE REFERENCE AND THE QUESTION OF LAW

This is a batch decision settling, across a group of appeals (the lead matter being Ravinder Kaur Grewal v. Manjeet Kaur), a pure question of law on which smaller benches and High Courts had divided. The Court heard senior counsel for the parties and two Amici Curiae — Shri P.S. Patwalia and Shri Huzefa Ahmadi — and directed the matters to be placed for merits before the appropriate Bench after settling the law (para 62). The question (para 1):

- Whether a person claiming **title by adverse possession** can maintain a suit under **Art. 65** for **declaration of title and permanent injunction** protecting his possession, or for **restoration of possession** if dispossessed — by the very owner whose title stood extinguished, or by a third party.
- In other words: is adverse possession only a **shield** for a defendant, or can it be wielded as a **sword** by a plaintiff? Is the perfected possessor **remediless**?
- And if the owner sells the property **after his title is extinguished**, what is the possessor's remedy against the sale and the resulting interference or dispossession?

Why this mattered A 2014 two-judge decision, *Gurudwara Sahib v. Gram Panchayat Village Sirthala*, (2014) 1 SCC 669, had observed (para 8) that a plaintiff in adverse possession "cannot seek a declaration that such adverse possession has matured into ownership" — the plea was "a shield and not a sword." Followed without argument in *State of Uttarakhand v. Mandir Shri Lakshman Sidh* (2017) and *Dharampal v. Punjab Wakf Board* (2018), that line threatened to leave every perfected possessor without a cause of action. The three-judge bench in Ravinder Kaur took up the task of testing it against the entire line of precedent.

THE CONFLICT THAT TRIGGERED THE REFERENCE

- **The 2014 decision:** in *Gurudwara Sahib, Sirthala*, the trial court had found the gurdwara in adverse possession since 13–4–1952 (proved by "a plethora of documentary evidence") — yet held, following the P&H High Court's *Gurudwara Sahib Sannauli* (2009) 154 PLR 756, that no declaration could be sought: adverse possession "can be used as a shield and not as a sword." The Supreme Court agreed there was "no quarrel" with that proposition — **without the contrary precedents being cited or the point argued** (paras 4–5, 39, 47: "a decision based upon concession cannot be treated as precedent").
- **The buried authority:** a **three-judge bench** in *Sarangadeva Periya Matam v. Ramaswami Goundar*, AIR 1966 SC 1603 (itself resting on the Privy Council's *Musumut Chundrabullee Debia v. Luchea Debia*, 1865 SCC OnLine PC 7), had held the opposite — and "was not placed for consideration" of the two-judge bench.
- **The High Court's inference:** the P&H line (*Bhim Singh v. Zile Singh*, AIR 2006 P&H 195; *Prem Nath Wadhawan*, Delhi) reasoned from Art. 65's third column — "when the possession of the **defendant** becomes adverse to the **plaintiff**" — that the plea is available **only to a defendant**. The Ravinder Kaur bench calls this "inferential process... not at all permissible" (para 46).

THE DECISIVE PRECEDENT — SARANGADEVA PERIYA MATAM (3 JUDGES, 1966)

- **Facts:** in 1883 the mathadhipathi of Sri Sarangadevar Periya Matam (Kumbakonam) granted a perpetual lease of the melwaram and kudiwaram interests in inam lands (Kannibada Zamin, Dindigul, Madurai) to Chinna Gopiya Goundar at ₹70 a year. The mathadhipathi died in 1915 **without nominating a successor**; rent ceased to be paid; between 1915 and 1939 there was no mathadhipathi (Basavan Chetti managed for 20 years); a new mathadhipathi was elected in 1939. In 1928 the Collector resumed the inam and issued a **joint ryotwari patta**. The plaintiff (Goundar's descendant) held until **January 1950**, when the math obtained possession; on **18–2–1954** he sued for **recovery of possession**, pleading title by adverse possession and the patta.
- **Held:** the math is a juristic person which "may acquire property by prescription and may likewise lose property by adverse possession"; limitation was not suspended by the absence of a mathadhipathi (it runs against a de facto mathadhipathi — *Vithalbowa v. Narayan Daji* — and even where there is none). Under **Art. 144 read with s. 28 of the 1908 Act, the math's title was extinguished in 1927** — the lessee's descendants "acquired title to the lands by prescription"; the delivery of possession in January 1950 "did not transfer any title to the math" — the suit of 1954 was "well within time" and was decreed.
- **The point for Case 36:** a plaintiff successfully **sued to recover possession on a title acquired by adverse possession** — three judges, 1966, squarely contrary to the shield-only rule.

THE DECISION — ARUN MISHRA, J. (PARAS 45-62)

- **Art. 65's language holds no bar:** "Column No. 3 of Schedule of the Act nowhere suggests that suit cannot be filed by the plaintiff for possession of immovable property or any interest therein based on title acquired by way of adverse possession. There is absolutely no bar for the perfection of title by way of adverse possession whether a person is suing as the plaintiff or being sued as the defendant. The inferential process of interpretation employed by the High Court is not at all permissible" (para 46).
- **Decisions on concession are not precedent:** *Gurudwara Sahib, Sirthala* rested on an uncontested proposition — contrary larger-bench authority was never cited; "only an observation was made as to proposition of law, which is palpably incorrect" (para 47).

- **The nature of the title (paras 50, 53, 55):** "Law of adverse possession does not qualify only a defendant for the acquisition of title... it may be perfected by a person who is filing a suit." On extinguishment, "the concept of adverse possession as evolved goes beyond it — on completion of period and extinguishment of right [it] confers the same right on the possessor which has been extinguished, and **not more than that**." The word "title" in Art. 65 "would include the title acquired by the plaintiff by way of adverse possession."
- **What is acquired depends on what is prescribed against (paras 31, 33, 56):** possession is the root of title; ownership may be sole, contingent, corporeal, legal or equitable — a person can prescribe only against the **limited right** actually held by the person dispossessed (tenant's right extinguished → sub-tenant gains that right, not the freehold). The kind of possession enjoyed (de facto, de jure, constructive, concurrent, symbolic) and even **personal law** shape the enquiry; a co-owner's possession is not presumed adverse.
- **The three classics must co-exist (para 57):** nec vi (continuity), nec clam (publicity), nec precario (adverseness in denial of title and knowledge) — "visible, notorious and peaceful"; if the owner does not care to know notorious facts, knowledge is attributed to him. **Animus possidendi under a hostile colour of title is required; a trespasser's long possession is not adverse — the casual user does not constitute adverse possession; the owner can retake from a trespasser at any time.**
- **Heritable and transmissible, with tacking (para 58):** the right is heritable; successive possessors in privity (purchaser, legatee, assignee claiming through, same property, same right) may tack to complete the period — "two distinct trespassers cannot tack their possession." Once perfected, the right "cannot be defeated on re-entry except as provided in Article 65 itself."
- **The operative holding (para 59):** "a person in possession cannot be ousted by another person except by due procedure of law and once 12 years' period of adverse possession is over, even owner's right to eject him is lost and the possessory owner acquires right, title and interest possessed by the outgoing person/owner... **once the right, title or interest is acquired it can be used as a sword by the plaintiff as well as a shield by the defendant within ken of Article 65** of the Act and any person who has perfected title by way of adverse possession can file a suit for restoration of possession in case of dispossession." Before ripening, a dispossessed possessor has the possessory suit under **Art. 64**; after ripening he can sue under Art. 65 — **against the dispossessing owner or a third party** (who must himself have prescribed against the possessor to resist).
- **Other infringements:** if the owner **sells after his title is extinguished**, the perfected possessor can sue to question the alienation and the attempted dispossession; and under other Articles, for infringement of other rights so acquired.
- **The public-property caution (para 60):** for land dedicated to **public use**, courts have been loath to allow prescription; encroachers raising the plea on public/utility land should find no rights accruing — "it would be advisable that... it is made clear in the statute of limitation that no rights can accrue by adverse possession" as to such property.
- **Formal result (para 61):** *Gurudwara Sahib, Sirthala*, *Mandir Shri Lakshman Sidh* and *Dharampal v. Punjab Wakf Board* **"cannot be said to be laying down the law correctly, thus they are hereby overruled."** The plea of acquisition of title by adverse possession **can be taken by a plaintiff under Art. 65**, and there is no bar in the Limitation Act, 1963 to suing on that basis.

PRINCIPLE EVOLVED

1. **Sword as well as shield:** title perfected by adverse possession is a subsisting title on which the possessor may **sue as plaintiff** under Art. 65 — for declaration, injunction, and restoration of possession against a dispossessing owner or third party; the erstwhile owner, whose title s. 27 extinguished, is a stranger to the land.
2. **Art. 65's "title" includes prescriptive title:** the third column ("when the possession of the defendant becomes adverse to the plaintiff") merely fixes the starting point of limitation; it cannot be read inferentially to abolish a plaintiff's cause of action.
3. **What is gained equals what is lost — no more:** adverse possession transfers the extinguished right itself; against a limited owner (tenant, life-tenant), the possessor gains only that limited right; reversioners and remaindermen outside the extinguished right are untouched.
4. **Before ripening, protection is possessory:** the unperfected possessor relies on s. 6, Specific Relief Act and Art. 64 — not on title; the casual user of a trespasser is never adverse; co-owners' possession is not presumed adverse.
5. **Pleading discipline:** the plaintiff pleading prescription must plead and prove the date, nature, knowledge, duration and open, undisturbed character of possession — the whole case, without equities (S.M. Karim; Krishnamurthy Setlur; Karnataka Wakf Board).
6. **Decisions on concession are no precedent;** and public/utility land should, as a matter of policy, lie beyond the reach of adverse possession — a legislative invitation flagged by the Court.

PYQ ARCHIVE // CH.11 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 PYQ – 2019 Write a detailed note on: Acquisition of ownership by possession.

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 PYQ – 2018 What do you understand by Adverse Possession? Explain in detail its relevant requirements and recent developments in terms of case law. Do you think it is an exception to section 3 of the Limitation Act that it also destroys the right of the owner?

Q.3 PYQ – 2020 (OBE) Mohan has taken possession of immovable property of Sohan in the year 2005. Till 2019 Mohan was enjoying possession of immovable property peacefully and uninterrupted with clear knowledge of denial of title to Sohan. In 2020 Sohan filed a suit for recovery of immovable property. Decide in the light of the maxim "limitation bars the remedy, but not the right". Discuss and also mention the development in law in this area, if any, has taken place. (25 marks)

Q.4 PYQ – 2018 "Section 3, Limitation Act only bars the remedy and does not destroy the right to which the remedy relates." Do you agree with the statement? Explain with case laws.

MODULE 12 // PART B · TOPIC 4 Cases #37–#38

The Schedule: Residuary Periods of Limitation

Articles 113 & 137 of the Schedule, The Limitation Act, 1963

The Schedule — The Act's Clock-Room, and its Two Residuary Articles

How any suit or application, however novel, still finds its three years

Core Idea
Section 3 of the Limitation Act bars every suit, appeal or application filed after the **prescribed period** — and the periods live in the **Schedule**. The Schedule's articles are specific clocks for known proceedings; but the legislature could not foresee every suit or application. So it installed two **residuary** clocks at the end of each division: **Art. 113** — any suit for which no period is provided elsewhere in the Schedule, **three years from when the right to sue accrues**; and **Art. 137** — any other application for which no period is provided elsewhere in that division, **three years from when the right to apply accrues**. Neither is an afterthought: as Gurdev Singh holds, "the statute of limitation was intended to provide a time limit for **all suits conceivable**" — a suit outside every specific article falls into Art. 113 by necessity, not by grace.

1.1 Finding the Right Article — The Routing Rules

- **Specific beats residuary.** The court first asks whether the suit falls within any specific article; only if none applies does Art. 113 (or, for applications, Art. 137) operate. The residuary article "is applicable to every variety of suits not otherwise provided for" (Gurdev Singh).
- **Characterise the relief, not the label.** The court's function "on the presentation of plaint is simply to examine whether, on the assumed facts, the plaintiff is within time. The court has to find out when the **'right to sue'** accrued" — i.e., when the cause of action arose, when the right asserted is infringed or there is a clear and unequivocal threat of infringement (*Mt. Bolo v. Mt. Koklan*, AIR 1930 PC 270; *Gannon Dunkerley*, (1969) 3 SCC 607).
- **Declaratory suits are suits.** A suit by a dismissed employee for a declaration that his dismissal is void and that he continues in service is a suit like any other — it must find its article; it is not immune from limitation merely because it attacks a *void* order (Gurdev Singh, overruling the P&H line).
- **Set-off and counter-claim are suits** (s. 3); appeals have their own articles (Arts. 114–118); applications live in the third division (Arts. 119–137).
- **The 1908 Act ancestry:** Art. 120 of the old Act (six years, residuary for suits) became Art. 113 of the 1963 Act (three years); old Art. 181 (applications under the CPC and allied codes) became Art. 137 — with the added word "**other**", which (as *Athani* explains) imports an *ejusdem generis* reading against the earlier articles of that division.

The two residuary articles in one line each **Art. 113 (suits):** "Any suit for which no period of limitation is provided elsewhere in this Schedule" — 3 years — "when the right to sue accrues." **Art. 137 (applications):** "Any other application for which no period of limitation is provided elsewhere in this Division" — 3 years — "when the right to apply accrues." Same period, same logic — but Art. 137 carries a jurisdictional limit the DU case material makes famous: it reaches **applications to courts**, not to tribunals that are not courts (*Ajaib Singh*).

1.2 "Right to Sue Accrues" — the Residuary Starting Point

- The words "right to sue" ordinarily mean **the right to seek relief by means of legal proceedings** — generally the right accrues only when the cause of action arises: the right asserted is infringed, or threatened in a clear and unequivocal way (*Bolo*; *Gannon Dunkerley*; Gurdev Singh, para 6).
- For a **continuing wrong**, each fresh infringement gives a fresh starting point (ss. 22–23 logic); for a suit attacking an order, the right to sue accrues when the order is made (or, where a statutory appeal/revision is pursued in time, when that remedy concludes against the challenger — as in *Syed Qamarali*, where the dismissal was 22–12–1945, the government rejected the appeal on 9–4–1947, and the suit of 8–12–1952 was within Art. 120's six years).
- A **void order still has de facto operation** until quashed — "It bears no brand of invalidity on its forehead" (*Smith v. East Elloe RDC*, 1956 AC 736, Lord Radcliffe, quoted in Gurdev Singh) — so the aggrieved party must come to court **within the residuary period**, not whenever he pleases.
- The Court in Gurdev Singh adopt Prof. Wade's summary: the court will invalidate an order only if "the right remedy is sought by the right person in the right proceedings and circumstances" — a nullity may remain effective in reality; hence even a void dismissal order starts the limitation clock for a declaratory suit.

Article 113 — Any Suit for Which No Period of Limitation is Provided Elsewhere

The residuary clock for suits: three years from the accrual of the right to sue

2.1 The Article

Article 113, Schedule, Limitation Act, 1963 — Part X: Suits for which there is no prescribed period

Description of suit	Period of limitation	Time from which period begins to run
113. Any suit for which no period of limitation is provided elsewhere in this Schedule.	**Three years**	**When the right to sue accrues.**

- **Ancestor:** Article 120 of the Limitation Act, 1908 — same description, but **six years**. The 1963 Act deliberately **halved the residuary period to three years** (Gurdev Singh, para 6: "Under Article 120 it was six years which has been reduced to three years under Article 113"). Suits falling in the old residuary article thus got materially shorter lives.
- **Function:** "The purpose of the residuary article is to provide for cases which could not be covered by any other provision in the Limitation Act. The residuary article is applicable to **every variety of suits not otherwise provided for**" (Gurdev Singh).
- **Exhaustive division:** Part X is the Schedule's catch-all for suits; there is no gap through which a suit can escape limitation — that is the very premise on which Gurdev Singh overruled the Punjab & Haryana High Court's "no limitation for void-dismissal suits" line.
- **Contrast within the Schedule:** Art. 112 (suits relating to trusts — 3 years where no other article applies, from the death of the trustee etc.) and Art. 91 (declaratory decrees) can compete for a suit's character; the correct one is chosen by the **substantive relief** sought, not by the plaintiff's nomenclature.

2.2 When does the "Right to Sue" Accrue?

The general rule (Bolo · Gannon Dunkerley)

The right to sue ordinarily accrues when the cause of action arises — "the right to prosecute to obtain relief by legal means." The suit must be instituted when the right asserted is **infringed**, or when there is a **clear and unequivocal threat** to infringe it by the defendant against whom the suit is brought. An abstract fear of future invasion does not start the clock; a present invasion or threat does.

The order-attack rule (Gurdev Singh)

For a suit attacking an order (dismissal, termination, resumption): the right to sue accrues **when the order is passed** — or, where the challenger pursues the statutory appeal/revision provided to him, when that pursuit finally fails (*Syed Qamarali*: dismissal 22–12–1945 → appeal rejected 9–4–1947 → suit 8–12–1952 within six years under Art. 120, 1908 Act). Sitting still after exhausting (or ignoring) the internal remedies lets the residuary clock run out.

- **Why a void order starts the clock** (Gurdev Singh, paras 8–10, adopting *Smith v. East Elloe* and Wade): an order, "even if not made in good faith, is still an act capable of legal consequences. It bears no brand of invalidity on its forehead. Unless the necessary proceedings are taken at law to establish the cause of invalidity... it will remain as effective for its ostensible purpose as the most impeccable of orders." The party aggrieved **must approach the court within the prescribed period**; if the statutory time expires, "the court cannot give the declaration sought for."
- **Wade's corollary:** a nullity remains effective until the right remedy is sought by the right person in the right proceedings — "the court will invalidate an order only if the right remedy is sought... The order may be hypothetically a nullity, but the court may refuse to quash it because of the plaintiff's lack of standing, because he does not deserve a discretionary remedy, because he has waived his rights, or for some other legal reason."
- **Distinction preserved:** a declaration merely declares the existing state of affairs — it does not quash to produce a new one; so the employee's plea "my dismissal was void ab initio, so time never began" fails: the order's **de facto operation** is enough to require diligence.

The exam trap "There is no limitation for a suit for declaration" — **wrong**, says Gurdev Singh: such suits fall under Art. 113 (three years, from accrual of the right to sue), and s. 3 obliges the court to apply the bar **even if limitation is not pleaded**. The High Court view (P&H: *Ajit Singh*, *Ram Singh*) stood "not correct and stands overruled."

Article 137 — Limitation Where No Period is Prescribed (Applications)

The residuary clock for applications — and its jurisdictional frontier: courts, not tribunals

3.1 The Article

Article 137, Schedule, Limitation Act, 1963 — Part II of the Third Division: Other Applications

Description of application	Period of limitation	Time from which period begins to run
137. Any other application for which no period of limitation is provided elsewhere in this Division.	**Three years**	**When the right to apply accrues.**

- **Scope:** Art. 137 is applicable to applications both under the **CPC and under special Acts** — it is the residuary article for applications, with limitation of **three years** beginning "when the right to apply accrues." It applies to any petition filed before a **civil court**.
- **The terminus a quo (Mela Ram v. Dharam Chand, AIR 1958 Punj 132, FB):** in Art. 137 "the legislature makes provisions not for one definite type of cases, but for an unknown number of cases of all kinds. The provision which it makes is specific as regards the period of limitation but as regards the *terminus a quo* it is couched in general language and states, quite simply, the fundamental principle that for the purposes of any particular application time is to run from the moment at which the applicant **first had the right to make it**."
- **The word "other" (Athani):** Art. 137 of the 1963 Act added "other" to old Art. 181's description — importing an **ejusdem generis** reading: the residuary article takes its colour from the earlier articles of the third division, which (Arbitration Act and two CrPC exceptions aside) govern applications under the **Code of Civil Procedure**.

- **The frontier (Ajaib Singh):** the third division's articles apply to applications "presented to **courts** governed by the Code of Civil Procedure"; their scope "cannot be held to have been so enlarged as to include within them applications to bodies other than courts, such as a quasi-judicial tribunal, or even an executive authority." An Industrial Tribunal or Labour Court "is in no way governed either by the Code of Civil Procedure or the Code of Criminal Procedure" — Art. 137 does not reach it.

3.2 The Court/Tribunal Line — the Supporting Authorities

- **Bombay Gas Co. v. Gopal Bhiva** (AIR 1964 SC 752): the provisions of Art. 181 (now Art. 137) apply only to applications made **under the CPC**; extending them to applications under s. 33-C(2) of the Industrial Disputes Act was not justified.
- **Town Municipal Council, Athani v. Presiding Officer, Labour Court** ((1969) 1 SCC 873): the full reasoning — the third division contemplates applications to **courts**; not even the CrPC amendments "materially altered the scope of the residuary Article"; industrial adjudication lies outside.
- **Nityananda M. Joshi v. LIC** ((1969) 2 SCC 199): applications under s. 33-C(2) ID Act are not governed by the Limitation Act's third division; only such limitation as the special law itself provides (there, none) applies.
- **Sakuru v. Tanaji** (AIR 1985 SC 1279): the Limitation Act applies only to proceedings **in courts**, not to appeals or applications before other bodies — even where those bodies wield specified powers of civil/criminal courts.
- **Sha Mulchand & Co. v. Jawar Mills** (AIR 1953 SC 98): the Arbitration Act entries in the old third division did not change the residuary article's CPC character — the analogy Athani applies to the CrPC entries.

The consequence for delay (Ajaib Singh) Because Art. 137 does not apply to Industrial Disputes Act proceedings, a workman's reference is not stale with age: "the relief under it cannot be denied to the workman **merely on the ground of delay**. The plea of delay if raised by the employer is required to be **proved as a matter of fact by showing the real prejudice** and not as a merely hypothetical defence. No reference to the Labour Court can be generally questioned on the ground of delay alone." Where delay is shown, the answer is to **mould the relief** — decline or cut back wages — not to destroy the claim (*Jai Bhagwan*: reinstatement without back wages; *HMT v. Labour Court* (1994) 2 SCC 38: 60% back wages after 14 years' delay).

Prescribed Landmark Case Laws — Detailed Analysis

CASES #37-#38

CASE #37 **State of Punjab v. Gurdev Singh**

(1991) 4 SCC 1 | Supreme Court of India | Jagannatha Shetty, J. | State's appeals against the Punjab & Haryana High Court

FACTS IN DETAIL — TWO LEAD APPEALS

- **C.A. No. 1852 of 1989 (the sub-inspector):** the respondent was appointed an **ad hoc sub-inspector** in the District Food and Supply Department, Punjab. He **absented himself from duty with effect from 29-9-1975**; his services were **terminated on 27-1-1977**. On **18-4-1984** — over seven years later — he instituted a suit for a declaration that the termination order was against the principles of natural justice and his terms of employment, **void and inoperative**, and that he continued to be in service. The State resisted, pleading (inter alia) that the termination was as per the terms of his ad hoc appointment and that **the suit was barred by time**. The trial court accepted the limitation plea and dismissed the suit; the **Additional District Judge, Jullundur reversed** — the termination, though simpliciter, was punitive (unauthorised absence punished without enquiry or opportunity), and "no limitation is prescribed for challenging an illegal order." The High Court agreed in second appeal, following its earlier decisions.
- **C.A. No. 4772 of 1982 (the constable):** the respondent, a **Railway Police Constable** appointed 14-11-1977, was **discharged on 15-3-1979** for misconduct; his departmental **appeal was rejected on 15-6-1979** (AIG, Railways, Patiala) and his **revision dismissed on 30-11-1979** (Inspector General of Police, Punjab). On **12-2-1985** — more than five years after the revision failed — he sued for a declaration that the discharge (and its confirmation) was illegal, ultra vires, unconstitutional, against natural justice, and that he continued in service as constable. The trial court dismissed; the **Additional District Judge decreed** ("discharge in contravention of mandatory rules has no legal effect; there is no period of limitation"); the High Court dismissed the State's second appeal **in limine**.
- **The High Court's standing position:** the P&H High Court had "repeatedly held" that where dismissal/discharge/termination is illegal, unconstitutional or against natural justice, "the employee can approach the court **at any time**" — the suit is not governed by any provision of the Limitation Act (*State of Punjab v. Ajit Singh*, (1988) 1 SLR 96 (P&H); *State of Punjab v. Ram Singh*, (1986) 3 SLR 379 (P&H)).

The Gurdev Singh Timeline — C.A. 1852/1989

29-9-1975
Sub-inspector begins unauthorised absence from duty.

27-1-1977
Services terminated — the order that, void or not, governs de facto.

Art. 113 window
Three years from the accrual of the right to sue — expiring by early 1980.

18-4-1984
Suit for declaration + continuance in service — seven years after termination.

Trial → ADJ → HC
Trial: barred → ADJ: decreed ("no limitation for illegal order") → HC: agreed, following its line.

1991
Supreme Court: Art. 113 applies; both suits barred; P&H view overruled; State's appeals allowed.

ISSUE

A "short issue": what limitation governs a dismissed employee's suit for declaration that he continues in service, his dismissal being void and inoperative? Is such a suit outside the Limitation Act altogether, as the High Court held, or does it fall to be measured by the residuary article — and from when?

ARGUMENTS FOR THE EMPLOYEES (RESPONDENTS)

- **No limitation for illegal orders:** an order passed in breach of mandatory service rules is a **nullity** — void ab initio, of no legal existence; nothing needs to be "set aside," so no clock can start; the employee may sue whenever he chooses (the High Court's settled line, and the ADJs' reasoning below).
- A declaration merely states what the law already is — it creates no new state of affairs — so the suit is not a "remedy" that limitation can bar.
- Reliance on *State of M.P. v. Syed Qamarali* ((1967) 1 SLR 228 (SC)): where a dismissal order breaches mandatory provisions, "it had no legal existence and it was not necessary for the respondent to have the order set aside by a court" — the limitation defence "must therefore be rejected."

ARGUMENTS FOR THE STATE OF PUNJAB (APPELLANTS)

- **No suit is limitation-free:** s. 3 commands dismissal of every late suit, even unpleaded; the Schedule's specific articles plus the residuary Art. 113 cover "all suits conceivable."
- A declaratory suit by a dismissed employee is a civil suit like any other; if no specific article fits, **Art. 113** does — three years from when the right to sue accrued (the termination or its confirmation on statutory remedy).
- Even a void order has **de facto operation** until quashed (*Smith v. East Eloe*, Lord Radcliffe): the employee cannot sleep for years and then demand a declaration.
- *Syed Qamarali* is distinguishable: **that** suit was brought within six years of the appellate rejection — the Court there never held such suits escape limitation.

THE DECISION — JAGANNATHA SHETTY, J.

- **No suit escapes the Act (para 6):** "to say that the suit is not governed by the law of limitation runs afoul of our Limitation Act. The statute of limitation was intended to provide a time limit for **all suits conceivable**." s. 3 mandates dismissal after the prescribed period, "although limitation has not been set up as a defence"; s. 2(j) defines "period of limitation" (Schedule period) and "prescribed period" (period computed under the Act). The court, on presentation of the plaint, examines whether on the assumed facts the plaintiff is in time — **when did the right to sue accrue?** If no specific article applies, the residuary article takes over: "The purpose of the residuary article is to provide for cases which could not be covered by any other provision... Article 113 (corresponding to Article 120 of the Act of 1908) is a residuary article... It prescribes a period of **three years** when the right to sue accrues. Under Article 120 it was six years which has been reduced to three years under Article 113." The words "right to sue" mean the right to seek relief by legal proceedings; the right accrues when the cause of action arises — infringement of the right asserted, or a clear and unequivocal threat to infringe it (*Mt. Bolo*; *Gannon Dunkerley*).
- **Void ≠ timeless (paras 7–10):** "we may assume that the order of dismissal was void, inoperative and ultra vires, and not voidable... But nonetheless the impugned dismissal order has at least a **de facto operation** unless and until it is declared to be void or nullity by a competent body or court." Lord Radcliffe in *Smith v. East Elloe*: "An order, even if not made in good faith, is still an act capable of legal consequences. It bears no brand of invalidity on its forehead. Unless the necessary proceedings are taken at law to establish the cause of invalidity and to get it quashed or otherwise upset, it will remain as effective for its ostensible purpose as the most impeccable of orders." Prof. Wade's principles adopted: the court will invalidate only if the right remedy is sought by the right person in the right circumstances; "the party aggrieved by the invalidity of the order **has to approach the court for relief of declaration... within the prescribed period of limitation. If the statutory time limit expires the court cannot give the declaration sought for.**"
- **Syed Qamarali distinguished (paras 11–12):** there, the dismissal (22–12–1945) was challenged by appeal, rejected 9–4–1947; the suit (8–12–1952) came within **six years of the accrual of the right to sue** under Art. 120 — "These observations are of little assistance to the plaintiffs in the present case... Syed Qamarali brought the suit within the period of limitation." The contrary High Court view — that such a declaration "runs afoul" of nothing — stands disapproved.
- **The correct rule (para 13):** "A suit for declaration that an order of dismissal or termination from service passed against the plaintiff is wrongful, illegal or ultra vires is governed by **Article 113** of the Limitation Act. The decision to the contrary taken by the Punjab and Haryana High Court in these and other cases (*State of Punjab v. Ajit Singh* and *State of Punjab v. Ram Singh*) **is not correct and stands overruled**." (Approving: *Jagdish Prasad Mathur v. United Provinces Government*, AIR 1956 All 114; *Abdul Vakil v. Secretary of State*, AIR 1943 Oudh 368.)
- **Result (para 14):** appeals allowed; High Court judgments and decrees set aside; **the suits dismissed in each case**; no order as to costs.

PRINCIPLE EVOLVED

1. **No suit is beyond limitation:** every suit — including a declaratory suit attacking a void order — finds a clock in the Schedule; if no specific article fits, **Art. 113** applies: three years from accrual of the right to sue.
2. **"Right to sue" = cause of action in motion:** the accrual is the infringement (or clear, unequivocal threat of infringement) of the right asserted; for orders, the order itself (or its confirmation on the statutory remedy pursued) starts time.
3. **A void order has de facto operation until unmade:** "it bears no brand of invalidity on its forehead" — diligence is the price of the declaration; delay beyond the residuary period is fatal, even if the order is ultra vires.
4. **Statutory internal remedies can defer the start:** where a departmental appeal/revision is pursued, the right to sue crystallises only when that pursuit fails (*Syed Qamarali* — a six-years-in-time suit).
5. **High Courts cannot carve limitation-free zones** for classes of suits — the residuary article is exhaustive coverage, and s. 3 makes the bar mandatory and suo motu.

CASE #38 **Ajaib Singh v. Sirhind Co-operative Marketing-cum-Processing Service Society Ltd.**

AIR 1999 SC 1351 | Supreme Court of India | R.P. Sethi, J. | Workman's appeal from the Punjab & Haryana High Court (writ jurisdiction)

FACTS IN DETAIL

- The appellant workman's services were **terminated on 16-7-1974** by the respondent management (a co-operative marketing-cum-processing society), allegedly **without compliance with the mandatory provisions of the Industrial Disputes Act, 1947**.
- The management's justification: the workman, a **salesman, had embezzled thousands of rupees**. It also disputed the Labour Court's jurisdiction over the reference.
- The workman issued his **notice of demand only on 8-12-1981** — seven years later. The dispute was **referred to the Labour Court by the appropriate Government on 19-3-1982**. The jurisdiction objection was **not pressed** before the Labour Court.
- **Award, 16-4-1986:** the Labour Court directed **reinstatement with full back wages from 8-12-1981** (the demand date).
- The management moved the High Court under Art. 226 — **not on merits but on delay**: the workman "had slept over the matter for 7 years and confronted the management at a belated stage when it might have been difficult for the employer to prove the guilt of the workman." The **Single Judge allowed the writ**; the **Division Bench affirmed**. The workman appealed to the Supreme Court.
- **Undisputed before the SC:** termination 16-7-1974; demand notice 8-12-1981; **no plea of delay was taken by the management before the Labour Court** (as the issues framed show — the only defences were jurisdiction and justification); and Art. 137 has **not** been specifically made applicable to ID Act reference proceedings, nor had this Court ever held it so applicable.

The Ajaib Singh Timeline

16-7-1974
Workman (a salesman, allegedly an embezzler) terminated — allegedly in breach of the ID Act's mandatory provisions.

8-12-1981
Notice of demand issued — after seven years (the "prolonged delay" on which the writ proceeded).

19-3-1982
Appropriate Government refers the dispute to the Labour Court.

16-4-1986
Labour Court's award: reinstatement with full back wages from 8-12-1981.

Writ → DB
Single Judge quashes the award on pure delay (7 years, no explanation); Division Bench affirms.

1999
Supreme Court: Art. 137 inapplicable to ID Act proceedings; delay must be pleaded and proved; award restored — with back wages moulded to 60%.

ISSUES

1. Is **Art. 137** of the Limitation Act, 1963 (or its principle) **applicable** to proceedings under the Industrial Disputes Act — the making of a reference under s. 10 / an application to the Labour Court — so that a workman's demand is time-barred after three years?
2. If not, **what role does delay play** — can relief be denied to a workman merely on the ground of unexplained delay?
3. Can a court **prescribe** a period of limitation (as the P&H Full Bench had — five years for raising demands) where the legislature has enacted none?

ARGUMENTS FOR AJAIB SINGH (WORKMAN-APPELLANT)

- Art. 137 and its principle **cannot apply** to ID Act references — the special provisions of the Act must be respected, it being **social welfare legislation** intended to protect workmen; the management's reliance on judgments under other enactments was misconceived.
- The management **never pleaded delay** before the Labour Court (issues framed show only jurisdiction and justification); the workman was never given a chance to explain the delay — the High Court's findings were returned **without pleadings**.
- The Labour Court, a tribunal, is **not a court** governed by the CPC — the settled line from *Bombay Gas*, *Athani*, *Nityananda Joshi* and *Sakuru* keeps the Limitation Act's third division out.
- "A fight between the workman and the management is not a fight between equals" — an even-handed balancing that frustrates the Act's social object is impermissible.

ARGUMENTS FOR THE SOCIETY (RESPONDENT-MANAGEMENT)

- The **principle** of Art. 137, though not specifically made applicable, should be **deemed applicable** to references under s. 10 of the ID Act — a demand raised after seven years should not travel (supported by judgments under various enactments).
- The workman "slept over the matter for 7 years": it would be difficult now for the employer to prove the workman's guilt (of embezzlement) — the High Court was right to quash the award.
- Support from the P&H Full Bench in *Ram Chander Morya v. State of Haryana* ((1999) 1 SCT 141): "reasonable time in the cases of labour for demand of reference or dispute by appropriate Government to labour tribunals will be **five years** after which the Government can refuse to make a reference on the ground of delay and laches if there is no explanation."

THE DECISION — R.P. SETHI, J.

- **The Act's object first (para 5):** the ID Act was enacted "to ensure social justice to both the employers and employees and advance the progress of industry by bringing about... harmony"; it improves service conditions, secures industrial peace, and more production (*Hindustan Antibiotics v. Workmen*, AIR 1967 SC 948); its provisions "have to be interpreted in a manner which advances

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the object of the legislature"; courts emphasise the "doctrine of social justice, founded on the basic ideal of socio-economic equality enshrined in the Preamble."

- **Art. 137 stays outside (paras 7–8):** *Bombay Gas* — Art. 181 (now 137) applies only to applications made under the CPC; *Town Municipal Council, Athni* — the third division contemplates applications **presented to courts**; the word "other" imports an *ejusdem generis* reading; "An Industrial Tribunal or Labour Court... are not courts and they are in no way governed either by the Code of Civil Procedure or the Code of Criminal Procedure. We cannot, therefore, accept the submission... that this article will apply even to applications made to an Industrial Tribunal or a Labour Court." *Sakuru v. Tanaji* reiterated: the Limitation Act applies only to proceedings **in courts**, not before quasi-judicial tribunals or executive authorities, "notwithstanding that such bodies may be vested with certain specified powers conferred on courts."
- **The consequence (para 10):** "the provisions of Article 137... are **not applicable to the proceedings under the Act** and that the relief under it cannot be denied to the workman **merely on the ground of delay**. The plea of delay if raised by the employer is required to be **proved as a matter of fact by showing the real prejudice** and not as a merely hypothetical defence. No reference to the Labour Court can be generally questioned on the ground of delay alone. Even in a case where the delay is shown to be existing, the tribunal, labour court or board... can appropriately **mould the relief** by declining to grant back wages... till the date he raised the demand... or... direct the payment of part of the back wages instead of full back wages" (as in *Jai Bhagwan v. Ambala Central Coop. Bank*, AIR 1984 SC 286 — reinstatement without back wages; *HMT v. Labour Court*, (1994) 2 SCC 38 — 60% back wages after 14 years' delay).
- **Courts cannot legislate limitation (para 10, on *Ram Chander Morya*):** the P&H Full Bench's five-year rule "completely ignored the object of the Act and various pronouncements of this Court... and thus is not a good law." — "It is not the function of the court to prescribe the limitation where the legislature in its wisdom had thought it fit not to prescribe any period. The courts admittedly **interpret law and do not make laws**. Personal views of the Judges... cannot be stretched to authorise them to interpret law in such a manner, which would amount to legislation intentionally left over by the legislature."
- **The writ jurisdiction misfired (para 11):** no plea of delay before the Labour Court; had it been raised, the workman could have explained; "the findings of fact returned by the High Court in writ proceedings, **even without pleadings** were, therefore, unjustified"; the HC's "even-handed justice" balancing "totally ignores the aims and object and the social object sought to be achieved by the Act" — "it is true that a fight between the workman and the management is not a just fight between equals," and the Court could not make them equals so as to frustrate the enactment; the HC "substituted its opinion for the opinion of the Labour Court, which was not permissible" under Arts. 226/227.
- **Result (para 12):** appeal allowed; award **upheld with modification** — reinstatement with **continuity of service**; **back wages at 60% from 8-12-1981 (the demand date) until the award (16-4-1986), and full back wages thereafter until reinstatement**; costs of ₹5,000 payable by the management.

PRINCIPLE EVOLVED

1. **Art. 137 is court-bound:** the residuary article for applications governs applications to **civil courts** (CPC and, where the third division reaches them, allied codes) — not to labour courts, industrial tribunals or executive authorities, whatever powers those bodies wield.
2. **No limitation prescribed → delay is a fact question:** where a special welfare statute prescribes no period, relief cannot be denied "merely on the ground of delay"; the employer must **plead and prove** delay and **real prejudice**; a reference cannot generally be questioned on delay alone.
3. **Moulding, not destruction:** the answer to proved delay is calibrated relief — denial of back wages up to the demand date, or part back wages (*Jai Bhagwan*; *HMT*; applied here: 60% + costs).
4. **Judicial legislation forbidden:** courts cannot prescribe periods of limitation the legislature deliberately omitted; the P&H Full Bench's five-year rule "is not good law."
5. **Writ courts respect adjudicatory findings:** findings returned without pleadings, and balancing that ignores a welfare statute's object, exceed Arts. 226/227 — the unequal contest between workman and management is the very reason the Act exists.

PYQ ARCHIVE // CH.12 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 PYQ – 2019 Write a detailed note on: Limitation where no period is prescribed.

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 PYQ – 2017 Write a short note on: Any suit for which no period of limitation is provided elsewhere.